Barclays Bank of Kenya Limited

2017 Integrated Report

Five-year group review

	2013 Shs million	2014 Shs million	2015 Shs million	2016 Shs million	2017 Shs million
Consolidated Statement of Profit or Loss					
Interest Income	21 297	22 941	25 286	27 434	27 171
Interest expense	(2 437)	(3 337)	(4 875)	(5 100)	(5 370)
Net Interest Income	**18 860**	**19 604**	**20 411**	**22 334**	**21 801**
Non interest income	9 062	8 684	9 051	9 349	8 457
Total Income	**27 922**	**28 288**	**29 462**	**31 683**	**30 258**
Operating expenses	(15 565)	(14 590)	(15 622)	(16 904)	(16 782)
Impairment on loans and advances	(1 223)	**(1 405)**	**(1 766)**	**(3 927)**	**(3 115)**
Profit before tax	**11 134**	**12 293**	**12 074**	**10 852**	**10 361**
Income tax expense	(3 511)	**(3 906)**	**(3 673)**	**(3 453)**	**(3 435)**
Profit after taxation	**7 623**	**8 387**	**8 401**	**7 399**	**6 926**
Earnings per share	1.40	1.54	1.55	1.36	1.28
Dividends per share	0.70	1.00	1.00	1.00	1.00
Dividend Payout Ratio	50%	65%	65%	73%	78%
Consolidated Statement of Financial Position					
Assets					
Loans and advances to customers (Gross)	121 504	128 991	150 293	175 676	175 858
Impairment losses on loans and advances	(3 142)	(3 568)	(4 455)	(7 166)	(7 461)
Net loans and advances	**118 362**	**125 423**	**145 838**	**168 510**	**168 397**
Cash and balances with Central Bank of Kenya	16 908	24 568	18 180	13 378	16 354
Government securities	47 559	57 118	47 508	56 044	68 084
Property and equipment	2 786	2 847	3 258	3 081	2 741
Other assets	21 124	15 885	26 093	18 705	15 996
Total assets	**206 739**	**225 841**	**240 877**	**259 718**	**271 572**
Liabilities					
Customer deposits	151 125	164 504	165 083	178 180	185 977
Other liabilities	23 242	22 982	36 078	39 150	41 497
Total Liabilities	**174 367**	**187 486**	**201 161**	**217 330**	**227 474**
Net Assets	**32 372**	**38 355**	**39 716**	**42 388**	**44 098**
Shareholder's Funds	**32 372**	**38 355**	**39 716**	**42 388**	**44 098**
Key Performance Ratios:					
Return on equity	23.5%	22.0%	21.2%	17.5%	15.7%
Cost income ratio	56%	52%	53%	53%	55%
Loan Loss rate	1.0%	1.1%	1.2%	2.3%	1.8%
Balance Sheet Ratios					
Net advances to deposits (%)	78%	75%	88%	95%	91%
Impairment allowances/Classified debt	92.2%	81.7%	83.9%	81.6%	79.7%
Classified debt /Gross advances	2.8%	3.4%	3.5%	4.8%	5.3%
Others					
Number of Employees	2,815	2,802	2,762	2,591	2,268
Number of lead generators (Direct sales representatives)	996	1,095	1,037	870	684
Number of Branches/outlets	119	119	119	121	115

About our Integrated Report

This integrated report is our primary report to our shareholders, and contains information relevant to other stakeholders

Reporting principles and assurance

This report is compiled and presented in accordance with the Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya, the Corporate Governance Guidelines of the Capital Markets Authority (CMA), the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange and the International Integrated Reporting Council (IIRC) International Integrated Reporting Framework (<IR> Framework). We have implemented the framework as far as practical and our approach to integrated reporting will continue to evolve over time, in line with the framework.

Our Annual Financial Statements (AFS), presented on pages 104 to 189, were prepared in accordance with International Financial Reporting Standards (IFRS) and the requirements of the Companies Act, 2015. We received external assurance from our auditor, KPMG Kenya on the fair presentation of these annual financial statements. See the Independent Auditor's Report on pages 100 to 103. We strive to obtain assurance on non-financial matters contained in this report in the future.

Scope and boundaries of this report

We are pleased to present our annual integrated report, which covers the period from 1 January to 31 December 2017. This report is aimed primarily at providers of financial capital, both our current and potential shareholders. In addition, we aim to inform all stakeholders interested in our ability to create value over time. This report contains comprehensive information of our financial performance, stakeholders, governance, material issues, risks and opportunities and how these influence our strategic initiatives. We show how we create and ensure that we sustain value.

Establishing materiality

We define material issues as those which have the potential to substantially impact our ability to create and sustain value for our stakeholders. The process we adopted to determine the issues that are material to our business and our stakeholders is aligned with our organisational decision-making processes and our strategies. By applying the principle of materiality, we determined which issues could influence the decisions, actions and performance of the Bank.

We have classified our material issues into a five themed balanced scorecard – Company, Customer, Colleagues, Citizenship and Conduct and refer you to pages 61 to 76 of this report, where we describe the operating environment in which we operate, the key resources and relationships on which we depend, the key risks and opportunities we face and how our key priorities can affect our ability to create and sustain value over time.

Responsibility for this Integrated Report

The Board of Directors is ultimately responsible for ensuring the integrity and completeness of this integrated report, assisted by the Audit and Risk Committee supported by management, which convened and contracted the relevant skills and experience to undertake the reporting process and provided management oversight. It is our Directors' opinion that this report presents a fair and balanced view of our integrated performance. The Board approved this 2017 integrated report on 28 February 2018.

Barclays Bank of Kenya is regulated by Central Bank of Kenya (CBK)

Structure of our report

01
Who we are
In the first section, we introduce our operations in Kenya and present our leadership and management team

02
Our business
In the second section, we highlight our business model, our value creation process and our operating environment

03
Our strategy
In the third section, we discuss the new strategic direction that has been adopted by the Board, highlighting the key guiding principles, our strategic challenges and responses and detailed exposition on the external perspective. We showcase our financial aspiration and overriding intent to achieve Growth, Transformation and Returns

04
Our performance
In the fourth section, we present the performance of the Group and also show how different business teams have led our business towards sustainable growth

05
Balanced Scorecard review
In the fifth section, we present a detailed review of our balanced scorecard performance with a focus on our material issues (5 Cs). These are the components that have the capacity to affect our shared value creation in the short, medium or long term, from the standpoint of the Bank and its main stakeholders

06
Governance
In the sixth section, we provide the Bank's approach to effective risk management and highlight our corporate governance that ensures the longevity of our business

07
Financial review
The final section is a detailed discussion and presentation of the audited annual financial statements

Icons used in this report

Company

Customer & Client

Colleague

Citizenship

Conduct

Page reference

Positive increase/ decrease

Negative increase/ decrease

Unchanged

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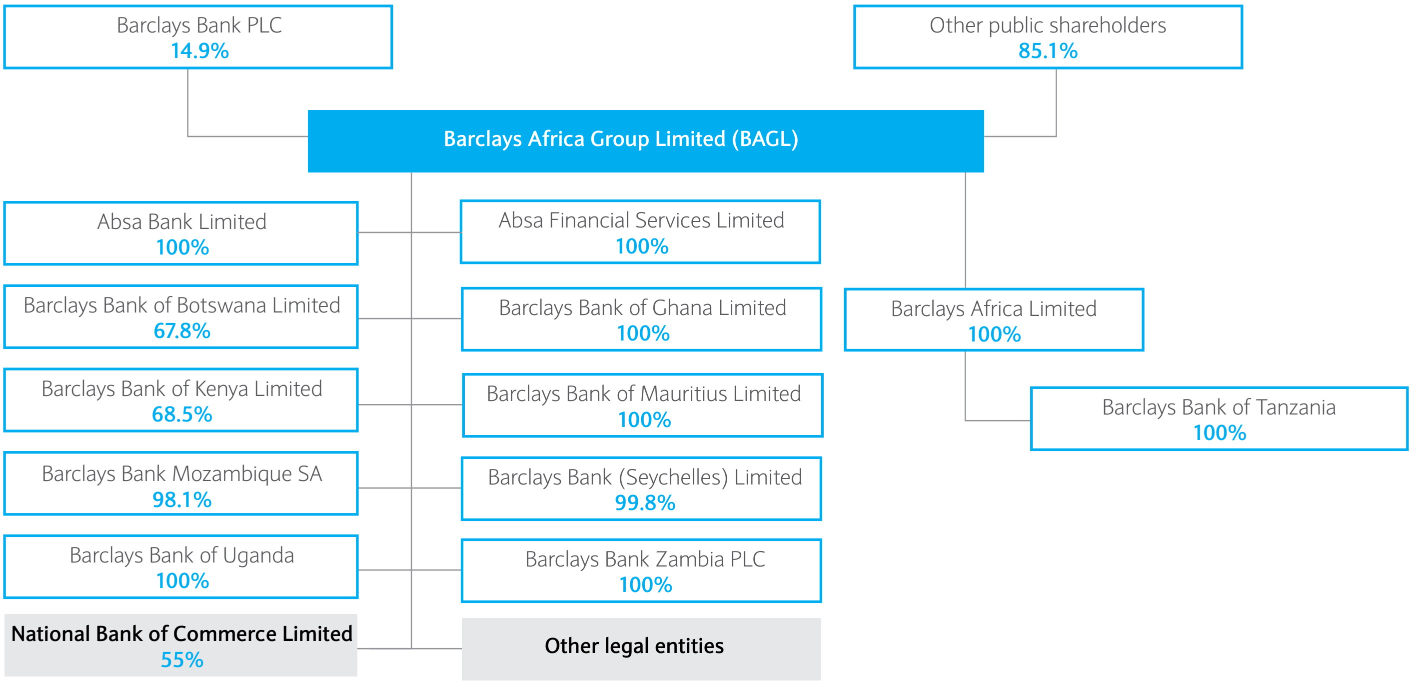
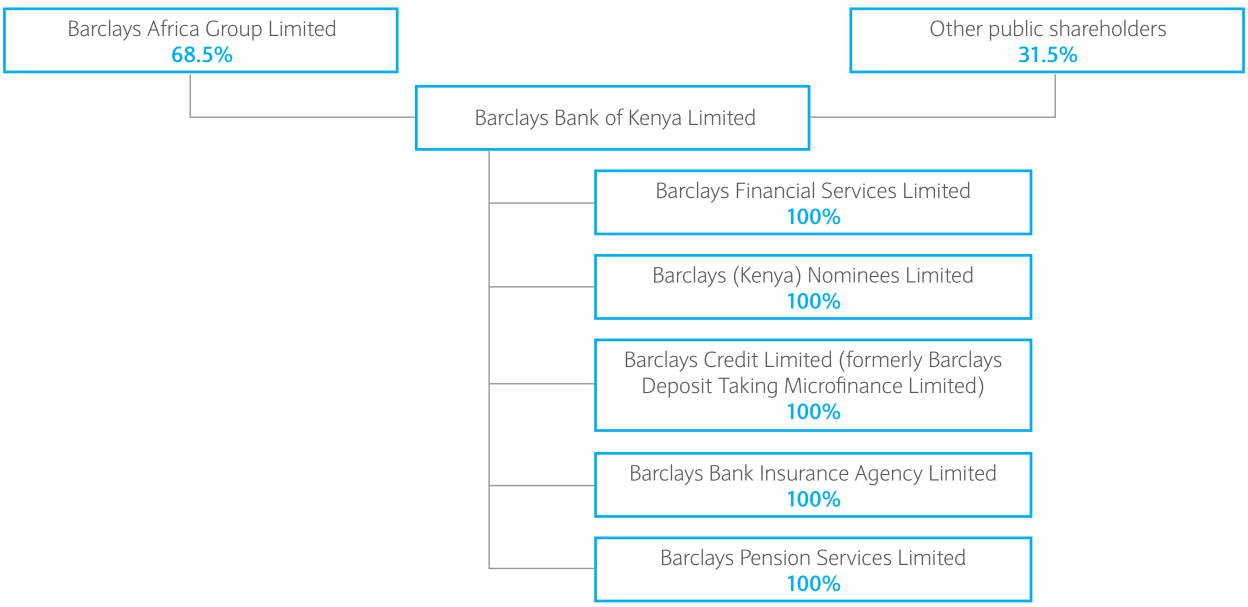
Our structure



Barclays Bank of Kenya structure



Our structure *(continued)*

Background on the Barclays Africa Group ownership and shareholding

In 2013, Barclays PLC created a leading African financial services franchise by consolidating its 12 African subsidiaries together. Through this transaction, Barclays Africa Group Limited (BAGL) acquired a controlling stake of 68.5% in Barclays Bank of Kenya Limited from Barclays PLC. The Bank has therefore been part of BAGL, for the last five years. BAGL is also the holding company for Barclays Bank in Botswana, Ghana, Mauritius, Mozambique, Seychelles, Tanzania, Uganda, Zambia, NBC in Tanzania and Absa in South Africa.

Barclays PLC separation

After the global financial markets crisis in 2008, regulators implemented new rules which introduced additional regulatory requirements on capital, making it less attractive for international banking corporations who own large banks abroad to deliver a return above desired shareholder return on equity. It is within this context that Barclays PLC made the decision to reduce its shareholding in some of its businesses abroad to reduce the impact of the new regulations introduced on globally significant financial institutions. Consequently, on March 1 2016, Barclays PLC announced its intention to reduce its shareholding in BAGL to a level which permits it to deconsolidate BAGL from an accounting and regulatory perspective. This was to be effected over two to three years. By the end of December 2017, London-based Barclays PLC had reduced its shareholding in our holding company from 62.3% to 14.9%, allowing us to begin an exciting journey of building a truly Pan-African financial institution.

Changing the Barclays brand

Although Barclays PLC remains a committed partner and shareholder in BAGL, due to a regulatory requirement from the separation we cannot legally continue using the name “Barclays” in future. In line with this, on March 1 2018, Barclays Africa Group CEO Maria Ramos announced that, after careful consideration, a decision had been made for our parent company to change its corporate name from Barclays Africa Group Limited to Absa Group Limited in June 2018. The Group will trade with Absa as its brand across all our markets, including Kenya, once regulatory approvals are obtained. We will also launch a new brand identity that is synonymous with our purpose and the new and forward-looking business we are creating.

It was important for us to choose a name that already has strong equity in Africa and internationally, which would unite all our operations across the continent. The decision on a name and brand for our business was therefore an integral part of the process of developing a new path and strategy for our business. In order to make the right, informed decision we interviewed and consulted over 130,000 stakeholders including colleagues, customers and regulators across the continent.

As we have done so far, the implementation of this decision will take practical considerations and dynamics in our market into account so that it is as seamless as possible. We will take our time and ensure that there is no disruption in our service to customers. If anything, we will challenge ourselves to serve our customers better and to help them unlock more possibilities. We have until mid-2020 to rebrand our business and therefore the process will not be rushed.

As we change from Barclays to Absa, we are committed to build on our proud heritage and the strengths that we already have in our country. Our commitment to serve Africa, the values we hold dear and the quality of the products and services we provide to our customers and clients, will stand us in good stead and underpin the position we want to occupy in Kenya and the continent.

The new strategy

The separation has provided us with a once-in-a-lifetime opportunity to redefine our purpose, set out a new business strategy and deliver a new brand that represents our values and aspirations. Our ambition is to grow; to become a holistic financial services group which we can all be proud of.

In 2017, we undertook a rigorous strategic review process, carefully assessing the opportunities that we can tap into in order to play a bigger role in facilitating the growth of our economy. We undertook a situational analysis, identifying the capabilities that we needed to enhance, in order to grow. The result of this is a bold strategy that we have adopted and continue to execute resolutely.

Our strategy defines our bold ambition to become a customer-obsessed, efficient and digitally-led financial institution. We want to cultivate a culture of customer-obsession, authenticity and ownership in order to build a great place to work and become a force for good within the communities where we operate.

Operational separation update

Day 1 for the separation was on 6 June 2017, when our legal Separation Agreements with Barclays PLC took effect.

There are three main agreements under this:

i) a Separation Agreement, which sets out the terms and related payments;

ii) a Transitional Services Agreement, which commits Barclays PLC to continue providing services, such as technology, to us until we replace them over a period of three years; and

iii) an agreement stipulating how we can use the Barclays brand until 2020 and the terms for removing the phrase *"Member of Barclays"* currently used by Absa in South Africa by June 2018.

Significant planning and preparations prior to this, laid the foundation for the execution of separation activities. In early 2017, the full portfolio of work required to deliver the successful decoupling was scoped. Various impact and risk assessments were also conducted to assess the financial risk and delivery risks associated with each underlying project. We have set up a dedicated operational separation team and each business unit has a dedicated change leader responsible for separation, enabling teams to identify and solve for dependencies and constraints that cut across business units.

Financial reporting changes

The separation will have an impact on the Bank's financial results for the next few years. Most notably will be increased costs over time as the separation investments are concluded. This includes substantial change spend, as we invest in the systems required to separate, the Transitional Services Agreement costs we pay Barclays PLC to provide various services during the separation, depreciation, amortisation and impairing any intangible. Capital replacement will be received from our Holding company BAGL to neutralise the capital and cash flow impact of the separation investments over time.

International Financial Reporting Standards (IFRS) require that the capital contribution is recognised directly in equity, while the subsequent investment expenditure (including the depreciation or amortisation of capitalised assets) will be recognised in profit or loss. The aforementioned will result in a disconnect between underlying business performance and the IFRS financial results during the separation period. Normalised financial results will therefore also be disclosed as the underlying business performance will be materially different from the IFRS financial results.

We have established a set of normalisation principles to exclude the material financial consequences of separating from Barclays PLC. We will use this normalised view in our internal reporting, performance management and dividend decision and provide our stakeholders reconciliation between the two views.

We will apply these principles consistently to our financials, for all future periods where the financial impact of separation is considered to be material, to ensure you get an accurate view of our underlying performance during the separation.

Looking ahead

In conclusion, Absa Group has been in existence for many years and is a very strong franchise that is also listed on the Johannesburg Stock Exchange (JSE) as BAGL, an entity formed in 2013 through combining Absa Group Limited with Barclays' African operations. BAGL has a balance sheet of close to USD 100bn. We are fortunate that our parent company has an outstanding legacy and strong platform to build upon. The Group has over 1,200 branches, 42,000 employees and over 10,000 ATMs in Africa.

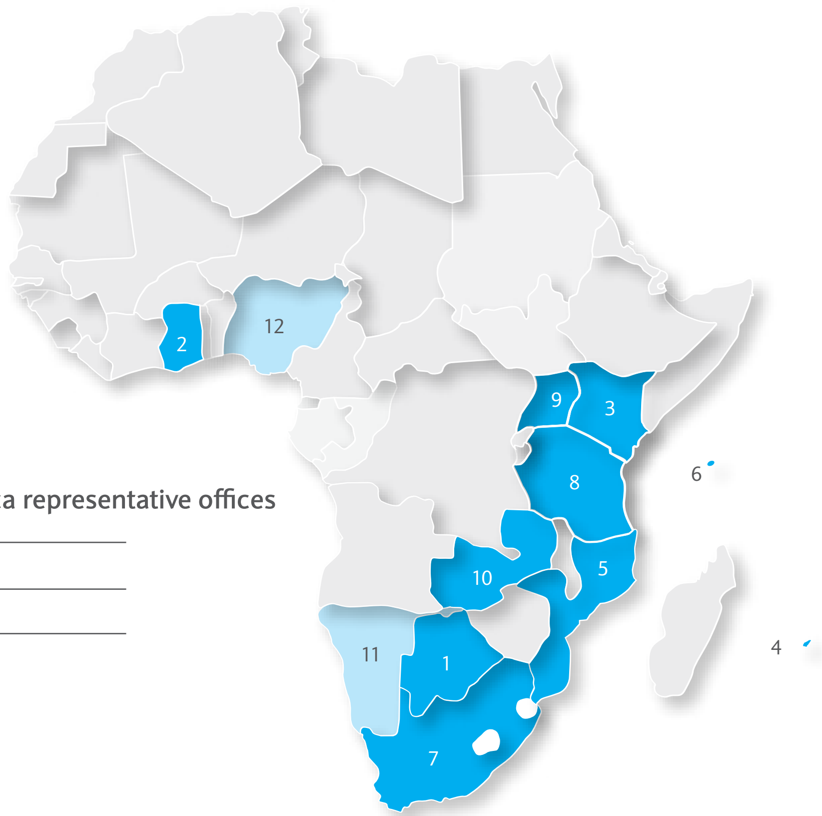
Kind regards

Charles Muchene
Chairman

Jeremy Awori
Managing Director

To our valued stakeholders

Barclays Africa has a large footprint in Africa



Barclays Africa

1. Botswana
2. Ghana
3. Kenya
4. Mauritius
5. Mozambique
6. Seychelles
7. South Africa
8. Tanzania BBT
8. Tanzania NBC
9. Uganda
10. Zambia

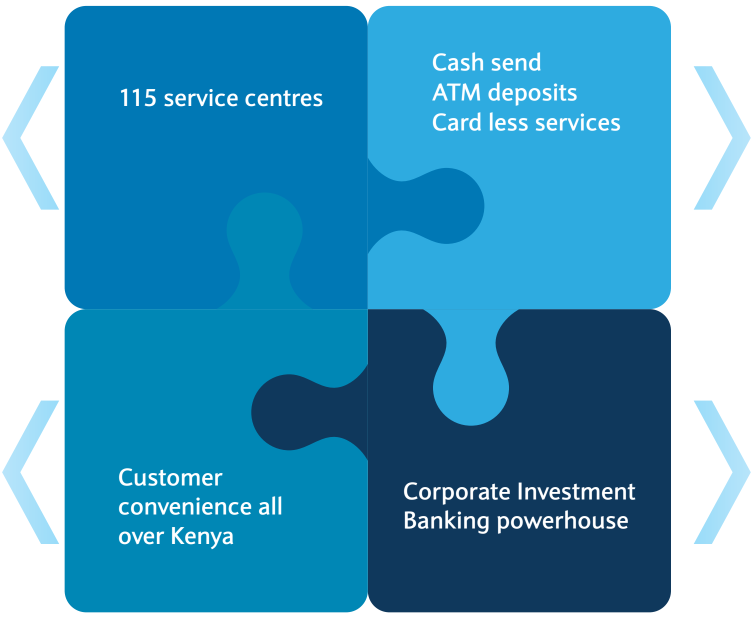
Barclays Africa representative offices

11. Namibia
12. Nigeria

Barclays Kenya channels

91 Branches
18 Prestige centres
6 Premier centres

213 ATMs
60 iATMs



374 agencies
3,785 merchants

11 Business Banking suites

Barclays Bank of Kenya at a glance

Our **strategy** is bold and precise...

One **purpose:** Bring your possibility to life

Four **strategic priorities:**

- Strongly grow, diversify and transform our business
- Build the most digital, customer obsessed bank
- Build the powerhouse Institutional Bank
- Transform into an aspirational, fun and vibrant place to work

Four **enablers:**

- Modernise our banking platforms
- Enhance service capabilities
- Introduce a globally-benchmarked new brand
- Introduce new culture

One **measure of success:** Growth with sustained high returns

We are committed to **shared growth** which, for us, means having a positive impact on society and delivering stakeholder value

Our **values** define the way we think, work and act:

Respect
We respect and value those we work with and the contribution they make.

Integrity
We act fairly, ethically and openly in all we do.

Service
We put our customers and clients at the centre of what we do.

Excellence
We use our energy, skills and resources to deliver the best sustainable results.

Stewardship
We are passionate about leaving things better than we found them.

As a financial institution we...	Our offerings
Offer a safe place to save, invest and manage funds • Accepting deposits, and raising debts • Facilitating payments and investments • Investment management products and advice • Managing shareholder funds	• Current accounts and overdrafts • Savings, deposits and investment products • Mobile and digital payments • Stockbroking and trading • Access to international financial markets • Cash management, payment systems and international trade services
Provide funds for purchases and growth Extending credit, taking into account customers' credit standing and our risk appetite	• Residential home loans, vehicle and asset finance, personal loans and credit cards • Commercial property finance and loans • Asset and lease finance, trade and supplier finance and working capital solutions • Access to international capital markets • Large corporate/inter-bank lending
Manage business and financial risks Solutions to manage risks such as interest rate and foreign exchange	• Foreign exchange rate hedging • Fixed-rate loans • Inflation and interest rate hedging
Provide financial and business support Individual and business advice, investment research and advisory on large corporate deals	• Wealth and private banking including investment advice • Relationship managers and support • Seminars and start-up support • International investment research. Advice on large corporate deals as well as mergers and acquisitions
Protect against risks Insurance brokerage service	• Bancassurance (life, education, retrenchment, credit and motor)

Chairman's reflections

Overview

Over the years, we have delivered results that are in line and consistent with our evolving strategy. We have created sustainable value along the path towards achieving our purpose of helping you prosper. Our achievements are underpinned by our legacy of more than 100 years of dedication to Kenya, highly committed and qualified colleagues, an adaptive strategy and most crucial, an ethical and transparent way of doing business.

In 2017, we saw great challenges in the Kenyan economic and political scenario, which generated short-term volatility and long-term uncertainty in the local business environment. A prolonged electioneering process resulted in diminished economic activity. This coupled with a lower credit growth adversely affected the country's economic performance as Gross Domestic Product (GDP) dropped to 5.0%. Inflation on the other hand stood at 8.02% compared to 6.57% in 2016. Having said that, yields on government securities remained relatively stable as did the Kenyan Shilling against major foreign currencies.

Our strategy is built on key fundamentals such as the management of risks, maintenance of a high level of capital, efficiency of operations and quality of service. Through our business model, we seek to diversify our revenue generation and optimise our operations, thus making our results less volatile and vulnerable to economic cycles.

In spite the challenges in the macro, political and regulatory environment the Bank posted satisfactory results. Profit before tax (PBT) declined by 5% year on year to Shs 10.4bn, primarily attributed to revenue drop occasioned by the impact of interest rates capping offset by improvement in loan impairment and decline in operating expenses.

The Board has recommended a final dividend of Shs 0.80 per share having paid an interim Dividend of Shs 0.20 per share in the year 2017. The total dividend for the year amounts to Shs 1.00 per share, which is in line with last-year's pay-out despite the decline in profits.

Key regulatory highlights for 2017

The year saw enactment of a number of legislations and other developments that affected the banking sector, equities market and investor sentiment.

We welcome regulation that makes banks safer, improves systemic stability, protects depositors, cater for customers, recognises and asks our shareholders to recognise that there may be an impact in capital and related returns.

These regulations are discussed in detail under 'Balanced scorecard review - Conduct' on pages 75 to 76.

Our strategy is built on key fundamentals such as opportunities of growth, management of risks, maintenance of a high level of capital, efficiency of operations and quality of services. Through our business model, we seek to diversify our revenue generation and optimise our operations, thus making our results less volatile and vulnerable to varied economic cycles.

Charles Muchene
Chairman, Board of Directors,
Barclays Bank of Kenya

- **Kenya macroeconomic status:** The Kenyan economy expanded by an average of 4.7% for the first three quarters of 2017 compared to an average of 5.7% in a similar period in 2016.
- **Interest rates:** The yield curve experienced downward pressure during the year.
- **Business environment:** Kenyan listed banks' 2017 results recorded an average decline in weighted earnings per share of 9 %, compared to an average growth of 27% in 2016.
- **Regional markets:** According to the International Monetary Fund (IMF) World Economic Outlook Update for October 2017, Sub-Saharan Africa (SSA) is expected to grow at a rate of 2.6% in 2017.
- **Global markets:** Global GDP growth in 2017 is expected to come in at 3.6%, higher than the 3.2% registered in 2016.

The operating environment is discussed in detail under 'Our operating context' on page 41.

Our purpose

Our purpose as one of the most established banks in Kenya is bring your possibility to life. This means not only providing outstanding services to our customers, but also responding to Kenya's socio economic issues. Our investment programs and extensive range of clear and simple products and services already support, helping to meet the needs and grow the prosperity of people, businesses and communities across the country while building the deep, long-term customer relationships that are vital to our future. However, we want to do more. We continue to set out our targets to support infrastructure development, economic growth, agriculture and trade. In addition to this, we also tackle social disadvantage through our Citizenship programs.

We are not just a Kenyan bank – we take pride in being a bank for Kenya, at the heart of the Kenyan economy. I am therefore proud of the way our colleagues support communities across the country. I am particularly pleased that so many have once again taken time to volunteer and raise funds for social causes and community groups.

Over the course of this year, our colleagues took part in volunteering activities, contributing money, time, skills and experience to help make a sustainable difference to local charities, programs, schools, colleges and businesses.

Corporate governance

The Board continues to implement the CMA Code of Corporate Governance Practices with the aim of being fully compliant with the Code. We review our Board composition and diversity regularly and are committed to ensure that we have the right balance of skills and experience within the Board. We have also implemented the recently introduced Companies Act regulations regarding Directors' remuneration. The disclosures in this regard have been made in the Directors' remuneration report on pages 86 to 92.

A bold new strategy

We recognise that future success will, on a large part, depend on an agile and adaptive business model, which re-calibrates itself in a rapidly evolving operating environment. In light of this, we have undergone a strategic review specifically precipitated by three factors:

- Firstly, over the past two years, the banking industry has undergone several unprecedented changes that are both structural (permanent) and cyclical. Among these changes has been the introduction of the Banking Amendment Act of 2016 which introduced interest rate capping, rapid adoption of new technology in banking and revision of accounting rules on risk management under IFRS 9.
- Secondly, in 2016, Barclays PLC made a decision to reduce its controlling interest in Barclays Africa Group Limited ("BAGL"), our parent company, leading to a new set of shareholders for BAGL. As a result of this decision, we have taken the opportunity to review our strategy accordingly.
- Lastly, the needs and expectations of our clients and customers have continued to evolve. For instance, contemporary customers, in part because of their busy lifestyles, have placed a premium on convenience of banking, which is a significant shift from a few decades ago where customers needed banking for safety. This has led us to make trade-off decisions, for instance, choosing between keeping an expansive physical branch network and innovation in digital financial products and services.

Going forward, the Board's ambition is to ensure that Barclays remains among the top financial institutions in Kenya that will continue to be instrumental in underwriting Kenya's economic prosperity for many years to come.

We have developed our strategy targeting one purpose: Bring your possibility to life. This means helping individuals, our employees, small businesses, corporates, economies and society at large to grow. This purpose will be delivered through clear strategic priorities and enablers as discussed in detail in the strategy report.

A new brand

At the end of May 2017, Barclays PLC's shareholding in BAGL reduced to 23.4% and this was followed by a further reduction in controlling interest to 14.9% by November 2017. As a result, BAGL became a stand-alone pan-African financial services group. The conditions for reduction in shareholding at BAGL, our parent company, included a regulatory requirement to change the brand for the parent company as well as its subsidiaries. On March 1 2018, BAGL announced the decision to re-brand from Barclays to Absa, both at the group level as well as the subsidiaries level including Barclays Kenya. By June 2020, subject to regulatory approval, our bank will be known as Absa Kenya PLC. This rebrand of our business will come with a new identity fit for a modern, new and forward looking business that we are creating. Our Board has been and continues to be updated regularly of the progress and we are firmly optimistic about the future.

Chairman's reflections *(continued)*

Outlook

2018 presents an optimistic scenario as we embark on executing our refined strategy. We believe that our three strategic pillars of Growth, Tranformation and Returns will begin to yield results, with increased customer numbers, increased profitability and returns, and continuing attraction and retention of talent; being our key focus areas for 2018.

I would like to thank all my colleagues on the Board for their continued hard work and commitment. We have made significant progress over the years. There is always more to do and we will have further challenges to face as we transform the bank to reflect the changing environment. However, we are well on our way to building a financial institution in which shareholders, colleagues and customers can take shared pride.

Charles Muchene
Chairman, Board of Directors,
Barclays Bank of Kenya

Mtazamo wa Mwenyekiti

Mkakati wetu umetokana na misingi muhimu kama fursa za ukuaji, usimamizi wa hatari, kuwa na kiwango kikubwa cha mtaji, utendaji bora na huduma bora. Kupitia mfumo wetu wa biashara, tunapanga kuwa na uzalishaji tofauti wa mapato yetu na kufikia upeo wa shughuli zetu, na hivyo tutafanya matokeo yasiathiriwe sana na hali za hatari na mizunguko ya kiuchumi.

Charles Muchene
Mwenyekiti, Bodi ya Wakurugenzi,
Benki ya Barclays Kenya

Maelezo ya jumla

Kwa miaka mingi, tumekuwa na matokeo thabiti ambayo yanaambatana na mkakati wetu unaobadilika. Tumebuni thamani inayomudu safari ya kuafikia lengo letu la kufaulisha matarajio yako ya maisha. Ufanisi wetu unatokana na urithi wetu wa zaidi ya miaka 100 wa kujitolea hapa Kenya, wafanyikazi wanaostahili na waliojitolea vilivyo, mkakati unaoweza kutekelezeka na zaidi ni ufanyaji wa biashara ulio wazi na wenye maadili.

Katika mwaka wa 2017, tuliona changamoto kubwa katika uchumi wa Kenya na hali ya kisiasa ambayo ilisababisha hatari ya muda mfupi na hali ya muda mrefu ya kutokuwa na uhakika katika mazingira ya biashara humu nchini. Kipindi kirefu cha uchaguzi kilisababisha kudorora kwa shughuli za kiuchumi. Hiyo pamoja na ukuaji wa kiwango kidogo cha mikopo kuliathiri zaidi uchumi wa nchi huku mapato ya jumla ya taifa (GDP) yakipungua chini ya 5.0%. Wakati huohuo mfumuko wa bei ulikuwa 8.02% ukilinganishwa na 6.57% katika mwaka wa 2016. Kufuatia hayo, mazao ya dhamana za serikali yalisalia imara kiasi sawa na shilingi ya Kenya dhidi ya sarafu kuu za kigeni.

Mkakati wetu umetokana na misingi muhimu kama fursa za ukuaji, usimamizi wa hatari, kuwa na kiwango kikubwa cha mtaji, utendaji bora na huduma bora. Kupitia mfumo wetu wa biashara, tunapanga kuwa na uzalishaji tofauti wa mapato yetu na kufikia upeo wa shughuli zetu, na hivyo tutafanya matokeo yasiathiriwe sana na hali za hatari na mizunguko(mabadiliko) ya kiuchumi.

Licha ya changamoto katika uchumi mkubwa, siasa na mazingira yaliyodhibitiwa, benki ilipata matokeo ya kuridhisha. Faida kabla ya kutozwa ushuru ilipungua kwa 5% kutoka mwaka mmoja hadi mwingine hadi shilingi bilioni 10.4, kufuatia kupungua kwa mapato kulikotokana na athari za udhibiti wa kiwango cha riba. Kupungua huko kulitokana na kupungua kwa mikopo na gharama za shughuli.

Bodi imependekeza mgawo wa mwisho wa faida wa senti 80 kwa kila hisa baada ya kulipwa mgawo wa muda wa senti 20 kwa kila hisa katika mwaka 2017. Mgawo wa jumla wa mwaka ni shilingi 1.00 kwa kila hisa.

Matukio makuu ya udhibiti ya 2017

Katika mwaka huo kulikuwa na utekelezaji wa sheria kadhaa na mambo mengine yaliyoathiri sekta ya benki, soko la mapato na hisia za uwekezaji.

Tunaunga mkono udhibiti unaofanya benki kuwa salama, unaoboresha uthabiti wa mifumo, unaolinda wawekaji amana na unaojali wateja lakini unaotambua na kuwataka wenyehisa wetu kutambua kuwa huenda kutakuwa na athari katika mtaji na matokeo yanayohusiana nao.

Taratibu hizi zimejadiliwa kwa kina katika 'mazingira ya utendaji wetu' katika kurasa 75 hadi 76.

Mtazamo wa Mwenyekiti *(kuendelea)*

- **Uchumi wa Kenya:** Uchumi wa Kenya uliongezeka kwa wastani wa 4.7% kwa robo tatu za kwanza za mwaka wa 2017 ikilinganishwa na wastani wa 5.7% katika kipindi kama hicho mwaka wa 2016.
- **Viwango vya riba:** Kulikuwa na shinikizo lililopunguza mazao katika mwaka huo.
- **Mazingira ya biashara:** Benki za Kenya zilizo orodheshwa 2017 katika soko la hisa la Nairobi kwa jumla zimekuwa na upungufu wa mapato ya kimsingi kwa kila hisa ya 9%, ikilinganishwa na ukuaji wa wastani wa 27% katika mwaka wa 2016.
- **Masoko ya kanda (Afrika Mashariki):** Kulingana na mtazamo wa shirika la fedha la kimataifa (IMF) kuhusu uchumi wa dunia mwaka wa 2017, eneo la kusini mwa jangwa la Afrika(SSA) linatarajiwa kukua kwa 2.6% katika mwaka wa 2017.
- **Masoko ya dunia:** Ukuaji wa GDP ya dunia katika mwaka wa 2017 unatarajiwa kuwa 3.6%, ni asilimia kubwa ikilinganishwa na ukuaji wa 3.2% wa mwaka wa 2016.

Mazingira ya utendaji yamejadiliwa kwa kina katika mazingira ya utendaji wetu katika ukurasa wa 41

Lengo letu

Lengo letu kama moja ya benki zilizostawi nchini Kenya ni kufaulisha matarajio yako ya maisha. Hii inamaanisha sio tu kutoa huduma bora zaidi kwa wateja wetu bali pia kushughulikia mahitaji ya Kenya ya kijamii na kiuchumi. Mipango yetu ya uwekezaji na bidhaa na huduma nyingi rahisi na zilizo wazi tayari zinarahisisha lengo letu, na kusaidia kuafikia mahitaji na kukua kwa mafanikio ya watu, biashara na jamii kote nchini huku tukijenga uhusiano mkubwa wa muda mrefu na wateja ambao ni muhimu sana kwa siku zetu za usoni. Hata hivyo tunataka kufanya zaidi. Tunaendelea kupanga malengo yetu ya kusaidia ustawi wa muundomsingi, ukuaji wa kiuchumi, kilimo na biashara. Pamoja na hayo, pia tutasaidia wasiokuwa na uwezo katika jamii kupitia mipango yetu kwa raia.

Sisi sio tu ni moja ya benki nchini Kenya - tunajivunia kuwa benki katika Kenya, ambayo iko katika kitovu cha uchumi wa Kenya. Na hivyo ninajivunia jinsi washiriki wetu wanasaidia jamii kote nchini. Ninaridhika hasa kwa wengi kuchukua muda wao na kujitolea na kuchangisha fedha kwa ajili ya shughuli za kijamii na makundi ya kijamii.

Katika kipindi cha mwaka huu, washiriki wetu walishiriki katika shughuli za kujitolea, walichangia pesa, muda, maarifa na uzoefu wa kusaidia, kufanya mabadiliko ya kudumu katika shughuli za uhisani humu nchini, mipango ya miradi, shule, vyuo na biashara.

Utawala/usimamizi wa shirika

Bodi inaendelea kutekeleza kanuni na taratibu za CMA kuhusu usimamizi wa shirika kwa lengo la kutimiza kikamilifu taratibu hizo. Tunaangalia upya mara kwa mara Bodi yetu ilivyosukwa na tumejitolea kuhakikisha tuna watu wanaostahili kimaarifa na uzoefu ndani ya Bodi. Pia tumekamilisha kutekeleza sheria ya hivi majuzi ya kampuni ya kanuni kuhusu malipo ya wakurugenzi. Maelezo kuhusu hayo yako katika ripoti ya malipo ya wakurugenzi katika kurasa za 86 hadi 92.

Mkakati mpya thabiti

Tunatambua kuwa na ufanisi wa siku za usoni utategemea zaidi mtindo mwepesi wa biashara na wenye kubadilika ambao utaweza kujikadiria katika mazingira ya utendaji yanayokua haraka. Kutokana na hayo, tumeangalia upya mkakati wetu hasa kuhusiana na mambo matatu.

Kwanza, katika miaka miwili iliyopita, sekta ya benki imekuwa na mabadiliko kadhaa makubwa ambayo yanajumuisha ya kudumu na ya kubadilika(mizunguko). Miongoni mwa hayo ni kuanzishwa kwa sheria ya mabadiliko kuhusu shughuli za benki ya mwaka wa 2016 ambayo ilianzisha udhibiti wa viwango vya riba, utumizi wa teknolojia mpya katika shughuli za benki na kuangaliwa upya kwa kanuni za uhasibu kuhusu usimamizi wa hatari chini ya IFRS 9.

Pili, katika mwaka wa 2016 Barclays PLC iliamua kupunguza udhibiti wake katika kampuni ya Barclays Africa Group (“BAGL”), kampuni yetu mama, na kusababisha kuibuka kwa kundi jipya la wenyehisa wa BAGL. Kufuatia uamuzi huo, tumetumia fursa iliyojitokeza kuangalia upya mkakati wetu.

Mwisho, mahitaji na matarajio ya wateja wetu yameendelea kukua. Kwa mfano, leo, wateja kutokana na mtindo wao wa maisha wenye shughuli nyingi wamethamini sana shughuli za benki kutegemea na nafasi zao, tofauti kubwa na miongo michache iliyopita ambapo wateja walihitaji benki kwa sababu za usalama. Hii imesababisha kufanya maamuzi magumu ya kibiashara kama kuchagua kati ya kuwa na mtandao mkubwa wa matawi ya majengo na ubunifu katika bidhaa na huduma za fedha za kidijitali.

Kwenda mbele, lengo la Bodi ni kuhakikisha kwamba Barclays inasalia kuwa miongoni mwa taasisi za kifedha zinazoongoza nchini Kenya na ambayo itakuwa muhimu sana katika ukuaji wa uchumi wa Kenya katika miaka mingi ijayo.

Tumeandaa mkakati wetu kwa lengo moja tu: kufaulisha matarajio yako ya maisha. Hii inamaanisha kusaidia watu binafsi, wafanyikazi wetu, biashara ndogo ndogo, mashirika, chumi na jamii kwa ujumla ili kukua. Lengo litatimizwa kupitia vipaumbele vya mkakati vilivyo wazi na yanayowezesha kama yalivyoangaziwa kwa kina katika ripoti ya mkakati.

Rajamu mpya

Kufikia mwisho wa Mei, 2017, umiliki wa hisa wa Barclays PLC katika BAGL ulipungua hadi 23.4% na ilifuatiwa na kupunguzwa zaidi kwa udhibiti wa riba hadi 14.9% kufikia Novemba 2017. Kutokana na hilo, BAGL ikawa shirika pekee la huduma za kifedha Afrika yote. Masharti ya kupunguza umiliki wa hisa katika BAGL, kampuni yetu mama, yalijumuisha sharti la kubadilisha rajamu kutoka ile ya kampuni mama pamoja na kampuni zake tanzu. Machi Mosi, 2018 BAGL, ilitangaza uamuzi wa kubadilisha rajamu kutoka Barclays na kuwa Absa, katika kiwango cha shirika na kampuni tanzu za Afrika ikiwemo Barclays Kenya. Kufikia Juni 2020, kutegemea na idhini ya udhibiti, benki yetu itajulikana kama Absa. Kubadilika kwa jina la biashara yetu kutakuja na utambulisho ambao utaafiki usasa, upya na mustakabali wa biashara tunayoijenga. Itakuwa na kitu kipya. Bodi yetu imekuwa ikifahamishwa mara kwa mara kuhusu hatua iliyopigwa kwa muda sasa na tuna imani thabiti kuhusiana na ya siku za usoni.

Matarajio

Mwaka wa 2018 unaibua hali yenye matarajio ya matokeo mema huku tukiendelea kutekeleza mkakati wetu tuliopiga msasa. Tunaamini kuwa nguzo zetu tatu za kimkakati zitaanza kuzaa matunda, huku ongezeko la idadi ya wateja, ongezeko la faida na mapato, na kuendelea kuvutia na kushikilia vipaji; kukiwa maeneo tunayoyapa kipaumbele katika mwaka wa 2018.

Nataka kuwashukuru washiriki wangu wote kwa kuendelea kutia bidii na kujitolea. Tumepiga hatua kubwa. Kuna mengi ya kufanya na tutakuwa na changamoto zaidi zitakazotukabili huku tukiibadilisha benki iakisi mazingira yanayobadilika. Hata hivyo tunaendelea kujenga taasisi ya kifedha ambayo wenyehisa, washiriki, wafanyikazi na wateja watajivunia.

Charles Muchene
Mwenyekiti, Bodi ya Wakurugenzi,
Benki ya Barclays Kenya

Managing Director's reflections

Our operating environment has changed and is expected to continue changing over the coming years, but our overriding goal of bringing your possibility to life will remain unchanged. As we head towards 2018 and beyond, we will continue to transform ourselves and take on new opportunities with the aim of delivering consistent growth for the company.

Jeremy Awori
Managing Director
Barclays Bank of Kenya

Our performance

2017 was an eventful year for the Kenyan financial services industry, including the banking sector with most, if not all banks, reviewing their operating models. Our core priorities during the year were geared around optimising our capital position and ensuring continuous transformation and automation of operations. Strategic decisions were made to maintain accessibility while reducing operating costs with a view of improving our profitability.

We remained the bank of many firsts with the launch and listing of the Barclays NewGold ETF on the Nairobi Securities Exchange (NSE). The NewGold ETF, which is also listed on the Johannesburg Stock Exchange (JSE), offers an investment instrument which is based on the real time value of the Gold Bullion. With its introduction, we continued to excel in financial innovation that has contributed to increasing the depth and range to the NSE, allowing investors to spread their risk, diversify their portfolio and have ease of purchase and exit.

In January, we launched a partnership with China UnionPay, which allows UnionPay cardholders to transact at more than 213 Barclays ATMs and point-of-sale devices through our 3,785 merchants. This initiative significantly takes into account that Kenya receives about 30,000 Chinese tourists annually and the large infrastructure projects being undertaken by Chinese firms in Kenya.

We sustained efforts around growing our non-funded income component to offer sufficient cushioning against regulatory actions and increased competition. In line with our Small and Medium Enterprises (SME) agenda, we continued to offer propositions that enable them to prosper in their areas of business. Under the new Barclays Enterprise and Supply Chain Development (ESD) program, SMEs benefit from an innovative financing model that empowers them to do business with larger corporates. With a Shs 150mn fund set aside, SMEs are being financed to supply products and services to big corporates on the basis of a valid contract, thus enabling them to grow and make a bigger contribution to the economy. We have ventured into the agricultural sector which is a huge income earner for the Kenyan economy. We also launched the Twin Plus account which gives customers interest on their daily account balance, monthly rewards and free insurance cover.

Technological advancement is a constant in the financial services industry, particularly in the retail business segment. In 2017, we invested Shs 1.2bn in technology and systems that will continue to drive operational efficiency and bolster ease of access while guaranteeing security of systems and information. The investment in technology has allowed us to innovate and make step changes in the way we serve our customers, the quality of our solutions and the speed of delivery.

Technology presents an opportunity for us to do things in a cost effective way by channeling resources towards areas of the business that need it. In October, we commenced the process of merging seven branches, five in Nairobi and two in Mombasa as part of a business optimisation exercise that was geared at operational efficiency in line with the changing customer needs and market environment.

Our culture

The Board and senior management have a vital role to play in shaping and embedding a healthy corporate culture, and this continued to be a major focus in 2017. In the year, we embarked on a service culture transformation that is shaped by our values and is aligned to our strategy of transforming into an efficient, digital and customer-obsessed Bank, in order to deliver sustainable growth and maximise returns. We have made significant strides in removing past practices and organisational barriers that we believed were inconsistent with our values. We have also taken important steps in defining the culture and behaviours we believe are needed to support our values, embedding them in the way we operate. While we still have more to do, I know that this approach is aligned with the commitment of our dedicated colleagues across the organisation who come to work every day wanting to deliver great customer service. Getting this culture right will be critical to our success in an increasingly competitive environment.

More than a bank

As part of our efforts to maintain the customer at the core of our business, we undertook a service culture transformation program whose intent is to build, within our teams, a strong sense of service and dedication to the customers at all times. We also launched the colleague development program through which we will prepare our employees for the new era by equipping them with skills to help develop their careers as well as entrepreneurship training.

To remain relevant to the society and ensure consistent growth, we must listen to our diverse group of stakeholders and increasingly contribute to resolving issues that society faces. It is also essential that we recognise the importance of Environmental, Social and Governance (ESG) aspects to ensure sustainable growth of the banking sector. In our efforts to raise the satisfaction levels of our stakeholders, we have always emphasised the importance of sustainability and Shared Growth in the way we do business.

We continue to champion our ambition of Shared Growth which aims at fostering innovation and facilitating inclusive shared growth for all – today and for future generations. We have executed this ambition in 2017 through partnerships across various social and environmental agendas. In September, we launched the 3 year Barclays Scholarship program in partnership with the Higher Education Loans Board (HELB) to provide bright but disadvantaged students with tuition fees and upkeep money. In 2017, we strengthened our involvement in programs such as the Barclays Kenya Open, SheTradesKE in partnership with the International Trade Center (ITC) and the launch of the 2017 Board Diversity Report in partnership with the Kenya Institute of Management.

Go-forward strategy

We have embarked on a new and exciting strategic direction as agreed and adopted by the Board. This strategic direction informs the next phase of our evolution, as part of a stand alone pan-African financial services company under a new brand Absa. Our strategy is centered on one purpose, four priorities, four enabling capabilities and one measure of success.

One purpose

Bring your possibility to life

Four strategic priorities

Strongly grow, diversify and transform our business	Build the most digital, customer obsessed bank	Build the powerhouse Institutional Bank	Transform into an aspirational, fun and vibrant place to work

Four enablers

Modernise our banking platforms	Enhance service capabilities	Introduce new brand	Introduce new culture

One measure of success

Growth with sustained high returns

Conclusion and appreciation

In conclusion, Barclays Bank of Kenya is well positioned for the future with ambitions to grow, remain successful and well regarded by all our shareholders.

I would like to pay tribute to our Board, colleagues, shareholders and customers and thank them for their ongoing commitment. This is part of our transformation journey and it is thanks to our teams, that we will be successful, admired and well regarded by all our stakeholders.

Jeremy Awori
Managing Director
Barclays Bank of Kenya

Mtazamo wa Mkurugenzi Mkuu

Mazingira yetu ya kufanya biashara yamebadilika na yanatarajiwa kubadilika katika miaka ijayo, lakini lengo letu kuu la kufaulisha matarajio yako ya maisha litasalia lile lile, halitabadilika. Huku tukiingia mwaka wa 2018 na mingine zaidi, tutaendelea kujibadilisha na kuchukua fursa mpya kwa lengo la kuwa na ukuaji wa kampuni ulio thabiti na usiobadilika.

Jeremy Awori
Mkurugenzi Mkuu
Benki ya Barclays Kenya

Matokeo yetu

Mwaka wa 2017 ulikuwa mwaka wa matukio mengi katika sekta ya huduma za fedha nchini Kenya ikiwemo sekta ya benki huku benki nyingi, ikiwa sio zote, zikiangalia upya mifumo yao ya utendaji. Malengo yetu muhimu katika mwaka huu yalihusu kufanya mtaji wetu uwe bora zaidi na kuhakikisha mabadiliko ya kuendelea na shughuli ziwe za utumiaji wa mitambo ya kujiendesha yenyewe. Maamuzi ya kimkakati yalifanywa ili kudumisha upatikanaji wa huduma huku gharama za utendaji zikipunguzwa kwa lengo la kuboresha faida yetu.

Tulisalia kuwa benki inayokuwa ya kwanza katika kuanzisha mengi kwa kuzindua na kuorodhesha Barclays Newgold ETF katika soko la hisa la Nairobi, NSE. NewGold ETF ambayo pia imeorodheshwa katika soko la hisa la Johannesburg (JSE) ni chombo cha uwekezaji ambacho kinahusu thamani halisi ya sasa ya mkuo wa dhahabu. Kufuatia uzinduzi wake tuliendelea kuwa na ufanisi katika ubunifu wa kifedha ambao umechangia kuongeza kina na anuwai katika biashara ya NSE, na hivyo kutoa fursa kwa wawekezaji kusambaza hatari za uwekezaji wao, kupanua uwekaji wa pesa kwa ajili ya faida na kuwa na urahisi wa kununua na kujiondoa.

Katika mwezi wa Januari, tulizindua ubia na China UnionPay, ambao unaruhusu wenye kadi za UnionPay kutumia zaidi ya mitambo 213 ya ATM ya Barclays na kulipia huduma kupitia vituo vyetu 3,785 vya biashara. Mpango huu ulitokana zaidi na Kenya kupokea takriban watalii 30,000 Wachina kila mwaka na miradi mikubwa ya muundomsingi inayofanywa na kampuni za China nchini Kenya.

Tulidumisha juhudi za kukuza mapato yetu yasiyofadhiliwa ili kupunguza athari zinazotokana na hatua za udhibiti na ongezeko la ushindani. Sambamba na ajenda yetu ya SME (biashara ndogo ndogo na wastani), tuliendelea kutoa mapendekezo ya kuziwezesha kufanya vizuri katika maeneo ziliko. Huku kukiwa na hazian ya shilingi milioni 150 iliyotengwa, biashara za SME zinafadhiliwa ili kuwasilisha bidhaa na huduma kwa mashirika makubwa kwa msingi wa kuwa na mkataba halali wa kandarasi, na hivyo wanawezeshwa kukua na kutoa mchango mkubwa katika uchumi. Tumeingia katika sekta ya kilimo ambayo ina mapato makubwa katika uchumi wa Kenya. Pia tulizindua akaunti ya Twin Plus ambayo inawapa wateja hamu ya kujua kila siku salio la kaunti zao, zawadi za kila mwezi na bima ya bure.

Kuendelea kwa teknolojia ni uthabiti katika huduma za kifedha hasa katika sehemu ya biashara ya reja reja. Katika mwaka wa 2017, tuliwekeza shilingi bilioni 1.2 katika teknolojia na mifumo ambayo itaendelea kusukuma utendaji bora na kuimarisha urahisi wa upatikanaji huku kukiwa na hakikisho la usalama wa mifumo na habari. Uwekezaji katika teknolojia umetufanya tubuni na kupiga hatua katika namna tunavyowatumikia wateja wetu, ubora wa ufumbuzi (utatuzi) wetu na utoaji wa haraka wa huduma.

Teknolojia inatoa fursa kwetu kufanya mambo bila ya gharama kwa kuelekeza rasilmali zetu katika biashara zinazohitaji. Katika mwezi wa Oktoba, tulianza mchakato wa kuunganisha matawi saba, matano Nairobi na mawili Mombasa kama sehemu ya shughuli ya kufikia upeo wa biashara ambao unatokana na utendaji bora sambamba na mahitaji ya mteja yanayobadilika na mazingira ya soko.

Utamaduni wetu

Bodi na usimamizi mkuu una jukumu muhimu la kufanya katika kuelekeza na kuweka utamaduni mzuri wa shirika, na hili limekuwa likiangaziwa zaidi mwaka wa 2017. Katika mwaka huo, tulianza na mabadiliko ya utamaduni wa utoaji huduma ambao unaelekezwa na maadili yetu na yanaambatana na mkakati wetu wa kujibadilisha na kuwa shirika la dijitali, lenye uhodari na linalojali zaidi mteja ili kuwa na ukuaji wa kusarifika na kuwa na kiwango cha juu cha faida. Tumepiga hatua kubwa katika kuondoa matendo ya kitambo na vikwazo vya kiuendeshaji ambavyo tuliamini vilikuwa kinyume na maadili yetu.

Pia tumechukua hatua muhimu katika kufafanua utamaduni na mienendo ambayo tunaamini itasaidia maadili yetu na kudumisha ile tunayotumia katika utendaji wetu. Huku tukiwa tuna mengi ya kufanya ninajua kuwa utaratibu huu uko sambamba na kujitolea kwa washiriki wetu katika shirika hili ambao huja kila siku kazini wakitaka kutoa huduma bora zaidi kwa wateja. Kuutekeleza vyema utamaduni huu ni muhimu kwa ufanisi wetu katika mazingira yanayoendelea kuwa na ushindani.

Ni zaidi ya benki

Kama sehemu ya juhudi zetu za kudumisha wateja ni kiini cha biashara yetu, tulianza mpango wa kubadilisha utamaduni wa utoaji huduma ambao lengo ni kujenga ndani ya timu zetu hisia thabiti za utoaji huduma na kujitolea kuhudumia wateja wakati wote. Pia tulizindua mpango wa maendeleo ya mshiriki(mfanyikazi) ambao utawaandaa wafanyikazi wetu kwa mwanzo mpya kwa kuwapa maarifa ya kuwasaidia kukuza taaluma zao pamoja na mafunzo ya ujasiriamali.

Ili tuendelee kuwa na umuhimu katika jamii na kuhakikisha tunadumisha ukuaji, lazima tusikize makundi yetu tofauti ya wadau na kuendelea kuchangia kutatua masuala ambayo yanakumba jamii. Pia ni muhimu tutambue umuhimu wa masuala ya mazingira, jamii na utawala (ESG) kuhakikisha ukuaji wa kusarifika katika sekta ya benki. Katika juhudi zetu za kuongeza viwango vya kuridhisha wadau wetu, tumekuwa tukisisitiza umuhimu wa ukuaji wa kusarifika na wa pamoja katika namna tunavyofanya biashara.

Tutaendelea kupigania lengo letu la ukuaji wa pamoja ambao unalenga kuwa na ubunifu na kufaulisha ukuaji wa pamoja kwa wote - kwa kizazi cha sasa na vizazi vijavyo. Tumetekeleza lengo hili katika mwaka wa 2017 kupitia ubia katika ajenda tofauti za kijamii na mazingira. Katika mwezi wa Septemba, tulizindua mpango wa Barclays wa miaka mitatu wa ufadhili wa masomo kwa kushirikiana na bodi ya mikopo ya elimu ya juu (HELB) ili kusaidia wanafunzi werevu wa jamii zisizojiweza katika karo na pesa za matumizi. Katika mwaka wa 2017, tuliimarisha kujihusisha kwetu katika mipango kama ya Barclays Kenya Open, SheTradeKE kwa ushirikiano na kituo cha kimataifa cha biashara (ITC) na uzinduzi wa ripoti ya 2017 ya Bodi mbalimbali kwa ushirikiano na Taasisi ya mafunzo ya usimamizi, KIM.

Mkakati wa kusonga mbele

Benki imeanza kuchukua mwelekeo wa mkakati mpya unaosisimua kama ilivyokubaliwa na kuidhinishwa na bodi. Mwelekeo huu wa kimkakati unatoa maelekezo ya awamu inayofuata ya mabadiliko yetu (ukuaji wetu) kama sehemu ya kuwa kampuni ya pekee ya huduma za kifedha kote barani Afrika chini ya rajamu mpya ya (jina jipya la) Absa. Mkakati wetu unahusu lengo moja, vipaumbele vinne, nguzo nne za uwezeshaji na kigezo cha ufanisi.

Lengo moja

Kufaulisha matarajio yako katika maisha

Vipaumbele nne vya kimkakati

Kukuza kwa uthabiti,kufanya anuwai na kubadilisha biashara yetu	Kujenga benki ya dijitali inayojali zaidi mteja	Kujenga benki yenye uwezo mkubwa wa kitaasisi	Kubadilisha kuwa bora , ya kufurahisha na kusisimua kufanya kazi

Nguzo nne za uwezeshaji

Kufanya za kisasa huduma zetu za benki	Kuimarisha uwezo wa huduma	Kuanzisha rajamu mpya	Kuanzisha utamaduni mpya

Kigezo kimoja cha ufanisi

Ukuaji wenye usarifu wa mapato makubwa

Hitimisho na shukurani

Nikihitimisha naomba kutambua Bodi yetu, wafanyikazi, wanahisa na wateja na kuwashukuru kwa kuendelea kujitolea kwao. Hii ni sehemu ya safari yetu ya mabadiliko na tunazishukuru timu zetu kwani tutakuwa na ufanisi, tutavutia na kutambuliwa vyema na wadau wetu wote.

Jeremy Awori
Mkurugenzi Mkuu
Benki ya Barclays Kenya

Board of Directors

Board of Directors profiles

Charles Muchene (60)

Chairman, Board of Directors, Barclays Bank of Kenya

Mr. Muchene joined the Board in August 2016 and was elected Chairman in October 2016. He is a board-level advisor on matters of governance, ethics and strategy and serves as an independent non-executive director of several other companies including East African Breweries Limited and its Kenyan subsidiaries, as well AIG Kenya Limited. Prior to joining the Barclays board, he served as an independent non-executive director of CfC Stanbic Holdings Limited and its subsidiaries. He has also served as the Country Senior Partner and Financial Service industry leader at PricewaterhouseCoopers.

He is a fellow of the Institute of Certified Public Accountants of Kenya and a member of the Institute of Certified Public Secretaries of Kenya and holds a Bachelor of Commerce (Hons) degree from the University of Nairobi.

Jeremy Awori (47)

Executive Director – Managing Director

Mr. Awori joined Barclays Bank of Kenya in February 2013 as the Managing Director. In addition to his responsibilities at Barclays, Jeremy has served as the chairperson of the Kenya Bankers Association and currently sits on their governing council. He is also a Board member of the Kenya Private Sector Alliance (KEPSA) and sits on several other executive forums in Kenya. He has held various positions in banking in the Middle East, South Asia and Africa in addition to living and working in the UK, North America and Asia.

He is a member of the Young Presidents Organisation (YPO) and an Aspen Global Leadership Institute fellow. He holds a Masters in Business Administration from McGill University, Montreal Canada and a Bachelor of Science undergraduate degree in Pharmacy from Manchester University in the United Kingdom.

Yusuf Omari (44)

Executive Director – Chief Financial Officer

Mr. Omari joined Barclays Bank of Kenya in 2004 from Audit Firm, KPMG (1998- 2004). He worked as the Barclays Head of Internal Audit East and West Africa cluster (2004- 2008) and then as Head of Compliance (2008-2009) before his appointment as the Chief Financial Officer in 2009.

He is a Member of the Institute of Chartered Public Accountants of Kenya (ICPAK) and Institute of Internal Auditors (IIA). Yusuf is also a Board Member for The University of Nairobi Enterprise Services and ICPAK.

He is a qualified Certified Public Accountant (CPA) as well as a Certified Internal Auditor. He holds an MBA from Strathmore Business School and a Bachelor's degree in Economics from the University of Nairobi.

Dr. Laila Macharia (47)

Non - Executive Director

Dr. Macharia joined the Board in August 2014. She is a serial entrepreneur and angel investor, currently serving on the boards of the Africa Digital Media Group and Centum Investments Limited. An attorney by training, she has wide experience in corporate law and finance, including at the New York office of Clifford Chance.

She holds a Doctorate in Law from Stanford Law School, a Masters in Law from Stanford Law School, a Masters in Law from Cornell Law School, a Bachelor of Law from Cornell Law School and a Bachelor of Arts (BA) from the University of Oregon. She is qualified to practice law in Kenya as well as in New York and Maryland (USA).

Ashok Shah (69)

Non - Executive Director

Mr. Shah joined the Board in July 2011. He is currently the Group CEO of Apollo Investments Ltd. Aside from his current role in Barclays, he also sits in various boards among them, the CDS Corporation, Capital Markets Challenge Fund, APA Insurance Ltd., APA Life Assurance and Apollo Asset Management.

He is an Associate of the Chartered Insurance Institute, member of the Chartered Institute of Arbitrators and was previously the chairperson of Association of Kenya Insurers. He holds a Diploma in Applied Chemistry from Kingston University (UK) and is a Chartered Insurer by profession.

Norah Chieng' Odwesso (50)

Non - Executive Director

Ms. Odwesso was appointed to the Board in August 2014. She is currently the Public Affairs and Communications Director for Coca-Cola Beverages Africa.

She is an Honorary Fellow of the Kenya Institute of Management (KIM), chairperson, Junior Achievement Kenya, a Board member of the Gender Violence Recovery Centre and a member of the Governing Council of the Management University of Africa.

She holds an MA in Finance and Investment, University Of Exeter, (UK), a Bachelor of Commerce degree (B.Comm) (Hons), University of Nairobi and is a Certified Investor Relations professional.

Winnie Ouko (47)

Non - Executive Director

Ms. Ouko joined the Board in August 2014. She is a business strategy and corporate finance advisor with over 16 years' experience supporting business in East Africa with their growth agendas. She is a Co-Founder and Director at Lattice Consulting Limited, a Kenyan corporate finance and strategy advisory firm. Prior to her current role, she was an Associate Director at Standard and Poor's in the US and an Auditor at PwC in Kenya. She holds a Masters Degree in Business Administration from Cornell University, a Bachelor of Commerce, Insurance (Hons) from University of Nairobi and is a CPA (K).

Patricia Ithau (52)

Non - Executive Director

Patricia Ithau joined the Board on 23 February, 2016. She is the Regional Director for the Stanford Institute for Innovation in Developing Economies (SEED), focused on stimulating economic opportunities through innovation, entrepreneurship, and the growth of businesses around the region. She is a Senior Executive, with over 25 Years' experience growing some of the world's leading fast moving consumer brands across Africa and internationally. She holds a Bachelor of Commerce (Hons) degree from the University of Nairobi, MBA from the United States International University Africa, Advanced Management Certificate from IESE Business School (Barcelona) in association with Strathmore Business School and a Diploma in Executive Coaching from the Academy of Executive Coaching. She is currently a Board Member at Trade and Markets East Africa (TMEA), WPP Scangroup Ltd, Jambojet Ltd and the Kenya Private Sector Alliance (KEPSA).

Paul Ndungi (41)

Company Secretary

Mr. Ndungi was appointed as the Senior Legal Counsel and Company Secretary in July 2015. He has over 15 years' experience in the banking industry. Prior to his appointment he was the Head of Legal and Company Secretary at Ecobank Kenya Limited for three and a half years and before that the Head of Legal at I&M Bank Limited for 7 years.

He holds a Bachelor of Law (LLB) from the University of Nairobi, a Diploma in Law from the Kenya School of Law and is an Advocate of the High Court of Kenya, Commissioner for Oaths, Notary Public as well as a registered Certified Public Secretary.

Country Management Committee

Country Management Committee profiles

Zahid Mustafa

Director of Retail and Business Banking

Zahid looks after Retail and Business Banking for Barclays Kenya. In this role Zahid is also responsible for Commercial, SME, Islamic Banking, Bancassurance, Vehicle and Asset Finance, Agriculture and Cards Business. Zahid also looks after the Branch Network, Alternate and Digital Channels for the Bank. Zahid joined Barclays Bank PLC. in 2006, as Consumer Banking Director for Egypt. In 2007, he was appointed as the Consumer Banking Director for Kenya before being promoted to Consumer Banking Director role for East and West Africa in 2008, looking after Barclays' business in Kenya, Uganda, Tanzania and Ghana. Before joining Barclays, Zahid worked for Citigroup Global Consumer Banking for over 11 years in various roles covering various geographies. He holds an MBA from Lahore University of Management Sciences, Pakistan and a Bachelor of Chemical Engineering from University of Engineering and Technology, Lahore, Pakistan. He also completed Advanced Management Program from INSEAD, France. Zahid has also represented Barclays Africa in Visa Business Council for the last 5 years.

James Agin

Corporate Banking Director

James began his banking career in Barclays Kenya in 1993 and undertook various roles in both Corporate and Treasury before moving to Barclays Uganda as Corporate Banking Director in 2004. He later joined Kenya Commercial Bank (KCB) Uganda as the Managing Director in 2008 and moved back to Kenya in 2010 with KCB, as the Chief Business Officer for the East Africa region and later the Corporate Banking Director for KCB Kenya. James has 10 years of Board experience and has served in the Boards of Barclays Uganda and the Boards of KCB subsidiaries in South Sudan, Tanzania, Uganda, Rwanda and Burundi.

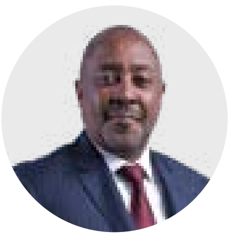
He holds an Advanced Management Program from Harvard Business School, an MBA from the IESE Business School in Spain and a Bachelor of Science from the University of Nairobi.

Anthony Kirui

Head of Markets

Anthony joined Barclays Kenya in 2004 and is currently the Head of Markets with responsibility for derivatives, equities, rates, fixed income and FX Sales and Trading for the bank, Anthony is also an Executive Director of Barclays Financial Services Limited. Anthony holds over 17 years extensive banking experience within the East African region and over 13 years within the Treasury and Markets Business. Prior to his current role, Anthony was Country Treasurer for Barclays Bank of Uganda from 2011 to 2014 where he ran both the Treasury and Markets business with oversight over the balance sheet, interest rate, capital and liquidity risk for the business. In addition, his responsibilities covered the Sales and Trading business for Barclays Uganda where as a member of the Country Management Committee (CMC) he also shared responsibility for the management of the broader business.

Anthony holds a BSc (Econ) in Business Studies from the University of Wales, Aberystwyth.



Chiera Waithaka

Chief Risk Officer

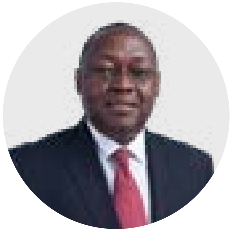
Chiera joined Barclays Kenya in 2017 as the Chief Risk officer. Prior to that he worked as the Executive Head of Credit Risk, Country and Sovereign Risk – Corporate and Investment Banking at the Standard Bank Group Regional Office, East Africa. In his career journey spanning over 20 years, Chiera has held senior risk roles in Stanbic Bank and Barclays Bank. Amongst the roles he has held are the Head of Credit for Stanbic Bank Kenya as well as Senior Risk Operations Manager for Barclaycard Africa and Head of Consumer Credit for Barclays Bank Kenya.

Chiera holds a Masters in Business Administration (MBA) – Strategy and Finance from Warwick Business School, Bachelor of Law Degree from University of Nairobi and Associate Diploma from the Chartered Institute of Bankers, He is also a Certified Financial Risk Manager (FRM) by the Global Association of Risk Professionals.

Geneva Musau

Human Resources Director

Geneva joined Barclays Kenya in 2014 from Barclays Bank Ghana where she held a similar role for close to four years. She held various senior management positions with Zain Telecommunication, Oxfam GB, KPMG and BAT, her last assignment being the Human Resource and Administration Director for Zain Telecommunications Ghana. Geneva holds a PHD in Human Resource Management from AIU USA, a Master of Arts Degree in Human Resource Management from Demontfort University Leicester (UK), a Masters in International Business Administration from USIU, a Bachelor of Commerce degree in Business Administration from Nairobi University and a Higher National Diploma in HR Management from the institute of personnel Management.



James Muchiri

Chief Operating Officer

James joined Barclays Kenya in November 2013 as the Head of Digital Channels and Strategic Initiatives in East Africa. In November 2014, he was appointed to the position of Customer Network Director to lead a shared distribution structure serving Retail and Business Banking. He is currently the Chief Operating Officer, a role he took up in October 2016. In this role, he is responsible for the overall Operations and Technology infrastructure of the bank. Prior to this, James worked in NIC Bank and Standard Chartered Bank where he held several senior management positions, his last assignment being Managing Director of NIC Bank's subsidiary in Tanzania. James brings with him over 23 years of banking industry experience including Board experience. He has worked in several countries in Africa and Asia on transformational projects involving changes of core banking systems and other key delivery channels as well as re-engineering operational processes and procedures. James holds a Bachelor of Education degree in Science from Kenyatta University and a Post Graduate Diploma in Computer Science from the University of Nairobi.

Antony Mulisa

Regional Treasurer East Africa

Anthony joined Barclays Kenya in 2001 and was appointed the Regional Treasurer for East Africa in January 2015. He holds over 20 years of banking experience in both large and medium size treasuries in Kenya, Uganda, Tanzania and Egypt. He is the current Chairman of the Financial Markets sub-committee of the Kenya Bankers Association (KBA) and is also a member of the Derivatives Market Board Oversight Committee of the Nairobi Securities Exchange (NSE).

Anthony is a certified dealer through the ACI-Financial Markets headquartered in Paris, an associate member of the Chartered Institute of Bankers (ACIB). He holds a BSc. Degree in Financial Services from University of Manchester and an MBA from the Manchester Business School in the UK.

Laban Omangi

Regional Head of Compliance

Laban joined Barclays Kenya in 2002 and was appointed Regional Compliance Director for Barclays East and West Africa Cluster in September 2009.

Laban is a career banker with 30 years experience in the areas of Wholesale and Retail banking, Bank Operations and Risk Management specialising in Compliance and Operational Risk Management. He holds a 1st class Honours Bachelors of Commerce degree from the University of Nairobi and is a member of the Kenya Institute of Bankers and also the Institute of Economic Affairs.

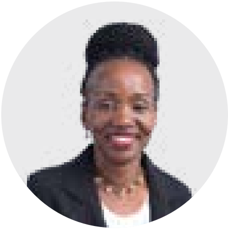
Caroline Ndungu

Marketing and Corporate Relations Director

Caroline joined Barclays Kenya in February 2014 as the Marketing and Corporate Relations Director. Prior to joining Barclays, Caroline held various senior management positions at EABL Diageo, her last assignment being the KBL Marketing Director. She has a wealth of experience having worked for over 10 years in the FMCG sector as well as in Financial Management both in Africa and in the US.

Caroline holds a Bachelor of Arts Economics degree from the University of Nairobi, an Advanced Management Program diploma from Strathmore Business School/IESE Business School Barcelona Spain and is a CPA (K) from Strathmore University.

Country Management Committee *(continued)*



Christine Mwai-Marandu

Ag. Country Credit Director

Christine joined Barclays Bank in 1991 and is currently the acting Country Credit Director where she is responsible for day-to-day credit risk management for all borrowing clients across the 3 segments of Barclays – Retail and Business Banking, Corporate and Investment Bank and Markets(Sales and Trading). She is a seasoned banker with more than 20 years of experience working for Barclays Bank in both Retail and Corporate banking environments. Christine has strong international working experience having worked for Barclays in UK, South Africa and Tanzania in senior leadership roles.

She holds a Bachelor of Science degree in Financial Services and an MBA from Cranfield School of Management in the UK. She also holds an Associate of Certified Banking (ACIB) qualification and is a certified Executive Coach. She is an alumni of WILLS (Women in Leadership series) programme, Advanced Management Programme (2014) and Women Directors Leadership Summit (WDLS 2016) executive programs run by Strathmore Business School.

Joshua Ndung'u

Regional Director, Audit and Chief Internal Auditor, Kenya

Joshua has over 17 years experience in Finance including audit, finance operations and risk management. He has provided audit, finance operations and risk management services to several companies across different industries in Kenya, Sub-Sahara Africa and the UK. Joshua holds a Bachelor of Commerce degree (Finance major) from the University of Nairobi. He is a Member of the Institute of Chartered Public Accountants of Kenya (ICPAK). He also holds a Certified Public Secretaries of Kenya, CPS (K) qualification and a Securities Industry Certification Program (SICP) qualification from the Chartered Institute for Securities and Investment (CISI).

Moses Muthui

Head of Strategy

Moses started off his career at Barclays Bank Kenya 11 years ago and has served Barclays in various capacities including Deputy Chief of Staff at Barclays Bank Kenya until 2011, Treasury Manager and Finance Associate Director at Barclays Group based in London between 2011 and 2014, and as an Investment Banker at Barclays Capital based on Wall Street, New York until 2017 when he returned to Barclays Kenya as Head of Strategy. Moses is an accomplished banking professional with a wealth of relevant experience from the world's two key financial markets, London and New York; in Financial Management, Balance Sheet Management, Corporate Finance and Investment Banking. At Barclays Capital, Moses worked on landmark transactions of value in excess of USD15bn in Mergers and Acquisitions, Equity Capital Markets and Debt Capital Markets. His other key achievements at Barclays include helping Barclays Group successfully restructure its businesses in Europe covering Spain, Portugal, Italy and France during the Eurozone crisis period.

He holds a Master's Degree in Finance from the London School of Economics, an MBA from the University of Nairobi, a Bachelor's Degree in Economics and Mathematics from Egerton University, and he is a qualified Accountant with ACCA (UK), and a licensed Investment Banker by FINRA, (U.S.A).

Our business

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Our business model

Our business model and value creation process is illustrated in the diagram below. Our business model transforms capital inputs– such as the skills and entrepreneurship of the people within our organisation and money from customers, via our core products and services, into value outputs – such as making a positive contribution to the development of a thriving society.

Capital inputs beginning 2017

Over time and through our business activities, we impact on the Five Capitals. We measure this impact through our Balanced Scorecard .

Financial capital

- Profits are shared with ordinary shareholders (**Shs 5 431mn in dividends**) and retained earnings for future growth (**Shs 35 194mn**)
- Contributed to societal growth through the goods and services bought (**Shs 4 496mn**), taxes paid (**Shs 3 453mn**) and employment (**Shs 9 837mn** in employee compensation)
- Market Capitalisation of (**Shs 49bn**)

Manufactured capital

- **121 service centres** and **214 ATMs**
- Property and equipment of **Shs 3 081mn**
- Enhanced our digital portfolio with Twitter and Facebook and mobile money solutions

Human capital

- **2 591** employees in 2016 with improved diversity and 50:50 gender ratio at board level.
- **Shs 57mn** spend in 2016 on direct training spend on ongoing skills and development

Intellectual capital

- Invested in information technology, delivering greater stability, ongoing resilience, increased protection against cyber risk and delivery of new products and solutions
- Brand impacted by various events in the year

Social and relationship capital

- Customer experience score of **75**
- **Shs 57mn** spend in 2016 on education and skills development
- Evolved stakeholder relationships

Natural capital

We are minimising the environmental footprint of our operations and embedding environmental principles in our financing services.

- Energy
- Water
- Paper

Stakeholders

Shareholders
Strategic partners
Government and Regulators
General public and communities

Key trends

- Decent return on investment
- Increasing regulation, compliance and desirable conduct
- Changing client needs and behaviour
- Engaging workplace and development
- Digital disruption
- Demand for social and environmental consciousness
- Information and Cyber security
- Financial inclusion

Our business processes

While meeting our regulatory minimum requirements, we **allocate financial capital** to our business units that leverage on opportunities and generate sustainable returns while remaining within the Board-approved risk appetite. We also utilise the financial capital in operations and capital investment projects.

The business units create **customer value propositions** by taking into account customer needs and trends, by leveraging on customer insights gathered over time, customer feedback and employees' knowledge of customers based on their interactions. All this is done while factoring external forces such as the competitive landscape and regulatory requirements.

- The **Retail and Business Bank** offers services to a diversified base of clients who are current account holders and non-current account holders, individuals and micro, small and medium enterprises.
- The **Corporate Bank** is responsible for our corporate and institutional clients.
- **Markets** is charged with providing our clients with investment solutions, foreign exchange services and managing the financial result of the business that is associated with the resources that exceed capital requirements.

Colleagues
Customers
Suppliers
Media and civil society

Guidance

We are guided by a strong corporate governance culture that has helped us build confidence in the market and trust with our customers and partners. The Board formulates a strategy that guides our business activities and in turn management executes on this strategy.

We continuously protect what is important to us and our stakeholders through robust risk management. Compliance and internal audit review the adequacy of management's controls and this is key to maintaining our license to operate and our ability to create value.

We utilise **multiple channels** to deliver products, services and solutions to our customers. More and more, we are leveraging on digital platforms as banking moves from *'a place you go'* to *'a thing you do'*. Our skilled and experienced colleagues play the role of advisors to our customers on planning and managing their financial needs.

From our business activities, we **derive financial benefit** such as interest earned on credit facilities, commissions, fees, capital gains from investments and trading income. We also pay interest to depositors and other funders as well as dividends to shareholders as a return on the financial capital they advance to us.

All this, enabled through robust operations management that is guided by policies and frameworks that ensure consistent and integrated execution to improve service levels and gain synergy and scale benefits.

Outcomes at the end of 2017

Over time and through our business activities, we generate outputs which are distributed through the six capitals. Throughout the entire business process, we measure our impact on our material issues (5Cs) through our Balanced Scorecard.

Financial capital

- **Shs 5 431mn** paid in dividend payout to ordinary shareholders
- **Shs 36 592mn** in retained earnings
- **Shs 4 464mn** paid in taxes
- **Shs 10 153mn** paid in employee compensations
- **Shs 5 946mn** paid in to suppliers and partners
- Market Capitalisation of (**Shs 52bn**)

Manufactured capital

- **115 service centres** countrywide
- **214 ATMs** including **60 iATMs**
- Property and equipment of **Shs 2 741mn**
- Enhanced digital platforms both Internet based and mobile

Human capital

- **2 268** colleagues in employment
- **Shs 72mn** spent on employee training and development
- **70** employee dependents benefited from our scholarship program
- **104** employees trained on career and entrepreneurial skills

Intellectual capital

- Invested **Shs 1.2bn** in information technology, delivering greater stability, ongoing resilience and increased protection against Cyber security risk
- Delivery of new products and solutions
- Brand impacted by various events in the year

Social and relationship capital

- Customer experience score of **75**
- **Shs 100mn** spent on education and skills development
- Shared growth programs
- **401** students benefiting from the Barclays Scholarship program

Natural capital

- **Shs 18mn** saved on electricity costs
- **Shs 31mn** saved on paper costs
- **Shs 15mn** saved on water costs

Creating sustainable value

Our integrated planning process ensures that our strategy and key resource considerations are integrated into our financial and execution plans. This process reflects on choices in terms of our strategic ambition and the opportunities we will pursue. Our execution plans outline the required capabilities and the focused initiatives undertaken to achieve our ambitions.

Stakeholder engagement

We take the interests of our stakeholders seriously and take into account their concerns during our integrated planning process. It is our responsibility to balance these interests in our pursuit of long-term value.

A summary of our stakeholders concerns is listed below:

- Sustained growth and good business performance
- Decent and sustainable returns
- Agility in responding to customer needs and complaints
- Fair treatment of customers
- Fair pricing of products and services
- Value propositions that best suit customers
- Stability of technology and systems
- Innovation and convenience of banking
- Information privacy and security
- Employee engagement and empowerment
- A conducive workplace
- Non-discrimination and human dignity
- Ethics and integrity
- Compliance with regulation
- Preventing fraud and financial crime
- Adding value by promoting the welfare of society
- Our environmental impact

Operating environment

We constantly monitor the changes within the macro-economic and regulatory environment due to the direct impact they have on our operations. We also take into account events in the regional and global space so as to assess the inherent risks and opportunities. A detailed discussion on the same can be found on page 41 and pages 75 to 76.

Planning and prioritising

Once we have identified the key issues within our operating context, we prioritise the strategic initiatives that need to be delivered and the operational requirements to support the execution. In this step we take into consideration key factors which are:

- Potential opportunities factoring in our risk appetite
- Regulatory driven requirements
- Current and anticipated economic and socio-political conditions
- Stakeholder expectations and perceptions
- Resource needs and availability of current resources
- Company specific events

In coming up with our plan of execution, we are guided by; Our **purpose**, our **goal**, our **values**, our current **strategy** and our **business model**.

An important part of the integrated planning process is to consider the trade-offs between the possible responses, the timing and execution requirements, as well as the importance and impact in achieving our strategy. Potential opportunities are assessed within our risk appetite framework to ensure a balanced approach between future growth and responsible risk management. We also consider possible changes and refinement to our strategy and business model to remain relevant and competitive.

Response and monitoring

We aim to be the financial services group of choice, providing sustainable returns and contributing to the shared growth of the communities in which we operate. We have a large balance sheet and strong market positions where we operate. Our distribution network and digital platforms reach a large and diverse customer and client base. Based on resource availability and current and anticipated requirements, certain trade-offs are made, which re-prioritise change initiatives, and new projects. Specific actions are identified to ensure we respond appropriately.

Based on our review of the evolving environment, we have adopted a **new strategic direction** that leverages on our key strengths and enables us to drive growth while maintaining sound risk control and delivering the value expected by our stakeholders.

We have **shaped our business for change** with our primary focus being the customer and the key resource being a highly motivated team that is guided by a strong service culture.

Shared Growth is our way of doing things and it defines who we are. We have a responsibility to leave things in a better position than we found them, and our Shared Growth initiatives will accelerate over the coming years.

Our Strategy

Growth | Transformation | Returns

Report on the new strategic direction 34

Report on the new strategic direction

Barclays Bank of Kenya has recorded tremendous strategic successes in the past, yet the fortunes of the bank lie ahead of us, driven by the new strategy focused on Growth, Transformation and Returns.

Moses Muthui
Head of Strategy

Barclays Bank of Kenya is a successful business, with an extraordinary legacy of over 100 years in Kenya and an optimistic future. Over time, Barclays has recorded material "firsts" in the Kenyan industry, from being the first bank in Kenya to list on the Nairobi Securities Exchange (NSE), to introducing the modern day financial markets products with the launch of the Gold Exchange Traded Fund. But it is the commitment to the Kenyan people through providing finance to the Kenyan economy and uplifting the Kenyan society over the last century that makes us most proud. Along that journey, we have had to adjust our strategy to be more nimble in our operations, remain relevant to our customers and to serve our society better. 2017 was a year in which we re-looked at our legacy, our current positioning, and our future prospects; as part of a material strategic review of our business. We have now set a strategy to take us into the medium to long-term. Despite this strategic re-configuration, our purpose continues to be, as always, to help Kenya prosper by bringing possibilities to life.

The strategic foundation

2013-2017 successes

First, we acknowledge the successes of the concluded strategic period from 2013 to 2017, during which we fundamentally repositioned the bank for growth and invested significantly in new capabilities, delivering Shs 4bn of new revenues in the first 3 years of the strategic period (2013-2016), among the following other key highlights:

Strategic highlights

- A clear strategy with decisive execution milestones put in place; focused on Investments and Growth as key pillars
- Built new revenue streams from new businesses
- Simplified and optimised the organisation: number of service centres decreased by 5% (from 121 to 115 in 2017); number of full-time employees ('FTE') reduced by 19%
- Activated Barclays Financial Services Limited ('BFSL') to focus on investment banking and brokerage business
- Expanded Markets business; currently at #2 position for FX business

Financial highlights

- Approximately Shs 4bn of new revenue added by 2016 (Total Revenue at Shs 31.7bn in 2016 vs. Shs 28bn in 2013)
- Costs increased at only 2% CAGR and at below inflation over the 2013-2017 period
- Doubled the size of customer assets from Shs 91bn in 2010 to Shs 175bn in 2017; in contrast to negative growth rate in 2010
- Capital and Liquidity Ratios managed at optimal levels, with clear breakdown on regulatory minimum ratios
- Gained market share, improving from No.5 in 2015 to No.4 in 2016

New investments

- **ATMs Replacement:** Of the 213 ATMs, 60 were upgraded to intelligent machines with deposit taking functionality and the rest replaced
- **IT infrastructure transformation**
  - In-country firewall with full redundancy implemented
  - Server virtualisation completed
  - 215 end of life network devices installed at 89 branches
- **Fusion**
  - 3,500 PCs replaced including operating system upgrades
  - New document storage servers for shared files implemented
- **10 internet banking functionality enhancements** including simplified registration process with enhanced security features, RTGS automation and sole proprietors access
- **51 material system changes over a period of 4 years;** which have been materially enhancing customer experience

New products

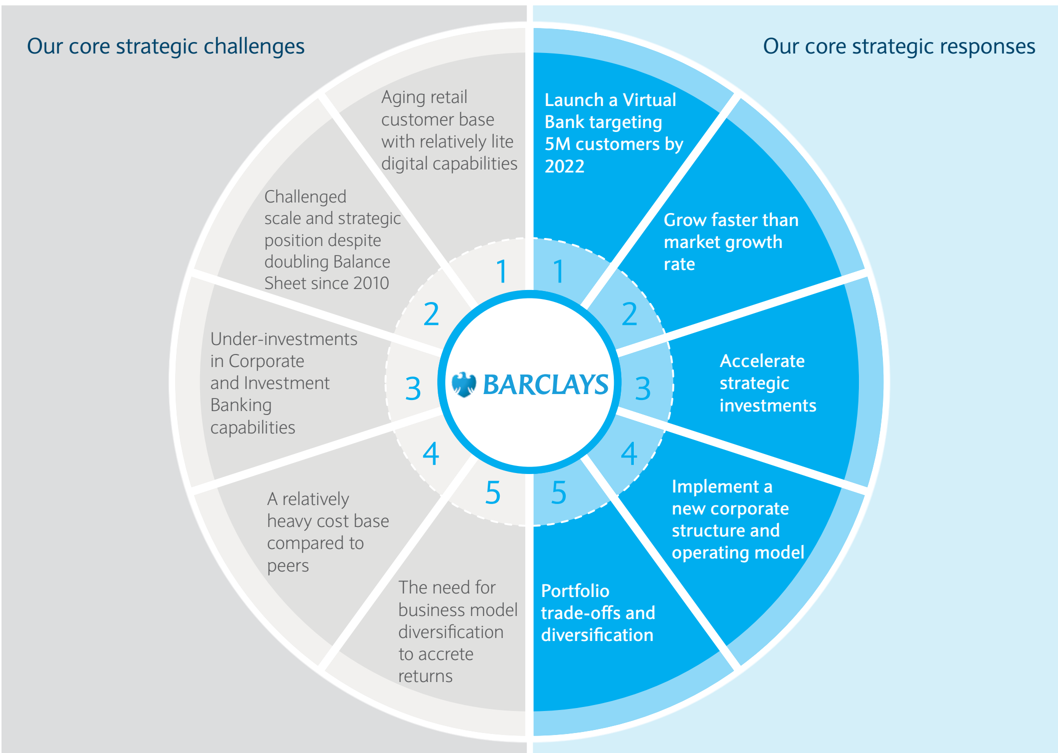
- FI and Risk Management products launched: generating Shs 880mn annual income
- Bancassurance launched: generating Shs 500mn annual income
- Zidisha and Twin Plus liability products launched and scaled up
- Stock Brokerage launched
- Call Account for Fund Managers launched

In addition to the strategic successes of the last five years, we have developed the new strategy with four key guiding principles

Collaborative | Bold | Fact-based | Localised

Second, we believe that material changes to strategy require the ability to decipher the signals from the noise. This exercise in itself requires an analysis of our core strategic challenges and taking a view on an uncertain future. We also believe in data led strategic choices. With this in mind, we have constructed the 5 year strategy informed by our 5 core internal strategic challenges and 10 external factors.

An internal review and analysis of our business illustrates our 5 core strategic challenges and responses



Report on the new strategic direction *(continued)*

An external review illuminates our forward looking operating context, under 10 factors

1. Global banking trends and the local imperatives

Global banking changed fundamentally post the 2008 financial crisis on two fronts: First, global banks went into a deleveraging cycle, reducing their balance sheets to accommodate new capital regulations to adapt to a new global financial architecture, a phenomenon that has seen nearly all top banks in the United States and Europe scale back global operations. Within this context, Barclays PLC made a decision to close over 20 business units, exit 12 countries and reduce their controlling interest in Barclays Africa Group Limited; the parent company of Barclays Kenya. With changing regulation, there has been more pressure on what businesses global banks are willing to underwrite. There is a material shift towards returns over scale given that the Returns on Equity for banks have come down from the 20%'s, pre-crisis, to high single digits. These return levels cannot meet cost of capital, essentially meaning investors have had to accept value dilution for investments in global banks. As a consequence, global banks are pulling back from peripheral markets to focus on home and home adjacent markets. We believe this phenomenon provides growth opportunities to regional and local banks.

Second, there has been the inseparable convergence of finance and technology where technology companies are providing financial services – what we call TechFins, and financial services companies partnering with technology companies or building their own technology platforms to provide financial services – what we call FinTechs. The one clear distinction is that TechFins have less regulation to comply with, while conventional financial services companies operate under a complex regulatory framework. The advantage is moving away from conventional financial services companies, with Fintechs and TechFins targeting profitable parts of banking with an ability to scale much faster than conventional financial services companies can innovate. This phenomenon is permeating global, regional and local markets. Regional banks, on the other hand, particularly in Africa, are looking for growth and expansion opportunities in segments that remain largely underserved, amplified by the fact that global banks have been pulling back. We see regional banks in South Africa, West Africa, East Africa and the Middle East pursuing new cross border growth and expansion corridors across Africa. In Kenya, we see growth and innovation as key to the future of banking, with evolving regulation and application of technology being critical imperatives that will shape the banking industry for the next decade.

2. The evolution of financial markets

Financial markets have a natural evolution path, particularly the capital and credit markets. Global capital flows also tend to originate from well advanced financial markets given that capital follows trade on a net basis. The advancement of economies and depth of trade also plays a critical role in financial markets evolution. In light of the 10 year masterplan set out by the Capital Markets Authority to guide Kenya into becoming the destination and source of international capital flows, we believe that, over the next decade, Kenya will be more advanced in terms of innovation in capital and credit markets. The introduction of commodity exchange traded funds through the Gold ETF and the launch of the Africa Markets Financial Index, both spearheaded by Barclays, and the recent regulation on the ability to 'sell-short' stocks on the NSE are just a few indicators that our financial markets are advancing. We also believe African trade will be primarily financed by African capital, and in this context Nairobi is set to distinguish itself as the regional anchor of capital. These views underpin our commitment to continue leading the industry in the financial markets business. We aim to be part of the evolution of our financial markets, and for Kenya, we believe there is a long runway in developing our financial markets and we are fully committed to the course. We want to build distinctive and undisputed competitive advantages in the institutional banking space.

3. The evolution of the consumer and the future of the branch

Historically, demand for commercial banking had been driven by the need for safety of money. People opened a bank account to keep their money in a secure environment. This notion of a secure environment made a bank building synonymous with banking. Banking was a place people went to, rather than a need that required a service. Then came the era of savings and loans, where consumers in return for savings wanted to access credit. With credit, came trust and openness, that people could trust banks with savings, and banks could trust consumers to repay borrowed credit. In the recent past, relevance of banking has become critical, with consumer choice between banks driven by the utility the bank provides to consumers. We believe, today, consumer choice is primarily driven by convenience. The arrival of the mobile phone was the primary driver of the demand for convenience in financial services. Most consumers want to transact on mobile devices and we believe the convergence of most financial services will be on mobile devices. This evolution has constantly put into question the purpose for physical branches as a channel of banking services. We believe the distribution channel debate starts with answering the question of convenience. Therefore our view is that an opti-channel – where we allow consumers to interact with banking through their chosen channels – is the strategic solution. Given technology adoption across consumer segments, however, the branch is evolving towards small self-service centres as opposed to large banking halls. Physical branches will therefore continue to be a critical component of banking.

4. Excelling through varied economic and regulatory cycles

Putting short-term cyclical factors aside, we believe Kenya is heading towards an economic expansionary cycle in the medium-term. We remain optimistic due to the good weather, agricultural performance recovery, public investments between 2013 and 2017 that have a medium term ROI upside, record levels of infrastructure spend and a stable currency; which will support economic transformation. Given economic cycles dovetail credit cycles, and despite the fact that historical laggards in banking indicate stress in the short-term, we see a possible normalisation of the credit cycle going into the medium-term. As macro factors stabilise and the ability to price for risk is re-instituted, we see gradual increase in credit expansion to pre-interest rate capping levels. Given the positive future outlook, we see the wholesale segment transmitting larger revenue pools than the retail segment. As such, we have relooked at our business model and made a strategic shift to grow our wholesale bank much faster than our consumer bank, enabling an adaptive strategy that allows for wholesale-consumer segment interplay, across the next 5 years. We believe this move will cushion our revenue profile and feed in a revenue diversification at the overall bank level. And whilst we remain fully supportive of the evolution of regulation, we believe the regulatory environment will continue to introduce both structural and secular shifts to the banking industry. As such, we aim to run a dynamic business model that allows us to generate returns while adopting to changes in regulation.

5. *The new era of robotics, artificial intelligence and cryptocurrencies*

The inseparable nature of finance and technology as earlier highlighted is advancing on an exponential path. It is definite that technology will continue to transform the financial services ecosystem from processing capabilities to new currencies. Our view is more inclined towards adopting the application of artificial intelligence (AI), machine learning and robotics to our business. On this front we are the first bank in Kenya to deploy robotics in automation of key processes. We are, however, on the sidelines, as it relates to cryptocurrencies and we will continue to follow the regulatory guidelines on cryptocurrencies and adapt our strategy accordingly.

6. *The millennial-led workforce*

In the next 10 years, the workplace will be dominated by millennials, from the executive office to the shop floors. With this in mind, we believe the future people-risks are going to be very different than what organisations have had to deal with in the past decades. These emerging risks require strategic responses. The greatest risk we see is retaining millennial talent. This arises from a disconnect between what millennials want and what employers currently offer. There is the topical example where some companies have offered unlimited vacation days driven by the belief that it is less likely for millennials to take unlimited vacation because of their need to contribute at work. Whilst there is the likelihood that companies have a clouded view about millennials, what is clear is that the notion of agility will be most tested by the millennial workforce. At Barclays, we have embarked on a journey to transcend our culture as the first clear step to get ready for the future. We aim to break what we internally call ego-systems and create eco-systems, where people are free to ideate across levels, structures, functions and roles; where decisions are not centred and where there is more joint ownership; where multi-faceted teams are brought together, into squads, to deliver a singular initiative irrespective of functionalisation. This is our first step towards embracing agility at the work place; to create an aspirational, fun and vibrant place to work.

7. *The role of business in society*

There has been an evolution in the concept of Citizenship; essentially how businesses and society co-exist and how together they become a force for good. At Barclays, the concept of Citizenship has evolved over time to become strongly linked to our overarching purpose. In the 1990's, the main focus was on donations and volunteering activities that were not necessarily aligned to our core business. In the 2000's, we moved into an era of Corporate Social Responsibility, which was at times a public relations driven endeavour, even though the fundamental desired impact on society was achieved. In the early part of this decade, more holistic plans around sustainability and global citizenship were put in place, mainly executed in partnership with sustainability teams outside corporate's core business. We see a future where the interplay between businesses and society will be driven by the need to create shared value; where solving social problems becomes core to business models and part of the competitive strategy. At Barclays, we refer to this next phase as Shared Growth. We will endeavour to launch a pan-African Foundation that focuses on Enterprise Development, Education and Financial Inclusion; to advance our Shared Growth agenda.

8. *The investor lens and the changing affinity from scale to returns*

In light of heightened capital regulation for global banks, the need to generate returns over scale has become critical. ROE's have dramatically reduced during the recovery of global banking since 2008. This has been due to increased capital requirements, unpredictable profile of earnings partly due to regulatory fines washing through bank earnings, and a benign economic cycle challenging the sustainability of growth. Performance which had traditionally been driven by revenue growth rankings and high operating leverage is today being driven by returns and financial leverage optimisation. Investors have shifted focus towards value creation. In Kenya, the headlines have historically been on profit numbers and balance sheet sizes, in other words, scale has been synonymous to good performance. Whilst we don't believe that there will be an immediate switch from scale-based to returns-based business models, we see a transcending trade-off where returns become of more importance to the industry. Our view is that Kenya is a growth market and growing revenue and profits will continue to be imperative if to sustain future returns. However, powering this growth through cost and capital efficiencies to deliver returns will become of even greater importance. We believe investors looking into the Kenya banking industry will want to see growth being achieved and returns being maximised. We also believe that returns will be a factor of the idiosyncratic cost of capital, so top quartile returns will also become less relevant because cost of capital for each of the banks is different.

In essence, an ROE of 30% when Cost of Equity is 15% becomes a revelation of inefficiencies in balance sheet management, a disjoint financial strategy and excess trapped capacity. Our strategy therefore aims to deliver a sustainable top-line growth rate above market rate, and an ROE above our cost of capital.

Report on the new strategic direction *(continued)*

9. Kenya banking industry consolidation and our view on inorganics

As a disclaimer, we are not currently pursuing an inorganic strategy for the simple reason that looking at our current business portfolio, the market, and our balance sheet structure, we believe we have material opportunities to drive an organic strategy that delivers growth in earnings and acceptable returns to our shareholders. However, our view on banking consolidation is as follows: First, the Kenyan economy, on balance, is on an expansionary cycle and we believe the Kenyan economy can be underwritten by fewer banks. This is the fundamental basis for our view that a consolidation cycle is upon us. Certain industry players have also plateaued and their organic growth in the following decade may decelerate relative to the last decade. Bank valuations touched an 11-yr low in 2017, an indication that acquisition prices, for those with capital and the strategic appetite, may be right to make an acquisition at this point. These three factors: number of banks relative to the size of the economy; organic growth opportunities for certain players plateauing; and asset valuations; compounded by the need, in our view, to have stronger but fewer banks will drive the Kenyan banking industry into a consolidation cycle. We have reviewed a number of market consolidation scenarios, and have left ourselves options for opportunistic inorganics, if certain market events occur; we will be reactive, but, we will aim to remain competitive no matter the outcomes.

10. The banking industry strategic battlegrounds

The evolution of banking and finance comes with evolving battlegrounds for industry players. Whilst today's business world has become even more difficult to precisely plan for, we anticipate the strategic period of 2018 – 2022 will present a number of must-wins for Kenyan banks. First, we believe in a continuing dis-intermediation of banking where new unregulated non-bank players providing differentiated experience will attract bank customers as banks continue to underwrite the compliance and regulatory obligations. We see an ecosystem where payments and lending will converge into almost every company that offers consumer goods. Payments will therefore be a critical strategic battleground. Second, banks that win will have to deliver solutions to ecosystems. Every small or large business is part of a value chain that plays in a defined ecosystem. Historically, financing has been targeted to a company or an individual. We believe it is of strategic importance for banks to develop risk acceptance criteria that allows provision of finance to permeate an ecosystem. Banks that become the DNA of an ecosystem as opposed to the DNA of a company, or a collection of individuals will win. Third, with the arrival of broad automation, efficiency in operations will be driven largely by robotics. We believe anything that can be automated will be automated, and banks that win will have to focus on relentless simplification and automation through new technologies to drive better experience to customers and deliver operational efficiencies.

The strategic choices and trade-offs

Having explored these topical themes, in detail, we have set ourselves four strategic priorities: Firstly, to strongly grow, diverisfy and transform our business; secondly, to build the most digital and customer obsessed bank in Kenya; thirdly, to build the powerhouse Institutional Bank in Kenya; and lastly, to transform into an aspirational, fun and vibrant place to work. These priorities were built with the backdrop of material strategic choices and trade-offs that we have had to make. We have balanced the need to continue building on our traditional strengths, and the need to enter new avenues for future opportunities that we must explore to remain relevant and competitive.

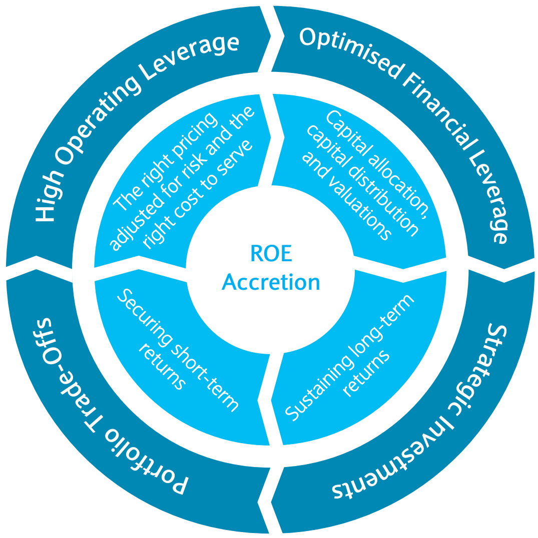
Explicit strategic choices and trade-offs

	1	2	3	4	5	6
We move away from…	Growth only	Relying on our traditional strengths and structures	Digitisation only	Centralisation, functionalisation and standardisation	'Command and control' culture	Passive good corporate citizenship
And we choose…	Growth with sustained high returns	Agile operating model that puts us closer to our customers	Customer obsession and digitisation	Autonomy and accountability	Culture of inclusivity, diversity, entrepreneurship and ownership	Active force for good in society

Delivering on the Strategy is aligned to clear financial aspirations

	Performance Metrics	2017	2022 Aspirations	Benchmarks
1	Return on Equity	16%	Significantly Above COE	Top Quartile
2	Cost-to-Income Ratio	55%	<50%	In-line with Peers
3	Revenue Growth Rate	(4%)	Above Market Growth	Gaining Market Share
4	Market Share by Revenue (Market Position)	8.5% (#4)	Approx. 12% (#1-3)	Sustaining a Leading Position

We have designed our shareholder value creation process.... We **believe** *we have material opportunities to drive an organic* **strategy** *that delivers growth in earnings and acceptable returns to our* **shareholders.**



In conclusion, strategy 2022 delivers growth, transformation and returns, through 1 purpose, 4 strategic priorities, 4 enablers and 1 measure of success

One purpose: **Bring your possibility to life**

Four strategic priorities:

1. Strongly grow, diversify and transform our business
2. Build the most digital, customer obsessed Bank in Kenya
3. Build the powerhouse Institutional Bank in Kenya
4. Transform into an aspirational, fun and vibrant place to work

Four enablers:

1. Radically modernise our banking platforms
2. Radically enhance service capabilities
3. Introduce a globally-benchmarked new brand Absa
4. Introduce a new culture

One measure of success: **Growth with sustained high returns**

Our performance

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Our operating context

Macro-economic environment

The Kenyan economy remained resilient in 2017 albeit recording a slower growth compared to the previous year. Growth in the tourism and transport sectors were some of the drivers of this growth in 2017. Kenya National Bureau of Statistics (KNBS) showed that the economy expanded by an average of 4.7% for the first three quarters of 2017 compared to an average of 5.7% in a similar period in 2016. This slowdown was occasioned by;

i. Prolonged drought in the first half that slowed down the agricultural sector to a 3.1% growth as at Q3'17 compared to a growth of 3.8% recorded in Q3'2016

ii. A decline in the financial intermediation sector affected by the implementation of the Banking Amendment Act, 2015, a legal framework that capped interest rates on loans. Credit to the private sector only expanded by 2.4%, down from 7.1% recorded in Q3'2016.

iii. The Kenya National Treasury, World Bank and International Monetary Fund (IMF) revised their earlier 2017 GDP growth projections for Kenya to 5.5%, 4.9% and 5.0% from 6.0%, 6.0% and 5.7%, respectively citing the above in addition to the expected impact of the extended electioneering period.

The Kenya shilling remained resilient in 2017, only depreciating by 0.7% against the USD during the year to close trading at Shs 103.2 from Shs 102.5 at the beginning of the year. The currency strength was attributed to;

i Weakening of the USD in the global markets as indicated by the USD Index, which shed 9.9% in 2017

ii Strong forex reserves position, closing the year with USD 7.1bn.

Headline inflation rate recorded heavy swings during the year, driven mainly by the volatile global oil prices and domestic food prices with an average inflation of 8.0% in 2017. Inflation hit a 57 month high of 11.7% in May owing to high food prices occasioned by the prolonged drought and its impact on food production. These levels improved significantly during the year to close at 4.5% in December.

Interest rate

During the year, yields on government securities remained relatively stable, mainly due to the Central Bank of Kenya's (CBK's) efforts to keep rates low. Following the enactment of the Banking (Amendment) Act, 2015, banks have preferred to place their surplus liquidity with the government. Primary T-bond auctions in 2017 were oversubscribed on average, with the subscription rate averaging 100.2% due to the high liquidity in the money market. However, this was lower than the average subscription rate for 2016, which stood at 145.1%. The average acceptance rate for 2017 came in at 74.2%, as the market adjusted to the efforts of the CBK to maintain the rates at low levels.

Banking industry update

During the year, Kenyan listed banks released their 2017 results recording an average decline in weighted earnings per share of 9%, compared to an average growth of 27% in 2016, owing to the tough operating environment as a result of the interest rate capping and a prolonged electioneering period in the country that affected the business environment.

Regional markets update

Sub-Saharan Africa (SSA) showed a significant turnaround recording a higher GDP growth for the first three quarters of 2017 of 2.4%, mainly driven by improvement in commodity exporting countries, which benefited from recovery in global commodity prices and stronger global growth that resulted into increased commodity demand. The International Monetary Fund (IMF) World Economic Outlook Update for October 2017, indicates that Sub-Saharan Africa (SSA) is expected to grow at a rate of 2.6% in 2017, from a two-decade low of 1.4% in 2016. East Africa is still recording the fastest growth with an expected average GDP growth rate of 5.4% in 2017 led by Tanzania at 6.5%.

Global markets update

The year 2017 was characterised by an upswing in global economic growth, with growth in the US and China gaining momentum and recovery in the Eurozone gathering pace. Global GDP growth in 2017 is expected to be approximately 3.6%, higher than the 3.2% registered in 2016. Resurgence in global demand, with a notable pickup in investment, trade, and industrial production, coupled with stronger business and consumer confidence were the key factors supporting the global growth. Central Banks reversed trend, gradually removing the accommodative policies that were used to support the economic recovery since the 2008 global financial crisis. In terms of trade, the World Trade Organisation (WTO) upgraded their outlook for world trade growth in 2017 to 3.6% from their 2.4% expectation in April 2017, citing resurgence of Asian trade flows as intra-regional shipments picked up, and as import demand in North America recovered after stalling in 2016.

CFO's report on financial performance

Yusuf Omari
Executive Director – Chief Financial Officer
Barclays Bank of Kenya

Cost-to-income ratio 55%	Total revenue Shs 30.3bn
Credit loss ratio 1.8%	Return on equity 16.4%
Profit before tax Shs 10.4bn	Return on risk-weighted assets 3.0%
Earnings per share Shs 1.28	Core capital 15.9%
Net interest margin 9.2%	Dividend per share Shs 1.00

Overview of 2017

In 2017, the Banking Industry faced a most unique operating environment following the introduction of interest rate caps in 2016, a prolonged electioneering period and a generally benign economic environment precipitated by declining private sector credit. The effects of drought in the first half of 2017 compounded these challenges.

The investment cycle was also muted, as investors, large and small companies stayed on the sidelines, until after the conclusion of elections in October.

Regulation in banking continued to tighten, with introduction of a guidance note on conducting Money Laundering/Terrorism Financing Risk assessment, draft Banking Penalty regulations, 2017 and Central Bank guidance note on cyber risk.

Against this backdrop, we took certain optimisation decisions to secure our financial profile, we accelerated staff rationalisation, reaching 2,268 full time employees. In 2017, we closed 13 branches as part of our consolidation strategy and drive for efficiency. Overall, our headcount came down by 12% in 2017.

These timely strategic actions have resulted in Barclays Bank posting commendable and satisfactory financial results, both on headline basis including long term investment one-off expenses, and on an understanding basis excluding the material one-offs.

Performance highlights

Profit before tax declined marginally by 5% compared to 2016, to Shs 10.4bn mainly due to the impact of interest rate caps, partially offset by a 21% reduction in impairment and a 1% reduction in operating expenses.

Return on equity (ROE) was at 15.7%, above our cost of equity of 14.5% implying value creation over the period, this is despite growth of our equity position by 4%.

Excluding material one-off expenses to support restructuring, cost to Income ratio was at 53%. The decisions we took to position the bank for future financial success resulted in headline cost to income ratio of 55%.

Six key trends were observed in the course of the year:

1. *Managing Revenues in an interest rates cap environment*

   Net Interest Income dropped by 2% to Shs 21.8bn as a result of interest rate caps with Retail and Business Banking businesses impacted materially due to their pricing model before the change.

   Non Funded Income dropped by 10% largely driven by changes in accounting treatment and lower mark to market ('MTM') gains on fixed income trading book. Within the Non Funded Income stream, we posted a 9% growth in foreign exchange revenue.

   Corporate Banking delivered a stellar 20% growth in revenue driven by a stable balance sheet growth which partly offset lower revenues from our Retail and Business Banking segments. We generated Shs 3.7bn of revenue from new streams in 2017 including Bancassurance, stock brokerage, agriculture and public sectors.

2. *Muted growth on loans and advances*

The bank posted a flat growth to close at Shs 168bn given the sluggish economy, impact of interest rate capping and extended electioneering period. At business level, we recorded a flat growth in retail banking while business banking improved by 2%.

Key focus products namely Scheme Loans, General lending and Assets Finance recorded strong year on year growth. On the corporate front, while the book performed well, we had significant repayments that led to a year on year drop of 2%. We continue to derive excellent results by tactically positioning our loan book as we de-risk the portfolio to ensure maximum returns.

3. *A deposit led strategy*

Customer deposits grew by 4% to Shs.186bn mainly driven by transactional accounts following the launch of new products such as the Twin Accounts and Zidisha reward product. Our transactional account balances accounted for 68% of the deposits (68% in 2016). Correspondingly, the average cost of funds dropped to 2.6% (3.0% in 2016).

Retail banking and business banking segments recorded year on year growth of 7% and 5% respectively. Corporate and investment banking business on the other hand posted a 2% decline year on year.

4. *Investments to manage cost profile*

Our costs stood at Shs 16.8bn reflecting a 1% drop year on year despite inflationary adjustments and investments. Within this cost, we have Shs 503mn that was incurred to meet our Voluntary Exit Scheme (VES) program. We continue to manage our costs with a number of running initiatives to create efficiencies. The savings derived have been used to fund sustainable investments. Top of these initiatives include automation of our processing centres, investment in alternative channels and branch rationalisation programs.

Our innovation and digitisation agenda is on top gear and is aimed at moving the bulk of transactions to alternative channels such as mobile banking, internet banking and agency banking. Non branch transactions stood at 64% up from 45% as at close of 2016. The cost to income ratio increased to 55% due to reduced revenues owing to the interest rate cap impact while the largest component, staff costs, increased by 4% as a result of the reorganisation in the year and accounted for 58% of the total costs.

5. *Improved credit collections*

Impairment recorded a 21% drop from Shs 3.9bn in 2016 to Shs 3.1bn this year which is largely attributed to concerted efforts to attain the highest level of underwriting standards as well as enhanced internal efficiencies on the collections and recoveries fronts. Our average loss rate stood at 1.8% with the non-performing loans (NPLs) Coverage Ratio at 70% while the statutory provisions remained nil; an indication of adequate provisioning way above the regulatory guidance.

The bank is well prepared and ready for the implementation of IFRS 9 that comes into effect from January 2018.

We have invested in people, systems and processes to ensure we continue to record low impairment levels in the coming years.

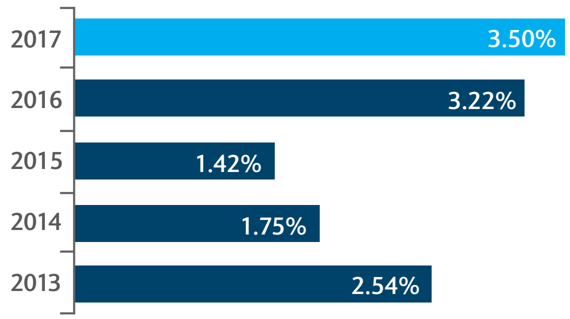
6. *Superior Capital and Liquidity position*

The bank continues to post very strong capital and liquidity ratios showing sufficient headroom above the regulatory requirements. Our total capital adequacy ratio was 18.0% and liquidity reserve positions was 33.4% against the regulatory limits of 14.5% and 20% respectively.

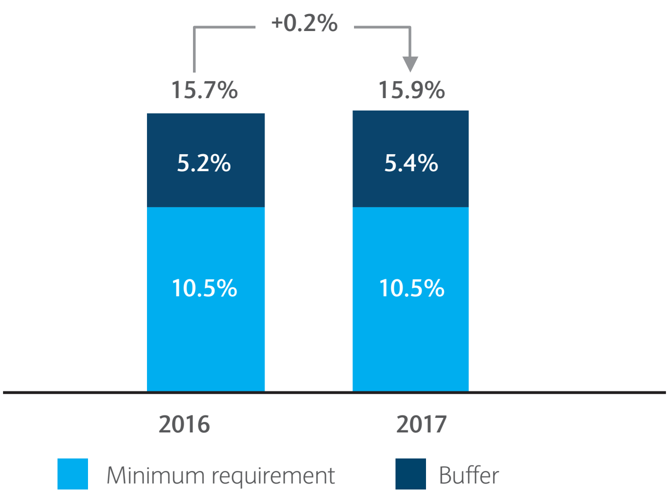
We do not foresee any adverse impact on our capital ratios as a result of the implementation of IFRS 9.

We are therefore well positioned to support future growth in line with our medium to long term strategy.

Portfolio provision to performing loans (%)



Common tier 1 ratio movement



CFO's report on financial performance *(continued)*

Looking ahead

Performance outlook

Looking forward, we remain very optimistic in 2018, the key macroeconomic indicators remain firm within the Central Bank of Kenya target bands and local currency holding stable against major world currencies. The successful conclusion of the Presidential General Election offers likely impetus for economic growth.

Against this position and barring any regulatory and macroeconomic development, we continue to expect reasonable growth in our Balance Sheet.

Some of the key initiatives to boost revenue going forward include launch of virtual banking, leverage on returns from Barclays Financial Services Ltd (BFSL), growth in bancassurance, mobilisation of deposits and accelerated balance sheet growth especially in business banking and retail lending following the interest rate cap.

We will continue to focus on automation and improvement in productivity. Our objective is to increase the usage of alternate channels from the current 64% to more than 80% while targeting a cost income ratio of less than 50%.

In light of IFRS 9, we shall review our product Return on Risk Weighted Assets (RORWA) and ensure that we maximise growth in products with highest returns.

To further counter the impact of IFRS 9, we have lined up measures such as:-

- Prospect targeting i.e. focusing on profitable segments and use of quality customer targeting using Predictive Models (Big Data)
- Focusing on risk based pricing and improved contactibility i.e. use of government data banks, social media
- Improved customer and relationship management while leveraging front end staff as first line defence support for roll forwards
- Adoption of predictive models using bureau analytics on probability for default especially pre-delinquency buckets
- Collection strategies such as use of models and strategies based on customer vs product especially customers with multi-loans leveraging off bureau analytics and off the branch network to manage pre-delinquency bucket to manage roll forwards.

Our capital and dividend targets remain key focus areas. The board targets capital ratios of at least 1.5% above the regulatory limits coupled with sustainable dividend pay-out targets to our shareholders.

Yusuf Omari
Executive Director – Chief Financial Officer
Barclays Bank of Kenya

Risk management statement

Our reputation is important when it comes to our customers, clients, regulator and shareholders' trust in our integrity and competence in managing risks. All Barclays colleagues, regardless of their positions, functions or locations, must play their part in risk management.

Chiera Waithaka
Chief Risk Officer

Risk management statement

Effective risk management and control are essential for sustainable and profitable growth.

Our risk culture

As Barclays Bank of Kenya, we engage in activities which entail risk taking, every day, throughout our business. The Bank is vulnerable to credit losses in its lending and banking transactions. It experiences gains and losses from market risk in its traded positions. It is subject to Treasury risk (including liquidity, leverage, capital loss) in its financial management. In serving our clients, we are subject to operational risks, including from fraud and process or technology failure.

Our reputation is important when it comes to our customers, clients, regulator and shareholders' trust in our integrity and competence in managing risks. All Barclays colleagues, regardless of their positions, functions or locations, must play their part in risk management.

Employees are required to be familiar with risk management policies which are relevant to their responsibilities, know how to escalate actual or potential risk issues, and have a role-appropriate level of awareness of the risk they manage.

Enterprise risk management framework

The Board approves, on an annual basis, the Bank's Enterprise Risk Management Framework (ERMF) while setting risk appetite limits for the key principal risks. The Framework is the foundation for our awareness, capabilities and responsibilities.

The ERMF categorises the principle risks faced by the bank and includes those risks taken by the Bank that are foreseeable, and material enough to merit establishing specific bank-wide control frameworks. These are known as Key Risks and are grouped into financial and non-financial principal risks. The financial risks include Credit; Market; Capital and Funding risk while non-financial risks include interalia Operational; Cyber; Model; Conduct and Reputational risk.

The Framework aims to set clear standards to protect our clients and customers by embedding a strong risk culture and establishing bank-wide risk management practices and requirements in the execution of business strategy.

Risk management function

Roles and responsibilities

The Chief Risk Officer (CRO) is the Senior Manager accountable for the creation, implementation and maintenance of the ERMF in the bank. All material changes are subject to review at the management risk Committees of the Bank and for approval by the Board.

The role of the Bank's risk management function is to develop and implement frameworks, policies and associated standards that ensure all financial and non-financial principal risks are subject to limits, monitored and reported on and escalated as required.

Risk management statement *(continued)*

Using a Three Lines of Defence operating model, all staff actively participate in risk management through the appropriate assignment of accountability to parties that:

a) Own and take risk, and implement controls (First Line of Defence) namely the functional Heads;

b) Oversee and challenge the first line, providing independent risk management activity and support controls (Second Line of Defence). This is the primary function of the Risk Management Heads; and

c) Provide independent assurance that risk processes are fit for purpose, and that they are being carried out as intended (Third Line of Defence) through periodic reviews by Audit.

The above model enables the Bank formalise independence and challenge, whilst promoting collaboration and the flow of information between all areas.

Management in the first, second and third lines of defence are required to manage their businesses and functions in accordance with set out principles below.

a) Culture: There is a strong tone from the top supporting the management of controls and clear individual accountability and responsibility for the management of the control environment, incorporated into performance objectives.

b) Risk appetite: Key customer processes and other activities are clearly identified and understood with material risks, arising therein, assessed and a risk appetite established for the variable outcomes to these risks.

c) Monitoring and control: A set of comprehensive and sustainable key controls is established and operated to remain within the risk appetite. Issues, events outside of risk appetite and control failures are identified and escalated.

d) Escalation and feedback: Escalation should lead to remediation of control gaps or execution failures. Feedback loops including a "lessons learnt" process inform and improve control performance.

Organisational structure update

Following the best practice and risk management guidelines issued by the Central Bank of Kenya, Barclays has institutionalised the independence of the risk function and allocated the management of credit risk to the Country Credit Director responsible for the implementation of credit strategy, policy and operations across the credit lifecycle. This enables the Risk Function maintain independent oversight over portfolio risk limits, policies and procedures. The risk function is also accountable in ensuring rating and impairment model outputs are robust and consistent within risk appetite guidelines set by the Board.

Legal and Conduct Risk is under the ambit of Chief Compliance officer who is accountable directly to the board. Legal and Conduct risk are not subject to risk appetite limits and we adopt a zero tolerance approach to compliance requirements.

Risk appetite

Risk appetite and stress testing are key components of the Bank's management of risk and are embedded as part of the strategic planning process.

In 2017, the Board approved an integrated planning risk review framework that incorporates a risk appetite statement for 2018 which describes the amount and types of risk that the Bank is prepared to take in executing its strategy. The Bank's risk appetite framework combines a top-down view of capacity to take risk with a bottom-up view of the risk profile associated with each business area's plans.

The Bank manages its risk profile in a forward-looking manner through a trigger and management action framework. Key indicators and triggers have been developed to serve as an early warning system in the event of deteriorating circumstances. The indicators include, inter alia, economic indices directly correlated with risk measures and key financial indicators. The indicators and triggers have been implemented at country and product levels, and are routinely monitored by management and reported to the Board Audit and Risk Committee on a quarterly basis.

Risk review of 2017

2017 was a challenging year for the industry and economy at large. The economic environment was characterised by muted consumer demand and limited investment against the backdrop of a prolonged electioneering period and a full year of regulated interest rates.

While the movement in currency and interest and inflation rates were benign, the deceleration in economic growth coming off the back of 2016 proved a challenge to several sectors of the economy.

Private sector credit expansion contracted to 2.4% over the year reaching 20 year low according to the published Central Bank statistics with economic growth forecasted at 4.7% for the fourth quarter, reflecting a decline in GDP growth over the year.

Performance of the banking sector was affected with the industry reporting depressed revenues and incremental non-performing assets.

Barclays has positioned itself well to withstand the changes. Our overall risk management performance for 2017 continued to be sound with all risk measures remaining within the Board-approved risk appetite. Key highlights included:

- Customer loan growth was muted year on year closing at Shs 168bn in 2017 (PY 173.9bn) The bank focused on the diversification of our business to resilient sectors in the Corporate and Business Banking franchise. Consumer Banking growth was limited to low risk sectors to allow for a positive return on risk.
- The Credit risk profile metrics improved year on year based on an aggressive collection strategy on existing accounts and prudent retail lending policy changes to insulate the loan book from potential adverse economic shocks.

- Overall coverage on non-performing loans remained sound at 79% (2016: 79%) and provides comfort on adequacy of our provisioning methodologies in light of the new accounting standards.
- The bank continued to be well capitalised with a Tier 1 capital adequacy ratio of 15.90% and Total capital ratio of 18.1%. We experienced impressive liquidity ratios averaging 33.23% over the year reflecting continued customer confidence in the brand and as a consequence of limited opportunity in the Customer Loan Book.
- The board has set a capital buffer of 1.5% on Tier 1 and Total Capital for the 2018 period based on minimum capital outputs from series of specific and multifactor stress scenarios.
- In 2017, the Central Bank of Kenya introduced the Internal Capital Adequacy Assessment Process (ICAAP). Banks are required to formulate their own ICAAP to confirm that overall internal capital levels are adequate and consistent with their strategies, business plans, risk profiles and operating environments. BBK has successfully submitted its 2016/17 report to the regulator indicating appropriate buffers are held to cater for the various stress scenarios.
- The uncertain economic environment led to limited position taking in our fixed income and trading desks with rates remaining within tight ranges reducing the opportunity for significant gains. Mark to Market gains on fixed income trading dipped to Shs. 351mn from prior year due to a relatively steady yield curve(2016: Shs.844mn gain).
- Following on the above point, the bank was within its regulatory exposure limits on currency net open positions and internal value at risk limits for its interest rate and foreign exchange trading books.
- Total operational risk and fraud losses continue to be well within appetite arising from a robust operational risk framework that anticipates and remediates potential process failures across the three lines of defence.

Credit risk section

In 2017, there was a marked improvement in the risk profile of the lending book as evidenced by the following risk indicators:

- Overall impairment declined 21% from Shs 3.9bn in 2016 to Shs 3.1bn in 2017 due to a revision of credit appetite and focus on attaining high credit standards as well as enhanced internal efficiencies. During the year, we leveraged on the use of predictive analytics to improve collections capacity which resulted in higher productivity within the debt collections team.
- Average loss rate improved from 2.33% in 2016 to 1.8% , which signifies a better risk profile of the lending book.

In November 2017, Barclays Kenya was named the overall winner of The Asian Banker Achievement in Credit Risk Management in the Middle East and Africa Award. The award recognised Barclays for being proactive in Risk Management which enabled the bank to navigate the retail portfolio through a very challenging operating environment this year. It also recognised our Collections and Recoveries strategies and preparedness to adopt the new global accounting standard – IFRS 9. The Asian Banker Risk Management Awards is a landmark recognition programme to identify and benchmark the best practices and achievements of outstanding risk management teams in various financial institutions within the Middle East and Africa region.

We remain cautiously optimistic of the macroeconomic conditions in 2018 after the election cycle. Lead indicators like the Purchasing Managers Index are on an upward monthly trend at the close of December 2017 coupled with a resilient stock and bond market, signalling increased investor confidence. Agriculture, the mainstay of Kenyan economy, subject to weather vagaries, appears to be on a path to recovery.

From an industry perspective, increased regulation and changes in Accounting Standards mean that 2018 will remain a tough year. A key unknown remains the interest rate cap regulation which, in our opinion, has hampered the effectiveness of the policy rate as a transmission mechanism for credit expansion / contraction due to the inability to price for risk. We are supportive of a solution that works for the customers and the industry participants.

Future risk priorities

2018 credit risk priorities

In 2018, Credit Risk aims to deliver credit frameworks and policies to support new RBB lending propositions, which include the roll-out of the micro-SME segment, wealth management proposition and customer acquisition in the Cards segment. We will also develop credit application scorecards to support the implementation of virtual banking which will be the platform that will be used for micro-SME lending.

Leveraging on data analytics to improve collections and recoveries performance will remain a key priority for RBB lending in 2018.

On CIB lending, Credit Risk will continue to refine credit risk appetite to support growth in Local Large Corporates and Public Sector as part of the diversification agenda. In addition, Credit will continue to increase capabilities within the team to support the focus on Structured Trade and Commodity Finance.

Impairment accounting methodology (IFRS 9)

The Kenya banking sector has adopted changes to the International Finance Reporting Standards for the 2018 financial year. Barclays has noted it as a top priority for 2017 and 2018.

While IFRS 9 affects three categories of financial reporting, namely classification, measurement of financial assets as well as hedge accounting, the biggest impact to the industry is the change in the impairment recognition methodology which calls for a forward looking view of expected credit losses.

Banks are required to apply an impairment allowance on acceptance of all financial assets. The standard also stipulates that the allowance is to be increased where there is deterioration in the credit quality of the asset, regardless of an event of default having occurred.

Risk management statement *(continued)*

The impairment amount is an estimate of the difference between the contractual cash flows and the expected receipts should a default occur. For performing assets, the impairment amount is multiplied by a probability factor of the asset defaulting over 12 months. In the case of a deteriorated asset, the probability factor is assessed over the entire lifetime of the financial asset leading to a significantly higher allowance.

Barclays Bank has over the last financial year reviewed and revised its impairment models and processes to ensure compliance with International Financial Reporting Standards requirements.

We conducted parallel runs to assess the Day 1 impact and implemented processes for accurate reporting over the subsequent accounting periods. Our assessment is twofold:

- Based on our parallel runs we have limited deviation from our initial 'Day 1 impact' forecasts and remain adequately capitalised at a capital ratio of 18% which is sufficient to achieve our asset growth aspirations over the medium term 2018-2020.
- Due to a consistent prudent approach to our impairment methodology under the IAS 39 standard, we expect minimal volatility in our full year impairment forecasts for the accounting period ending 2018.

To embed our compliance with the Accounting Standards, the Barclays Bank of Kenya Board has;

- Reviewed and approved updated credit policies to comply with the IFRS standards.
- Established Business Guidelines for classification of financial assets impacted under the IFRS methodology.
- Approved short term and medium term financial plans under the IFRS impairment methodology including the capital impact of the transition.

Emerging risks

Conventional wisdom is that the volatility experienced in the global macro environment over the past two years will be the new norm. The biggest challenge we face in our risk management practices is not the accuracy of our forecasts but the ability to anticipate change and respond accordingly. Our Evaluate, Respond and Monitor capabilities will be critical in shaping the successful organisation of the future.

We view our key risk priorities as follows;

Embracing our digital bank ambition in the risk management space. Initiative include;

- Use of digital channels to enhance our lending product solutions e.g. mobile lending and SME solutions to meet the constantly evolving markets.
- Utilising data analytics teams and resources within Barclays Kenya and our associate group to build better customer insights and monitor operational trends. This will strengthen our management ability to proactively monitor and respond to risk events across all business processes.
- Investing in technology to automate our operations to provide our customers with a lower cost to serve while reducing our operational risk vulnerabilities.

Effective risk data aggregation and risk reporting.

To enable the Board manage risk appetite and the trigger framework on a forward looking basis we have identified the following focus areas for 2018;

- Regular stress testing as a key element of the Bank's integrated planning process. Through regular stress testing and scenario analysis, the Bank is able to assess the performance of the various portfolios in the rapidly evolving environment and also evaluate the impact of adverse economic conditions.
- A central data analytics team with the requisite resources and skill sets to upgrade our scenario analysis and stress testing tools to provide efficient and effective response times for remedial action. In addition to this, the data management initiatives will ensure compliance to local and international risk reporting standards as stipulated under IFRS 9 and BCBS 239 (Basel Committee on Banking and Supervision Standards number 239 governing principles for effective risk data aggregation and risk reporting).
- Improve the Governance Committee structure through the establishment of an Enterprise Risk Committee to apply a holistic governance approach across all risk types.

Cyber risk and reputational risk

With increased use of technology and migration to digital channels, cyber crime and reputation risk, arising from poor data management, continue to dominate the financial industry headlines.

- Barclays Bank Kenya has fully adopted the group and regulator best practice guidelines subject to external audit.
- A key focus for 2018 is to have a fit for purpose operational risk control infrastructure with heightened surveillance resources.
- Internally, we will undertake a critical process assessment reflecting on the migration to digital customer service channels and data processes to assess and remediate any vulnerability to data privacy and cybercrime.

Capital optimisation

To balance increasing regulation, accounting standards, and shareholder return requirements, we need to manage the trade-off between an expected increase in capital demand (regulatory changes and organic growth opportunities) and the counter effect of excess capital on shareholder value. To optimise the use of capital, important priorities for the treasury and capital management are:

- Identify and execute opportunities for Risk Weighted Asset (RWA) efficiency. In addition to helping to deliver an enhanced RoE, material RWA efficiencies can support higher dividends to shareholders. It will also provide capacity to absorb the impact of regulatory change without impacting business growth. RWA process efficiencies remain a key focus area for BBK, and the Asset and Liablities Committee (ALCO) will continue to monitor progress in accordance with the governance structure.

- Further, BBK continually identifies management actions to reduce the potential excess Tier 1 capital, without jeopardising BBK's ability to comply with regulatory requirements. The consideration of capital issuance under business as usual and stressed conditions is constantly investigated and will be actioned if deemed appropriate. Appropriate approval will be requested if capital issuance is deemed necessary. The Medium Term Plan (MTP) forecast capital plan incorporates Tier 2 capital issuances in 2018.

Governance structures

The responsibility for risk management resides at all levels within Barclays Kenya starting with the Board and the CMC, and filtering down to each business manager and Principal and Key Risk Officers (KRO).

The governance structure incorporates key risk Management Committees that provide for the review, escalation of deviations and required remedial action using quarterly reports on the risk profile of the bank.

Barclays Kenya estimates its capacity to absorb losses in terms of the tolerable level of variance from financial targets. If the business plan projections or risk profiles indicate too high a level of risk, management will challenge each area to find new ways to re-balance the business mix to bring it back within appetite. This enables the bank improve risk and return characteristics across the business and to meet growth targets within an overall risk appetite.

Risk management statement *(continued)*

Risk management governance Committees

Board Risk and Audit Committee

- The Risk and Audit Committee has been established to assist the Board in carrying out its risk management duties and is charged with the related responsibilities imposed by the Board, as well as by the applicable regulatory authorities. It is responsible for reviewing the overall risk appetite, policies and practices of the Bank, as well as the Bank's various risk profiles to ensure that they are understood and appropriately managed.

Country Management Committee (CMC)

- The CMC headed by the CEO assist the Board in fulfilling its responsibilities in managing risk and complying with the relevant requirements of the Banking Act. Management determines and recommends BBK's risk appetite to the Board and then reviews and monitors the risk profile against the risk appetite. The CMC also approves control frameworks for various principal risks, assists in determining capital and liquidity target ranges and monitors capital and liquidity levels.

Asset and Liabilities Committee (ALCO)

- The ALCO is constituted as a mandatory management Committee of the bank as defined by the Central Bank of Kenya Prudential Guidelines 2013 and chaired by the CEO/CFO. ALCO derives the most appropriate strategy for the Bank in terms of the mix of assets and liabilities. In this analysis it incorporates future expectations and potential consequences of interest-rate movements, liquidity constraints, and foreign exchange exposure and capital adequacy. The Committee recommends to the Board of Directors prudent asset/liability management policies and procedures to achieve Bank strategy while operating in full compliance with all the requirements of the Banking Act and CBK Prudential Guidelines.

Operational Risk and Controls Committee (ORCC)

- The ORCC, chaired by the CRO, on a quarterly basis reviews the effectiveness of the Operational Risk Framework. On an annual basis the Committee reviews the Operational Risk appetite statement (for approval by the Board). The reports contain the country wide Operational Risk profile and control environment versus appetite, including: risk event losses/gains and trends; risk and control assessment statistics. Specific deep dives are performed on significant change programmes.

Classification and escalation of control issues

We utilise a Risk and Issue Classification Matrix ('the Matrix') to classify and escalate risks and issues. The Matrix assesses materiality on the basis of impact at the Bank's level and it also combines assessments of severity and probability of impacts. The Matrix is applicable to all businesses and functions and all issues arising in Operational Risk, Conduct Risk and Reputational Risk. Financial Risks are more quantitative in nature and have separate established methodologies to assess and escalate issues.

Business reviews

Retail and Business Banking

We remain committed to attracting quality new customers and deepening our existing customer relationships through customer lifecycle management with relevant customer propositions in terms of products and tailor made service solutions for the different customer segments.

Zahid Mustafa
Director of Retail and Business Banking

Our performance

Retail	2017	2016	Growth
Shs (mn)			%
Net Interest Income	16 639	18 065	(8)
Impairment	2 856	3 834	(26)
Customer Loans	105 180	103 418	2
Customer Deposits	154 444	150 795	2
Impairment Loss rate (bps)	272	371	

Commentary

The Retail and Business Banking (RBB) division has continued transforming its business model through step changing client experiences by enhancing quality of service and offerings to grow client trust and satisfaction to be the preferred financial institution for customers. In retail, our focus was around driving a five star service, offering innovative and tailored products for our clients. To achieve our aspirations we worked on optimising our service footprint in terms of physical service points and enhancing our digital channels for individuals and small business customers, we continued our focus on service and enhancing our client propositions through new product solutions.

The customer remains central to what we do. Our focus remains on finding solutions for the affluent, emerging affluent and mass market through offering of easier banking solutions and products that fit into the segment's aspirations and lifestyle. We remain committed to attracting quality new customers and deepening our existing customer relationships through customer lifecycle management with relevant customer propositions in terms of products and tailor made service solutions for the different customer segments.

It is important that we understand our customers preferences and respond by offering them the most suitable products and services. In 2017, we placed emphasis on driving knowledge of our transactional banking capabilities and deeper collaboration with complimentary services such as bancassurance, money markets and investment banking. Through this synergy, we are able to leverage our customer base as well as increase customer retention through the provision of integrated financial services tailored to the lifecycle of our customers.

We are a market leader in providing segment pricing to our customers through different pricing points for different customer groups on both transactional and lending services. As the pioneer of scheme and payroll loans in Kenya, we continue to drive differentiated pricing for different companies as part of our customer acquisition strategy.

The SME sector is core to our growth agenda and in order to effectively fulfil our agenda for fostering the development of the SME sector, we invested in ensuring our front-line employees have the capability and skills to serve RBB customers (universal bankers). We continue to offer a diversified suite of relevant solutions such as local and foreign currency current accounts, savings accounts. Furthermore we are embedding Shared Growth through financially inclusive products and services; and business support and development programmes.

We continued to pursue initiatives designed to enhance client convenience while emphasising the importance of customer satisfaction. The most frequently used products are transactional products which include the Premier current account, Prestige bouquet, Ultimate account, Pepea and SME Bouquet Plus account.

Business reviews *(continued)*

As part of a wider Kenyan banking industry initiative, we rolled out Pesa Link which is a revolutionary platform that enables transfers of money from one bank account to another in real time on a 24/7 basis. This solution enables our customers to transfer funds on all banks' retail payment channels including mobile, ATM, Internet banking, agency, bank branches and point of sale hence offering additional potential for Barclays to innovate on payments solutions.

In the year, we launched the Twin Plus account which is a digitally operated current account that gives customers access to monthly cash rewards and free embedded insurance based on their Personal and Business Current accounts. This account targets Barclays customers who are looking for differentiated financial solutions based on their lifestyle and needs and want value for their money.

The account is operated digitally through our internet banking and mobile banking platforms, fully eliminating the need to access the branch for electronic transactions. The key features are;

- The accounts allow unlimited deposits and withdrawals through our digital platforms.
- The customer enjoys flexibility since they can direct extra funds in their twin account which is accessible to them 24/7 as there are no restrictions on number of withdrawal unlike a savings account.
- There is also no limit to the number of transactions a customer can do, no minimum balance to earn rewards, free sweep instructions and standing orders to the twin account.
- The customer is rewarded on their transaction behaviour and balances. This is calculated daily and paid monthly.
- The customer also enjoys embedded insurance on against personal accidents, loss of gadget e.g. laptops and phones, education policies, ATM theft and retrenchment.

Under our mortgage centre, we ran several digital campaigns to drive lead generation. In partnership with merchants and developers we were able to offer value-adds to our mortgage customers to enjoy exclusive discounts of up to 20% on select items. We also organised a mortgage EXPO at Westgate Mall in Nairobi and open days with Le Mac located at Garden City Mall in Nairobi.

During the year we also undertook an extensive branch optimisation exercise to ensure our physical distribution best fits our customer profile and expectations. A migration of 68% of the transactions from branches into alternate channels created an opportunity to relocate 2 branches and close 7 branches in order to deliver a lean and fit for purpose distribution network.

Non-funded income

RBB contributed Shs 5,250mn to the non-funded income through service fees driven by new customer acquisitions, annual fees from credit cards and commissions earned from bancassurance, foreign exchange, transactional banking, trade and cash management.

We continue to be the leading card issuer in Kenya with 95,000 credit cards, 260,000 debit cards and 11,692 prepaid cards in issue as well as 3,785 card merchants throughout the country. This is in line with our strategy to increase convenience for our customers and grow our fee income. In order to grow the revenue generated from our card business, we have managed to secure exclusive deals with merchants such as Amazon, ShowMax, Serena Worldmiles, Two Rivers Mall amongst others, so as to accelerate usage.

Looking forward

The RBB division will continue to focus on the customer as core to our business strategy and consequently the growth of our business. Planned investments and product innovation will all be tailored to meet consumer needs in all aspects of the customer life cycle.

In order to support continued product innovation through tailor made financial solutions priced at the right level for different solutions, we are investing in an automated core billing and pricing solution alongside building our capacity on advanced customer analytics. These investments will enable us to diversify our product pricing and offerings to the right client profile. Additional capacity on intelligent digital advertising solutions will enable us to market our products to the right market segments in a more efficient manner.

Landing a solution for the mass personal market and SME business is key to drive our growth. This will be achieved by our recently piloted virtual banking solution that will enable us to offer conventional banking through an affordable channel hence unlocking the right pricing for these segments affected by current conventional banking pricing.

RBB will also continue to focus on channel optimisation through improving our branch network, enhancing our digital banking solutions both for personal customers and SMEs and growing our agency banking footprint to ensure our customers have improved convenience and better service channels that fit their needs and aspirations.

Service will continue to be core to our success, underpinning our desire to be the 'Go To Bank'. We will be streamlining our business processes hence improving our execution speed to customer needs alongside review of business policies especially on credit to ensure the right flexibility as demanded by a diverse clientele base. Improving our systems remains core especially in light of continued growth in digital and agency banking channel usage; this will ensure the right client experience when accessing our services.

Our people remain at the centre of everything we do and especially in driving the right service culture, hence continued investment in our sales and service teams will be critical to drive the bank's growth through customer acquisition and product uptake. The main areas will be to improve our people's capability through investment in training, driving the right skill sets around relationship management to deepen our relations with our clients alongside the right compensation and performance management systems. All the investments in our people will be about enhancing our 5 star service culture and driving business growth through better understanding of our clients' needs.

Corporate and Investment Banking (CIB)

There has been a lot of investment in the technology we use and offer our customers seamless, consistent and superior client experience that can only be enabled by robust and efficient digital and technology solutions.

James Agin
Corporate Banking Director

Our performance

Corporate	2017	2016	Growth
Shs (mn)			%
Net Interest Income	**5 162**	4 269	21
Impairment	**259**	93	178
Customer Loans	**63 217**	65 092	(3)
Customer Deposits	**31 533**	27 385	15
Impairment Loss rate (bps)	**41**	14	

Commentary

In CIB, we are leveraging the full potential of our capabilities, reach and expertise both locally and globally to set ourselves apart as a 'Go-To' corporate and investment bank. We are already a leading corporate bank in Kenya and we enjoy solid and longstanding relationships with more than 500 corporate clients in Kenya. To date, we have issued more than Shs 12bn in loans to this segment, with individual client borrowing of up to Shs 3bn, making us one of the country's top corporate lenders. In addition to this, our continued focus on Structured Trade and Commodity Finance led to the successful execution of deals worth Shs 17.56bn (USD 170mn) in Fuel Open Tender System and commodity deals.

In 2017, we further expanded the range of solutions for our clients through innovative technology and digital interfaces focusing on foreign exchange, cash and liquidity platforms. There has been a lot of investment in the technology we use and offer our customers seamless, consistent and superior client experience that can only be enabled by robust and efficient digital and technology solutions.

Our sector diversification strategy continued into 2017 and has yielded good results with 46 new customers on-boarded from the public sector, global corporates, international development agencies and large local and regional businesses. Still building on the diversification agenda we were able to form key partnerships with multilateral and global development institutions to provide financing for government/private based projects worth Shs 20.66bn (USD 200mn) and successfully executed Shs 7.75bn (USD 75mn) in off-shore government syndicated loans. CIB's contribution to the overall income and profit before tax (PBT) of the Bank stood at Shs 8,093mn and 4,857mn respectively which represents a growth of 9% and 1%.

We increased our momentum in driving the uptake of transactional banking and cash management for our corporate customers through stronger relationship management so as to understand our customers intimately and develop customised solutions.

We also increased our share of the corporate market by leveraging innovative customer relationship management tools, renewing our product offering and cross-selling our value-added services. Thanks to these initiatives coupled with our specialised advice, trade finance and treasury products, we further improved customer satisfaction in this segment as measured by our Net Promoter Score (NPS) score. Barclays gained recognition at the Think Business Banking Awards 2017 where Corporate Banking scooped three awards for; best corporate banker of the year award to our Corporate Banking Director, 1st runners up best bank in trade finance and 2nd runners up best bank in corporate banking.

Business reviews *(continued)*

The program leverages on the bank's existing relationship with its corporate customers and therefore beneficiaries are not be required to present their financials and other collaterals to access funding.

Through the new Enterprise and Supply Chain Development (ESD) program, we are able to finance SMEs supplying goods and services to big corporates on the basis of a valid contract, thus enabling them to grow and make a bigger contribution to the economy. Through this program, we are going beyond provision of funding for the SME's within the corporate value chain, by also deploying non-financial trainings and workshops for entrepreneurs to support their growth. With an allocation of Shs 150mn to support the program in 2017, SMEs were able to access the funds through the bank's existing products including bank guarantees, letters of credit, short term loans, invoice discounting and overdrafts. Beneficiaries of the program are identified through our corporate customers and are not required to be our customers at the on-boarding stage.

Going forward we will continue to partner with clients to achieve their shared growth objectives by assisting them to grow together with their eco-systems to enhance our ability to grow our business and mitigate risks by serving their entire value chains.

Markets

There has been significant growth in client appetite and activity as well as use of markets products to manage their foreign exchange exposure.

Anthony Kirui
Head of Markets

Our performance

Markets	2017	2016	Growth
Shsmn			%
Net Foreign Exchange income	2 864	2 620	9
Financial instruments at fair value through profit or loss	351	885	(60)

Commentary

This segment of our business continues to register exemplary growth in both revenue and customer numbers by improving our visibility and building awareness of our wide range of offerings. Markets now contributes to 18% of profit before tax (PBT) and is the largest driver of non-funded income for the bank. This has been as a result of increased integration with RBB and CIB in delivering customised and holistic financial solutions for their customers. By enabling seamless customer and client engagement and enablement, we are able to provide value propositions in response to customer financial and investment needs. In order to remain the leader in a very competitive market and achieve targeted growth, we made significant investments in customer, digital and data capabilities. As a culmination of our excellence and dedication to this market, we were awarded Investment Bank of the year at the Banker Africa Awards ceremony.

Our focus on growing business volumes in 2017 allowed us to grow our business despite the challenges that came with the extended electioneering process. We remained confident in the markets resilience and positioned ourselves accordingly while carefully monitoring the interest rate environment and always remaining cognisant of the risk and uncertainties that typify the electoral period. All in all, our well timed optimism paid off as we grew our market lead and position in 2017. Markets contributed an increased portion of the bottom line in 2017 and Foreign Exchange (FX) revenues over the last 3 years alone have grown by close to 50%.

We also managed to grow overall client volumes by close to 20% despite increasing pressure on margins with a growing industry focus on non-funded income in the wake of the interest rate caps. A key anchor to our volume growth and the overall growth of our business has been a very deliberate focus on growing our client wallet share as well as the overall number of clients we serve and 2017 was no different with a growth in our client base being the key driver behind our overall growth in turnover.

Spot FX remains our largest product by volume and revenue. However, the deepening of the financial markets has seen growth in two products, namely, the FX forward and swaps, and a deeper and more active interbank market in these products.

There has been significant growth in client appetite and activity as well as use of these products to manage their foreign exchange exposure. The larger and more active interbank trades in these products and continuous improvements in liquidity has also contributed to growing trading revenues in 2017 by over 40%. The growth in volumes through our electronic trading platform (BARX) was a key success for us in 2017. Kenya outside of South Africa continues to dominate electronic trading platforms flows for Barclays Africa. We saw volumes grow by over 30% in 2017 and expect similar growth levels in 2018.

Barclays Financial Services Limited (BFSL) has grown significantly in the volume of business and the revenue it generates for the business. On top of the services offered such as cash equity trading services, fixed income, bond trading, derivatives and

Business reviews *(continued)*

exchange traded funds, we continue to innovate and offer our customers a diverse spectrum of investment instruments. We launched and listed the Barclays NewGold ETF on the Nairobi Securities Exchange (NSE). The NewGold ETF which is also listed on the Johannesburg Stock Exchange (JSE) enables investors to invest in an instrument which tracks the price of Gold Bullion. If an investor buys the security/share of the NewGold ETF he is effectively buying approximately 1/100th of an ounce of Gold which is held in a secure depository on behalf of investors and is backed by physical gold. This innovation is a testament to our commitment to further deepen and increase sophistication of our markets business by leveraging our regional expertise and consequently, contribute to the growth of our local financial markets in line with our Shared Growth agenda. In the year we sold 9,000 units of the NewGold ETF and this will continue to grow into the future.

Customer numbers grew by 150 new customers as a result of efforts to deepen our customer engagement through a more focused customer support model supported by customer relationship management, customer segmentation and customer targeting. This growth in customer numbers has been a primary driver of our turnover and is very encouraging as it signals the maturity of the Kenyan market that is ripe for wealth management products and solutions.

Future outlook

Competition is heating up locally in the financial markets space as banks seek to diversify their income through non-funded revenue. Our confidence is built on a strong foundation of many years of expertise and our ability to provide ease of doing business and speed of execution to our clients. With the world class BARX platform, we are able to provide company-specific and real-time streaming of exchange rate information and enable customers to make informed and real time decisions, thus managing their foreign exchange requirements at their convenience. Our strong balance sheet and product range differentiates us and allows us to offer more sophisticated solutions and instruments tailored to our customers' specific needs.

The growth of electronic platforms makes it easier for our clients to transact. This remained a key focus for us and we have seen an uptake and volumes growth by over 30% in 2017. There is a continuous growth in customer volumes on BARX and we seek to increase the numbers of trades done over this system. The intention being to make it easy and convenient for client to execute deals with us while allowing our dealers to focus on innovative solutions and grow our client relationship. The system thereby, becomes a tool to broaden our client relationship rather than replace it.

Fixed income and interest rate trading are key areas of growth as our financial market deepens and grows in sophistication. The advent of over the counter trading in government securities will see a growth in trading volumes and we see this as a key focus area for our business. Increased client sophistication will mean the deepening of our swap and forward market and in time, we see the development of a local currency derivative market though this will take time. Key reforms and growth in the capital markets will automatically attract more sophisticated players to our local markets which will in turn be a catalyst for the evolution and deepening of the foreign exchange and fixed income markets.

Contributing to the conversation around Financial Market development, Barclays Africa working with Official Monetary and Financial Institutions Forum (OMFIF), an independent think tank for central banking, economic policy and public investment, launched the Africa Financial Markets Index (AFMI) in Washington in October 2017 and in Kenya in January 2018. The AFMI, covering 17 countries across Africa and providing a key benchmark measured against 6 pillars of financial market development provides a tool for policy makers to benchmark their markets and drive financial market development.

Discussing the maturity, openness, accessibility of Africa's financial markets.

The Index focuses on six fundamental pillars for financial market performance:

Market depth - Products, market size, liquidity and depth

Access to foreign exchange - FX liquidity, capital restrictions, FX reporting, reserves

Market transparency and regulation - Basel, accounting standards, tax environment, market reporting, ratings, minorities

Capacity of local investors - Pensions and local asset managers

Macroeconomic opportunity - Economic growth, competitiveness, data standards, budgets/MPC transparency, debt profile

Enforceability of international financial agreements - Insolvency framework, netting and collateral positions, use of standard agreement

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Balanced Scorecard performance summary

We ensure a balanced review of our performance by tracking progress through, among others, internal dashboards, regular management reporting and external measures.

	What do we consider as success?	How we measure success	Top line metrics		YoY change
Company	• Achieving financial targets timeously, generating sustainable returns for our shareholders, and managing the separation	Financial targets for: • Returns • Capital • Cost • Revenue growth	Return on equity **Target:** 15%	15.7%	↓
			Common equity tier 1 ratio **Target:** above regulatory requirements	15.9%	↑
			Cost-to-income ratio **Target:** 58%	55%	↑
			Revenue growth **Target:** decline of 10%	4%	↓
			Non branch transactions **Target:** 65%	65%	=
			Non funded income ratio **Target:** 33%	28%	↓
Customer and Client	• Earning trust through excellent customer and client service • Being recommended by customers and clients • Innovating and developing products and services that meet customers' and clients' needs • Accessible products and services	• Customer surveys • Complaints performance	Retail Banking: Net Promoter Score® (NPS®) **Target:** 35%	24%	↓
			CIB: Net Promoter Score® (NPS®) **Target:** 35%	6%	↓
Colleague	• Engaged and enabled employees • A diverse and inclusive workplace in which employees are treated equally and have the opportunity to achieve their potential	• Employee engagement • Diversity and inclusion statistics	Women in senior management **Target:** 32 – 34%	40%	↑
Citizenship	• Through our business, decisions and Shared Growth philosophy, securing a prosperous future for our customers, clients, shareholders, employees and the communities we serve • Proactively managing the environmental and societal impacts of our business	• Delivery against our Shared Growth goals • Employee engagement in Citizenship activities • The impacts of our lending practices' on the environment and society, and how our clients manage these	Shared Growth disbursements on education and skills development **Target:** Number of initiatives on track	4	↓
			Funds raised and deployed for enterprise and supply chain development **Target:** Value of funds set aside	Shs100mn	=
Conduct	• A positive conduct and values-based environment • A business responsive to regulatory change and the resulting impacts	• Conduct and culture measures • External benchmarks and surveys	Treating Customers Fairly (TCF) outcome score **Target:** 65%	58%	↓

We continue to create value for our shareholders and other stakeholders. We conduct our business in a way that promotes positive outcomes for society, consumers and the Group, by using our core assets and capabilities to address the challenges and take advantage of opportunities on the African continent.

Highlights

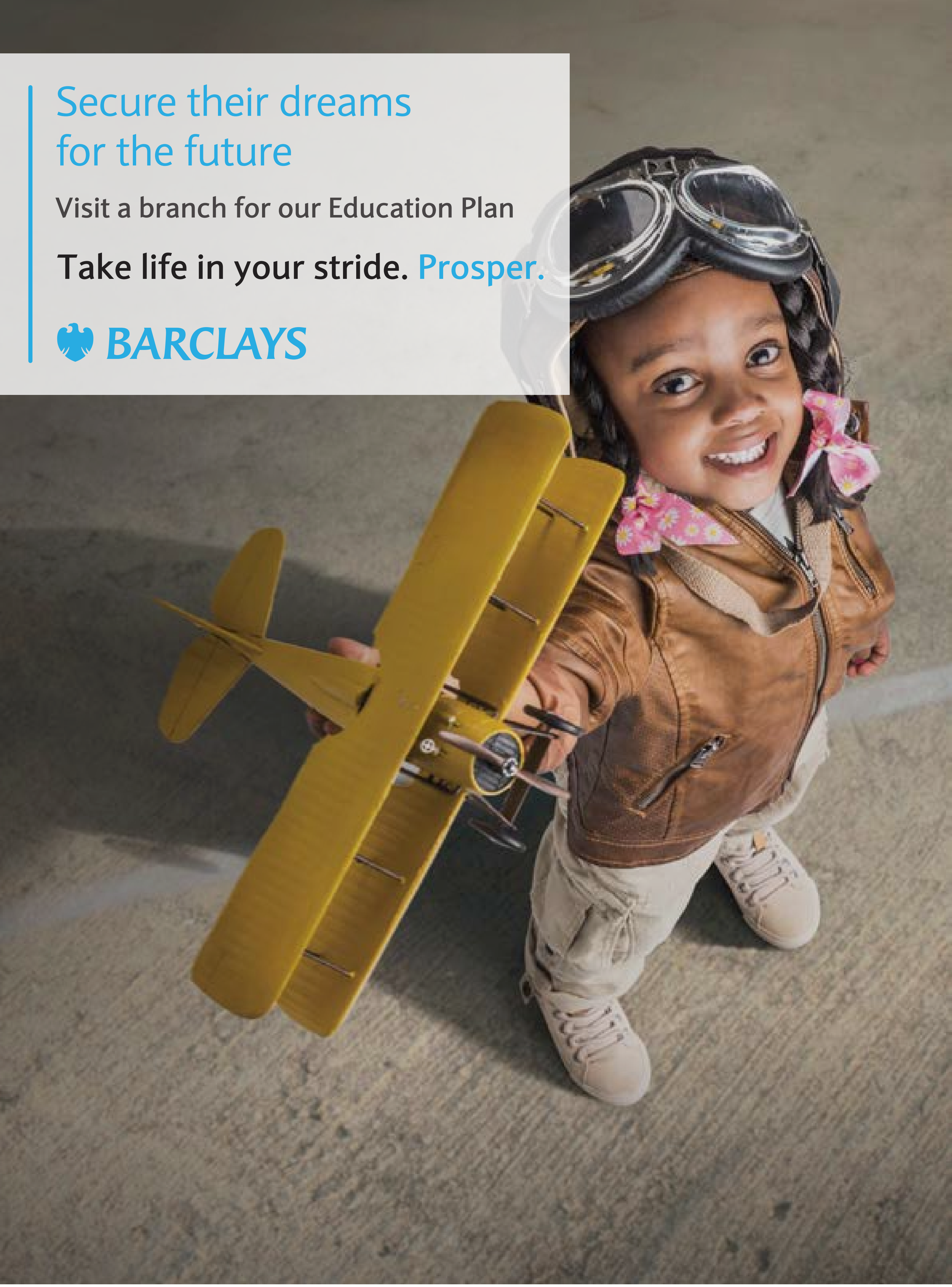
- 15.7 % return on equity
- 55 % cost-to-income ratio
- 91 % loan to deposit ratio
- 15.9 % core capital ratio
- 2.8 % return on assets
- Shs 1.00 ordinary dividend per share

- 766 187 customers: 765 569 retail customers; 618 corporate customers
- Approximately 274 000 followers on Facebook; 84 700 on Twitter
- Customer Experience Score of 75
- Treating Customers Fairly (TCF) score 58%
- Listed the Barclays NewGold ETF on the Nairobi Securities Exchange (NSE)
- Launched Enterprise and Supply Chain Development (ESD) program for SMEs
- Partnered with China UnionPay

- 2268 employees
- As part of our Service Culture Transformation over 100 champions trained on Unwritten Ground Rules (UGRs)
- 342 People Managers trained on People Manager Capability, 67% achieved silver rating. Programme adopted in other African countries
- Shs 72mn spent on training programmes, including 104 colleagues who participated in career and entrepreneurial skills
- 70 employees benefitted from the Barclays Scholarship Fund with their dependents accessing Shs 10.5mn towards university education
- 52:48 male to female gender ratio

- Shs 59mn to community initiatives
- Barclays Scholarship targeting 471 youths (70 internal colleagues and 401 external
- Barclays Kenya Open 2017 sponsorship to the tune of Shs 50mn
- SheTradesKE in partnership with the International Trade Center (ITC)
- ReadyToWork sponsoring 45,435 students
- Launched the Board Diversity Report in partnership with the Kenya Institute of Management

- Integrated conduct risk into our enterprise risk management framework
- Support the socio-economic agenda relating to consumer protection and responsible market conduct and lending
- Continue strengthening measures to counter money laundering, terrorist financing, bribery and corruption


Secure their dreams
for the future
Visit a branch for our Education Plan
Take life in your stride. Prosper.
BARCLAYS

Company

We create value by effectively managing risk, and creating sustainable returns

A strong relationship with our shareholders is essential for a shared understanding and vision of our future role.

Key matters raised by stakeholders……

- Barclays PLC's sell-down, the resulting separation and potential revenue loss, system changes and management capacity
- Resilience and revenue growth in an uncertain/volatile economic environment, and sustainable cost containment
- Strong and emerging competition
- Operational risks including IT, Cyber crime and physical security

… inform our material focus areas …

1. Sustainably growing revenue
2. Effectively managing risks
3. Disciplined cost management while enabling strategic investments
4. Delivering appropriate shareholder returns while managing the separation

… to achieve the following value …

For our communities

- Growing, sustainable returns on their investments through dividends and share price
- Return on debt-based
- Investments delivered in agreed timelines

For the Group

- Adequate levels of capital and liquidity to leverage opportunities
- Effective risk management
- Investment and support from shareholders and analysts

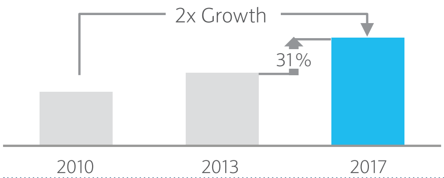
We have achieved significant strategic progress in line with our commitments in 2013.

In 2013 we committed to….

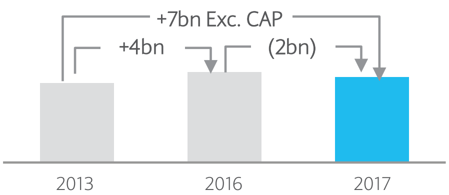
1. **Drive balance sheet growth**
2. **Establish sustainable revenue growth**
3. **Leverage automation for simplification and efficiency**
4. **Invest in new businesses**

We have achieved considerable progress..

1. **Balance Sheet Growth**



2. **Income Diversification**



3. **Investments driven simplification and automation**
   - IT infrastructure transformation
   - Replacement of all ATMs
   - Full Time Employment (FTE) down 19%

4. **New Businesses**
   - Established a Business Bank: Shs 25bn asset business
   - FI Sales and Risk Management Products (RMP): Shs 880mn annual income
   - Bancassurance: Approx. Shs 500mn annual income
   - Stock Brokerage: Shs 35mn annual income

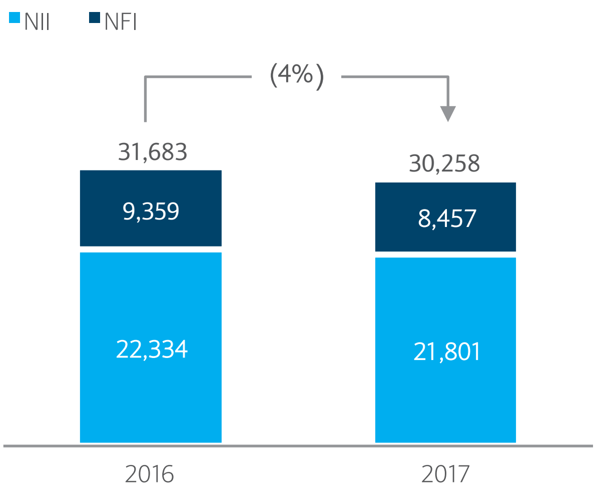
Company *(continued)*

We present a snapshot of our normalised performance against our material focus areas.

1. Sustainably growing revenue

Income: Impact of rate cap on net interest income, focusing on revenue diversification is key to build revenue momentum

Income

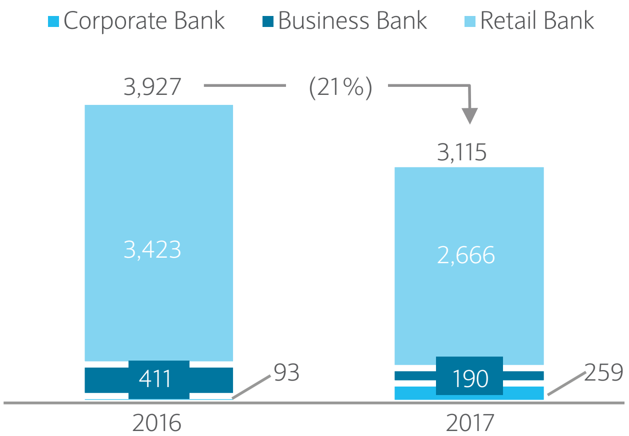


(In Shs' million unless stated otherwise)

Key Performance Metrics	2017	2016
Yield on Loans	12.2%	13.8%
Cost of Funds	2.6%	3.0%
Net Interest Margin (NIM)	9.2%	9.9%
Yield on Government Sec.	8.5%	10.0%
Non Funded income (NFI) to Total Income	28%	30%

2. Effectively managing risks

Impairment

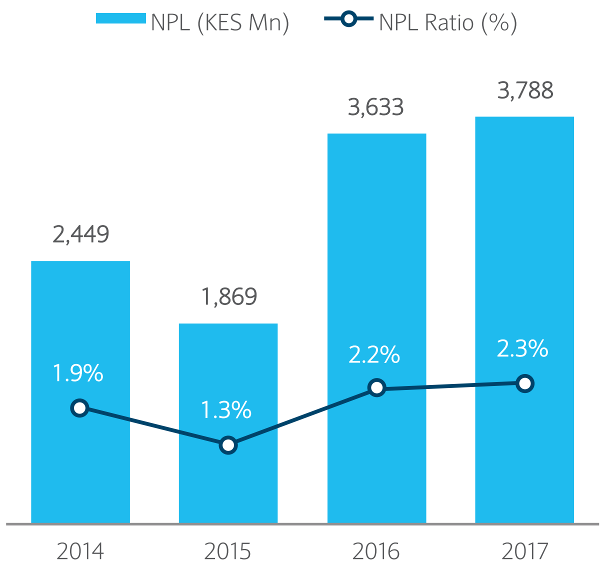


	2016	2017
Loan loss ratio (LLR)	2.3%	1.8%

2017 Performance

Significant improvement in 2017 impairment, especially Retail and Business Banking; Great efforts on Collections and Recoveries front and much better performance of the new bookings.

Non performing loans (Net)

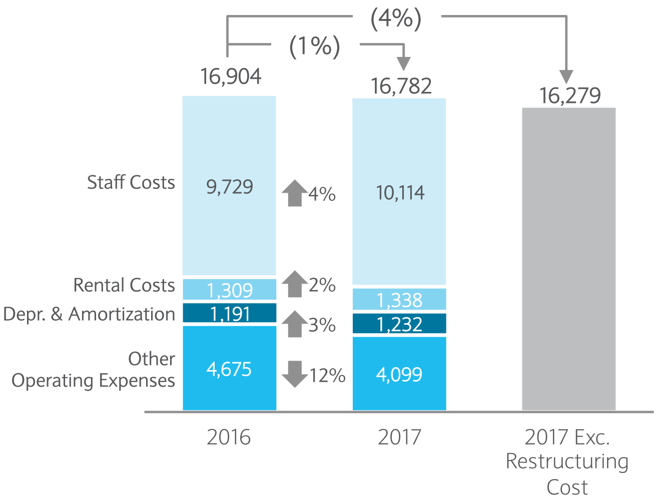


Industry at 6.8% at Q3 2017

BBK had zero statutory loan loss reserve as at December 2017 indicating that impairment numbers reported were higher than the CBK requirements due to the bank's prudent impairment approach.

3. Disciplined cost management while enabling strategic investments

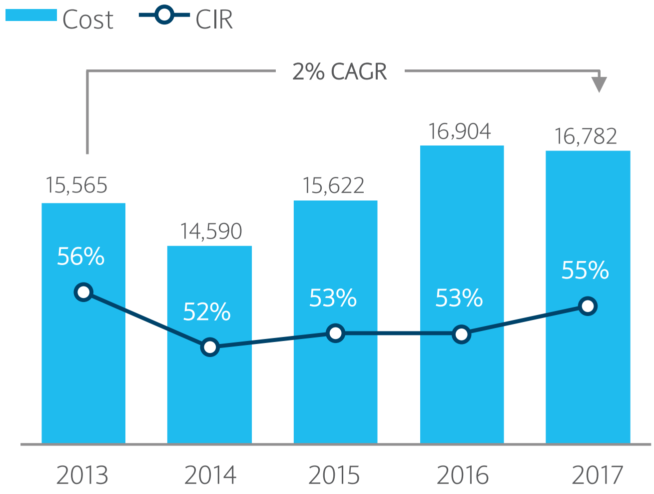
Cost



Benefits coming from:

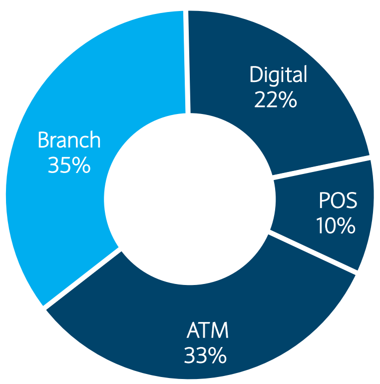
- **Investments in technology**
  - E-statement
  - Paperless banking
- **Other alternate channels**
  - Agency Banking
- **Process automation (robotics)**
- **Customer centric channels**
  - Intelligent ATMs
  - Internet banking
  - Mobile banking
- **Branch optimisation**
- **Optimum people structures:** 12% drop in FTE

2013-2017 Cost trajectory



- 2% CAGR despite inflation and heavy investments over the period
- When adjusted for interest rate caps on income, our CIR stands at 48%

Alternate channels usage 2017

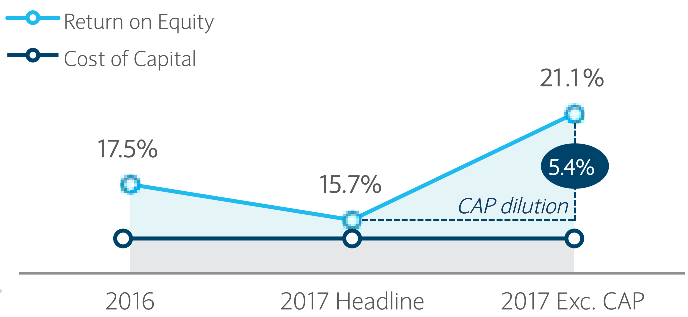


65% of all transactions

2,268 FTE

We managed to increase digital transactions by 20% compared to 2016 transactions. This efficiency led to full time employee (FTE) reduction by 12%

4. Delivering appropriate shareholder returns



Our return on equity (ROE) was at 15.7%, above our cost of equity of 14.5% implying value creation over the period; this is despite a growth of our equity position by 4%.

Customers

Barclays has always believed in the potential of technology to make customers' lives easier and continue to develop better relationships with our clients. Based on this and other ideals, we have grown this bank over a century to the position we are in today. Our history is deeply rooted here in Kenya and we remain committed to propelling the development of the country by providing cutting edge financial solutions that support economic growth. We have always sought to think ahead to encourage positive changes in our customers' lives and, for this reason, we placed our structure, our capitals, our capability and, most of all, our pride to serve them.

Despite the level of technological innovation currently taking place in the financial services sector, we are cognisant of the fact that true progress is only possible if we remain connected to people. For this reason, placing our clients at the centre of everything we do is more important than ever. As we focus on building an increasingly digital bank we must retain and maintain our personal touch with all our customers and thereby remain relevant in their daily lives.

How we measure ourselves

NPS	2017	2016
Net Promoter Score® (%)	**24**	30
Number of complaints per 1,000 accounts	**13.56**	11.43

Areas where customers required improvements

- System availability for digital platforms and at branches
- Service waiting time in branches
- Pricing versus expected service (value for money)
- Feedback on product applications and process
- Poor feedback loop

Areas where customers were delighted

- Staff willingness to assist, courteous and knowledgeable
- Enhanced and wide product offerings
- Relationship manager's engagement

To launch 2017/8 Barclays Kenya Open golf experience, we had an engagement with elite and upcoming long and short distance runners in a bid to establish connection and drive consideration with this customer group.

Enhancing customer experience

Our focus when it comes to customers is to remain the best bank for quality and reputation. This is increasingly important in light of the undermined confidence in the banking sector in Kenya since 2015. We have made great inroads in fostering the customer experience and satisfaction levels while consolidating our reputation as the standard-bearer for responsible banking.

Service quality is one of our highest priorities, and a key driver of our competitiveness. Our customer-centric approach seeks to meet customer needs and exceed their expectations. We offer high service-quality standards so as to achieve high levels of trust, proximity, thoroughness, honesty and efficiency, while striving for continuous improvement. We strongly believe that specialisation, personalised service and innovation are also key features to further enhancing customer experience.

Customer journeys remained a key component of our customer experience agenda in the year. We continue to listen to and understand the customer in each of their interactions with the bank while capturing their emotions and how they feel about us in those interactions. Our goal has been to transform these experiences with us into wonderful and memorable moments that cement the emotional bond with Barclays. Our MSAMO (My Shoes Are My Office) program continues to yield good results in increasing our share of the customer wallet.

We listen

We promote an active dialogue and direct contact with customers and the employees who are in direct contact with them. Among other initiatives, the bank regularly gauges customer satisfaction and analyses recommendations for the services received.

In the year, we continued to collect and analyse customers' feedback so as to optimise customer satisfaction and build loyalty. With continued emphasis placed on complaint resolution, we are improving on our capability to anticipate customer expectations, influence their perceptions of the bank and avoid situations that might lead to dissatisfaction and deliberate actions. We are getting better at understanding our customers and this has helped us to transform previous negative experiences and pain points while using the learnings to create solutions and work towards positive experiences and unique and memorable moments for customers.

Customer satisfaction

Our customers continue to be satisfied with our quality of service, our employees' attitudes and knowledge and their being helpful. We continue to receive recognition for the ambience of our distribution network, improved service by our customer care team and stable systems.

Areas where our customers would like us to improve include reducing on waiting time, providing prompt feedback, being proactive and solution oriented and ensuring stability on our digital and internet channels.

We utilise several strategic indices that are prepared using the information obtained in customer surveys, mystery shopping, care calls, interviews and questionnaires. The Net Promoter Score (NPS), measures the percentage of customer who would recommend Barclays Bank and below is the trend since 2016. We acknowledge that there is work to be done to achieve the high levels of customer experience our customers expect from us.

NPS	2017 Actual	2017 Target	2016 Actual
Retail banking	**24**	35	30
Business banking	**6**	35	12

Service levels

Considerable efforts were employed in 2017 to ensure that we deliver the best service to our customers. We sustained our effort in continuous training and holding refresher sessions with both front end staff and back end processing teams to improve quality of customer application submissions. This has resulted in reduced Return to Sender (RTS) of applications to minimal levels. We also revised customer service related processes and operating models in partnership with the operations team in order to develop a lean and efficient back office i.e. through the relocation of corporate service centre under one roof. This has enhanced synergies by leveraging on similar operational processes. We continuously review our productivity and resource rationalisation in order to achieve month to month performance improvement and greater efficiency.

KPI	2017 Actual	2017 Target	2016 Actual
First point of contact complaints resolution	**86.5%**	>=80%	80.4%
Complaints resolution within 5 days	**96.4%**	>=85%	94.4%
Complaints outstanding stock >40days	**0.92%**	<=2%	3.04%
Complaints quality score	**98.91%**	>=95%	99.02%
Contact centre service levels	**77%**	>=80%	64%

The result of these efforts has been:

- Straight through processing within operations with minimal hand-offs.
- Improved payments and credit facility processing turn round time.
- Reduced error rates and Return to Sender (RTS) during processing of payments and customer facilities.
- Detailed root cause analysis to reduce complaints and consequently higher customer satisfaction of the banks products and processes.
- Reduction in overall costs and elimination of losses through robust processes.

Distribution

We have more than 316 distribution points, including branches, outlets, ATMs and iATMs, that enable our individual customers to perform a variety of transactions such as paying bills, depositing money, sending money and receiving money, besides making the normal cash withdrawals. We also opened up our first Premier Banking Centre in Mombasa which is in line with our commitment to make banking easier with a comprehensive set of solutions addressing our customers' financial and lifestyle needs.

We partnered with the Postal Corporation of Kenya in rolling out our agency banking proposition and this now affords us 181 agent outlets that gives us a wider reach to serve our customers better and improve on our positioning in the market. With 289,501 customers registered on our mobile banking solution and 165,651 customers registered for our online banking proposition, our digital platforms are gaining momentum and driving our agenda to shift transactional services to alternate channels. With a direct sales staff of 500, we have further extended our reach and bolstered customer knowledge on our propositions and as a result the sales and deposits generated from this team now stands at 72%.

The introduction of queue management systems across our branches has indicated gradual and noticeable improvement.

Innovation

Innovation is central to the Barclays agenda. Our innovation agenda is focused at leading edge technological solutions which greatly enhance customers experience and loyalty. Our program focuses on enhancing key partnerships with FinTechs to improve customer self-help channels, deploying new alternate channels to access banking services and streamlining and automating internal processes.

Customers *(continued)*

There is a conscious effort to provide our customers with additional solutions to enable them access banking services and products. Some of the solutions developed during the period were:

- Timiza banking.
- Kadi-Kope.
- iATMs accepting cash deposits.
- Agency banking.

Additionally, we further improved interactions with our customers to enhance better experiences through:

- Automation of mobile payments and collections.
- Real time transfer of funds across East Africa, through the East Africa Payments System.
- PesaLink.

Internally to drive better service, control and efficiency we were able to:

- Automate internal sanction screening and payment processes.
- Automate income collection and operational reconciliation processes.
- Automate fraud check on both debit and credit cards through Verified by Visa.
- Roll out consignment stocking.
- Lead Management System to track sales opportunities and targets.

To under pin our success on innovation during the period, Barclays was awarded the CIO Award 2017 for being the most innovative financial institution as a result of our push towards Robotics Process Automation.

Technology

This year we committed to and made substantial investments in upgrading our infrastructure to support the transformation of the Bank's estate technology and to provide a cost-effective and stable platform for competitive and sustainable growth. On this solid foundation, we successfully rolled out an ambitious plan to embed the use of advanced technologies in data analytics, process automation and robotics in operations and distribution channels This is going to be one of our most important competitive advantages going forward.

We believe that technology makes our employees' and clients' lives easier, bringing about convenience, safety and time saving service offerings. In order to advance our position in the financial services sector, we have in 2017 made huge investments in online and digital banking platforms as well as mobile banking. We seek to develop a digital relationship with our customers by offering them the convenience of banking anywhere, anytime. We are also up to speed in rolling out strategies in response to new technologies, new entrants, new threats and regulatory changes.

In addition to the earlier mentioned priorities, we also focused on:

- Implementation of robotics to reduce operational costs and reduce process turnaround times.
- Implementation of data analytics tools.
- Fostering information security strategies.

Systems rolled out or enhanced in 2017

Project name	Purpose	Benefits and unique features
Unsupported Infrastructure Upgrade (**ITP**)	**Goal:** Remediate and stabilise the IT infrastructure **Driver:** Replacement of legacy infrastructure identified as one of the priority areas for achievement of System Stability **Cost:** Shs 620mn **(**$6m)	• Faster applications response times • Increased systems performance, availability and stability by enabling prioritisation of critical applications • Reduction in connectivity costs to 3rd party partners • Significantly improved risk profile • Higher resiliency and full fail-over capabilities on all deployed 3rd party connections • Better utilisation of existing Wide Area Network (WAN) links - we have attained a reduction ratio of 40% on traffic across the network
Data Centre Migration	**Goal:** The Data Centre Migration is a one off exercise that was undertaken to mitigate risks at the current ATS Data Centre **Drivers:** • Business continuity and service stability • Compliance to occupational health and safety • Accommodate for business growth and long term technology strategy **Cost:** BAGL borne costs	• Improved systems stability • Reduced total cost of ownership • Compliance to occupational health and safety guidelines • Improved IT governance and support

Systems rolled out or enhanced in 2017		
Project name	**Purpose**	**Benefits and unique features**
Robotic Process Automation (**RPA**) Wave 1	**Goal:** Increase the processing capability within an operational environment **Driver:** The core back office operations are primarily manual, with approximately 60-70% of our core processes requiring manual input into systems that are heavily dependent on human resource capabilities. Approximately 50% of these inputs are standard and repetitive in nature and can be automated With increased volumes and rationalisation on operating costs, there is need for alternative automated solution to cut costs while enhance processing efficiency **Cost:** Shs 22mn	• Fully robotised 8 processes targeted for Wave 1 • Reduced resource utilisation by 48 man hours per day on the 8 robotised operations processes • Estimated cost save of up to Shs 18.3m per year • Reduction in Turn-Around-Time (TAT) by up to 50% • Reduction in error rates due to elimination of manual touch points
IDEA System Upgrade	**Goal:** Upgrade system latest supportable version **Driver:** The CaseWare IDEA Analytics System is the Bank's primary reconciliations system currently processing over 90% (10m transactions per month) **Cost:** Shs 2mn	• Cost reduction in processing reconciliations • Audit trail capability • Archiving of desktop projects that enables efficient space management and reduces storage costs • Fuzzy logic support – facilitates analysis of large volumes of data to determine unusual trends e.g. fraudulent transactions • Resolved stability issues related to random system crashes • Resolved performance issues including faster report generation
SHM (USSD) Monitoring	**Goal:** Proactively monitor availability of the Hello Money application connectivity to the mobile network operators (Safaricom, Airtel and Telkom) and the aggregator (Cellulant) **Driver:** Hello Money is a strategic application for the Bank. It gives new meaning to banking anytime, anywhere. Its availability and performance is therefore extremely crucial for a seamless and reliable customer experience **Cost:** Shs 3.1mn (USD 30,000)	• Improved availability of the channel towards support on digital agenda • Improved perception and believability on the channel

Customers *(continued)*

A trustworthy bank

At Barclays, we seek to promote a model of responsible banking, based on a firm commitment to all of our customers and the adoption of best practices in this regard. The bank continuously develops new initiatives and regulations to enhance customer management. Some of these include a product development process for the design and marketing of new products and services which responds to the needs of our customers and while enhancing their protection. It also ensures team participation in analysing the characteristics and risks of each product, and their compliance with customer protection and transparency rules.

Fair dealing remains integral to our culture and is a key component of the Bank's Balanced Scorecard. We take our employees through various training modules on fair dealing every year including comprehensive training on the bank's product suite and compliance guidelines. During performance assessments, customer facing staff are compensated based on a balanced scorecard approach, which takes into account sales and non-sales performance indicators such as the quality of the advisory and sales process, the suitability of product recommendations and customer satisfaction.

Our fees and charges are regulated by the CBK and any fee increases are reviewed and approved by the Bank's Pricing Committee prior to submission for approval by CBK. With interest rate capping, our rates on deposits and loans are now tied to the Central Bank Rate (CBR) and not KBRR. This change has been effected for all our deposit and loan products.

As per regulation we ensure disclosure of pricing for various solutions, services and channels through:

- Our official pricing tariff guide listing all pricing lines and available across our branches and website
- Key Facts Documents issued and explained to each customer for the respective solution they take up at the point of customer on boarding
- Offer Letters provided on take up of credit facilities which the customer is also taken through by our staff

Managing fraud

We continued to focus on protecting the Bank's and our customers' funds against both external and internal fraud. We actively prevented Shs 261mn worth of fraudulent activities designed to illegally acquire funds from our customers. These frustrated payment included cheques, over the counter withdrawals and electronic fund transfers. We also earmarked fraudulent beneficiary accounts as well as proactively blocked cards once fraudulent transactions were identified. Our internal fraud is less than 1% compared to the industry based on the BFID report released by CBK.

Colleagues

	2017	2016
Total permanent employees	**2,162**	2,403
Total non-permanent employees	**106**	188
Permanent employee turnover rate (%)	**9%**	9%
Retention of high performing staff (%)	**97%**	97%
Women in senior management roles	**40%**	36%
Training spend (Shs)	**72M**	57M
Male : Female	**52:48**	52:48
Back Office : Front Office	**65:35**	63:37
Management : Unionisable Staff	**59:41**	58:42

"Like never before, we must see ourselves as one, we must stay focused; we must be strategic; we must be innovative; we must be responsive; we must keep our eyes on the finish line and resolutely purpose to stay ahead of the pack"

"We must win"

Jeremy Awori

2017 was a particularly exciting year for us. We set out to achieve several key initiatives under our strategic theme, "To nurture a workplace that enables colleagues to thrive in the "new world".

We prioritised service culture improvement across the business with the aim of delivering 5-star service. The key pillars for delivering this strategy included developing high performing teams supported by great leaders, delivering a great customer experience while anticipating the challenges and opportunities of the future world of work.

Service Culture Program

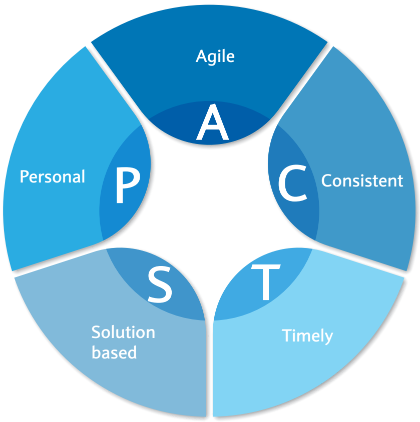
Culture is simply defined as: *the way things are done around here.* Our Culture is therefore driven by unspoken cues that unconsciously dictate the way we do things as a business. These Unwritten Ground Rules (UGRs) either enable or hinder us from achieving our service objective of *consistently delight our customers.*

In order to deliver the service objective, we have developed a 5-Star service standard aptly named PACTS (Personal, Agile, Consistent, Timely, Solution Based) as our signature initiative for customer service going forward.

For us, a pact is a covenant, a treaty, an agreement, a deal. PACTS, signifies our commitment to deliver our customer promise.

As part of enlisting colleagues in the journey to transform the service culture, over 100 colleague champions defined the ten key positive UGRs that underpinned our service culture.

Colleagues *(continued)*



P From KYC to FYC (Feel Your Customer)	**A** Move quickly and easily	**C** Anytime, Anywhere, Anyhow	**T** Being prompt	**S** From'I can't because' to'I can if'

To reinforce this new service culture, we:

- Continually ensured the PACTS and positive UGRs remained top of mind for colleagues
- Developed and rolled out a Service Excellence Program (all colleagues)
- Devolved service accountability at individual, team and organizational levels
- Conducted regular deep dives on service offering and experience
- Introduced and embedded recognition for colleagues who deliver a 5-Star service

Positive service UGRs (The way we do things around here)

1	Around here, we treat customers like our lives depends on it	6	Around here, we get stuff done
2	Around here, we keep time all the time	7	Around here, our word is our bond
3	Around here, we are the Go-To partners	8	Around here, we learn new things everyday
4	Around here, we act on feedback	9	Around here, the buck stops with me
5	Around here, we have HOTT conversations (Honest, Open, Two way, Timely)	10	Around here, we actively listen to our partners

Development, leadership and performance

The success of our business is driven by our people hence we focus on building capability, nurturing talent and developing great leaders. We ensure our people have the skills and experience to deliver on our strategy now and into the future.

To meet the ever changing demands of the world of work, our workforce must be agile, engaged and change savvy.

Leadership development

Developing leaders is a key strategic imperative in future-proofing the organisation. We continue to take a broader and deeper approach to leadership development to ensure a diverse leadership pipeline for succession management. In 2017, we invested in some exciting leadership development programs including:

- **Global Leadership Curriculum (GLC):** A leadership program tailor-made for middle-level and senior managers. A total of 64 managers have gone through the program.
- **Barclays Africa Leadership Program (BALP):** A leadership program for senior leadership. 12 colleagues have undertaken the program.
- **Africa Development Initiative**: Is an 18 month experiential and discovery leadership development program. 5 colleagues went through the program in 2017.
- **Exchange Development Program:** These are short stint assignments (ranging from 1- 3 months) that offer working experience in other Barclays Africa countries. A total of 10 colleagues benefited from this exchange program.

People manager capability

Apart from leadership development, the importance of highly capable people managers cannot be over emphasised. People management capability therefore becomes integral in developing high performing teams of engaged colleagues, with acute execution ability.

We rolled out Phase 2 of our signature Certified People Manager Program (CPMP), to further raise the level of people management capability in the bank. This certification comes in four key standards, namely Platinum, Gold, Silver and Bronze. In 2017, we set a target of ensuring that at least 60% of our people managers attained a silver rating. By close of the year, we surpassed this target with 67% of our people managers certified in the silver category. The program has been adopted as the People Manager Program in other markets in our African countries.

Technical development

As part of developing our people as globally skilled bankers, we launched the Retail Banking Academy as a key technical skills development programme. The program covers both functional and management practices and it is offered by the Lafferty Group. In 2017, a total of 86 colleagues were enrolled the program.

We also launched The Relationship Managers (RM) Club initiative to develop a cross-sell culture and capability amongst Relationship managers. The club brings together 100 RMs across different business.

We continue using our business school to drive technical capability development across the bank with over 300 colleagues trained in human capital, CIB 'Art of coverage', cyber crime, financial modelling, risk management and derivatives.

Colleague development

In our endeavour to prepare colleagues for the future world of work we developed and rolled out a Colleague Development Program (CDP). The purpose of this program was to equip colleagues with the necessary information, knowledge and skills needed to either achieve their career ambitions or sharpen entrepreneurial skills.

Under the entrepreneurial facet, colleagues went through a simulation based experience which focuses on entrepreneurship, financial planning and investment. The program covers both classroom and practical sessions which involve visits to manufacturing companies and farms to experience the practical implementation of business plans.

In total, we successfully took over 100 colleagues through the CDP in the course of the year. Although colleagues pay a portion of the cost for this program, its success is buttressed by the resultant high demand to continue running the program.

A great place to work

Achieving a great place to work remains core to our strategy of attracting and retaining talent. Amongst many initiatives carried out in 2017, the Colleague Scholarship Program, Outsurance scheme, Pension Income Replacement Ratio and our culture of recognition have greatly contributed in shaping our employee value proposition.

- **Colleague Scholarship Program:** the bank introduced the Barclays Scholarship Fund as part of our citizenship agenda to facilitate access to quality university education. In keeping with our 'colleague-first' approach, Shs 10.5mn, was dedicated to benefit 70 colleagues to support their dependants access undergraduate degree programs in any accredited public or private university. This exciting initiative is a welcome inclusion in our employee value proposition.
- As part of our mission to nurture a workplace that enables colleagues to thrive, we launched the Barclays Outsurance scheme with an aim of supporting colleagues financially during times of bereavement. The Outsurance scheme is a colleague self – managed initiative, over and above the bank policy of supporting colleagues in times of bereavement. What makes this scheme unique is that every colleague benefits irrespective of a bereavement; either through a contribution during a time of bereavement or a share of the residual fund at the end of the calendar year.
- We also launched the Pension Income Replacement Ratio (IRR) to encourage colleagues to increase the level of understanding of how current pension contributions impact future income flow. The Individual IRR provides insight on the expected change in standard of living of a colleague upon retirement and thus the need to make thoughtful decisions while in employment.
- Over the years, colleagues have prioritised recognition as a factor in making a great place to work. In 2017, we revamped our recognition scheme with a bouquet of awards and we decentralised to the Functions. Some of the categories are long service, top performance, service, fraud buster to name a few.

….Bang! Meet the Barclays Big Five

Out of the entire workforce, the fivesome have been rated **Outstanding for three years in a row - 2014, 2015 & 2016!**

Their secret?… Consistently Offering Exceptional Service, Selflessly

Stephen, Benson, Eva, Joyce and Felix. We all celebrate You!!!

BARCLAYS

Citizenship

Our business is driven by a philosophy of Shared Growth which to us, means having a positive impact, developing partnerships that improve the lives of communities while delivering shareholder value. We believe that we can achieve shared growth by creating societal and commercial value which will in turn enhance our long-term business competitiveness. Our citizenship, is focused on three areas: education and skills development, enterprise development and financial inclusion.

How we measure ourselves

NPS	2017	2016
Citizenship plan (number of initiatives on track or ahead)	4	7
Total citizenship investment (approx. Shs mn)	100	31
Number of youth impacted	45 435	94 800
Number of youth owned business impacted through mentorship and financing	N/A	226

Introduction

Our citizenship agenda seeks to create shared growth by ensuring our business operations and citizenship practices enhance value for our stakeholders. We also seek to use our core business competencies to address social challenges and ensure that our citizenship work is not a hand out but a hand up.

Shared Growth Ambition

Our Shared Growth Ambition is a very simple concept. When our customers and clients do well, so do we. When the communities we live and work in thrive, we do too. And when society prospers, we all do.

Barclays has always played a part in driving economic growth and societal progress. Today, we have more opportunity to play a pivotal role in fostering innovation and facilitating inclusive, shared growth for all – now and in future.

At its heart, our Shared Growth Ambition is about making decisions and doing business that provides our clients, customers, shareholders and the communities that we serve with access to a prosperous future.

As a business, this means using our skills, resources and commitment to drive and deliver the best results for all our stakeholders; by seeking fair, ethical and open solutions to problems and by always striving to leave things better than we found them.

Education and skills development

Barclays Scholarship

In September, we launched a three-year scholarship programme which will provide bright but needy university students with an opportunity to complete their education by catering for tuition, accommodation, upkeep money and a laptop. Beneficiaries of this scholarship are predominantly orphans but it also caters for needy students from single and two parent homes.

(L to R) Jeremy Awori, MD Barclays Bank and Caroline Ndung'u, Marketing and Corporate Relations Director Barclays Bank hand over a cheque to Charles Ringera, CEO HELB and David Ndegwa Wachira, Chairman HELB

In order to meet our mission of fostering diversity and inclusion, the bank will ensure that beneficiaries meet a 50:50 gender split and that at least 4% of the beneficiaries will be Persons with Disabilities (PWDs). Beneficiaries of the scholarship will be drawn from all the 47 counties to ensure Kenyans from diverse backgrounds benefit. With a Shs 68mn fund set aside to support the fund in the 2017/18 academic year, each successful applicant will receive Shs 150,000.

We have partnered with the Higher Education Loans Board (HELB) to administer the fund on its behalf. In the year, we offered scholarships to 471 students of whom 70 were staff dependants and 401 were external citizens. The scholarship which is part of a Shs 12.5bn Pan African initiative covering 10 countries in Africa where Barclays operates will be steered by Barclays Africa's Group CEO, Maria Ramos.

Ready to Work program

We continue to strengthen youth employability and entrepreneurship through our Ready to Work (R2W) program, which is an online platform that offers training to students on work, people, money and entrepreneurial skills. The program aims at preparing students and graduates for skills required at work or business by addressing skills gaps that are prevalent prior to employment or self-employment. We work with several partners including the University of Nairobi's Computing for Development Lab (C4Dlab), Strathmore University, Kenya Girl Guides Association and Care Kenya.

Through our partners and colleagues, we trained 45,435 youth in 2017. The first group of 150 students in the Ready to Work Skills programme graduated in a ceremony in September at the University of Nairobi C4Dlab offices-Chiromo. We also hosted a forum with students drawn from Strathmore University and University of Nairobi in March. In the forum, the students got to listen to Jay Jay Okocha, a former professional footballer and Wale Akinyemi, a motivational speaker.

In the course of 2017, we also partnered with the Ministry of ICT under the Ministry's Ajira Program. The Ajira Program aims to introduce young people in Kenya to online work and provide the tools, training and mentorship needed for them to work and earn an income through online work. In this regard, we provided training to 7,000 individuals.

Partner	Period	Amount sponsored	Target
Strathmore university	2016-2017	10mn	8 000 students
University of Nairobi	2016-2017	20mn	20 000 students
CARE	2017	10mn	5 000 youth
Kenya Girl Guides Association	2017	4mn	13 800 youth

Clare Kwedho and Caroline Ndungu, Marketing Director, Barclays Bank of Kenya during Ready to Work session

Enterprise development

SheTradesKE

Under SheTradesKE and in close partnership with the International Trade Centre (ITC) more than 2,100 women entrepreneurs have been trained in financial management to help them maintain links to international markets. They have benefited from tailored trade-related capacity-building activities in the agribusiness, services and textile and apparel sectors, focused on topics such as meeting buyer requirements and preparing for international trade fairs.

The bank has also supported women entrepreneurs by creating a Shs 5bn fund to offer credit facilities to local women-owned business. To date, 33 Kenyan organisations have made commitments to connect 124,000 Kenyan women entrepreneurs to market, an important contribution towards SheTradesKE goal of connecting one million women to market by 2020. Through this project we have been able to increase the competitiveness of women-owned enterprises in Kenya.

Sponsorships

Barclays Kenya Open

The Barclays Kenya Open was held from March 23rd – 26th at the Muthaiga Golf Club after five years at the Karen Country Club. 156 golfers participated in the tournament, whose top prize was Shs 3.47million. We remain the title sponsors of the tournament for 7 consecutive years and have committed Shs 50mn sponsorship as part of its three-year partnership with the Kenya Open Golf Limited till 2018. This is the longest title sponsorship in the 50-year history of the tournament.

2017 BKO Winner Aaron Rai poses with the winner's trophy in the presence of HE the president Uhuru Kenyatta, former Nairobi Governor Evans Kidero, Cabinet Secretary for Tourism Najib Balala, Barclays Bank of Kenya Board Chairman Charles Muchene and Barclays Bank of Kenya Managing Director Jeremy Awori.

Citizenship *(continued)*

In September, we launched the Barclays Golf festival- a series of eight golf tournaments that were held in Eldoret, Nairobi (2), Mombasa, Kisumu, Nakuru, Machakos and Thika over a five month period. The Barclays Golf Festival highlights the Bank's commitment to the continued development of the game in the country by creating platforms that enables golf in Kenya to grow and is also an opportunity to engage with our customers.

As well as developing Kenya's players to be world class, the development of golf has created economic growth in regions across the country through tourism, hospitality and the chain of suppliers serving every golf club in the tour. During the festival, we engaged Ligi Ndogo (a football club for juniors) to work with Jay Jay Okocha who coached the young team members on improving the level of their football play.

Colleague engagement

In 2017, 106 colleagues participated in 1000 days of Shared Value, an initiative that seeks to encourage employee participation in various Citizenship programs. 10 projects/institutions were supported.

67 blankets for Nelson Mandela is a worldwide initiative to spend at least 67 minutes on charitable work on Nelson Mandela day – one minute for every year of public service done by Nelson Mandela. The Operations and Technology (O&T) team in BAGL translated this to knitting blankets to be handed to charity. Nelson Mandela day was held on 18th July and the O&T teams knitted/joined together all the blankets made by various Barclays teams to make the biggest blanket in Africa. Kenya contributed 25 amazing blankets to this initiative.

Diversity

Zuri Awards

To entrench our credentials in the gender space, we partnered with Go Gaga for the launch of the inaugural Zuri awards which recognised the role played by grassroots women to improve the lives of women and girls across Kenya. This is in line with our overarching diversity agenda that seeks to engender equality and improvement in the lives of women.

Zahid Mustafa, Director, Retail and Business Banking during the Gender Agenda-Zuri Awards

Board diversity and inclusion report

We partnered with the Nairobi Securities Exchange and KIM to launch a Board Diversity and Inclusion report as the gender agenda champions in the region. We continue to seek new opportunities to partner with like-minded institutions on other gender initiatives.

L-R, Charles Muchene (Chairperson - BBK), Paul Muthaura (CEO - CMA), Andia Laura Chakava (New faces New Voices) Muriithi Ndegwa (Executive Director -KIM)

Awareness

Wrap your head around Breast Cancer

In 2017, we continued our partnership with Twakutukuza Trust to raise funds for the organisation which provides assistance to cancer patients and their care givers. Traditionally, these initiatives have taken the form of bake sales and their equivalent. In 2017, in addition to fund raising, we organised a panel discussion at the West End Lawns which brought together players in the cancer space including survivors, oncologists and government to discuss cancer management.

Wrap your head around Breast Cancer: Carol Ndungu ,Renee Ngamau ,Musili Kivuitu,Doris Mayoli and Ann Kinuthia

Conduct

Our focus on an ethical corporate culture underpinned by sound corporate values is one of our main differentiators in how we conduct our business. Our conduct culture fosters values based decision making that ensures the right outcomes for all our stakeholders including our customers, employees, regulators and shareholders. Our code of conduct – the Barclays Way – outlines the behaviours which govern our way of working across the business and sets out our values of Respect, Integrity, Service, Excellence and Stewardship.

How we measure ourselves

	2015	2016	**2017**
Treating Customers Fairly (TCF) score (%)	55	60	**58**
Disciplinary as a percentage of total employee base (%) [2]	7	6	**7**
Grievances as a percentage of total employee base (%) [3]	2	3	**5**

[1] TCF Index is an annual survey to obtain customer feedback on their customer experience. The scores are based on the H2 results

Treating Customers Fairly (TCF) is at the forefront of what we do as we seek to enhance the quality of financial products and services offered to our customers. At an industry level, focus on transparency in pricing of loans continues to evolve even with the implementation of the Banking (Amendment) Act, 2015. Central Bank of Kenya (CBK) issued Banking Circular No 3 of 2017 requiring all banks to participate in the operationalisation of the cost of credit website set up by the Kenya Bankers Association. The website seeks to standardise disclosure of information on the total cost of credit as required by the Prudential Guidelines on Consumer Protection (CBK/PG/22).

We have a comprehensive conduct risk programme that educates and empowers all employees on their rights and responsibilities. Some of the key features of the programme include:

1. **Tone from the Top:** Conduct risk is one of the Principal Risks in our Enterprise Risk Management Framework and is regularly discussed by the Board Audit Committee.
2. **Training:** We have mandatory training programmes for all employees and board members to ensure that our employees and board members are aware of the values and behaviours expected of them.
3. **Whistle blowing:** We have implemented secure channels for employees to raise concerns of unethical behaviour or suspected fraud through our whistle blowing programme.
4. **Monitoring and reporting:** We have dedicated teams responsible for the monitoring and periodical reporting of conduct risk. We are constantly enhancing our control environment to reduce the risk of our employees, customers and clients breaching legislation when dealing with us. We follow a structured approach to ensure that business processes, policies or system changes required to support the regulatory change are implemented.
5. **Performance management:** Our performance management processes and reward decisions emphasise commercial objectives as much as behaviour, thus encouraging the right conduct, while making the consequences of misconduct clear.

Fighting financial crime

Money laundering, corruption and terrorism financing continue to be serious issues of concern for regulators and as part of its supervisory function, CBK conducted financial crime audits of banks. In March 2017, the President assented to the Proceeds of Crime and Anti Money Laundering (Amendment) Act 2017 which increased the penalties for financial crimes and operationalised the Asset Recovery Agency and in December 2017, CBK issued a draft Guidance Note on Conducting Money Laundering/ Terrorism Financing (ML/TF) Risk Assessment for comment.

In the year 2017, we made significant progress in the management of conduct involving financial crime. We have developed and implemented a robust financial crime strategy which included changing our operating model, enhanced employee training on financial crime, financial crime surveillance and transaction monitoring.

Our financial crime structure now includes a financial crime policy and training team, financial crime intelligence, whistle blowing and regulatory investigations team and a team that manages financial crime operation.

We will continue to sustain and proactively improve on the changes which have proved to be very effective in managing financial crime risk.

Key Regulatory changes

Compliance with laws and regulations is one way to foster public trust in the stability, integrity and transparency of the financial sector. In spite of the political uncertainty that characterised 2017, there were a number of noteworthy regulatory changes that impacted the industry including:

1. **CBK draft guidance note on the implementation of IFRS 9 on financial instruments**

With the coming into force of IFRS 9 on 1 January 2018, CBK issued a draft guidance note that seeks to grant Kenyan banks and micro finance institutions a 5 year moratorium in the inclusion of the incremental provisions for purposes of computing core capital. This is an effort to protect the profitability and capital positions of banks.

Conduct *(continued)*

The bank has set up a project team to oversee the implementation of IFRS 9. A workshop was held in October 2017 with key stakeholders including customers and regulators to discuss the implication of IFRS 9.

2. CBK guidance note on cyber security

Due to the increased global focus on cyber security, CBK issued this Guidance Note to set the minimum standards that institutions should adopt in order to develop effective cyber security governance and risk management frameworks.

The bank submitted its Cyber Security Policy and Risk Management Framework to CBK as required by the Guidance Note.

3. Proceeds of crime and anti-money laundering (Amendment) Act 2017

The Amendment Act increased financial crime penalties for institutions to Shs 25mn and individuals to Shs 5mn and imposes an additional maximum penalty of Shs 10mn for failure to comply. The Amendment Act also operationalized the Asset Recovery Agency.

4. Moveable Property Security Rights Act, 2017

Moveable property can now be used as collateral for credit facilities and the registration of security and requires the establishment of a registry for moveable security interests. The Collateral Registry has since been set up.

The bank has registered a number of its moveable securities within the 9 month registration period provided for in the Act. However, an industry wide extension is being sought through the Kenya Bankers Association due to challenges by the Companies Registry in updating company details on e-citizen.

5. Capital Markets (online foreign exchange trading) Regulations 2017

The Capital Markets Authority has issued regulations for the licensing of entities undertaking online foreign exchange business. This is to protect investors from fraudulent traders.

6. The Statute Law (miscellaneous amendments) Act, (No. 11 of 2017)

This Act introduced amendments to the Insurance Act such as empowering the Insurance Regulatory Authority to regulate bancassurance business offered by banks in the same manner as the ordinary insurance business including capital requirements and disclosures. In addition, banks can no longer have a pre-selected list of insurers they work with and must now offer customers the option of selecting any insurer approved by the IRA.

7. CMA circular MRT/005/2017 – Market Certification and Competency Standards

This circular extended the market certification which was previously limited to client facing individuals to the Compliance Officers, Risk Management Officers, Internal Auditors and Money Laundering Reporting Officers of its licensees. The individuals must complete the Security Industry Certification Program administered by the Chartered Institute for Securities and Investments.

The bank's Head of Compliance, Chief Risk Officer, Head of Internal Audit and Money Laundering Reporting Officer who also double up as the executives of the Investment Bank, Barclays Financial Services Limited have all completed their certification.

8. The Companies (General) (amendment) Regulations, 2017

Requires that companies listed on the Nairobi Securities Exchange (NSE) to publish in their annual reports a breakdown of directors' pay, in a bid to increase transparency and strengthen corporate governance.

9. Financial Services Authority (FSA) Bill 2017

The bill seeks to create the Financial Services Authority, a body that will consolidate and take over the functions of the Capital Markets Authority (CMA), the Insurance Regulatory Authority (IRA), the Retirement Benefits Authority (RBA) and the SACCOs Societies Regulatory Authority (SASRA). This is to provide a consolidated supervisory body for the entire non-banking financial services sector to eliminate regulatory gaps.

10. Risk based supervision

All banks and mortgage finance institutions are required to formulate their own ICAAP (Internal Capital Adequacy Assessment Process), and provide comprehensive reports on their revised business models, that ensures that overall internal capital levels that are adequate and consistent with their strategies, business plans, risk profiles and operating environments.

11. Oversight of collective investment scheme (CIS) funds

The Capital Markets Authority now requires CIS's to disclose their distribution of fixed deposits across Tier 1, 2 and 3 banks, in a bid to protect investor funds. This follows the collapse of 3 local banks.

12. Amendment of the Kenya Deposit Insurance Corporation Act (KDIC)

Treasury moved to amend the Kenya Deposit Insurance Corporation Act, to be involved before a bank is placed under receivership and this was approved by parliament.

Governance

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Chairman's report on corporate governance

As part of our ongoing commitment to live by the highest standards of corporate governance as well as transparency with our stakeholders we have duly prepared the Directors' Remuneration Report

Charles Muchene
Chairman, Board of Directors,
Barclays Bank of Kenya

In 2017 the Bank continued implementing our strategic vision of being a full service financial institution that is instrumental in underwriting Kenya's economic prosperity for many decades ahead. This was actualised through our ongoing transformation into a highly digital and customer obsessed financial institution, building best in class products and services in the Corporate and Investment Banking segment, being an aspirational employer and a great place for people to work as well as in our continued delivery of sustainable returns that are above cost of capital for our shareholders. The Bank and Board also remained focused on sound corporate governance practices, including financial reporting excellence. This commitment to our financial and non-financial objectives was recognised locally, regionally and internationally. One award was the overall winner of The Asian Banker Achievement in Credit Risk Management (Middle East and Africa), recognising our fast adoption of emerging financial technologies. Another award was overall winner of the Financial Services Sector award in the C10 Annual Symposium and Awards 2017. To sum it up, we bagged 4 awards at the 2017 Financial Reporting (FiRe) awards, including being the overall winner on Governance.

The year however was not without its challenges, including the conclusion by Barclays Bank PLC of its sell-down of its controlling interest in Barclays Africa Group Limited, as well as the ongoing impact of The Banking (Amendment) Act in September 2016 (which capped interest rate chargeable on credit facilities at no more than 4% above the base rate as set and published by the CBK as well as introduced a floor rate on deposits held in interest earning accounts at a minimum of 70% of the said base rate). The Bank's resilience in dealing with these events is testimony to the effectiveness of our strategy and leadership.

Statement of compliance

The Bank has a strong governance framework that provides a solid structure for effective and responsible decision making within the organization. The Board has oversight of the risks and opportunities arising from the Board's activities and is responsible for setting the direction, strategies and financial objectives for the Bank and for monitoring the implementation by management of those strategies and objectives.

The Bank has set up (3) Board Committees namely the Board Audit & Risk Committee, Board Credit Committee and the Board Corporate Governance & Nominations Committee. Each Committee has its own Terms of Reference setting out its roles and responsibilities. The Bank also adopts an Enterprise Risk Management Framework that sets out the strategic direction for risk management by defining standards, objectives and responsibilities for all areas of the Bank's operations. In addition to the Board Committees, the Bank has management Committees which address risks across the Bank's various functions, ultimately adding value to the business through transparency, accountability and risk management. The Board's mandate is reviewed annually and complies with the provisions of the Companies Act, 2015, the Code of Corporate Governance Practises for Issuers of Securities to the Public, 2015 and the Bank's Articles of Association.

2017 witnessed another milestone in the country's continuing journey of enhancing corporate governance through enactment of the Companies (General Amendment) (No.2) Regulations 2017 requiring directors of listed companies to submit a Directors' Remuneration Report for each financial year of the company. As part of our ongoing commitment to live by the highest standards of corporate governance as well as transparency with our stakeholders, we have duly prepared the Directors' Remuneration Report, which forms part of this Annual Report, which is published on our website, www.barclays.co.ke. Also published on our website is the Corporate Governance Reporting Checklist for Issuers which the Bank has filled out in compliance with the Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015. The Bank applies the principles of the Code which adopts an "apply or explain" approach requiring that the Bank provides a reasonable explanation in instances where a principle or recommendation is not applied.

The Board and Management of the Bank also continue to comply with the Prudential Guideline on Corporate Governance prescribed by the Central Bank of Kenya as its primary Regulator, Schedule 5 of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002 relating to the Continuing Listing Obligations of Issuers as well as the Board's stringent standards of corporate governance as set out in its Board Charter in line with Barclays Group standards.

Board composition

There was no change in composition of the Board in 2017. As such, at December 31, 2017 the Board remained comprised of eight (8) Directors, six (6) of whom were Independent Non-Executive Directors. The broad mix of skills and industry experience of Board members was as follows:

Name	Industry and Professional Experience
Charles Muchene*	Audit, Strategy, Corporate Governance and Ethics
Ashok Shah*	Financial Services, Capital Markets and Auto Industry.
Jeremy Awori**	Financial Services.
Yusuf Omari**	Accounting and Financial Services.
Laila N. Macharia*	Legal, Public Sector and Investment Management.
Winnie Ouko*	Accounting, Financial Consulting and Strategy Advisory.
Norah Chieng' Odwesso*	Corporate Relations and Strategy Management.
Patricia Ithau*	Consumer Brands and Retail/Manufacturing.

*Independent Non-Executive Directors
**Executive Directors

Board independence and conflicts of interest

The Central Bank of Kenya Prudential Guidelines prescribe the minimum ratio of independent to total directors for licensed banks as three-fifths and also prescribe the regulatory criteria for independence. The Bank is in compliance with these requirements.

The Bank's expectations of a director as set out by the Board in its Charter are that he or she:-

(a) Provides objective challenge to Management;

(b) Is prepared to challenge others' assumptions, beliefs or viewpoints as necessary for the good of the organisation;

(c) Questions intelligently, debates constructively, challenges rigorously and decides dispassionately;

(d) Is willing to stand up to defend their own beliefs and viewpoints in order to support the ultimate good of the organisation; and

(e) Has a good understanding of the Bank's businesses and affairs to enable them properly evaluate information and responses provided by Management.

The Board, Management and all employees are required to comply with the Bank's Conflict of Interest Policy as well as its code of conduct known as 'The Barclays Way'. 'The Barclays Way' builds on our values of Respect, Integrity, Service, Excellence and Stewardship and provides guidance on how the values should be put into practice in our everyday work.

The Non-Executive directors are required to disclose their areas of conflict of interest, real or perceived, at least once a quarter when the Register of Directors' Interests is tabled before the Board at each ordinary Main Board meeting. Independence is also considered during the Board's annual performance review. Directors are required to refrain from contributing to or voting on matters on which they have such conflict. On an ongoing basis, Directors are required to notify the Company Secretary in advance of any potential conflicts through other directorships or shareholdings or conflicts arising from specific transactions. External appointments for Executive Directors are only allowable in respect of non-profit organisations such as academic or charitable institutions.

Chairman's report on corporate governance *(continued)*

Board leadership

The Board is responsible for providing strategic leadership for the Bank. According to the Bank's corporate governance guidelines, the Board is responsible to shareholders for creating and delivering sustainable shareholder value. In so doing the Board is required to have regard to the likely consequences of any decision in the long term, the interests of its employees, the need to foster the Bank's business relationships with suppliers and customers, the impact of the Bank's operations on the community and the environment and the desirability of the Bank maintaining a reputation for high standards of business conduct. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships. You can read more on the Bank's risk management philosophy and framework in the financial statements under Note 42.

In carrying out its responsibilities, the Board is empowered to obtain independent professional advice and where necessary, invite professionals with relevant experience to attend Board and Board Committee meetings or to carry out such work as deemed necessary. The Directors owe both fiduciary duties and general duties of reasonable care, skill and diligence to the Bank and its shareholders and other stakeholders.

Specific powers reserved to the Board include the following:

Strategy

- Approval of the Bank's strategy.
- Monitoring the Bank's performance against clearly defined measures agreed between the Board and Management.
- Approval of major acquisitions or disposals.
- Approval of major capital projects.

Lending, Capital and Liquidity Management

- Approval of changes in structure.
- Approval of lending policies and risk appetite.
- Monitoring capital and liquidity measures to ensure regulatory compliance.

Financial Results and Dividends

- Approval of interim and final financial statements.
- Approval of dividends and other corporate actions.
- Approving information disseminated to shareholders.

Board administration and governance

- Approving board appointments.
- Developing and reviewing succession planning for the Board.
- Approving Board remuneration.
- Delegating authority to Board Committees and Management.
- Setting terms of reference for Board Committees and determining Board Committee membership.
- Conducting Board and Board Committee evaluations.
- Determination of independence of non-executive directors.
- Approving the remuneration of auditors and recommending their appointment or removal.

Each director is provided with a role profile and a charter of expectations on appointment and these clearly set out the behaviours and competencies expected from them including the anticipated time commitment. On average, the time commitment for Non- Executive Directors is set at a range of 25-35 days per year. My own time commitment is at least 65 days a year. High performance indicators are prescribed in the role profiles to guide the Directors and it is against these indicators that their individual performance is evaluated each year.

My role as Chairman is to provide overall leadership to the Board, ensuring that it satisfies its legal and regulatory responsibilities. One of my key responsibilities as Chairman is to ensure that there is a clear division of responsibility between the Executive and Non-Executive Directors of the Board. The Executive Directors are Jeremy Awori, Managing Director and Yusuf Omari, Chief Financial Officer. They, together with the Country Management Committee are responsible for the day to day management of the Bank. The Board is fortunate to continue to enjoy a strong partnership between the Executive Directors and Non-Executive Directors without detracting from the governance principles of accountability and independence that must exist to ensure the Bank's sustainable performance.

Further details on the respective responsibilities of Executive and Non-Executive Directors are provided below:

Executive Directors	Non-executive Directors
• Effectively lead Barclays towards the achievement of its strategic objectives and implement the strategic decisions taken by the Board.	• Provide constructive challenge to the Executive Directors and senior management of the Bank.
• Ensure that the Board receives relevant, accurate, clear and timely information necessary for it to fulfil its duties.	• Help develop proposals on strategy and then fully empower and support the Executive Directors to implement the strategy.
• Report regularly to the Board on the performance of the Bank.	• Scrutinise the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance, ensuring that individual business decisions conform to agreed strategies and policies.
• Use their technical knowledge and experience in the Bank and banking industry to assist the Board in consideration of strategic issues and to ensure that decisions taken are in the Bank's best interests.	• Apply their judgement to the business of the Board, leveraging on their knowledge of the business and bringing to bear a different range of knowledge, experience and insight from other industries.
• Put the interests of the Bank before those of their specific area of responsibility and manage any conflicts of interest that may arise.	• Satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible.

Company Secretary

The Company Secretary plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the discharge of the Board's responsibilities. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance. The Company Secretary is also responsible for assisting me in formulating and delivery of a comprehensive induction programme for new directors and liaising with Management and third parties for the delivery of suitable ongoing training programmes for all Non-Executive Directors.

Continuous professional development

In pursuit of continuous professional development during 2017, the Directors received training in the following areas:

- Cyber Security Trainings
- Refresher Training on the Bank's Treasury Function
- Islamic Finance Training:
  - Islamic Finance Products
  - Growth of Islamic Finance in Kenya
- A Corporate Governance Masterclass for Directors of Listed Companies organised by the Capital Markets Authority and the International Finance Corporation
- Various Audit Committee Trainings organised by the KPMG Audit Committee Institute
- Corporate Governance Training:
  - Brief history and comparison of the corporate governance overlap/differences between the CMA Code of Conduct and the CBK Prudential Guidelines
  - Requirements for Governance, Legal and Compliance Audits
  - Case studies of CMA/CBK investigations
  - Directors' Responsibilities
  - Disclosure of Directors' remuneration
- Professionally linked continuous professional development programmes

Chairman's report on corporate governance *(continued)*

Board attendance

During the year, the Board convened and held four (4) ordinary meetings and six (6) special meetings. All the meetings convened had sufficient quorum. The attendance of individual Directors at Board meetings during 2017 is tabulated below:-

Director	Ordinary Meetings				Special Meetings					
	27.2.17	23.5.17	14.8.17	28.09.17 and 29.09.17	07.2.17	22.2.17	07.6.17	28.7.17	14.11.17	22.11.17
Charles Muchene	√	√	√	√	√	√	√	√	√	√
Jeremy Awori	√	√	√	√	√	√	√	√	√	√
Yusuf Omari	√	√	√	√	√	√	√	√	√	√
Ashok Shah	√	√	√	√	√	√	√	√	√	√
Laila Macharia	√	√	√	√	√	√	√	√	√	√
Winnie Ouko	√	√	√	√	√	√	√	√	√	√
Norah Odwesso	√	√	√	√	x	x	√	√	√	x
Patricia Ithau	√	√	√	√	√	√	√	√	x	√

Where a Director misses a Board meeting, an acceptable apology with a valid reason is sent to me as Chairman in advance of the meeting.

During the meetings, we regularly received reports from Management on the Bank's financial performance and the status of execution of the Bank's strategic plans by the key functions namely; Corporate Banking including the performance of Treasury, Retail and Business Banking, Operations and Human Resources.

Board activities in 2017

During the year, the key activities of the Board included:

- Approving the Board's Work Plan which sets out the Board's objectives for the year against which performance is measured.
- Reviewing the Bank's short and medium term strategic plans in light of the internal as well as macro-economic environment. This includes the strategic decisions that continue to be made in respect of the ongoing divestiture of Barclays Bank PLC from the Barclays Africa Group (for example in respect of outsourcing).
- Receiving regular updates from each of the key management functions on their progress made against the agreed financial and non-financial strategic objectives of the Bank.
- Reviewing regular reports on the economic and regulatory environment prevailing in the country and impacting the banking industry e.g. in respect of the ongoing impact of the Banking (Amendment) Act 2016.
- Reviewing and approving new/refreshed Policies of the Bank.
- Reviewing and approving business propositions and strategic initiatives e.g. in respect of the Bank's Branch and Channels strategy.
- Exercising the Board's oversight over Management e.g. in respect of new appointments to Senior Management.
- Regular review of the Bank's subsidiaries e.g. in respect of the capital and governance structures of its active subsidiaries.

Board evaluation

The Board has established the practice of carrying annual effectiveness reviews at Board and Board Committee levels as well as performance reviews of the individual Directors. Having conducted internal reviews for the years 2015 and 2016 and addressed all the key issues, in accordance with best practise, the Board commissioned an independent external service provider to conduct the effectiveness and performance reviews for the year 2017. These reviews included a review of the performance of the Chairman, the Managing Director, the individual Directors as well as the Company Secretary.

Board Committees

As previously stated, the Board has three Board Committees (Audit & Risk, Credit and Corporate Governance & Nominations) with delegated authority to assist the Board effectively carry out its obligations. The Audit & Risk Committee and the Credit Committee are mandatory Committees required by the Central Bank of Kenya Prudential Guidelines and Capital Markets Authority listing obligations. The Corporate Governance and Nominations Committee was set up in 2013 with delegated Board authority for oversight of, among other matters, the Board composition, Board planning as well as critical aspects of talent management. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval. The Committee chairpersons provide you with more details on their deliberations and key achievements in the year 2017 below.

Management Committees

The Board and its Committees are supported by five key Management Committees: (Country Management Committee, Assets and Liabilities Committee, Risk and Control Committee, Remuneration and Promotions Committee and Operating Committee). Final authority and responsibility for the direction of the Bank however rests with the Board.

The role and responsibilities of the various Management Committees are set out below.

Country Management Committee (CMC)

CMC meets at least twice every month. It is a key Management Committee in that it is responsible for the implementation of strategy and driving the financial performance of the Bank. It also reviews the work of other Management Committees. CMC works in tandem with the Board to formulate strategy and policy for the Bank. The Committee is also charged with the responsibility of identifying and coaching senior talent within the Bank for succession planning. CMC is chaired by the Managing Director and its membership comprises his direct reports with function head responsibility.

Assets and Liabilities Committee (ALCO)

ALCO is tasked with managing financial risk specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Retail and Business Banking, the Chief Operating Officer and the Chief Risk Officer.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets once a quarter and periodically reports to the Board Audit and Risk Committee highlighting key risk and control issues and Management's actions to address them. RCC is chaired by the Managing Director and its membership includes all function heads designated as key risk owners. The Head of Internal Audit and External Auditors are invitees to RCC meetings.

Remuneration and Promotions Committee (RPC)

The primary objective of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of ensuring good governance in the appointment of senior executives and managers and developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets once every month and its membership comprises the Managing Director as Chair, the Chief Financial Officer, Head of Human Resources, Chief Risk Officer and Head of Compliance.

Operating Committee (OPCO)

OPCO is charged with the responsibility of reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements, OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee is required to meet monthly and its membership comprises all function heads as well as those staff who have direct reporting lines to the Chief Operating Officer who chairs the Committee.

Relationship with stakeholders

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any other areas of concern that they may have. This is achieved through the publication of the annual report, holding of the Annual General Meeting (AGM) where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key institutional investors and analysts. The Company's financial results are published in the local media every quarter in compliance with regulatory requirements. On a day to day basis, all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

Chairman's report on corporate governance *(continued)*

We now prefer to communicate with our shareholders electronically and accordingly we published our Annual Report on the Bank's website www.barclays.co.ke. All Directors attended the last AGM which was held on April 28, 2017 and were available to answer questions from shareholders. This year's AGM will be held on Friday, May 25, 2018 at the Barclays Sports Club, Ruaraka, Nairobi and the Board looks forward to interacting with as many shareholders as possible on that day. A Notice of the AGM is included in the Annual Report.

Directors' shareholding and conflict of interest

The aggregate amount of emoluments and fees paid to directors during the year are disclosed in the Directors' Remuneration Report as well as in Note 46 of the financial statements. The basic rate of fees paid to Non-Executive Directors remained the same during the year 2017. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors' personal shareholding in the company as at December 31, 2017 is shown below.

	Shareholding in BBK		
Name of Director	**2017**	**2016**	**Change**
Charles Muchene	Nil	Nil	Nil
Patricia Ithau	Nil	Nil	Nil
Ashok Shah	544 380	544 380	Nil
Jeremy Awori	57 300	57 300	Nil
Yusuf Omari	100 000	100 000	Nil
Laila N. Macharia	Nil	Nil	Nil
Winnie Ouko	Nil	Nil	Nil
Norah Chieng' Odwesso	Nil	Nil	Nil

Report from the Chairperson of the Board corporate governance and nominations Committee

The Role of the corporate governance and nominations Committee

The Committee is responsible for considering matters relating to the composition of the Board, including the appointment of new Directors and making appropriate recommendations to the Board and reviewing succession plans to maintain an appropriate balance of skills on the Board. The Committee's responsibilities also include corporate governance issues such as overseeing the annual Board effectiveness reviews, reviewing the Board's remuneration, the Board Charter, Conflicts of Interest Register and ensuring appropriate ongoing training for the Board. The Committee is further responsible for monitoring effective strategic implementation of key aspects of Human Resource management in the Bank.

Committee members

As at December 31, 2017 the Committee's membership comprised of 4 independent Non-Executive Directors namely; Charles Muchene (Chairperson), Ashok Shah, Laila Macharia, Norah Odwesso as well as the Managing Director.

Attendance of Committee meetings

During the year the Committee convened and held four (4) ordinary meetings. Attendance of the meetings was as follows:

Member	Ordinary Meetings			
	21.3.17	07.6.17	14.9.17	14.11.17
Charles Muchene	√	√	√	√
Ashok Shah	√	√	x	√
Jeremy Awori	√	√	√	x
Norah Odwesso	x	√	x	√
Patricia Ithau	√	√	√	√

Achievements in 2017

Our key achievements during the year included:

- Revamping the Board Calendar of Events & Work Plan (including the Calendar of Events for the Main Board as well as each Board Committee), to ensure they were fit for purpose.
- Implementing and enhancing plans for effective Board planning as well as oversight of senior management to ensure is in capable hands to lead it successfully into the future.
- Reviewing the impact and implementation of the Companies Act 2015 (including the Companies (General Amendment) (No.2) Regulations enacted in September 2017) as well as the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015.
- Reviewing the Board Skills Matrix as well as the composition of the Board, its Committees and the Boards of the Bank's subsidiaries.
- Following up on the Board Evaluation outcomes from the 2016 Board performance and effectiveness review.
- Facilitating the sourcing of independent external service providers to evaluate the effectiveness and performance of the Board for the year 2017 as well as the legal, compliance and governance audits of the Bank.
- Review of critical Human Resource matters.
- Reviewing the Bank's integrated reporting and necessary disclosures.
- Facilitating the appointment of Directors and Country Management Committee members.

Directors' remuneration report

This report aims at fulfilling the disclosure requirements under IFRS and the Companies (General Amendment) No.2 Regulations 2017 which were gazetted on September 15, 2017. It covers the remuneration governance arrangements and the outcomes for the Executive Directors and Non -Executive Directors. While implementing this revised reward strategy is a journey we are confident that it will ultimately build stakeholder confidence in our reward outcomes through a strong and transparent correlation with performance; encourage and direct our employees' discretionary efforts; and ensure we make fair and responsible reward decisions.

This report is split into four sections:

Section A: Provides details of our Remuneration Policy and Governance.

Section B: Addresses the implementation of the remuneration policy in 2017 with detailed explanations for the Executive Directors.

Section C: Provides details of Board Remuneration for Non-Executive Directors

Section D: Summary of total remuneration to both executive and non-executive directors

Shareholder engagement

The remuneration policy as it appears is subject to approval by shareholders at the 2018 annual general meeting.

We seek to improve our comprehensive disclosure more transparent to enable active and extensive engagement with our shareholders. Our responses to remuneration matters raised by shareholders will be reported next year.

Section A: Remuneration policy and governance

Remuneration Policy:

Our remuneration policy details the principles that govern our remuneration approach. Our principles ensure remuneration is competitive, incentivises performance and reflects regulatory requirements. A central feature of our remuneration policy is that remuneration must be aligned with risk, and with the conduct expectations of Barclays Bank of Kenya Limited, as well as those of our regulators and stakeholders. Our policy applies to all Barclays Bank of Kenya employees, and ensures their alignment with Group priorities. We achieve this by linking remuneration to an assessment of performance, based on expected standards of delivery and behaviour.

Remuneration decisions must:

1. Support the objective of attracting, retaining and competitively rewarding employees who have the ability, experience, skills and values to deliver our strategy.
2. Reward business results that are achieved in a manner consistent with our Values.
3. Protect and promote shareholder interests by incentivising employees to deliver sustained performance and create long-term value through the delivery of the bank's strategy. Remuneration decisions will reflect the performance of individuals.
4. Create a direct and recognisable alignment between remuneration and risk exposure, as well as adjusting current and deferred incentives for current and historic risk.
5. Be simple and clear for employees and stakeholders, with a focus on ensuring the link between pay and performance is well understood.
6. Ensure that the balance between shareholder returns and remuneration is appropriate, clear and supports long-term shareholder interests.

Role of Remuneration Committee (RemCo)

The Barclays Africa Group Board has in place a Remuneration Committee (RemCo) which assists the local Board with remuneration policies and programmes in line with the Group's strategy and objectives, with a specific focus on executive remuneration. The remuneration for Barclays Bank of Kenya executive directors are governed through this Committee.

RemCo has the overarching responsibility to ensure that the principles of accountability, transparency, sustainability and good governance are enacted in all remuneration-related matters. This includes the critical link between executive remuneration and performance against strategy, with the ultimate aim of creating shareholder value.

RemCo's governance activities include:

- **Approving:**
- Reward policies and programmes
- Performance conditions and measures, objectives and targets for all performance related rewards, fixed and variable and long-term
- Overall cost of remuneration increases awarded to employees, including the costs of short and long-term incentives
- **Reviewing and making recommendations to the Board on:**
- Evaluation of the performance of executive directors against targets and business objectives
- Remuneration of executive directors and executive management, including short-term incentive payments and long-term share awards, directly linked to the achievement of Company and individual performance targets

Reward Approach

Our Reward philosophy forms an integral part of our employment ethos and supports our company and business strategy. We apply a holistic and balanced approach to reward. We position pay at the market median, while remuneration for critical skills is positioned above the market median to attract talented individuals with outstanding track records.

Our reward approach provides:

- An environment where employees can do their best work and optimise their potential.
- A fixed salary based on the role, individual-specific skills, experience and track record.
- An annual bonus, subject to affordability and performance.
- Benefits that reflect the lifestyle needs of employees, including pension and insurance; and a recognition scheme where employees are commended for their contribution.
- Some customer-facing employees participate in formulaic incentive plans aligned with objectives, as measured based on a Balanced Scorecard of performance with good customer outcomes at the core.

While we apply a common reward approach as part of the Barclays Africa Group, its implementation is based on local Kenyan market practices and statutory or regulatory requirements.

Composition of Total Remuneration

Our total remuneration for our Executive Directors comprises fixed and variable components. The key elements of our remuneration framework and structure which guides payments to all employees are summarised below, with a focus on executive directors:

<table>
<tr><td rowspan="2">Fixed Remuneration:

Fixed remuneration reflects the role, responsibilities, skills and experience</td><td>Base Salary</td><td colspan="2">Reflects an individual's skills and experience and provides the basis for a competitive remuneration package.</td></tr>
<tr><td>Benefits</td><td colspan="2">Competitive benefits appropriate to an employee's role including
• Pension contribution
• Medical aid
• Group Personal Accident cover
• Housing Allowance
• Car / Car Allowance
• Club membership
• Staff loans at preferential rates</td></tr>
<tr><td rowspan="2">Variable remuneration:

Variable remuneration rewards the achievement of Group, business unit, team and Individual objectives.</td><td rowspan="2">Non-deferred</td><td>Cash</td><td>For executive directors, 50% of the non-deferred bonus award is delivered in cash and 50% is delivered as shares which are released after 12 months (as a Share Incentive Award – refer below). Executives are given the choice to defer 100% of the annual bonus into shares.

For all other employees, 100% of the non-deferred bonus award is delivered in cash. All non-deferred bonus awards are paid in March.</td></tr>
<tr><td>Share Incentive Award</td><td>An SVP award is a conditional right to receive Barclays Africa Group Limited shares.

For executive directors, 50% of any non-deferred bonus award is delivered as shares at or around the time that the award is paid. This releases after 12 months in March of the following year.</td></tr>
</table>

Directors' remuneration report *(continued)*

<table>
<tr><td></td><td>Base Salary</td><td colspan="2">Reflects an individual's skills and experience and provides the basis for a competitive remuneration package.</td></tr>
<tr><td rowspan="2">Variable Remuneration:

For executive directors 40% of variable remuneration is non-deferred and 60% is deferred.</td><td rowspan="2">Deferred</td><td>Annual bonus (deferred)</td><td>• For material risk takers between 40% and 60% of their total annual bonus is deferred depending on the individual's material risk taker status. The deferred amount is apportioned as follows:
- Share Value Plan (SVP) - 50% in shares in three equal annual tranches (five equal tranches for certain material risk takers, including executive directors and prescribed officers), subject to continued service and malus provisions. An additional six-month holding period applies for executive directors, prescribed officers and other material risk takers.
- Cash Value Plan (CVP) - 50% in cash released in three equal annual tranches (five equal tranches for certain material risk takers, including executive directors and prescribed officers), subject to continued service and malus provisions.
• For all other employees, deferral is based on different thresholds, but again deferred over three years, split equally into cash and shares.</td></tr>
<tr><td>Long Term Incentive Plan ("LTIP")</td><td>The LTIP award is a conditional right to shares released after a period of three years, on or as soon as possible after the vesting date, and to the extent to which the performance conditions are met.

Executive management (including other senior management and key employees) are eligible, at the discretion of the RemCo, to participate through annual awards. Awards, the quantum of which is based on appropriate market benchmarks, carry dividend equivalents (except for material risk takers) and performance conditions, with a performance period of three years. These will vest between three and five- and-a-half years depending on an individual's material risk taker status. Where regulatory limitations still apply, the RemCo will apply discretion to delay the vesting of awards to ensure compliance with the relevant requirements.</td></tr>
</table>

Process to determine bonuses

We determine bonus pools based on affordability and performance.

1. We determine bonus pools based on Barclays Bank of Kenya's overall performance as well as individual business units' performance. We adjust bonus pools, as appropriate, for risk and control events.
2. Managers recommend bonus awards after having assessed individual performance against personal objectives and behaviour in line with our Values. A robust process ensures individuals who are accountable, directly or indirectly, for risk events have their remuneration adjusted appropriately.
3. Consistency checks are conducted at Functional, Country and Group Level.
4. We review and approve proposed bonus pools and senior manager awards. The aggregate Group bonus pool is approved by the Group Audit and Compliance Committee, based on performance.

Remuneration Governance

All deferred awards are subject to continued employment. Under these provisions, we may reduce the level of vesting of deferred awards, including to zero where (but not limited to):

- A participant deliberately misled the Group, the market and/or shareholders in relation to the financial performance of the Business Unit.
- A participant caused harm to our reputation, or where their actions amounted to misconduct, incompetence, poor performance or negligence.
- There is a material restatement of the Group's financial Statements.
- There is a material failure of risk management in the Group; and/or
- There is a significant deterioration in the Group's financial health.

The Remuneration Review Panel (RRP) is an executive sub-committee of the RemCo and is chaired by the Barclays Africa Group Chief Risk Officer. The RRP makes recommendations to the RemCo on risk management, compliance and control matters relating to remuneration. In particular, the RRP makes recommendations to us on adjustments to bonus pools, individual awards, and claw back.

The RRP follows a robust process for considering risk and conduct matters and the associated consequences reflected in individual incentive decisions. When considering individual responsibility, a variety of factors are taken into account, such as:

- Whether the individual was solely responsible for the event, or whether others were also responsible, if not directly involved.
- Whether the individual was aware (or could reasonably have been expected to be aware) of the failure.
- Whether the individual took or missed opportunities to take adequate steps to address the failure; and
- Where the individual, by virtue of seniority, could be deemed indirectly responsible, including employees who drive the Group's culture and set its strategy.

Individuals who were directly or indirectly accountable for an event have had their remuneration adjusted as appropriate. This includes reductions in current year bonus and reductions in vesting amounts of deferred awards.

Following the recommendation of the RRP, we determined that certain bonus pools and/or individual awards will be reduced after considering risk and conduct events within the business.

Clawback applies to any variable remuneration awarded to a material risk taker from 1 January 2015. The RemCo may apply clawback, at any time during the seven-year period from the date on which variable remuneration is awarded, if:

- There is reasonable evidence of employee misbehaviour or material error; and/or
- The Group or business unit suffers a material risk management failure, taking account of the individual's proximity to and responsibility for that incident. The Group or business unit suffers a material risk management failure, taking account of the individual's proximity to and responsibility for that incident.

Executive Directors' Remuneration

Executive directors receive remuneration appropriate to their scope of responsibility and contribution to operating and financial performance, taking into account industry norms, external market and country benchmarks.

The remuneration of executive directors consists of fixed and variable components that are designed to ensure a substantial portion of the remuneration package is linked to the achievement of the Company's strategic objectives thereby aligning incentives awarded to the creation of sustainable shareholder value.

Fixed Remuneration: The total package per role is compared to levels of pay at the market median in companies of comparable size and complexity within the industry. Annual salary reviews are conducted to ensure market competitiveness.

Variable Remuneration: Variable remuneration consists of two elements: an annual performance incentive; and long term incentive plans that run over a five and a half year performance period.

Directors' remuneration report *(continued)*

Executive Directors' contracts and termination arrangements

The Appointment dates for current executive directors are as follows:

Name	Date of appointment	Type of Contract
Jeremy Awori	1 February 2013	Permanent
Yusuf Omari	1 June 2009	Permanent

Our approach to payments in the event of termination is to take account of the individual circumstances, including the reason for termination, individual performance, contractual obligations and the terms of the deferred bonus plans.

	Policy	Details
Notice period	All executive directors and prescribed officers have a six-month notice period, with their potential compensation for loss of office being six months' fixed remuneration	Executive directors may be required to work during the notice period, or may be placed on garden leave, or if not required to work, the full notice period may be provided with pay in lieu of notice (subject to mitigation where relevant).
Treatment of annual bonus on termination	There is no automatic entitlement to bonus on termination, but it may be considered at the Remuneration Committee's discretion and subject to performance measures being met and pro rata for service. No bonus will be payable in the case of gross misconduct or resignation.	
Treatment of unvested deferred bonus awards	Outstanding deferred bonus awards would lapse if the executive officer leaves by reason of resignation or termination for gross misconduct. However, in the case of death, or if the executive director is an eligible leaver defined as leaving due to injury, disability or ill health, retirement, redundancy, or in circumstances where Barclays Bank of Kenya terminates the employment, he/she would continue to be eligible to be considered for unvested portions of deferred awards – subject to the rules of the relevant plan – unless the Remuneration Committee determines otherwise in exceptional cases.	In an eligible leaver situation, deferred bonus awards may be considered for release in full on the scheduled release date unless the Remuneration Committee determines otherwise in exceptional circumstances.

Section B: Implementation of remuneration policy for financial year 2017

Our pay decisions took full consideration of financial performance, including progress against the Balanced Scorecard objectives.

Overall, the total executive directors' remuneration adjustment in 2017 increase was informed by the overall performance and external market competitiveness.

Jeremy Awori, Managing Director	2017	2016
Base Salary	33 427 875	32 421 876
Retirement Benefits (Pension Contribution by Employer)	3 365 700	3 244 588
Other Employee Benefits	25 631 715	25 062 055
Total Fixed Remuneration	**62 425 290**	60 728 519
Cash Bonus Award (Non-deferred)[1]	18 600 000	18 187 342
Deferred Cash Value Plan (CVP)	4 449 498	4 657 814
Deferred Share Value Plan (SVP) Award	4 045 648	4 236 880
Total Variable Remuneration	**27 095 146**	27 082 035
Total Remuneration (Cost to Company)	**89 520 436**	87 810 554

[1] For executive directors, prescribed officers and material risk takers, 50% of the non-deferred bonus is delivered in cash, and 50% is delivered as shares which are released after 12 months as a Share Incentive Award

Yusuf Omari, Chief Financial Officer	2017	2016
Base Salary	20 102 505	18 275 007
Retirement Benefits (Pension Contribution by Employer)	2 059 400	1 829 901
Other Employee Benefits	7 470 684	4 204 473
Total Fixed Remuneration	**29 632 589**	24 825 526
Cash Bonus Award (Non-deferred)	13 613 914	10 864 766
Deferred Cash Value Plan (CVP) Award	1 533 098	1 449 379
Deferred Share Value Plan (SVP) Award	1 393 888	1 318 064
Total Variable Remuneration	**16 540 899**	13 632 208
Total Remuneration (Cost to Company)	**46 173 488**	38 457 734

Restricted Share Awards

Restricted share awards are a form of award under the rules of the Barclays Africa Share Value Plan.

- Award date: 1 October 2017.
- Performance periods: Two years, ending on 30 September 2019.
- Deferral periods: The deferral period for material risk takers will be aligned to the requirements as set out by the Bank of England Prudential Regulatory Authority. The Group deferral approach will apply to non-material risk takers.

Performance conditions:

- Individual performance rating of 'strong' or above through to the end of the performance period – this will be measured through key business and individual objectives, including a participant's contribution to the Separation
- Participant remaining an employee of Barclays Africa or Barclays PLC and not being under notice when the payment, award or recommendation is made
- The employee not being under investigation or suspension when the award is made

The following table details the Long-Term Incentive Plan and restricted share awards made to executive directors during 2017

	Restricted Share Awards		Long Term Incentive Plan	
Capacity	**2017**	2016	**2017**	2016
Jeremy Awori	18 354 840	19 704 188	55 172 409	-
Yusuf Omari	-	-	13 240 283	-

Directors' remuneration report *(continued)*

The performance criteria applicable to the 2017 Long-Term Incentive Plan awards are measured over a three year period. The numbers of shares awarded to the CEO are 48,379 shares valued at KShs 55,172,409 (2016: 0 shares); the number of shares awarded to the CFO is 11,610 shares valued at KShs 13,240,283 (2016: 0 shares).

Section C: Non-executive directors' fees

Non-executive directors do not have employment contracts with the company and therefore do not participate in any of the company's incentive plans. Non-executive directors are subject to retirement by rotation and re-election by shareholders. The basic rate of fees paid to Non-Executive Directors remained the same during the year 2017.

The annual fees payable to non-executive directors was approved by the shareholders at the AGM meeting on 24th May 2016. No increases in fees were awarded in 2017. The 2016/2017 annual fees (in KShs) are as follows:

Capacity	Chairman	Member
Board of Directors	**6 600 000**	**2 200 000**
Audit Committee	**880 000**	**440 000**
Credit Committee	**660 000**	**330 000**
Corporate Governance and Nominations Committee	**N/A***	**220 000**

*The Corporate Governance and Nominations Committee is chaired by the Chairman of the Board and there are no additional fees paid for this responsibility

Section D: Total 2017 directors' remuneration

The table below provides a summary of total emoluments paid to executive and non-executive directors in the year 2017 compared to 2016.

	Base Salary	Benefits	Cash[1] Bonus	Deferred[1] Cash Value Plan Award	Deferred [2] Share Value Plan Award	2017 Total Emoluments	2016 Total Emoluments
Executive Directors							
Jeremy Awori	33 427 875	28 997 415	18 600 000	4 449 498	4 045 648	89 520 436	87 810 554
Yusuf omari	20 102 505	9 530 084	13 613 914	1 533 098	1 393 888	46 173 488	38 457 734
TOTAL	**53 530 380**	**38 527 499**	**32 213 914**	**5 982 595**	**5 439 536**	**135 693 924**	**126 268 288**

1 The annual bonus comprises the total bonus earned and settled within one year (from financial year-end). Therefore, the annual bonus in the table above includes both the immediate cash payment, as well as deferred components, settled within one year.
2 No long-term incentive remuneration is reflected. Grants made in 2017 under the Long-Term Incentive Plan have a three-year performance period, and will be included in the year in which they vest.

Non-Executive Directors	Date of appointment	Date of Retirement	2017 Emoluments	2016 Emoluments
Francis Okomo-Okello	29 August 2003	7 October 2016	-	5 846 247
Charles Muchene	22 August 2016		6 600 000	1 933 325
Ashok Shah	July 2011		3 520 000	3 670 000
Winnie Ouko	August 2014		3 410 000	3 610 000
Norah Odwesso	August 2014		2 860 000	2 860 000
Laila Macharia	August 2014		2 970 000	2 915 000
Patricia Ithau	23 February 2016		2 420 000	2 068 296
TOTAL			**21 780 000**	**22 902 868**

Statement regarding compliance with remuneration policy

The Corporate and Governance Nomination Committee has satisfied itself that the remuneration policy as detailed in the 2017 remuneration report was complied with, and there were no substantial deviations from the policy during the year.

Approval of remuneration report by the Board of directors

This remuneration report was approved by the Board of directors on 28 February 2018

Charles Muchene
Chairman

Report from the Chairperson of the Board Credit Committee

The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements.

Ashok Shah
Chairperson of The Board Credit Committee

The role of the Credit Committee

The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book.

Committee members

The Committee's membership currently comprises of 3 Independent Non-Executive Directors namely; Ashok Shah (Chairperson), Laila Macharia and Winnie Ouko. From Management, the Committee's membership comprises the Managing Director, Head of Corporate and Investment Banking, Head of Retail and Business Banking, Head of Business Banking, the Country Credit Director, Heads of Corporate Credit Risk and Retail Credit Risk or their respective authorised representatives and Head of Business Support and Recoveries.

Attendance of Committee meetings

During the year the Credit Committee convened four (4) ordinary meetings. Attendance was as follows:

Member	Ordinary Meetings			
	21.3.17	07.6.17	14.9.17	14.11.17
Ashok Shah	√	√	√	√
Laila Macharia	√	√	√	√
Winnie Ouko	√	√	√	x
Jeremy Awori	√	√	x	√

Achievements in 2017

Our key achievements during the year included the following:-

- Reviewed the Bank's retail lending policies and policy initiatives aimed at ensuring continued growth in the retail lending book taking cognisance of and mitigating relevant risks.
- Continued to monitor the status of the top 20 exposures on the Bank's balance sheet.
- Closely monitored the Bank's Impairment risk throughout the year.
- Assessed the Bank's risk appetite for significant new business deals.
- Regularly reviewed the Bank's concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained.
- Advised and supported Management in unlocking high value debts and reaching workable solutions with customers who found themselves in difficult financial circumstances.

Report from the Chairperson of the Board Audit and Risk Committee

The Committee monitors the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee.

Winnie Ouko
Chairperson of The Board Audit and Risk Committee

The role of the Audit and Risk Committee

The Audit & Risk Committee has the Board's delegated authority to review, among other things: -

- The contents of interim and final financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them;
- The effectiveness of the internal control systems, with the Committee regularly receiving reports from the internal and external auditors as well as Management's Risk and Control Committee;
- The scope and adequacy of audit assignments carried out by the external and internal auditors;
- The level and control of the Bank's risk profile and risk monitoring in relation to financial and business risks;
- The risks identified in the Bank and challenging of management on the appropriateness of mitigating actions and monitors their implementation; and
- Reports from Management on changes in the regulatory environment and expected impact of the changes on the Bank's operations.

The Committee has direct access to the External Auditors, Barclays Internal Audit function, the Company Secretary as well as the authority to engage external professional advisors.

Committee members

As at December 31, 2017 the Committee's membership comprised of 4 independent Non-Executive Directors namely; Winnie Ouko (Chairperson), Ashok Shah, Norah Odwesso and Laila Macharia. The Managing Director, the Chief Internal Auditor, Chief Financial Officer, Chief Operating Officer, Chief Risk Officer, Head of Compliance and Audit Partner from our External Auditors are regular invitees to Audit and Risk Committee meetings.

Chairperson's responsibilities

As Chairperson, it is my responsibility to ensure that the Committee provides appropriate assurance to the Board on issues within its terms of reference. In line with this, I ensure that at every Board meeting I provide a report to the Board on the work of the Committee including matters of concern and identification of solutions to the issues and concerns identified by the Committee. It is also my obligation to ensure that members of the Committee are kept up to date with international financial and accounting best practice developments. I do this with the assistance of the External Auditors.

I meet regularly with the Audit Partner of the External Auditors to discuss their audit work and any issues of concern. I also meet regularly with the Chief Internal Auditor to receive briefings on internal audit work and to provide support where necessary to ensure that the independence and integrity of the internal audit function is beyond reproach.

Outside formal Committee meetings, I convene private sessions with the Committee members in the absence of Management and separate private sessions amongst Committee Members, the External Auditors and the Internal Auditors. The private sessions give the members and auditors the opportunity to raise any issues of concern warranting discussions in the absence of the Members of the Executive Management and to follow up on any actions requiring the Committee's intervention.

Attendance of Committee Meetings

We held four (4) ordinary meetings and four (4) special meeting. The attendance of our meetings were as follows:

Member	Ordinary Meetings				Special Meetings			
	21.3.17	07.6.17	14.9.17	14.11.17	07.2.17	04.5.17	19.7.17	23.10.17
Winnie Ouko	√	√	√	√	√	√	√	x
Ashok Shah	√	√	√	√	√	√	√	√
Norah Odwesso	x	√	√	x	x	√	√	√
Laila Macharia	√	√	√	√	√	√	√	√

In accordance with the Committee's forward agenda for each meeting, the Committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle blowing incidences from employees and external persons, tax issues, regulatory changes impacting the Bank and significant litigation. In addition, the Committee reviewed reports from the internal and external auditors on audit work carried out during the year.

Achievements in 2017

Our key achievements during the year were as follows:-

- Reviewed the integrity of the Bank's financial statements before recommending them to the Board for approval.
- Approved the external audit plan for the year end audit.
- Reviewed all the Non Audit Services (NAS) from our external Auditors to ensure that their Independence is not compromised.
- Approved the revised Audit Charter which guides the internal audit function of the Bank.
- Reviewed and approved the internal audit plan for the year.
- Received and reviewed reports on the implementation of the Enterprise Risk Management Framework, including the improvements made to the Framework in the identification and control of the Bank's principal risks.
- Reviewed and recommended the approval of various policies, including the Bank's Cyber Risk Policy, Framework and Strategy.
- Initiated a deep dive into the Bank's Financial Reporting so as to identify and track areas of strategic importance to the Bank in relation to effective management of the same.
- Reviewed the status of various compliance requirements and recommended appropriate actions to ensure continued full compliance in a dynamic environment.
- Reviewed reports on the management of various risks that the business faces on an ongoing basis, including: impairment, operational risk, capital, liquidity, market risk and conduct/reputational risk and approved various recommendations by Management intended to enhance the management of these risks.
- Reviewed key changes in the legal and regulatory environment and the Bank's readiness to comply with the requirements of the changes.
- Assessed the performance of the internal and external auditors to ensure that they are effective in carrying out their responsibilities.
- Received and reviewed the whistleblowing report and ensured that all cases were investigated and concluded accordingly.

Winnie Ouko
Chairperson of The Board Audit and Risk Committee

Financial review

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Directors' responsibilities and approval

for the year ended 31 December 2017

The directors are responsible for overseeing the preparation, integrity and objectivity of the annual financial statements that fairly present the state of the affairs of Barclays Bank of Kenya Limited ("the Bank"/ "the company") at the end of the financial year and the net income and cash flows for the reporting period, and other information contained in this report.

To enable the directors to meet these responsibilities:

- All directors and employees endeavour to maintain the highest ethical standards in ensuring the company's business is conducted in a manner that in all reasonable circumstances is above reproach;
- The board sets standards and management implements systems of internal control and accounting and information systems aimed at providing reasonable assurance that both on and off statement of financial position assets are safeguarded and the risk of error, fraud or loss is reduced in a cost-effective manner. These controls, contained in established policies and procedures, include the proper delegation of responsibilities and authorities within a clearly defined framework, effective accounting procedures and adequate segregation of duties;
- The board and management identify all key areas of risk across the company and endeavour to mitigate or minimise these risks by ensuring that appropriate infrastructure, controls, systems and discipline are applied and managed within predetermined procedures and constraints;
- The internal audit function outsourced from Barclays Africa Group Limited Internal Audit, which operates unimpeded and independently from operational management, appraises, evaluates and, when necessary, recommends improvements to the systems of internal control and accounting practices, based on audit plans that take cognisance of the relative degrees of risk of each function or aspect of the business; and
- The internal auditors play an integral role in matters relating to financial and internal control, accounting policies, reporting and disclosure.

To the best of their knowledge and belief, based on the above, the directors are satisfied that no material breakdown in the operation of the systems of internal control and procedures has occurred during the year under review.

The Kenyan Companies Act 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the financial position of the Group and Company at the end of the financial year and its profit or loss for the year then ended. The directors are responsible for ensuring that the Group and Company keeps proper accounting records that are sufficient to show and explain the transactions of the Group and Company; disclose with reasonable accuracy at any time the financial position of the Group; and that enables them to prepare financial statements of the Group and Company that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act 2015. They are also responsible for safeguarding the assets of the Group and Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Bank consistently adopts appropriate and recognised accounting policies and these are supported by reasonable and prudent judgements and estimates on a consistent basis. The financial statements of the company have been prepared in accordance with the provisions of the Kenyan Companies Act 2015 and comply with International Financial Reporting Standards (IFRS) and all applicable legislation.

The directors accept responsibility for the preparation and presentation of these consolidated and separate financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

i. designing, implementing and maintaining internal controls as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;

ii. selecting suitable accounting policies and then applying them consistently; and

iii. making judgements and accounting estimates that are reasonable in the circumstances.

The directors have no reason to believe that the company will not be a going concern in the reporting period ahead, based on forecasts and available cash resources. These financial statements have accordingly been prepared on this basis.

The directors acknowledge that the independent audit of the consolidated and separate financial statements does not relieve them of their responsibility.

The Group and Company financial statements as indicated above, were approved and authorised for issue by the Board of directors. The directors' report on pages 98 to 99 and the financial statements of the company which appears on pages 104 to 189 were approved by the board of directors on 28 February 2018.

Charles Muchene
Chairman

Jeremy Awori
Managing Director

Directors' report
for the year ended 31 December 2017

The directors submit their report together with the audited financial statements for the year ended 31 December 2017 in accordance with Section 22 of the Banking Act and Section 650(1) of the Kenyan Companies Act 2015 which discloses the state of affairs of Barclays Bank of Kenya Limited (the "Company"/"Bank") and its subsidiaries (together the "Group").

Company registration number	C.18208
Country of incorporation and domicile	Kenya
Nature of business and principle activities	The Company is registered as a bank under the Banking Act. The Group is engaged in the business of banking and the provision of related services.
Directors	**The directors who served during the year and to the date of this report are**

CK Muchene	Chairman
J Awori*	Managing Director
YK Omari*	Chief Financial Officer
AKM Shah	
WA Ouko	
LN Macharia	
NC Odwesso	
PE Ithau	

*Executive directors

Registered office	The West End Building Waiyaki Way PO Box 30120 code 00100 Nairobi
Parent company	Barclays Africa Group Limited
Independent auditors	KPMG Kenya
Company secretary	Paul Ndungi
Business review and dividend	The financial results of the Bank are set out in the attached financial statements. A detailed business review report is provided for on pages 42 to 56. An interim dividend of Shs 0.20 (2016: Shs 0.20) was paid during the year amounting to Shs 1 086mn (2016 Shs 1 086mn). The directors recommend the approval of a final dividend for the year ended 31 December 2017 of Shs 0.80 (2016: Shs 0.80) for every ordinary share amounting to Shs 4 345mn (2016: Shs 4 345mn) to be paid on or about 25 May 2018.

Directors' report
for the year ended 31 December 2017 (continued)

Summary results	Group 2017 Shs'million	Group 2016 Shs'million	Bank 2017 Shs'million	Bank 2016 Shs'million
Profit for the year	**6 926**	7 399	**6 679**	7 111
Total comprehensive income	**7 231**	8 041	**6 984**	7 753
Taxation	**(3 435)**	(3 453)	**(3 326)**	(3 328)
Dividends declared and paid				
- Interim declared and paid	**(1 086)**	(1 086)	**(1 086)**	(1 086)
- Final proposed	**(4 345)**	(4 345)	**(4 345)**	(4 345)
Net assets	**44 098**	42 388	**43 558**	42 095

Authorised and issued share capital

There were no changes to the authorised or issued share capital for the year under review. The share capital is disclosed in Note 33.

Events after the reporting date

No event, material to the understanding of these financial statements, has occurred in the period between the financial year end and the date of this report.

Auditors

The Company's auditors, KPMG Kenya, have indicated their willingness to continue in office in accordance with Section 721 (2) of the Kenyan Companies Act 2015 and Section 24 (1) of the Banking Act.

Going concern

The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern.

Relevant audit information

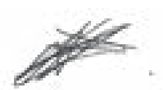
The Directors in office at the date of this report confirm that:

(i) There is no relevant audit information of which the Company's auditors are unaware; and

(ii) Each director has taken all the steps that they ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Approval of financial statements

The financial statements were approved by the Board of Directors on 28 February 2018.



Paul Ndungi
Company Secretary

Independent auditors' report

to the shareholders of Barclays Bank of Kenya Limited

Report on the audit of the consolidated financial statements

Opinion

We have audited the consolidated and separate financial statements of Barclays Bank of Kenya Limited (the group and company) set out on pages 104 to 189, which comprise the consolidated and separate statements of financial position as at 31 December 2017, and the consolidated and separate statement of comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of Barclays Bank of Kenya Limited as at 31 December 2017, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated and Separate Financial Statements section of our report. We are independent of the group and company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Kenya and, we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Assessing impairment of loans and advances to customers

The disclosure associated with Retail Credit Risk and Wholesale Credit Risk is set out in the financial statements in the following notes:

- Note 2.13 – Impairment of financial assets (pages 119 to 120)
- Note 10 – Impairment losses on loans and advances (pages 126)
- Note 42.2 – Credit risk (pages 152 to 159)

Key audit matter	How our audit addressed the Key audit matter
Impairment provisions represent management's best estimate of the losses incurred within the loan portfolios at balance sheet date. The impairment allowances on loans and advances are significant in the context of the separate and consolidated and separate financial statements due to the estimation uncertainty inherent in the impairment allowances as well as the significant judgement required in determining the value of the impairment allowances. Furthermore, models used to determine credit impairments are complex with certain inputs not fully observable. Management applies impairment model adjustments to these outputs which can be highly subjective. The estimation uncertainty is heightened due to the ongoing volatility in the Kenyan economy. Due to the magnitude of the loans and advances balances and the extent of management's judgement inherent in the impairment allowances calculations, this has been identified as an area of most significance in the current year audit of the consolidated and separate financial statements.	We considered the appropriateness of the accounting policies and assessed the loan impairment methodologies applied, and compared these to the requirements of IAS 39 Financial Instruments: Recognition and Measurement (IAS 39). We obtained an understanding of management's process over credit origination, credit monitoring and credit remediation and tested the relevant key controls identified within these processes. Where impairment allowances were calculated on a modelled basis we have performed the following audit procedures, in conjunction with our credit risk experts: • Assessed the design and implementation of the models, including assessing the appropriateness of significant assumptions applied and the quality of the observable data used to derive model parameters in relation to our understanding of industry norms; • Evaluated the reasonableness and robustness of the impairment modelling methodology applied by management to determine the probability of default and loss given default used to compute portfolio impairment allowances by processing management's data through our independent models with respect to certain portfolios; and

Report on the audit of the consolidated financial statements (continued)

Key audit matters (continued)

Assessing impairment of loans and advances to customers (continued)

The key audit matter	How the matter was addressed
	• Assessed the appropriateness of management's additional adjustments in light of recent economic events and circumstances and other factors that might not yet be fully reflected in the modelled results by independently assessing the reasonability of assumptions and judgements made by management.
Retail portfolio A significant portion of the retail impairment is calculated on a portfolio basis. In calculating the impairment allowance on a portfolio basis, statistical models are used. The following inputs to these models require significant management judgement: • the probability of default (PD); • the exposure at default (EAD); • the loss given default (LGD); and • the emergence periods (EP) between the occurrence of an impairment event and the recognition of an individual or collective impairment.	**Retail portfolio** Where impairment allowances were individually calculated we challenged the assumptions used by management with reference to current economic performance, assumptions most commonly used in the industry, scenario and sensitivity analysis, and comparison with external evidence or historical trends.
Wholesale and Corporate portfolios A significant proportion of Wholesale and Corporate loans and advances are assessed for recoverability on an individual basis. Significant judgements, estimates and assumptions have been applied by management to: • Determine if the loan or advance is impaired; • Evaluate the adequacy and recoverability of collateral; • Determine the expected cash flows to be collected; and • Estimate the timing of the future cash flows.	**Wholesale and Corporate portfolios** Where specific impairments have been raised we considered the impairment indicators, uncertainties and assumptions applied by management. In addition we considered management's assessment of the recoverability of the exposure and supporting collateral with reference to current economic performance, assumptions most commonly used in the industry, and comparison with external evidence or historical trends. We challenged the valuation of impairment losses for a sample of loans and advances that had been incurred, including developing our own expectation of the amount of the impairment allowance. We inspected a sample of legal agreements and supporting documentation to confirm the existence and legal right to collateral. We assessed collateral valuation techniques applied against the Group policy and industry standards. We selected a sample of loans and advances for which no impairment indicators were identified and considered the appropriateness of the conclusions reached, including using external evidence to substantiate our views.

Information control systems and controls over financial reporting	
The key audit matter	**How the matter was addressed**
We identified the Group's IT systems, and automated and IT dependent manual controls over financial reporting as an area of focus and an area that required more effort. The purpose of the work was to support our ability to rely on controls for the purpose of this report, as the Group's financial accounting and reporting systems are heavily dependent on complex systems. In particular, the calculation, recording and financial reporting of transactions and balances related to revenue, interest costs, fees and commissions, loans and advances, investments in securities and customers deposits are significantly dependent on IT automated systems and processes. There is a risk that automated accounting procedures and related IT dependent manual controls are not designed and operating effectively. A particular area of focus related to logical access management including privileged access and developer access to the production environment.	Our audit procedures in this area included, among others: • Evaluated the design and testing the operating effectiveness of the controls over the continued integrity of the IT systems that are relevant to financial reporting. • Examined the framework of governance over the Group's IT organisation and the controls over access to programs and data, program changes, IT operations and program development. • Where necessary, carried out direct tests of certain aspects of the security of the Group's IT systems including logical access management and segregation of duties.

Other information

The directors are responsible for the other information. The other information comprises the information included in the 2017 Integrated Report, but does not include the financial statements and our auditors' report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the consolidated and separate financial statements

As stated on page 97, the directors are responsible for the preparation of consolidated and separate financial statements that give a true and fair view in accordance with IFRSs, and in the manner required by the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the group's and company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and/ or the company or to cease operations, or has no realistic alternative but to do so. The directors are responsible for overseeing the Group's and Company's financial reporting process.

Auditors' responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

Independent auditor's report

to the shareholders of Barclays Bank of Kenya Limited (continued)

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's and company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's and company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and/or the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015, we report to you based on our audit, that:

(i) In our opinion, the information in the report of the directors on pages 98 to 99 is consistent with the financial statements;

(ii) In our opinion, the auditable part of the directors' remuneration report on pages 86 to 92 has been properly prepared in accordance with the Kenyan Companies Act, 2015; and

(iii) Our report is unqualified.

The Engagement Partner responsible for the audit resulting in this independent auditor's report is FCPA Eric Aholi - P/1471.

KPMG Kenya

KPMG Kenya
Certified Public Accountants
PO Box 40612 – 00100
Nairobi

Date: 28 February 2018

Consolidated statement of comprehensive income

For the year ended 31 December 2017

	Notes	2017 Shs'million	2016 Shs'million
Interest income	4	**27 171**	27 434
Interest expense	5	**(5 370)**	(5 100)
Net interest income		**21 801**	22 334
Fee and commission income	6	**6 137**	6 430
Fee and commission expense	6	**(865)**	(660)
Net fee and commission income		**5 272**	5 770
Net foreign exchange income	7	**2 864**	2 620
Net income from financial instruments at fair value through profit or loss	8	**351**	885
Other operating (expense)/income	9	**(30)**	74
Total income		**30 258**	31 683
Provisions for impairment of loans and advances	10	**(3 115)**	(3 927)
Net operating income		**27 143**	27 756
Employee benefits	11	**(10 255)**	(9 837)
Infrastructure costs	12	**(1 838)**	(1 794)
Administration and general expenses	13	**(3 457)**	(4 081)
Depreciation of property and equipment	24	**(767)**	(665)
Amortisation of intangible assets	25	**(465)**	(527)
Operating expenses		**(16 782)**	(16 904)
Profit before tax		**10 361**	10 852
Income tax expense	14	**(3 435)**	(3 453)
Profit for the year		**6 926**	7 399
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Re-measurement of defined benefit	32	**(139)**	(229)
Deferred income tax	31	**42**	61
		(97)	(168)
Items that may be reclassified subsequently to profit or loss:			
Available-for-sale financial assets			
Net gain on available-for-sale financial assets during the year	19	**575**	1 066
Deferred income tax	31	**(173)**	(256)
		402	810
Total other comprehensive income for the year, net of tax		**305**	642
Total comprehensive income for the year, net of tax		**7 231**	8 041
Earnings per share			
Basic and diluted (Shillings per share)	15	**1.28**	1.36

Bank statement of comprehensive income

For the year ended 31 December 2017

	Notes	2017 Shs'million	2016 Shs'million
Interest income	4	**27 166**	27 434
Interest expense	5	**(5 391)**	(5 100)
Net interest income		**21 775**	22 334
Fee and commission income	6	**5 687**	5 938
Fee and commission expense	6	**(865)**	(660)
Net fee and commission income		**4 822**	5 278
Net foreign exchange income	7	**2 864**	2 620
Net income from financial instruments at fair value through profit or loss	8	**351**	885
Other operating (expense)/income	9	**(30)**	74
Total income		**29 782**	31 191
Provisions for impairment of loans and advances	10	**(3 115)**	(3 927)
Net operating income		**26 667**	27 264
Employee benefits	11	**(10 153)**	(9 770)
Infrastructure costs	12	**(1 828)**	(1 786)
Administration and general expenses	13	**(3 449)**	(4 078)
Depreciation of property and equipment	24	**(767)**	(665)
Amortisation of intangible assets	25	**(465)**	(526)
Operating expenses		**(16 662)**	(16 825)
Profit before tax		**10 005**	10 439
Income tax expense	14	**(3 326)**	(3 328)
Profit for the year		**6 679**	7 111
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Re-measurement of defined benefit	32	**(139)**	(229)
Deferred income tax	31	**42**	61
		(97)	(168)
Items that may be reclassified subsequently to profit or loss:			
Available-for-sale financial assets			
Net gain on available-for-sale financial assets during the year	19	**575**	1 066
Deferred income tax	31	**(173)**	(256)
		402	810
Total other comprehensive income for the year, net of tax		**305**	642
Total comprehensive income for the year, net of tax		**6 984**	7 753
Earnings per share			
Basic and diluted (Shillings per share)	15	**1.23**	1.31

Consolidated statement of financial position

for the year ended 31 December 2017

	Notes	2017 Shs'million	2016 Shs'million
Assets			
Cash and balances with Central Bank of Kenya	16	**16 354**	13 378
Financial assets at fair value through profit or loss	17	**9 608**	7 345
Derivative financial instruments	18	**395**	26
Financial assets available-for-sale	19	**58 476**	48 699
Deposits and balances due from banking institutions	20	**1 818**	219
Due from group companies	46	**3 465**	5 971
Loans and advances to customers	21	**168 397**	168 510
Other assets and prepaid expenses	22	**8 001**	10 134
Current income tax	36	**415**	24
Deferred income tax	31	**697**	619
Property and equipment	24	**2 741**	3 081
Intangible assets	25	**1 159**	1 592
Prepaid operating lease rentals	26	**46**	55
Retirement benefit asset	32	**-**	65
Total assets		**271 572**	259 718
Equity and liabilities			
Liabilities			
Derivative financial liabilities	18	**454**	69
Deposits and balances due to banking institutions	27	**3 059**	3 264
Due to group companies	46	**23 658**	19 736
Customer deposits	28	**185 977**	178 180
Borrowings	29	**5 172**	5 159
Other liabilities and accrued expenses	30	**9 150**	10 418
Current income tax	36	**-**	504
Retirement benefit liability	32	**4**	-
Total liabilities		**227 474**	217 330
Equity			
Share capital	33	**2 716**	2 716
Available-for-sale reserve	34	**250**	(152)
Share-based payment reserve	34	**195**	285
Retained earnings	34	**36 592**	35 194
Proposed dividend	47	**4 345**	4 345
Total equity		**44 098**	42 388
Total equity and liabilities		**271 572**	259 718

The financial statements on pages 104 to 189 were approved for issue by the Board of Directors on 28 February 2018 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director

Yusuf Omari
Chief Financial Officer

Paul Ndungi
Company Secretary

Bank statement of financial position
for the year ended 31 December 2017

	Notes	2017 Shs'million	2016 Shs'million
Assets			
Cash and balances with Central Bank of Kenya	16	**16 354**	13 378
Financial assets at fair value through profit or loss	17	**9 608**	7 345
Derivative financial instruments	18	**395**	26
Financial assets available-for-sale	19	**58 376**	48 699
Deposits and balances due from banking institutions	20	**1 818**	219
Due from group companies	46	**3 465**	5 568
Loans and advances to customers	21	**168 397**	168 510
Other assets and prepaid expenses	22	**8 356**	10 134
Investment in subsidiaries	23	**363**	263
Current income tax	36	**336**	-
Deferred income tax	31	**683**	614
Property and equipment	24	**2 741**	3 081
Intangible assets	25	**1 135**	1 568
Prepaid operating lease rentals	26	**46**	55
Retirement benefit asset	32	**-**	65
Total assets		**272 073**	259 525
Equity and liabilities			
Liabilities			
Derivative financial liabilities	18	**454**	69
Deposits and balances due to banking institutions	27	**3 059**	3 264
Due to group companies	46	**23 658**	19 736
Customer deposits	28	**186 245**	178 448
Borrowings	29	**5 172**	5 159
Other liabilities and accrued expenses	30	**9 923**	10 379
Current income tax	36	**-**	375
Retirement benefit liability	32	**4**	-
Total liabilities		**228 515**	217 430
Equity			
Share capital	33	**2 716**	2 716
Available-for-sale reserve	34	**250**	(152)
Share-based payment reserve	34	**195**	285
Retained earnings	34	**36 052**	34 901
Proposed dividend	47	**4 345**	4 345
Total equity		**43 558**	42 095
Total equity and liabilities		**272 073**	259 525

The financial statements on pages 104 to 189 were approved for issue by the Board of Directors on 28 February 2018 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director

Yusuf Omari
Chief Financial Officer

Paul Ndungi
Company Secretary

Consolidated statement of changes in equity

For the year ended 31 December 2017

	Share Capital Shs'millions	Available-for-sale reserve Shs'millions	Share-based payment reserve Shs'millions	Regulatory reserve Shs'millions	Retained earnings Shs'millions	Proposed Dividends Shs'millions	Total equity Shs'millions
Year ended 31 December 2016							
At start of year	2 716	(962)	223	927	32 467	4 345	39 716
Profit for the year	-	-	-	-	7 399	-	7 399
Other comprehensive income for the year	-	810	-	-	(168)	-	642
Total comprehensive income for the year	-	810	-	-	7 231	-	8 041
Transfer to retained earnings	-	-	-	(927)	927	-	-
Transactions with owners:							
Movement in share-based payment plans	-	-	62	-	-	-	62
Final dividend for 2015 paid	-	-	-	-	-	(4 345)	(4 345)
Interim dividend 2016 paid	-	-	-	-	(1 086)	-	(1 086)
Proposed final dividend for 2016	-	-	-	-	(4 345)	4 345	-
At end of year	2 716	(152)	285	-	35 194	4 345	42 388
Year ended 31 December 2017							
At start of year	**2 716**	**(152)**	**285**	**-**	**35 194**	**4 345**	**42 388**
Profit for the year	**-**	**-**	**-**	**-**	**6 926**	**-**	**6 926**
Other comprehensive income for the year	**-**	**402**	**-**	**-**	**(97)**	**-**	**305**
Total comprehensive income for the year	**-**	**402**	**-**	**-**	**6 829**	**-**	**7 231**
Transactions with owners:							
Movement in share-based payment plans	**-**	**-**	**(90)**	**-**	**-**	**-**	**(90)**
Final dividend for 2016 paid	**-**	**-**	**-**	**-**	**-**	**(4 345)**	**(4 345)**
Interim dividend 2017 paid	**-**	**-**	**-**	**-**	**(1 086)**	**-**	**(1 086)**
Proposed final dividend for 2017	**-**	**-**	**-**	**-**	**(4 345)**	**4 345**	**-**
At end of year	**2 716**	**250**	**195**	**-**	**36 592**	**4 345**	**44 098**

Bank statement of changes in equity

For the year ended 31 December 2017

	Share Capital Shs'millions	Available-for-sale reserve Shs'millions	Share-based payment reserve Shs'millions	Regulatory reserve Shs'millions	Retained earnings Shs'millions	Proposed Dividends Shs'millions	Total equity Shs'millions
Year ended 31 December 2016							
At start of year	2 716	(962)	223	927	32 462	4 345	39 711
Profit for the year	-	-	-	-	7 111	-	7 111
Other comprehensive income for the year	-	810	-	-	(168)	-	642
Total comprehensive income for the year	-	810	-	-	6 943	-	7 753
Transfer to retained earnings	-	-	-	(927)	927	-	-
Transactions with owners:							
Movement in share-based payment plans	-	-	62	-	-	-	62
Final dividend for 2015 paid	-	-	-	-	-	(4 345)	(4 345)
Interim dividend 2016 paid	-	-	-	-	(1 086)	-	(1 086)
Proposed final dividend for 2016	-	-	-	-	(4 345)	4 345	-
At end of year	2 716	(152)	285	-	34 901	4 345	42 095

	Share Capital Shs'millions	Available-for-sale reserve Shs'millions	Share-based payment reserve Shs'millions	Regulatory reserve Shs'millions	Retained earnings Shs'millions	Proposed Dividends Shs'millions	Total equity Shs'millions
Year ended 31 December 2017							
At start of year	**2 716**	**(152)**	**285**	**-**	**34 901**	**4 345**	**42 095**
Profit for the year	**-**	**-**	**-**	**-**	**6 679**	**-**	**6 679**
Other comprehensive income for the year	**-**	**402**	**-**	**-**	**(97)**	**-**	**305**
Total comprehensive income for the year	**-**	**402**	**-**	**-**	**6 582**	**-**	**6 984**
Transactions with owners:							
Movement in share-based payment plans	**-**	**-**	**(90)**	**-**	**-**	**-**	**(90)**
Final dividend for 2016 paid	**-**	**-**	**-**	**-**	**-**	**(4 345)**	**(4 345)**
Interim dividend 2017 paid	**-**	**-**	**-**	**-**	**(1 086)**	**-**	**(1 086)**
Proposed final for dividend 2017	**-**	**-**	**-**	**-**	**(4 345)**	**4 345**	**-**
At end of year	**2 716**	**250**	**195**	**-**	**36 052**	**4 345**	**43 558**

Consolidated statement of cash flows

For the year ended 31 December 2017

	Notes	2017 Shs'million	2016 Shs'million
Cash flows from operating activities			
Cash used in operations	35	**(12 136)**	(29 122)
Interest received	40	**25 210**	24 586
Interest paid	39	**(4 098)**	(3 205)
Income taxes paid	36	**(4 464)**	(3 178)
Net cash used in operating activities		**4 512**	(10 919)
Cash flows from investing activities			
Purchase of property and equipment	24	**(449)**	(541)
Proceeds on disposal of equipment and leased assets	37	**11**	2
Purchase of for intangible assets	25	**(44)**	(52)
Net cash used in investing activities		**(482)**	(591)
Cash flows from financing activities			
Dividends paid	38	**(5 431)**	(5 431)
Net cash used in financing activities		**(5 431)**	(5 431)
Net decrease in cash and cash equivalents		**(1 401)**	(16 941)
Cash and cash equivalents at the beginning of the year		**(8 929)**	8 012
Cash and cash equivalents at the end of the year	41	**(10 330)**	(8 929)

Bank statement of cash flows

For the year ended 31 December 2017

	Notes	2017 Shs'million	2016 Shs'million
Cash flows from operating activities			
Cash used in operations	35	**(11 950)**	(29 541)
Interest received	40	**25 205**	24 586
Interest paid	39	**(4 118)**	(3 205)
Income taxes paid	36	**(4 220)**	(3 178)
Net cash used in operating activities		**4 917**	(11 338)
Cash flows from investing activities			
Purchase of property and equipment	24	**(449)**	(541)
Proceeds on disposal of equipment and leased assets	37	**11**	2
Purchase of for intangible assets	25	**(44)**	(52)
Net cash used in investing activities		**(482)**	(591)
Cash flows from financing activities			
Dividends paid	38	**(5 431)**	(5 431)
Net cash used in financing activities		**(5 431)**	(5 431)
Net decrease in cash and cash equivalents		**(996)**	(17 360)
Cash and cash equivalents at the beginning of the year		**(9 348)**	8 012
Cash and cash equivalents at the end of the year	41	**(10 344)**	(9 348)

Summary of accounting policies
for the year ended 31 December 2017

1. General information and statement of compliance

Barclays Bank of Kenya Limited (the "Bank") is a public limited company, incorporated and domiciled in Kenya. Its shares are listed on the Nairobi Securities Exchange. The address of its registered office is:

The West End Building
Waiyaki Way
PO Box 30120 00100
Nairobi

The annual financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and the interpretations issued by the International Financial Reporting Interpretations Committee of the IASB (IFRIC) and the requirements of the Kenyan Companies Act 2015, as amended.

For the Kenyan Companies Act 2015 reporting purposes, the balance sheet is represented by the statement of financial position and profit or loss account by the statement of comprehensive income in these financial statements.

On initial recognition, all transactions are recorded in the Functional Currency (the currency of the primary economic environment in which the Group operates) which is the Kenya Shilling.

The consolidated and separate financial statements are presented in million of Kenya Shillings (Shs'million), the presentation currency of the Group.

2. Significant accounting policies

The significant accounting policies applied in the preparation of these annual consolidated and separate financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Adoption of new and revised accounting standards

During the current year, the Bank has adopted all of the new and revised standards and interpretations issued by the IASB and the IFRIC that are relevant to its operations and effective for annual reporting periods beginning on 1 January 2017. The adoption of these new and revised standards and interpretations has not resulted in material changes to the company's accounting policies. For details of the new and revised accounting policies refer to Note 48.

2.2 Basis of preparation

Apart from certain items that are carried at revalued and fair valued amounts, as explained in the accounting policies below, the consolidated and separate financial statements have been prepared on the historical cost basis. The principal accounting policies are set out below.

The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern.

2.3 Basis of consolidation

The financial statements incorporate the financial statements of the Bank and its subsidiaries (together the "Group"). Control is achieved when the Bank is exposed, or has rights to, variable returns from its involvement with an entity and it has the ability to effect those returns through the power it exercises over the entity. The Bank will only consider potential voting rights that are substantive when assessing whether it controls another entity. In order for the right to be substantive, the holder must have the practical ability to exercise that right.

Subsidiaries (including controlled structured entities) are fully consolidated from the date on which control is transferred to the Bank. They are deconsolidated from the date that control ceases.

Income and expenses of subsidiaries acquired or disposed of during the year are included in the statement of profit or loss from the effective date of acquisition and up to the effective date of disposal, as appropriate. Total comprehensive income of subsidiaries is attributed to the owners of the Bank and to the non-controlling interests even if this results in the non-controlling interests have a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other members of the Group.

All intra-group transactions, balances, income and expenses are eliminated in full on consolidation.

2. Significant accounting policies (continued)

2.4 Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable.

2.4.1 Net fee and commission income

Fees and commissions charged for services provided or received by the Group are recognised as the services are provided, for example on completion of an underlying transaction.

Loan commitment fees for loans that are likely to be drawn down are deferred (together with related direct costs) and recognised as an adjustment to the effective interest rate on the loan.

Bancassurance fee income are recognised as the services are provided.

2.4.2 Net trading income

Trading positions are held at fair value and the resulting gains and losses are included in profit or loss, together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

Income arises from both the sale and purchase of trading positions, margins which are achieved through market-making and customer business and from changes in fair value caused by movements in interest and exchange rates, equity prices and other market variables.

Gains or losses on assets or liabilities reported in the trading portfolio are included in profit or loss under net trading income together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

2.4.3 Net interest income

Interest income on loans and advances at amortised cost, available-for-sale debt investments, and interest expense on financial liabilities held at amortised cost, are calculated using the effective interest method which allocates interest, and direct and incremental fees and costs, over the expected lives of the financial assets and liabilities.

The effective interest method requires the Bank to estimate future cash flows, in some cases based on its experience of customers' behaviour, considering all contractual terms of the financial instrument, as well as the expected lives of the assets and liabilities. Due to the large number of products and types (both assets and liabilities), there are no individual estimates that are material to the results or financial position.

2.5 Foreign currencies

In preparing the financial statements of the Group, transactions in currencies other than the Group's Functional Currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the closing rates as at the reporting date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Income and expense items are translated at the average exchange rates for the period, unless exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used.

2.6 Employee benefits

Staff costs

Short-term employee benefits, including salaries, accrued performance costs, salary deductions and taxes are recognised over the reporting period in which the employees provide the services to which the payments relate.

Defined benefit scheme

The Group recognises its obligation (determined using the projected unit credit method) to members of the scheme at the reporting date, less the fair value of the scheme assets. Scheme assets are stated at fair value as at the reporting date. Costs arising from regular pension cost, interest on net defined benefit liability or asset, past service cost settlements or contributions to the plan are recognised in profit or loss.

Summary of accounting policies
for the year ended 31 December 2017 (continued)

2. Significant accounting policies (continued)

2.6 Employee benefits (continued)

Defined benefit scheme (continued)

All actuarial gains and losses are recognised immediately through OCI in order for the net defined benefit scheme asset or liability recognised in the statement of financial position to reflect the full value of the plan surplus or deficit, taking into account the asset ceiling.

Remeasurements comprise experience adjustments (differences between previous actuarial assumptions and what has actually occurred) and the effects of changes in actuarial assumptions.

Interest is calculated by applying the discount rate to the opening net defined liability or asset, taking into account any changes in the net defined liability or asset during the period as a result of contribution and benefit payments.

Gains and losses on curtailments are recognised when the curtailment occurs, which may be when a demonstrable commitment to a reduction in benefits, or reduction in eligible employees, occurs. The gain or loss comprises any change in the present value of the obligation and the fair value of the assets. Where a scheme's assets exceed its obligation, an asset is recognised to the extent that it does not exceed the present value of future contribution holidays or refunds of contributions.

Defined contribution scheme

The Group recognises contributions due in respect of the reporting period in profit or loss. Any contributions unpaid at the reporting date are included as a liability.

2.7 Share-based payments

The Bank operates equity-settled and cash-settled share-based payment plans.

Employee services settled in equity instruments

The cost of the employee services received in respect of the shares or share options granted is recognised in profit or loss over the period that employees provide services, generally the period in which the award is granted or notified and the vesting date of the shares or options. The overall cost of the award is calculated using the number of shares and options expected to vest and the fair value of the shares or options at the date of grant.

The number of shares and options expected to vest takes into account the likelihood that performance and service conditions included in the terms of the awards will be met. Failure to meet non-vesting condition is treated as a cancellation, resulting in an acceleration of recognition of the cost of the employee services.

The fair value of shares is the market price ruling on the grant date, in some cases adjusted to reflect restrictions on transferability. The fair value of options granted is determined using option pricing models to estimate the numbers of shares likely to vest. These take into account the exercise price of the option, the current share price, the risk-free interest rate, the expected volatility of the share price over the life of the option and other relevant factors. Market conditions that must be met in order for the award to vest are also reflected in the fair value of the award, as are any other non-vesting conditions.

Employee services settled in cash

The fair value of the amount payable to employees in terms of a cash-settled share-based payment is recognised as an expense, with a corresponding increase in liabilities, over the vesting period. The liability is remeasured at each reporting date and at settlement date. Any changes in the fair value of the liability are recognised as staff costs in profit or loss. No amount is recognised for services received if the awards granted do not vest because of a failure to satisfy a vesting condition.

2.8 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

2.8.1 Current income tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible.

Income tax payable on taxable profits is recognised as an expense for the year in which the profits arise.

2. Significant accounting policies (continued)

2.8 Taxation (continued)

2.8.1 Current income tax (continued)

Income tax recoverable on tax allowable losses is recognised as a current tax asset only to the extent that it is regarded as recoverable and offset against taxable profits arising in the current or future reporting period.

2.8.2 Deferred income tax

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred income tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred income tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

Deferred income tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred income tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred income tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred income tax

Current and deferred income tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred income tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred income tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

2.9 Property and equipment

Property and equipment is stated at cost, which includes direct and incremental acquisition costs less accumulated depreciation and provisions for impairment, if required. Subsequent costs are capitalised if these result in an enhancement to the asset.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Estimated useful lives are set out in Note 3 (Judgements and estimates). Land and buildings comprise mainly of branches and offices. Freehold land is not depreciated.

Summary of accounting policies
for the year ended 31 December 2017 (continued)

2. Significant accounting policies (continued)

2.10 Intangible assets

Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

Impairment of tangible and intangible assets (excluding goodwill)

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

2.11 Provisions, contingent liabilities and undrawn commitments

Provisions

Provisions for legal claims or restructuring are recognised when: the Bank has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

Contingent liabilities

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events, and present obligations where the transfer of economic resources is uncertain or cannot be reliably measured. Contingent liabilities are not recognised on the statement of financial position but are disclosed unless the outflow of economic resources is remote.

2.12 Financial instruments

Financial assets and financial liabilities are recognised when the company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are capitalised to the initial carrying amount of the financial asset/liability, as appropriate on initial recognition.

2. Significant accounting policies (continued)

2.12 Financial instruments (continued)

Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

On initial recognition, it is presumed that the transaction price is the fair value unless there is observable information available in an active market to the contrary. The best evidence of an instrument's fair value on initial recognition is typically the transaction price. However, if fair value can be evidenced by comparison with other observable current market transactions in the same instrument, or is based on a valuation technique whose inputs include only data from observable markets then the instrument should be recognised at the fair value derived from such observable market data.

2.12.1 Financial assets and financial liabilities

Financial assets are classified depending on the nature and purpose of the financial assets. This is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

Financial instruments at fair value through profit or loss ("FVTPL")

Financial assets are measured as at FVTPL when they are either held for trading or designated as at FVTPL.

A financial instrument is classified as held for trading if:

- it is a financial asset that has been acquired principally for the purpose of selling it in the near term, or it is a financial liability that has been acquired principally for the purpose of repurchasing it in the near term; or
- on initial recognition it is part of a portfolio of identified financial instruments that the Group manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument.

A financial instrument other than one that is held for trading may be designated as at FVTPL upon initial recognition if:

- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- the financial instrument forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Group's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- it forms part of a contract containing one or more embedded derivatives, and IAS 39.

Financial Instruments: Recognition and Measurement permits the entire combined contract (asset or liability) to be designated as at FVTPL.

Financial instruments at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in profit or loss. The net gain or loss recognised in profit or loss incorporates any dividend or interest earned on the financial asset.

Available-for-sale (AFS) financial assets

AFS financial assets are non-derivatives that are either designated as AFS or are not classified as loans and receivables or financial assets at fair value through profit or loss.

AFS financial assets include both debt and equity instruments and are stated at fair value at the end of each reporting period.

Subsequent changes in the carrying amount of AFS monetary financial assets relating to changes in foreign currency rates, interest income calculated using the effective interest method and dividends on AFS equity investments are recognised in profit or loss. Other changes in the carrying amount of AFS financial assets are recognised in other comprehensive income and accumulated under the heading of Available –for- sale reserve. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the Available –for- sale reserve is reclassified to profit or loss.

Summary of accounting policies
for the year ended 31 December 2017 (continued)

2. Significant accounting policies (continued)

2.12 Financial instruments (continued)

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. Loans and receivables are measured at amortised cost using the effective interest method, less any impairment.

Interest income is recognised by applying the effective interest rate, except for short-term receivables when the recognition of interest would be immaterial.

Effective interest method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

Financial liabilities

Most financial liabilities are held at amortised cost. That is, the initial fair value (which is normally the amount borrowed) is adjusted for premiums, discounts, repayments and the amortisation of coupon, fees and expenses to represent the effective interest rate of the liability.

The table below provides for the classification of financial instruments:

<table>
<tr><th colspan="2">Category (as defined by IAS 39)</th><th colspan="2">Class (as determined by the Group)</th><th>Subclasses</th></tr>
<tr><td rowspan="9">Financial assets</td><td rowspan="2">Financial assets at fair value through profit or loss</td><td rowspan="2">Financial assets held for trading</td><td>Debt securities</td><td>-</td></tr>
<tr><td>Derivative assets</td><td>-</td></tr>
<tr><td rowspan="6">Loans and receivables</td><td colspan="3">Loans and advances to banks</td></tr>
<tr><td colspan="3">Due from group companies</td></tr>
<tr><td rowspan="2">Loans and advances to customers</td><td>Loans to individuals (retail)</td><td>• Overdrafts
• Credit cards
• Term loans
• Mortgages</td></tr>
<tr><td>Loans to corporate entities</td><td>• Large corporate customers
• SMEs
• Others</td></tr>
<tr><td colspan="3">Items in course of collection</td></tr>
<tr><td colspan="3">Cash and balances with Central Bank of Kenya</td></tr>
<tr><td>Available- for- sale investments</td><td>Debt securities</td><td></td><td></td></tr>
<tr><td rowspan="6">Financial liabilities</td><td rowspan="5">Financial liabilities at amortised cost</td><td colspan="3">Deposits from banks</td></tr>
<tr><td rowspan="3">Deposits from customers</td><td>Retail customers</td><td>-</td></tr>
<tr><td>Large corporate customers</td><td>-</td></tr>
<tr><td>SMEs</td><td>-</td></tr>
<tr><td colspan="3">• Items in course of collection
• Borrowings
• Due to group companies
• Other liabilities</td></tr>
<tr><td colspan="4">Financial assets at fair value through profit or loss</td></tr>
<tr><td rowspan="2">Off-balance sheet financial instruments</td><td colspan="4">Loan commitments</td></tr>
<tr><td colspan="4">Guarantees, acceptances and other financial liabilities</td></tr>
</table>

2. Significant accounting policies (continued)

2.13 Impairment of financial assets

Amortised cost instruments

Impairment on financial assets measured at amortised cost is recognised in accordance with IAS 39, the Group assesses at each reporting date whether there is objective evidence that financial assets at amortised cost will not be recovered in full and, wherever necessary, recognises an impairment loss in profit or loss. An impairment loss is recognised if there is objective evidence of impairment as a result of events that have occurred and these have adversely impacted the estimated future cash flows from the assets.

Objective evidence of impairment could include:

- significant financial difficulty of the issuer or counterparty; or
- breach of contract, such as a default or delinquency in interest or principal payments; or
- it becoming probable that the borrower will enter bankruptcy or financial re-organisation; or
- the disappearance of an active market for that financial asset because of financial difficulties.

For financial assets carried at amortised cost, the amount of the impairment loss recognised is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the financial asset's original effective interest rate.

For financial assets carried at amortised cost, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of the estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment loss will not be reversed in subsequent periods.

For financial assets measured at amortised cost, if, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed through profit or loss to the extent that the carrying amount of the investment at the date the impairment is reversed does not exceed what the amortised cost would have been had the impairment not been recognised.

Following impairment, interest income continues to be recognised at the original effective interest rate on the restated carrying amount, representing the unwind of the discount of the expected cash flows, including the principal due on non-accrual loans.

Uncollectable loans are written off against the related allowance for loan impairment on completion of the Group's internal processes and all recoverable amounts have been collected. Subsequent recoveries of amounts previously written off are credited to profit or loss.

Identified impairment

Impairment allowances are calculated on an individual basis and all relevant considerations that have a bearing on the expected future cash flows of that instrument being assessed are taken into account, for example, the business prospects for the customer, the fair value of collateral, the Group's position relative to other claimants, the reliability of customer information and the likely cost and duration of the workout process. Subjective judgements are made in this process by management.

Furthermore, judgements change with time as new information becomes available or as workout strategies evolve, resulting in revisions to the impairment allowance as individual decisions are taken case by case. Once a financial asset or a group of similar financial assets have been written down as a result of an impairment loss, interest income is thereafter recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised, are not included in a collective assessment of impairment.

Unidentified impairment

An impairment allowance is recognised when observable data indicates there is a measurable decrease in the estimated future cash flows from a group of financial assets since the original recognition of those assets, even though the decrease cannot yet be identified for the individual assets in the group. The purpose of collective assessment of impairment is to test for latent losses on a portfolio of loans that have not been individually evidenced.

Summary of accounting policies

for the year ended 31 December 2017 (continued)

2. Significant accounting policies (continued)

2.13 Impairment of financial assets (continued)

In cases where the collective impairment of a portfolio cannot be individually evidenced, the Group sets out to prove that a risk condition has taken place that will result in an impairment of assets (based on historic experience), but the losses will only be identifiable at an individual borrower level at a future date.

The emergence period concept is applied to ensure that only impairments that exist at the reporting date are captured. The emergence period is defined as the time lapse between the occurrence of a trigger event and the impairment being identified at an individual account level. The probability of default for each exposure class is based on historical default experience, scaled for the emergence period relevant to the exposure class. This probability of default is then applied to the total population for which specific impairments have not been recognised. The resulting figure represents an estimation of the impairment that occurred during the emergence period and therefore has not specifically been identified by the Group at the reporting date.

The impairment allowance also takes into account the expected severity of loss at default, or the loss-given default (LGD), which is the amount outstanding when default occurs that is not subsequently recovered. Recovery varies by product and depends, for example, on the level of security held in relation to each loan, and the Group's position relative to other claimants. The LGD estimates are based on historical default experience.

Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that do not affect the period on which historical loss experience is based and to remove the effects of conditions in the historical period that do not currently exist.

Available-for-sale debt instruments

Debt instruments are assessed for impairment in the same way as loans. If impairment is deemed to have occurred, the cumulative decline in the fair value of the instrument that has previously been recognised in other comprehensive income is removed from other comprehensive income and recognised in profit or loss. This may be reversed through the profit or loss, if there is evidence that the circumstances of the issuer have improved.

2.14 Derecognition of financial instruments

Derecognition of financial assets

Full derecognition only occurs when the rights to receive cash flows from the asset have been discharged, cancelled or have expired, or the Group transfers both its contractual right to receive cash flows from the financial assets (or retains the contractual rights to receive the cash flows, but assumes a contractual obligation to pay the cash flows to another party without material delay or reinvestment) and substantially all the risks and rewards of ownership, including credit risk, prepayment risk and interest rate risk. When an asset is transferred, in some circumstances, the Group may retain an interest in it (continuing involvement) requiring the Group to repurchase it in certain circumstances for other than its fair value on that date.

Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified (taking into account both quantitative and qualitative factors), such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss. Where the terms of an existing liability are not substantially modified, the liability is not derecognised. Costs incurred on such transactions are treated as an adjustment to the carrying amount of the liability and are amortised over the remaining term of the modified liability.

Loan commitments

The Group enters into commitments to lend to its customers subject to certain conditions. Such loan commitments are made either for a fixed period, or are cancellable by the Group subject to notice conditions. Provision is made for undrawn loan commitments to be provided at below-market interest rates and for similar facilities, if it is probable that the facility will be drawn and result in recognition of an asset at an amount less than the amount advanced.

2.15 Ordinary share capital

Proceeds are included in equity, net of transaction costs. Dividends and other returns to equity holders are recognised when paid or declared by the Board.

2. Significant accounting policies (continued)

2.16 Derivative financial instruments

The Group enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks, including foreign exchange forward contracts, interest rate swaps and cross currency swaps.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship.

Derivatives embedded in non-derivative host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at FVTPL.

2.17 Offsetting

In accordance with IAS 32 Financial Instruments: Presentation, the Group reports financial assets and financial liabilities on a net basis on the statement of financial position only if there is a current legally enforceable right to set off the recognised amounts and there is intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.18 Cash and cash equivalents

For the purposes of the statement of cash flows, cash comprises cash on hand and demand deposits, and cash equivalents comprise highly liquid investments that are convertible into cash with an insignificant risk of changes in value with original maturities of three months or less.

2.19 Earnings per share

The calculation of basic earnings per share is based on the profit attributable to ordinary equity holders of the Group and the number of basic weighted average number of ordinary shares excluding treasury shares held in employee benefit trusts or held for trading. When calculating the diluted earnings per share, the weighted average number of shares in issue is adjusted for the effects of all dilutive potential ordinary shares held.

2.20 Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country Management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance. In accordance with IFRS 8, the Group has the following business segments: Consumer banking and Corporate banking.

2.21 Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared, in accordance with Kenya Companies' Act, 2015.

2.22 Leases

Leases are divided into finance leases and operating leases.

(a) The Group is the lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on a straight-line basis over the period of the lease.

Summary of accounting policies

for the year ended 31 December 2017 (continued)

2. Significant accounting policies (continued)

2.22 Leases (continued)

The total payments made under operating leases are charged to infrastructure costs on a straight-line basis over the period of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

(ii) Finance lease

Lease of assets where the Group has substantially all the risks and rewards of ownership are classified as finance leases. These are capitalised at lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding.

The corresponding rental obligations, net of finance charges, are included in deposits from banks or deposits from customers depending on the counter party. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The leases entered into by the Group are primarily operating leases.

(b) The Group is the lessor

When assets are held subject to a finance lease, the present value of the lease payments is recognised as a receivable. The difference between the gross receivable and the present value of the receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method (before tax), which reflects a constant periodic rate of return.

(c) Fees paid in connection with arranging leases

The Group makes payments to agents for services in connection with negotiating lease contracts with the Bank's lessees. For operating leases, the letting fees are capitalised within the carrying amount of the related asset and depreciated over the life of the lease.

3. Judgements and estimates

In the preparation of the annual financial statements, management is required to make judgements, estimates and assumptions that affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement is inherent in the formation of estimates. Actual results in the future could differ from these estimates, which may be material to the financial statements within the next financial period.

Judgements made by management that could have a significant effect on the amounts recognised in the financial statements include:

Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in profit or loss, the Group makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Bank.

The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

3. Judgements and estimates (continued)

Fair value of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates. Changes in assumptions about these factors could affect the reported fair value of financial instruments. The fair value hierarchy for these financial instruments is shown in Note 43.

Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the current income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in Note 47.

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

Post-retirement benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in Note 32. The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of government bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability. Through its defined benefit pension plans, the Group is exposed to a number of risks, the most significant of which are detailed below:

(i) Asset volatility and changes in bond yields

The plan liabilities are calculated using a discount rate set with reference to government bond yields; if plan assets underperform this yield, this will create a deficit.

As the plan matures, the Group intends to reduce the level of investment risk by investing more in assets that better match the liabilities.

A decrease in corporate bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plan's bond holdings.

(ii) Inflation risk

The majority of the plan's benefit obligations are linked to inflation, and higher inflation will lead to higher liabilities. The majority of the plan's assets are either unaffected by (fixed interest bonds) or loosely correlated with (equities) inflation, meaning that an increase in inflation will also increase the deficit.

(iii) Life expectancy

The majority of the plan's obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plans' liabilities.

Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 32 of these financial statements.

Summary of accounting policies
for the year ended 31 December 2017 (continued)

3. Judgements and estimates (continued)

Post-retirement benefits (continued)

(iv) Investment risk

The actuarial funding valuations make assumptions about the returns that may be available on invested assets. If the return on pension plan assets is below this rate, it may lead to a strain on the fund, which over time, may result in a pension plan deficit. Typically the funds have a relatively balanced investment in equity securities, debt securities and real estate to mitigate any concentration risk. Due to the long-term nature of the pension plan liabilities, the boards of the pension funds consider it appropriate that a reasonable portion of the plan assets should be invested in equity securities and in real estate to improve the return generated by the fund. This may in turn result in improved discretionary benefits to members or reduced costs for the sponsoring entity.

Useful lives of property and equipment	Useful lives (Years)
Property and equipment	
Buildings;	
Leases over 50 years	50
Leases under 50 years	Over the remaining life
Rented premises	6
Freehold buildings	50
Leasehold improvements	Over the remaining lease period
Fixtures, fittings and equipment	5
Motor vehicles	5
Intangible assets	
Flexcube (Core banking application)	10
Other	5

4. Interest income

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Financial assets available-for-sale	**5 775**	5 587	**5 770**	5 587
Deposits and balances due from banking institutions and group companies	**117**	151	**117**	151
Loans and advances to customers	**21 259**	21 696	**21 259**	21 696
Other interest Income	**20**	-	**20**	-
	27 171	27 434	**27 166**	27 434

5. Interest expense

Deposits and balances due to banking institutions and group companies	**(336)**	(415)	**(357)**	(415)
Customer deposits	**(4 835)**	(4 511)	**(4 835)**	(4 511)
Borrowings	**(199)**	(174)	**(199)**	(174)
	(5 370)	(5 100)	**(5 391)**	(5 100)

6. Net fee and commission income

Fee and commission income				
Service fees	**5 043**	4 979	**5 036**	4 979
Credit related fee and commissions	**636**	959	**636**	959
Insurance agency commissions	**458**	492	**15**	-
Fee and commission income	**6 137**	6 430	**5 687**	5 938
Fee and commission expense				
Fee and commission expense	**(865)**	(660)	**(865)**	(660)
Net fee and commission income	**5 272**	5 770	**4 822**	5 278

7. Net foreign exchange income

	Group and Bank	
	2017 Shs'million	2016 Shs'million
Net foreign exchange income	**2 864**	**2 620**

8. Net income from financial instruments carried at fair value through profit or loss – Held for trading

	Group and Bank	
	2017 Shs'million	2016 Shs'million
Debt: Government treasury bills and bonds	**351**	885
	351	885

9. Other operating income

	Group and Bank 2017 Shs'million	Group and Bank 2016 Shs'million
Gain on disposal of property and equipment	**11**	2
Rental income	**20**	4
Sundry loss/income	**(61)**	68
	(30)	74

The sundry loss relates to funds refunded to Barclays Africa Group Limited. For 2016, sundry income related to insurance recoveries in the year

10. Provisions for impairment of loans and advances

	Group and Bank 2017 Shs'million	Group and Bank 2016 Shs'million
Identified impairment (Note 21)	**(3 457)**	(3 557)
Unidentified impairment (Note 21)	**152**	(669)
Net increase in impairment provision	**(3 305)**	(4 226)
Recoveries of loans and advances previously written off	**190**	297
Bad debt written off	**-**	2
Statement of comprehensive income charge	**(3 115)**	(3 927)

11. Employee benefits

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Salaries and allowances	**(8 460)**	(7 883)	**(8 450)**	(7 824)
Share-based payments	**(81)**	(83)	**(81)**	(83)
Training costs	**(72)**	(57)	**(72)**	(56)
Staff medical costs	**(550)**	(462)	**(550)**	(459)
Post-employment benefits:				
Defined contribution benefits scheme	**(690)**	(748)	**(598)**	(745)
Defined benefit plan (Note 32)	**(27)**	(28)	**(27)**	(28)
Social security cost	**(8)**	(9)	**(8)**	(9)
Other	**(367)**	(567)	**(367)**	(566)
Total staff cost	**(10 255)**	(9 837)	**(10 153)**	(9 770)

Other includes temporary staff salaries and fringe benefit tax.

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
	2017	2016	**2017**	2016
Average number of employees during the year	**2 268**	2 591	**2 268**	2 591
Average number of direct sales agents during the year	**684**	1 291	**684**	1 291

11.1. Deferred cash and share-based payments

	Group and Bank 2017 Shs'million	Group and Bank 2016 Shs'million
The statement of comprehensive income charge for share-based payments comprises the following:		
Equity and cash settled arrangements: (refer to Note 34.3)	**(62)**	(62)
Deferred cash expense:		
Barclays Africa Group Limited Cash Value Plan ("CVP")	**(19)**	(20)
Total deferred cash and share-based payments	**(81)**	(83)

Cash-settled share-based payment schemes are measured with reference to the statement of financial position date and the Barclays Africa Group Limited share price.

12. Infrastructure costs

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Property cost	**(386)**	(431)	**(386)**	(430)
Equipment costs	**(499)**	(485)	**(489)**	(479)
Operating lease rentals	**(953)**	(878)	**(953)**	(877)
	(1 838)	(1 794)	**(1 828)**	(1 786)

13. Administrative and general expenses

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Auditors' remuneration[a]:				
Local Statutory audit	**(22)**	(20)	**(22)**	(20)
Group audit	**(8)**	(7)	**(8)**	(7)
Information systems technology audit	**(10)**	(7)	**(10)**	(7)
	(40)	(34)	**(40)**	(34)
Consultancy, legal and professional fees	**(140)**	(94)	**(140)**	(94)
Subscription, publications, stationery and communications	**(715)**	(783)	**(715)**	(783)
Marketing, advertising and sponsorship	**(370)**	(378)	**(370)**	(378)
Travel and accommodation	**(123)**	(139)	**(123)**	(139)
	(1 348)	(1 394)	**(1 368)**	(1 394)
Other administrative and general expense[b]:	**(2 069)**	(2 653)	**(2 061)**	(2 650)
	(3 457)	(4 081)	**(3 449)**	(4 078)

[a] KPMG became the Group's principal Auditor in 2017. PwC was the principal Auditor in 2016 and 2015. The figures shown in the above table relate to fees paid to KPMG or PwC as principal Auditor.

[b] Other administrative and general expense mainly consists of group recharges, security costs, cash in transit expenses, insurance costs and motor vehicle expenses.

14. Income tax expense

	Group 2017 Shs'million	Group 2016 Shs'million	Bank 2017 Shs'million	Bank 2016 Shs'million
Current income tax	**(3 644)**	(3 792)	**(3 526)**	(3 662)
Deferred income tax (Note 31)				
Current year credit	**209**	339	**200**	334
Total income tax expense for the year	**(3 435)**	(3 453)	**(3 326)**	(3 328)

The effective tax rate for the year ended 31 December 2017 is 33.2% (2016: 31.8%).

	Group 2017 Shs'million	Group 2016 Shs'million	Bank 2017 Shs'million	Bank 2016 Shs'million
Profit before income tax	**10 361**	10 852	**10 005**	10 439
Income tax expense calculated at 30% (2016: 30%)	**3 108**	3 256	**3 002**	3 131
Effect of income that is exempt from taxation	**(8)**	(82)	**(8)**	(82)
Effect of expenses that are not deductible in determining taxable profit	**279**	279	**276**	279
Adjustments recognised in the current year in relation to the deferred tax of prior years	**56**	-	**56**	-
Income tax expense recognised in profit or loss	**3 435**	3 453	**3 326**	3 328

Deferred income tax for fair value gains or losses on available-for-sale financial assets has been recorded in other comprehensive income.

15. Earnings per share

	Group 2017 Shs'million	Group 2016 Shs'million	Bank 2017 Shs'million	Bank 2016 Shs'million
Net profit attributable to shareholders	**6 926**	7 399	**6 679**	7 111
Number of ordinary shares in issue	**5 432**	5 432	**5 432**	5 432
Basic earnings per share	**1.28**	1.36	**1.23**	1.31

There were no potentially dilutive shares outstanding at 31 December 2017 or 2016. Diluted earnings per share are therefore the same as basic earnings per share.

16. Cash and balances with Central Bank of Kenya

	Group and Bank	
	2017	2016
	Shs'million	Shs'million
Cash in hand	**4 720**	5 033
Balances with Central Bank of Kenya	**11 634**	8 345
	16 354	13 378

17. Financial assets at fair value through profit or loss

	Group and Bank	
	2017	2016
	Shs'million	Shs'million
Debt securities: Government treasury bills and bonds	**9 608**	7 345
	9 608	7 345

All financial assets at fair value through profit or loss are current.

18. Derivative financial instruments

Derivative financial instruments are entered into in the normal course of business to manage various financial risks. The derivative instrument contract value is derived from one or more underlying financial instruments or indices defined in the contract. They include swaps and forward rate agreements.

All derivative financial instruments have been measured at fair value through profit and loss. At the reporting date, the Bank did not have any compound financial instruments with multiple embedded derivatives in issue. The Bank only trades the following derivative instrument:

Foreign exchange derivatives

The Bank's principal exchange rate-related contracts are forward foreign exchange contracts and currency swaps. Forward foreign exchange contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate. A currency swap generally involves the exchange, or notional exchange, of equivalent amounts of two currencies and a commitment to exchange interest periodically until the principal amounts are re-exchanged on a future date. As compensation for assuming the option risk, the option writer generally receives a premium at the start of the option period.

The Bank trades foreign exchange forwards and swaps (forward contracts). These are binding contracts locking in the exchange rate for the purchase or sale of a currency on a future date. The Bank's forward book is marked to market on daily basis.

18. Derivative financial instruments (continued)

Group and Bank	Notional contract amount Shs'million	Assets Shs'million	Liabilities Shs'million
2017			
Foreign exchange derivatives			
Forwards	**(369)**	**69**	**136**
Currency swaps	**97**	**326**	**318**
	(272)	**395**	**454**
2016			
Foreign exchange derivatives			
Forwards	(11)	12	39
Currency swaps	(50)	14	30
	(61)	26	69
2017			
Current		**395**	**454**
Non-current		**-**	**-**
		395	**454**
2016			
Current		26	69
Non-current		-	-
		26	69

19. Financial assets available-for-sale

	Group 2017 Shs'millions	Group 2016 Shs'millions	Bank 2017 Shs'millions	Bank 2016 Shs'millions
Debt: Government treasury bills and bonds				
Maturing within 90 days	5 640	4 877	5 640	4 877
Maturing after 90 days	52 836	43 822	52 736	43 822
	58 476	48 699	58 376	48 699

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as either available-for-sale or at fair value through profit or loss. The weighted average effective interest rate on the Government securities at 31 December 2017 was 11.1% (2016: 10%).

A fair value profit of Shs 402 million (Gross: Shs 575 million profit less deferred income tax saving of Shs 173 million) has been recognised in other comprehensive income. In 2016, a fair value profit of Shs 810 million (Gross: Shs 1,066 million less deferred income tax of Shs 320 million) was recognised in other comprehensive income.

20. Deposits and balances due from banking institutions

	Group and Bank 2017 Shs'million	Group and Bank 2016 Shs'million
Deposits and balances with banking institutions abroad	1 818	219
	1 818	219

The weighted average effective interest rate on deposits and balances due from banking institutions at 31 December 2017 was 16.2% (2016: 18.6%).

Deposits and balances due from banking institutions are current.

21. Loans and advances to customers

	Group and Bank 2017 Shs'million	Group and Bank 2016 Shs'million
Commercial loans	133 876	131 539
Bills discounted	18 778	25 097
Instalment credit agreements	9 629	9 158
Unearned finance charges	(115)	(102)
Gross instalment credit agreements	9 744	9 260
Overdrafts	13 575	9 882
Gross loans and advances to customers	175 858	175 676
Less: allowance for impairment		
Identified impairment	(6 416)	(5 968)
Unidentified impairment	(1 045)	(1 198)
Allowance for impairment	(7 461)	(7 166)
Net loans and advances to customers	168 397	168 510

21. Loans and advances to customers (continued)

21.1 Instalment credit agreements

	Group and Bank	
	2017 Shs'million	2016 Shs'million
Less than one year	**3 960**	1 022
Between one and five years	**5 645**	6 263
More than five years	**24**	1 873
	9 629	9 158

The Group enters into instalment credit agreements in respect of motor vehicles and equipment. Under the terms of the lease agreements, no contingent rentals are payable.

21.2 Impairment of loans and advances

	Group and Bank		
	Identified impairment Shs'million	**Unidentified impairment Shs'million**	**Total Shs'million**
2017			
At start of year	**5 968**	**1 198**	**7 166**
New impairment provision	**3 342**	**45**	**3 387**
Increase in impairment provisions	**133**	**-**	**133**
Recoveries and impairment provisions no longer required	**(18)**	**(197)**	**(215)**
Increase in impairment provision	**3 457**	**(152)**	**3 305**
Amounts written off during the year as uncollectible	**(3 010)**	**-**	**(3 010)**
At end of the year	**6 416**	**1 045**	**7 461**
Net increase in impairment provision	**3 457**	**(152)**	**3 305**
Accounts recovered previously written off	**(190)**	**-**	**(190)**
Net impairment charge (Note 10)	**3 267**	**(152)**	**3 115**

	Identified impairment Shs'million	Unidentified impairment Shs'million	Total Shs'million
2016			
At start of year	3 926	529	4 455
New impairment provision	3 593	669	4 262
Increase in impairment provisions	203	-	203
Recoveries and impairment provisions no longer required	(239)	-	(239)
Increase in impairment provision	3 557	669	4 226
Amounts written off during the year as uncollectible	(1 515)	-	(1 515)
At end of the year	5 968	1 198	7 166
Net increase in impairment provision	3 557	669	4 226
Accounts recovered previously written off	(297)	-	(297)
Bad debt written off	(2)		(2)
Net impairment charge (Note 10)	3 258	669	3 927

The aggregate amount of impaired loans included in the statement of financial position (net of impairment losses) is Shs 505 million (2016: Shs 1,600 million). All such loans have been written down to the present value of their recoverable amount. The weighted average effective interest rate on loans and advances at 31 December 2017 was 12.2% (2016: 12.7%).

21. Loans and advances to customers (continued)

21.3 Impaired loans and advances to customers

	2017 Shs'million	2016 Shs'million
Loans and advances identified as impaired	6 921	7 568
Provision for impairment	(6 416)	(5 968)
Net loans and advances to customers identified as impaired	**505**	1 600
Unidentified impairment	**1 045**	1 198

	2017 Shs'million	2017 (%)	2016 Shs'million	2016 (%)
Economic sector risk concentrations:		(%)		
Manufacturing	23 799	14	20 613	12
Wholesale and retail trade	26 600	15	28 240	16
Transportation and communications	3 755	2	9 888	6
Agricultural	8 781	5	8 975	5
Private individuals	93 255	53	76 780	44
Other	19 668	11	31 180	17
	175 858	100	175 676	100

22. Other assets and prepaid expenses

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Prepaid expenses	459	254	459	254
Items in course of collection from banks	787	792	787	792
Staff loan marked to market	2 369	3 148	2 369	3 148
Other	4 386	5 940	4 741	5 940
	8 001	10 134	8 356	10 134

Other assets mainly consist of prepayments, suspense accounts as well as settlement fees receivable.

All other assets are current.

Notes to the annual financial statements
for the year ended 31 December 2017 (continued)

23. Investment in subsidiaries

Name of subsidiary	Proportion of ownership interest and voting power held 2017	2016	Carrying amount 2017 Shs'million	2016 Shs'million
Subsidiaries				
Barclays Financial Services Limited	**100%**	100%	**363**	263
Barclays (Kenya) Nominees Limited	**100%**	100%	**-**	-
Barclays Credit Limited (formerly Barclays Deposit Taking Microfinance Limited)	**100%**	100%	**-**	-
Barclays Bank Insurance Agency Limited	**100%**	100%	**-**	-
Barclays Pension Services Limited	**100%**	100%	**-**	-
			363	263

Barclays (Kenya) Nominees Limited, Barclays Pension Services Limited and Barclays Credit Limited (formerly Barclays Deposit Taking Microfinance Limited) are dormant companies. Barclays Financial Services Limited and Barclays Bank Insurance Agency Limited operate in the business of brokerage services and insurance agency respectively.

The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the Bank.

24. Property and equipment

Group and Bank	Freehold buildings Shs'million	Leasehold improvements Shs'million	Fixtures fittings and equipment Shs'million	Motor vehicles Shs'million	WIP Shs'million	Total Shs'million
Property and equipment						
Year ended 31 December 2017						
At start of year	178	4 112	7 778	52	32	12 152
Additions	-	32	401	-	16	449
Reclassification from Prepaid operating lease rentals	-	8	-	-	-	8
Reclassification	-	-	-	-	(14)	(14)
Transfers from WIP	-	22	12	-	(34)	-
Disposals	-	-	-	(5)	-	(5)
Retirement of assets	-	(356)	-	-	-	(356)
At end of the year	178	3 818	8 191	47	-	12 234
Accumulated depreciation						
At start of year	(92)	(2 757)	(6 192)	(30)	-	(9 071)
Depreciation	(2)	(163)	(595)	(7)	-	(767)
Disposals	-	-	-	5	-	5
Retirement of assets	-	340	-	-	-	340
At end of the year	(94)	(2 580)	(6 787)	(32)	-	(9 493)
Net book value at end of year	84	1 238	1 404	15	-	2 741
Year ended 31 December 2016						
At start of year	178	3 970	6 881	52	583	11 664
Additions	-	57	281	-	203	541
Transfers	-	87	616	-	(766)	(63)
Reclassification from intangible asset	-	-	-	-	12	12
Disposals	-	(2)	-	-	-	(2)
At end of the year	178	4 112	7 778	52	32	12 152
Accumulated depreciation						
At start of year	(90)	(2 600)	(5 696)	(21)	-	(8 407)
Depreciation	(2)	(157)	(496)	(9)	-	(664)
At end of the year	(92)	(2 757)	(6 192)	(30)	-	(9 071)
Net book value at end of year	86	1 355	1 586	22	32	3 081

Included in property and equipment at 31 December 2017 are assets with a gross value of Shs 6,577 million (2016: Shs 6,100 million) which are fully depreciated but still in use. The notional depreciation charge on these assets for the year would have been KShs 1,272 million (2016: Shs 1,179 million).

25. Intangible assets

Group	Computer software Shs'million	WIP Shs'million	Total Shs'million
Year ended 31 December 2017			
At start of year	**5 566**	**20**	**5 586**
Acquisitions	**13**	**31**	**44**
Reclassification	**-**	**(10)**	**(10)**
Transfer from WIP	**37**	**(37)**	**-**
At end of the year	**5 616**	**4**	**5 620**
Amortisation and impairment losses			
At start of year	**(3 994)**	**-**	**(3 994)**
Amortisation	**(465)**	**-**	**(465)**
Reclassifications	**(2)**	**-**	**(2)**
At end of the year	**(4 461)**	**-**	**(4 461)**
Net book value at end of year	**1 155**	**4**	**1 159**
Year ended 31 December 2016			
At start of year	5 455	66	5 521
Acquisitions	10	42	52
Reclassification	25	-	25
Reclassification to property and equipment	-	(12)	(12)
Transfer from WIP	76	(76)	-
At end of the year	5 566	20	5 586
Amortisation and impairment losses			
At start of year	(3 467)	-	(3 467)
Amortisation	(527)	-	(527)
At end of the year	(3 994)	-	(3 994)
Net book value at end of year	1 572	20	1 592

Included in intangible assets at 31 December 2017 are assets with a gross value of Shs 1,919 million (2016:Shs 1,464 million) which are fully depreciated but still in use. The notional depreciation charge on these assets for the year would have been Shs 384 million (2016:Shs 293 million).

25. Intangible assets (continued)

Bank	Computer software Shs'million	WIP Shs'million	Total Shs'million
Year ended 31 December 2017			
At start of year	**5 541**	**20**	**5 561**
Acquisitions	**13**	**31**	**44**
Reclassifications	**-**	**(10)**	**(10)**
Transfer from WIP	**37**	**(37)**	**-**
At end of the year	**5 591**	**4**	**5 595**
Amortisation and impairment losses			
At start of year	**(3 993)**	**-**	**(3 993)**
Amortisation	**(465)**	**-**	**(465)**
Reclassifications	**(2)**	**-**	**(2)**
At end of the year	**(4 460)**	**-**	**(4 460)**
Net book value at end of year	**1 131**	**4**	**1 135**
Year ended 31 December 2016			
At start of year	5 455	66	5 521
Acquisitions	10	42	52
Reclassification to property and equipment	-	(12)	(12)
Transfer from WIP	76	(76)	-
At end of the year	5 541	20	5 561
Amortisation and impairment losses			
At start of year	(3 467)	-	(3 467)
Amortisation	(526)	-	(526)
At end of the year	(3 993)	-	(3 993)
Net book value at end of year	1 548	20	1 568

26. Prepaid operating lease rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

	Group and Bank	
	2017	2016
	Shs'million	Shs'million
At start of year	**55**	56
Amortisation charge for the year	**(1)**	(1)
Reclassification to Leasehold improvements	**(8)**	-
At end of year	**46**	55

Notes to the annual financial statements
for the year ended 31 December 2017 (continued)

27. Deposits and balances due to banking institutions

	Group and Bank	
	2017	2016
	Shs'million	Shs'million
Due to local banks	**2 062**	3 000
Due to foreign banks	**997**	264
	3 059	3 264

The weighted average effective interest rate on deposits and balances due to banking institutions at 31 December 2017 was 9.2% (2016: 11.4%).

Deposits and balances due to banking institutions are current.

28. Customer deposits

2017	Group Shs'million	Bank Shs'million
Call deposits	**108 333**	**108 601**
Savings and transmission accounts	**33 897**	**33 897**
Fixed deposits	**43 747**	**43 747**
	185 977	**186 245**
2016		
Call deposits	109 341	109 877
Savings and transmission accounts	33 350	33 082
Fixed deposits	35 489	35 489
	178 180	178 448
2017		
Current	150 275	150 543
Non-current	35 702	35 702
	185 977	**186 245**
2016		
Current	142 763	143 031
Non-current	35 417	35 417
	178 180	178 448

The weighted average effective interest rate on customer deposits at 31 December 2017 was 2.6% (2016: 2.6%).
The carrying value of customer deposits approximates their fair value.

29. Borrowings

	Group and Bank	
	2017	**2016**
	Shs'million	**Shs'million**
Subordinated debt	**5 172**	**5 159**
	5 172	**5 159**

The US$50million subordinated loan from Barclays Africa Group Limited was obtained on 26 March 2015 and has a maturity date of 26 March 2020. Interest is paid quarterly in arrears at a rate of 270bps above USD Libor which re-sets every three months. The carrying value of borrowings approximates their fair value.

30. Other liabilities and accrued expenses

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Accrued expenses	**480**	305	**480**	305
Items in the course of collection due to other banks	**1 913**	1 813	**1 913**	1 813
Deferred income	**826**	741	**826**	741
Outstanding bankers cheques	428	703	428	703
Trade finance margins	1 778	466	1 778	466
Card settlements	**518**	658	**518**	658
Other payables	**3 207**	5 732	**3 980**	5 693
	9 150	10 418	**9 923**	10 379

Other payables include items relating to excise duties payable, interchange payable and trade payables

Other liabilities and accrued expenses are current.

31. Deferred income tax

The analysis of the deferred tax assets and deferred tax liabilities is as follows:

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Deferred income tax assets	**879**	860	**865**	855
Deferred income tax liabilities	**(182)**	(241)	**(182)**	(241)
	697	619	**683**	614

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

Consolidated deferred income tax assets and liabilities are attributable to the following:

Group	At start of year Shs'million	Credit / (charge) to profit or loss Shs'million	(Charge)/ credit to other comprehensive income Shs'million	At end of year Shs'million
2017				
Property and equipment	**(241)**	**138**	**-**	**(103)**
Financial assets available-for-sale	**94**	**-**	**(173)**	**(79)**
Unrealised gains and losses	**-**	**26**	**-**	**26**
Provision for impairment of loans and advances	**636**	**19**	**-**	**655**
Tax losses	**5**	**8**	**-**	**13**
Derivatives	**-**	**5**	**-**	**5**
Share-based payment transactions	**-**	**25**	**-**	**25**
Provisions	**-**	**44**	**-**	**44**
Re-measurements of defined benefit liability (asset)	**61**	**-**	**42**	**103**
Prior year adjustment	**64**	**(56)**	**-**	**8**
	619	**209**	**(131)**	**697**

31. Deferred income tax (continued)

Group	At start of year Shs'millions	Credit / (charge) to profit or loss Shs'millions	(Charge)/ credit to other comprehensive income Shs'millions	At end of year Shs'millions
2016				
Property and equipment	(328)	87	-	(241)
Financial assets available-for-sale	414	-	(320)	94
Provision for impairment of loans and advances	389	247	-	636
Re-measurements of defined benefit liability (asset)	-	-	61	61
Tax losses	-	5	-	5
Prior year overstatement available-for-sale	-	-	64	64
	475	339	(195)	619

Bank	At start of year Shs'millions	Credit / (charge) to profit or loss Shs'millions	(Charge)/ credit to other comprehensive income Shs'millions	At end of year Shs'millions
2017				
Property and equipment	**(241)**	**138**	**-**	**(103)**
Financial assets available-for-sale	**94**	**-**	**(173)**	**(79)**
Unrealised gains and losses	**-**	**26**	**-**	**26**
Provision for impairment of loans and advances	**636**	**19**	**-**	**655**
Derivatives	**-**	**5**	**-**	**5**
Share-based payment transactions	**-**	**25**	**-**	**25**
Provisions	**-**	**43**	**-**	**43**
Re-measurements of defined benefit liability (asset)	**61**	**-**	**42**	**103**
Prior year adjustment	**64**	**(56)**	**-**	**8**
	614	**200**	**(131)**	**683**
2016				
Property and equipment	(328)	87	-	(241)
Financial assets available-for-sale	414	-	(320)	94
Provision for impairment of loans and advances	389	247	-	636
Re-measurements of defined benefit liability (asset)	-	-	61	61
Prior year overstatement available-for-sale	-	-	64	64
	475	334	(195)	614

32. Retirement benefit (liability) /asset

The Barclays Bank of Kenya Limited Staff Pension Fund ("the Fund") is a defined benefit pension fund. Prior to 1 January 2010 the Fund consisted of both a Defined Benefit ("DB") and a Defined Contribution ("DC") component. On 1 January 2010, the Fund was split into two separate legal entities, with the liabilities of the DB section remaining in the Fund, and the DC liabilities being transferred to the Barclays Bank of Kenya Limited Staff Retirement Benefits (Defined Contribution) Scheme 2009 ("the DC Fund").

The operation of the Fund is regulated by the Retirement Benefits Authority ("RBA") and subject to the provisions of the Retirement Benefits Act, 1997. The Fund is governed by the Trust Deed and Rules set out in the Fourteenth Deed of Amendment dated 12 February 2010 ("Rules").

Membership data

The membership data used for the valuation is summarised in the table below:

Category	Number	Annual Salary / Pension Shs'million
Defined Benefit		
Active members	6	24
Deferred pensioners	895	76
Pensioners	1 503	541

Summary of benefit and contribution structure

Eligibility	Existing Members who opt to remain Members of the Fund on the terms applying to DB Members.
Final Pensionable Salary	(i) If the Member has been in service for 20 years or more, the annual pensionable salary at the date of leaving. (ii) If the Member has been in service for less than 20 years, the average annual salary paid to the member during the last five years of service.
Normal Retirement Age	Males 60 Females 55 (60 for some females)
Service	Continuous service with Bank or with Barclays Bank DC or Barclays Bank International Limited, immediately prior to the establishment of Barclay's Bank of Kenya Limited. For those employees who joined the Fund aged 17 or less, service will count from the member's 17th birthday.
Normal Retirement and Late Retirement Pension	If service is 20 years or more then 1/720 of Final Pensionable Salary for each month of service to 31 December 2009. Thereafter, benefits accrue at a rate of 1/960 per month. If service is lower than 20 years 1/960 of Final Pensionable Salary for each month of service. This pension is reduced by an amount in respect of the social security pensions as described below and cannot exceed 2/3 of his or her pensionable salary at the date of retirement.
Ill-health retirement*	Pension based on potential service to Normal Retirement Age and Final Pensionable Salary at the date of ill-health retirement. This pension will be paid only if service is 5 years or more.

32. Retirement benefit (liability) / asset (continued)

Summary of benefit and contribution structure (continued)

Retirement due to unsatisfactory service	Deferred pension payable from the later of the date the Member attains age 50 or retires from Service.
Commutation	Up to ¼ of pension (calculated on the advice of the Actuary).
Death in service	Lump sum equal to three year's annual pensionable salary, if the member has been in service for more than five years, otherwise ¼ of the member's rate of Pensionable Salary at the date of death.
Death in deferment	Lump sum equal to five times deferred pension amount.
Death after retirement	Lump sum equal to the remaining pension payable within 5 years of retirement age.
Withdrawal	Deferred Pension payable at Normal Retirement Age calculated as follows:

Service	Fraction of Pensionable Salary for each month of service to 31 December 2009
Less than 20 years	1/960
20 to 30 years	1/840
30 years and over	1/720

Benefits accrue at a rate of 1/960 per month for service post 1 January 2010.

In no case shall a deferred pension exceed the amount which could have been paid to the Member if he or she had stayed in service until Normal Retirement Age.

This pension is reduced by an amount in respect of the social security pensions as described below and cannot exceed 2/3 of his or her pensionable salary at the date of retirement.

A cash lump sum** equal to 1/3 of the deferred pension may be taken prior to normal retirement age, with a reduced pension being payable from normal retirement age.

Pension Increases	The Scheme Trustees may, with the consent of the Principal Employer, review pensions in payment and subject to there being sufficient funds for the purpose or the Employers paying a special additional contribution as determined by the actuary, may increase such pensions.
Contributions	Members are not required to contribute to the Fund, although they can elect to pay voluntary contributions. The Bank contributes to the Fund, the balance of the cost of providing the benefits.
Government Pensions	If a member has completed 40 years' service a deduction is made equal to ½ of any government pension payable to a single person (for members with less than 40 years' service a percentage of this pension is deducted). In addition, a deduction equal to the pension equivalent of any sum paid by the Bank to a DB member under any statutory enactment, order, directive, or under any agreement with a trade union or similar body.

32. Retirement benefit (liability) / asset (continued)

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	Valuation at 2017	2016
Discount rate	**13.00%**	13.00%
Expected rate of salary increase	**9.50%**	9.50%
Inflation	**7.50%**	7.50%
Mortality rate	**13.00%**	13.00%
Change in pensions	**4.50%**	4.50%

Amounts recognised in profit or loss in respect of these defined benefit plans are as follows:	2017 Shs'million	2016 Shs'million
Current service cost	**27**	28
Interest on obligation	**(11)**	(41)
	16	(13)

Amounts recognised in other comprehensive income in respect of these defined benefit plans are as follows:

	2017 Shs'million	2016 Shs'million
Actuarial gains financial assumptions	**-**	545
Experience adjustment	**(129)**	(359)
Return on plan assets	**(170)**	199
Adjustments for restrictions on the defined benefit asset	**438**	(156)
	139	229

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the end of the reporting period. Expected returns on equity and property investments reflect long-term real rates of return experienced in the respective markets.

The amount included in the statement of financial position arising from the company's obligation in respect of its defined benefit plans is as follows:

	2017 Shs'million	2016 Shs'million
Present value of funded defined benefit obligation	**(4 678)**	(4 776)
Fair value of plan assets	**5 119**	4 845
Surplus	**441**	69
Restrictions on asset recognised	**(445)**	(4)
Net (liability) / asset arising from defined benefit obligation	**(4)**	65

32. Retirement benefit (liability) / asset (continued)

Movements in the present value of the defined benefit obligation in the current year were as follows:

	2017 Shs'million	2016 Shs'million
Opening defined benefit obligation	**(4 776)**	(4 472)
Current service cost	**(27)**	(28)
Interest expense	**(581)**	(622)
Actuarial loss/(gain) - financial assumption	**129**	(545)
Experience adjustment	**-**	359
Benefits paid	**577**	532
Closing defined benefit obligation	**(4 678)**	(4 776)

Movements in the present value of the plan assets in the current year were as follows:

	2017 Shs'million	2016 Shs'million
Opening fair value of plan assets	**4 845**	4 888
Actuarial gain / (loss) OCI	**170**	(199)
Interest income	**592**	687
Contributions from the employer	**89**	2
Contributions from plan participants	**-**	-
Benefits paid	**(577)**	(533)
Closing fair value of plan assets	**5 119**	4 845

Cash-flows

The cash-flows in the current and expected in the next valuation period are shown below:

	2018 Next valuation (expected) Shs'million	2017 Current Valuation (estimated) Shs'million
Company contributions - normal	**3**	**3**
Company contributions - expenses	**29**	**87**
Pension payments	**584**	**532**
Other benefit payments	**11**	**25**
Expense payments	**22**	**21**

32. Retirement benefit (liability) / asset (continued)

Sensitivity analysis

The effect of certain changes to the financial and demographic assumptions is analysed below:

2017	Basis	Discount rate -1.00%	Discount rate +0.50%	Inflation 0.50%	PA(90) - 1 year
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Active members	91 213	103 576	85 776	97 470	93 129
Deferred members	529 939	579 872	507 606	557 203	539 750
Pensions in payment	4 056 457	4 305 256	3 942 134	4 196 819	4 161 820
Total liability	**4 677 609**	**4 988 704**	**4 535 516**	**4 851 492**	**4 794 699**
Gross service cost (excluding interest)	24 102	24 396	23 973	24 363	24 095

2016	Basis	Discount rate -1.00%	Discount rate +0.50%	Inflation 0.50%	PA(90) - 1 year
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Active members	81 614	93 281	76 509	87 502	83 332
Deferred members	522 732	574 945	499 468	551 133	532 237
Pensions in payment	4 171 491	4 433 179	4 051 436	4 318 827	4 276 029
Total liability	**4 775 837**	**5 101 405**	**4 627 413**	**4 957 462**	**4 891 598**
Gross service cost (excluding interest)	23 527	23 820	23 398	23 872	23 525

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the retirement benefit obligation to significant actuarial assumptions the same method (present value of the obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

The weighted average duration of the defined benefit obligation is 50 years. The figure is not very sensitive to the precise time horizon given the high net discount rate.

33. Share capital

The authorised share capital of Barclays Bank of Kenya Limited is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares with a par value of Shs 0.50 each.

	2017 Shs'million	2016 Shs'million
Issued share capital		
Authorised and issued share capital		
5 432 (2015: 5 432) million shares	**2 716**	2 716
	2 716	2 716

34. Reserves

34.1 Regulatory reserve

The regulatory reserve represents an appropriation from retained earnings to comply with the prudential guidelines of the Central Bank of Kenya on loan loss provisions. The balance represents the excess of impairment provisions determined in accordance with the prudential guidelines over the impairment provisions recognised in accordance with the International Financial Reporting Standards. The reserve is non-distributable.

34.2 Available-for-sale reserve

The available-for-sale reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the instrument is derecognised or impaired, in which case the cumulative amount recognised in other comprehensive income is released to profit or loss.

34.3 Share-based payment reserve

The Bank's senior management participate in the following Barclays group share based payment arrangement:

(a) Barclays Africa Group Limited Long-Term Incentive Plan

The Long-Term Incentive Plan (LTIP) is an equity-settled share-based payment arrangement. Qualifying participants are entitled to Barclays Africa Group Limited ordinary shares either by way of a share award or a cash award that must be used to purchase Barclays Africa Group Limited ordinary shares. The award will be issued by the employing entity or subsidiary in the Group. In order for the participant to be entitled to these awards, the participant needs to render three years of service and meet requisite performance conditions.

(b) Barclays Africa Group Limited Joiners Share Value Plan

The Joiners Share Value Plan (JSVP) enables the Group to attract and motivate new employees by buying out the "in the money" portion of a participant's shares or options under their previous employers' share scheme by offering the employees Barclays Africa Group Limited awards. There is no consideration payable for the grant of an award and the vesting of the award is not subject to performance conditions. Dividends accumulate and are reinvested over the vesting period, which can be over one to five years.

34. Reserves (continued)

(c) Barclays Africa Group Limited Share Value Plan

The Share Value Plan (SVP) awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest in equal tranches after one, two and three years, with each tranche subject to its own independent non-market-related performance condition on vesting. The amount that is paid to the cash-settled participants is equal to the market value of a number of Barclays Africa Group Limited ordinary shares, as determined on the vesting date, to the extent that the non-market-related conditions attached to the awards are met. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the period.

(d) Barclays Africa Limited Retention Share Value Plan

The Share Value Retention Plan (SVP Cliff) awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest after three years, subject to their own independent non-market related performance condition on vesting. The amount that is paid to the cash-settled participants is equal to the market value of a number of Barclays Africa Group Limited's ordinary shares, as determined on the vesting date, to the extent that the non-market related conditions attached to the awards are met. On vesting, equity-settled participants are awarded Barclays Africa Group Limited ordinary shares in settlement of their awards. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the vesting period.

(e) Deferred cash

Barclays Africa Group Limited Cash Value Plan

The Cash Value Plan ("CVP") is a deferred cash settled payment arrangement. The award will vest in three equal tranches over a period of three years, subject to the Rules which includes a ten percent service credit for the third anniversary of the CVP award date. The service credit for awards granted in 2017 is 10% (2016: 10%) of the initial value of the award that vests.

The movement in share based payment reserve was as follows:

	2017 Shs'million	2016 Shs'million
At start of year	**285**	223
Granted in the year	**62**	62
Forfeited options	**-**	-
Options exercised	**(152)**	-
At end of year	**195**	285

Notes to the annual financial statements
for the year ended 31 December 2017 (continued)

35. Cash used in operations

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Profit before income tax	**10 361**	10 852	**10 005**	10 439
Adjustments for:				
Interest paid (Note 39)	**4 098**	3 205	**4 118**	3 205
Interest received (Note 40)	**(25 210)**	(24 586)	**(25 205)**	(24 586)
Gain on disposal of equipment and leased assets	**(11)**	(2)	**(11)**	(2)
Impairment loss recognised (Note 10)	**3 115**	3 927	**3 115**	3 927
Depreciation	**767**	665	**767**	665
Amortisation-intangible assets	**465**	527	**465**	526
Amortisation prepaid operating lease rentals	**1**	1	**1**	1
Other non-cash movements	**(211)**	180	**(148)**	221
Cash used in operations before working capital changes	**(6 625)**	(5 229)	**(6 893)**	(5 602)
Changes in working capital				
Decrease /(Increase) in other assets and prepaid expenses	**2 133**	(1 304)	**1 775**	(1 304)
Decrease /(Increase) in other liabilities and accrued expenses	**(1 268)**	2 386	**(456)**	2 347
Decrease in loans and advances to customers	**(3 003)**	(26 599)	**(3 003)**	(26 599)
Increase in AFS securities maturing after 90 days	**(8 439)**	(5 685)	**(8 439)**	(5 685)
Increase in CBK cash reserve requirement	**(409)**	(688)	**(409)**	(688)
Increase in financial assets at FVTPL	**(2 323)**	(5 100)	**(2 322)**	(5 100)
Increase in customer deposits	**7 798**	13 097	**7 797**	13 090
Total changes in working capital	**(5 511)**	(23 893)	**(5 057)**	(23 939)
Cash used in operations	**(12 136)**	(29 122)	**(11 950)**	(29 541)

36. Taxation paid

	Group		Bank	
	2017 Shs'million	2016 Shs'million	2017 Shs'million	2016 Shs'million
Tax receivable /(payable) at start of year	**(504)**	134	**(375)**	134
Current income tax expense	**(3 644)**	(3 792)	**(3 526)**	(3 662)
Reclassification to non-tax items	-	(24)	**-**	(25)
Witholding tax utilisation	**99**	-	**17**	-
Tax payable/(receivable) at end of the year	**(415)**	504	**(336)**	375
Total income taxes paid	**(4 464)**	(3 178)	**(4 220)**	(3 178)

		Group and Bank 2017 Shs'million	Group and Bank 2016 Shs'million
37.	**Proceeds on disposal of equipment and leased assets**		
	Proceeds on disposal of leased assets	**11**	-
	Carrying amount of property and equipment disposed of (see note 24)	**-**	2
		11	2

		Group and Bank 2017 Shs'million	Group and Bank 2016 Shs'million
38.	**Dividends paid**		
	Dividends payable at start of the year (2016 final proposed)	**4 345**	4 345
	Interim dividend paid	**1 086**	1 086
	Proposed final dividend	**4 345**	4 345
	Dividends payable at end of year	**(4 345)**	(4 345)
	Total dividends paid	**5 431**	5 431

39. Finance costs paid

	Group 2017 Shs'million	Group 2016 Shs'million	Bank 2017 Shs'million	Bank 2016 Shs'million
Interest paid	**(4 098)**	(3 205)	**(4 118)**	(3 205)

40. Finance income received

	Group 2017	Group 2016	Bank 2017	Bank 2016
Interest received	**25 210**	24 586	**25 205**	24 586

41. Cash and cash equivalents

For the purposes of the statement of cash flow, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition as follows:

	Group 2017 Shs'million	Group 2016 Shs'million	Bank 2017 Shs'million	Bank 2016 Shs'million
Cash in hand	**4 720**	5 033	**4 720**	5 033
Non-cash reserve ratio balances with CBK	**1 871**	(1 008)	**1 857**	(1 024)
Available- for- sale securities maturing within ninety days	**5 640**	4 877	**5 640**	4 877
Items in the course of collection from banks	**787**	792	**787**	792
Due from group companies	**3 465**	5 971	**3 465**	5 568
Deposit and balances due from banking institutions	**1 818**	219	**1 818**	219
Items in the course of collection to banks	**(1 913)**	(1 813)	**(1 913)**	(1 813)
Due to group companies	**(23 659)**	(19 736)	**(23 659)**	(19 736)
Deposits and balances due to banking institutions	**(3 059)**	(3 264)	**(3 059)**	(3 264)
	(10 330)	(8 929)	**(10 344)**	(9 348)

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the Bank’s day-to-day activities.

The amount is determined as percentage of the average outstanding customer deposits over a cash reserve cycle period of one year. At the end of year, the cash reserve ratio was 5.25% (2016: 5.25%).

42. Risk management

42.1 Financial risk management objectives

Effective risk management and control are essential for sustainable and profitable growth

The role of risk management is to evaluate, respond to and monitor risks (the ERM process) that arise in the execution of the strategy to become the 'Go-To' bank. It is essential that business growth plans are properly supported by an effective risk management infrastructure. Risk culture is closely aligned to that of the business, whilst retaining independence in analysis and objective decision-making. The Group's business involves taking on risks in a targeted manner and managing them professionally.

The core functions of the Groups' risk management are to identify all key risks for the Group, measure these risks, manage the risk positions and determine capital allocations. The Group regularly reviews its risk management policies and systems to reflect changes in markets, products and best market practice.

The main sources of financial risk that the Group faces arise from financial instruments, which are fundamental to the Group's business, and constitute the core of its operations.

Financial instruments create, modify or reduce the liquidity, credit, market and operational risks of the Group's statement of financial position and constitute the most significant sources of risk. Consequently, the Group devotes considerable resources to maintain effective controls to manage, measure and mitigate each of these risks and regularly reviews its risk management procedures and systems to ensure that they continue to meet the needs of business. This note presents information about the Group's exposure to each of the above risks, and the Group's objectives, policies and processes for measuring and managing risk.

The Group has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes. At a strategic level, the Group's risk management objectives are to:

- Identify the Group's significant risks;
- Formulate the Group's risk appetite and ensure that business profile and plans are consistent with it;
- Optimise risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review and challenge structures;
- Ensure that business growth plans are properly supported by effective risk infrastructure;
- Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions; and
- Help executives improve the control and co-ordination of risk taking across the business.

The Group's approach is to provide direction on:

- understanding the principal risks to achieving Group strategy;
- establishing risk appetite; and
- establishing and communicating the risk management framework.

42. Risk management (continued)

42.1 Financial risk management objectives (continued)

The process is then broken down into five steps: identify, assess, control, report and manage/challenge. Each of these steps is broken down further, to establish end-to-end activities within the risk management process and the infrastructure needed to support it (see panel below). The Bank's aim is to achieve an appropriate balance between risk and return and minimise potential adverse effects on the Bank's financial performance. The Bank defines risk as the possibility of losses or profits foregone, which may be caused by internal or external factors.

Steps	Activity
Identify	- Establish the process for identifying and understanding business-level risks
Assess	- Agree and implement measurement and reporting standards and methodologies
Control	- Establish key control processes and practices, including limit structures, Impairment allowance. - Criteria and reporting requirements - Monitor the operation of the controls and adherence to risk direction and limits - Provide early warning of control or appetite breaches - Ensure that risk management practices and conditions are appropriate for the business environment
Report	- Interpret and report on risk exposures, concentrations and risk-taking outcomes - Interpret and report on sensitivities and key risk indicators - Communicate with external parties
Manage and challenge	- Review and challenge all aspects of the Bank's risk profile - Assess new risk-return opportunities - Advise on optimising the Bank's risk profile - Review and challenge risk management practices

Risk responsibilities

The Group achieves its risk management objectives by keeping risk management at the centre of the executive agenda and building a culture that combines risk management with everyday business decision-making. The risks arising from financial instruments to which the Bank is exposed are:

Financial risks

(a) Credit risk;

(b) Liquidity risk;

(c) Market risk.

On a day-to-day basis risks are managed through a number of management Committees. Through this process the Bank monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date.

42. Risk management (continued)

Risk responsibilities (continued)

The Board approves risk appetite and the Board Audit and Risk Committee (BARC) monitors the Group's risk profile against this appetite. In more detail:

- The BARC has responsibility for ensuring effective risk management and control.
- Business Heads are responsible for the identification and management of risk in their businesses.
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.
- The ALCO is tasked with managing financial risk, specifically liquidity, interest rates, market risk, capital management and balance sheet structure.

The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Group's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

42.2 Credit risk

Credit risk is the risk of suffering financial loss should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group. The credit risk that the Group faces arises mainly from wholesale and retail loans and advances together with the counterparty credit risk arising from derivative contracts entered into with our clients. Other sources of credit risk arise from trading activities, including debt securities; settlement balances with market counterparties, Available- for- sale assets and reverse repurchase loans. Credit risk furthermore arises from the granting of financial gaurantees or making loan commitments.

Credit risk management objectives are to:

- establish a framework of controls to ensure credit risk-taking is based on sound credit risk management principles;
- identify, assess and measure credit risk clearly and accurately across the Group and within each separate business, from the level of individual facilities up to the total portfolio;
- control and plan credit risk-taking in line with external stakeholder expectations and avoiding undesirable concentrations; - monitor credit risk and adherence to agreed controls; and
- ensure that risk-reward objectives are met.

The Group manages credit risk by:

- Defining clear risk appetite thresholds and triggers, using applicable stress test measures.
- Ensuring maximum exposure guidelines are in place relating to the exposures to any individual customer or counterparty.
- Controlling concentrations of credit risk wherever they are identified in particular, to individual counterparties and groups of borrowers, countries, and to industry segments.
- Clearly understanding the target market.
- Establishing risk acceptance criteria.
- Undertaking sound credit origination, monitoring and account management.
- Ensuring appropriate risk infrastructure and controls.

42. Risk management (continued)

42.2 Credit risk (continued)

The Group establishes, through charges against profit, impairment allowances and other credit provisions for the incurred loss inherent in the lending book. Under IFRS, impairment allowances are recognised where there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition, and where these events have had an impact on the estimated future cash flows of the financial asset or portfolio of financial assets. Impairment of loans and receivables is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If the carrying amount is less than the discounted cash flows, then no further allowance is necessary.

The Group has an established governance process with respect to its approach to credit risk and any resultant impairment of loans and advances. The governance process includes the existence of Retail and Wholesale Credit Risk Technical Committees, whose remit includes:

- the development, implementation and evaluation of risk and impairment models;
- periodic assessment (at least annually) of the accuracy of the models against actual results; and
- approval of new models or changes to models, in line with the model validation framework.

The Group uses statistical modelling techniques throughout its business in its credit rating systems. These systems assist the Group in front line credit decisions on new commitments and in managing portfolios of existing exposures. They enable the application of consistent risk measurement across all credit exposures, retail and corporate.

The principal objective of credit measurement is to produce the most accurate possible quantitative assessment of credit risk to which the Group is exposed from the level of individual facilities up to the total portfolio level. Integral to this is the calculation of internal ratings that is used in numerous aspects of credit risk management. The key building blocks in the measurement system are:

1. Probability of Default (PD)

PD measures the likelihood of a customer defaulting on its obligations within the next 12 months and is a primary component of the internal risk rating for customers. The Group assesses the PD of individual counterparties using internal rating tools tailored to the various categories of counterparty. They have been developed internally and combine statistical analysis with credit officer judgement, in line with group policy. The rating methods are subject to annual validation and recalibration so that they reflect the latest projection in the light of the actually observed defaults.

2. Exposure at default (EAD)

EAD represents the expected level of utilisation of the credit facility when default occurs. At default the customer may not have drawn the loan fully or may already have repaid some of the principal, so that exposure is typically less than the approved loan limit. For example, for a loan, the EAD is the face value. For a commitment, the Group includes any amount already drawn, plus the further amount that may be drawn at the time of default, should it occur.

42. Risk management (continued)

42.2 Credit risk (continued)

3. Loss given default (LGD)

LGD represents the Group's expectation of the extent of loss on a claim should default occur. The severity of the loss is measured as a percentage of the EAD. For derivative instruments, EAD is the estimated costs of replacing contracts with a positive value if counterparties should fail to perform their obligations. LGD typically varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. Impairment allowances are measured individually for assets that are individually significant, and collectively where a portfolio comprises homogenous assets and where appropriate statistical techniques are available. In terms of individual assessment, the principal trigger point for impairment is the missing of a contractual payment which is evidence that an account is exhibiting serious financial problems, and where any further deterioration is likely to lead to failure. Two key inputs to the cash flow calculation are the valuation of all security and collateral, as well as the timing of all asset realisations, after allowing for all attendant costs. This method applies mainly in the corporate portfolios.

For collective assessment, the principal trigger point for impairment is the missing of a contractual payment which is the policy consistently adopted across all credit cards, unsecured loans, mortgages and most other retail lending. The calculation methodology relies on the historical experience of pools of similar assets; hence the impairment allowance is collective. The impairment calculation is based on a roll-rate approach, where the percentage of assets that move from the initial delinquency to default is derived from statistical probabilities based on historical experience. Recovery amounts and contractual interest rates are calculated using a weighted average for the relevant portfolio. This method applies mainly to the Group's retail portfolios and is consistent with Barclay's policy of raising an allowance as soon as impairment is identified. The impairment allowance in the retail portfolios is mainly assessed on a collective basis and is based on the drawn balances adjusted to take into account the likelihood of the customer defaulting at a particular point in time (PD) and the amount estimated as not recoverable (LGD).

The basic calculation is:

Impairment allowance = Total exposure x Probability of Default (PD) x Loss Given Default (LGD)

Impairment in the wholesale portfolios is generally calculated by valuing each impaired asset on a case by case basis, i.e. on an individual assessment basis. A relatively small amount of wholesale impairment relates to unidentified or collective impairment; in such cases impairment is calculated using modelled PD x LGD x EAD (Exposure at default) adjusted for an emergence period.

Unidentified impairment allowances are also raised to cover losses which are judged to be incurred but not yet specifically identified in customer exposures at the balance sheet date, and which, therefore, have not been specifically reported.

The incurred but not yet reported calculation is based on the asset's probability of moving from the performing portfolio to being specifically identified as impaired within the given emergence period and then on to default within a specified period. This is calculated on the present value of estimated future cash flows discounted at the financial asset's original effective interest rate.

42. Risk management (continued)

42.2 Credit risk (continued)

The emergence periods vary across businesses and are based on actual experience and are reviewed on an annual basis. This methodology ensures that the Group captures the loss incurred at the correct balance sheet date. These impairment allowances are reviewed and adjusted at least quarterly by an appropriate charge or release of the stock of impairment allowances based on statistical analysis and management judgement.

Risk limit control and mitigation policies

The Group manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, and to industries and countries.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or group of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary.

Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

The exposure to any one borrower including banks and brokers is further restricted by sub-limits covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default. Some other specific control and mitigation measures are outlined below:

Collateral

The Group routinely obtains collateral and security to mitigate credit risk. The Group ensures that any collateral held is sufficiently liquid, legally effective, enforceable and regularly reassessed.

Before attaching value to collateral, business holding approved collateral must ensure that they are legally perfected devoid of any encumbrances. Security structures and legal covenants are subject to regular review, at least annually, to ensure that they remain fit for purpose and remain consistent with accepted local market practice.

The principal collateral types held by the Group for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

Valuation of collateral taken will be within agreed parameters and will be conservative in value. The valuation is performed only on origination or in the course of enforcement actions. Within the corporate sectors, collateral for impaired loans including guarantees and insurance is reviewed regularly and at least annually to ensure that it is still enforceable and that the impairment allowance remains appropriate given the current valuation.

The Group will consider all relevant factors, including local market conditions and practices, before any collateral is realised.

42. Risk management (continued)

Credit risk (continued)

42.2 Please note the following default grade definitions used in the credit risk analysis below:

(a) DG 1 – 11: assets falling within these DG buckets are regarded as 'investment grade' and, when converted to a rating agency equivalent, correspond to a BB rating and better.

(b) DG 12 – 19: financial assets in these grades typically require more detailed management attention where clear evidence of financial deterioration or weakness exists. Assets in this category, although currently protected, are potentially weaker credits. These assets contain some credit deficiencies.

(c) DG 20 – 21: the PD of financial assets in these grades have deteriorated to such an extent that they are included for regular review. Assets so classified must have well defined weaknesses that exacerbate the PD. These assets are characterised by the distinct possibility that the borrower will default, and should the collateral pledged be insufficient to cover the asset, the Group will sustain some loss when default occurs.

The table below references the internal credit risk ratings to observable external ratings.

Barclays Bank Rating	Description of the Grade	External Rating SandP equivalent
DG 1 – 11	Investment Grade	AAA, AA+, AA-, A+, A -
DG 12 – 19	Standard Monitoring	BBB+, BBB, BBB-, BB+, BB, BB-, B+, B, B-
DG 20 – 21	Special Monitoring	CCC to C

The following table represents the credit risk exposure to the Group at 31 December 2016 and 2015, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out below are based on net carrying amounts as reported in the statement of financial position.

Notes to the annual financial statements
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42. Risk management (continued)

42.2 Credit risk (continued)

31 December 2017	Gross maximum exposure	Neither past due nor impaired DG 1 – 11	DG 12 – 19	DG 20 – 21	Impaired	Impairment allowance Identified	Unidentified	Total carrying value	Credit risk mitigation Cash	Physical	Letter of credit	Other	Net credit exposure
Balances with Central Bank of Kenya	11 634	11 634	-	-	-	-	-	11 634	-	-	-	-	11 634
Items in course of collection	787	787	-	-	-	-	-	787	-	-	-	-	787
Available-for-sale investments	58 476	58 476	-	-	-	-	-	58 476	-	-	-	-	58 476
Loans and advances to banks	1 818	1 818	-	-	-	-	-	1 818	-	-	-	-	1 818
Financial assets designated at FVTPL	9 608	9 608	-	-	-	-	-	9 608	-	-	-	-	9 608
Balances due from group companies	3 465	3 465	-	-	-	-	-	3 465	-	-	-	-	3 465
Loans and advances to customers	175 858	-	167 945	992	6 921	(6 416)	(1 045)	168 397	(1 109)	(84 305)	(1 942)	(48 858)	32 183
Total credit risk exposure	261 646	85 788	167 945	992	6 921	(6 416)	(1 045)	254 185	(1 109)	(84 305)	(1 942)	(48 858)	117 971

31 December 2016	Gross maximum exposure	Neither past due nor impaired DG 1 – 11	DG 12 – 19	DG 20 – 21	Impaired	Impairment allowance Identified	Unidentified	Total carrying value	Credit risk mitigation Cash	Physical	Letter of credit	Other	Net credit exposure
Balances with Central Bank of Kenya	8 345	8 345	-	-	-	-	-	8 345	-	-	-	-	8 345
Items in course of collection	792	792	-	-	-	-	-	792	-	-	-	-	792
Available- for- sale investments	48 699	48 699	-	-	-	-	-	48 699	-	-	-	-	48 699
Loans and advances to banks	219	219	-	-	-	-	-	219	-	-	-	-	219
Financial assets designated at FVTPL	7 345	7 345	-	-	-	-	-	7 345	-	-	-	-	7 345
Balances due from group companies	5 971	5 971	-	-	-	-	-	5 971	-	-	-		5 971
Loans and advances to customers	175 676	-	167 112	996	7 568	(5 968)	(1 198)	168 510	(55 073)	(29 038)	(1 792)	(134 424)	(51 817)
Total credit risk exposure	247 047	71 371	167 112	996	7 568	(5 968)	(1 198)	239 881	(55 073)	(29 038)	(1 792)	(134 424)	19 554

42. Risk management (continued)

42.2 Credit risk (continued)

Maximum credit risk	2017 Shs'million	2016 Shs'million
Deposits and balances due from banking institutions	**1 818**	219
Loans and advances to customers	**168 397**	168 510
Cash balances at Central Bank of Kenya	**11 634**	8 345
Financial assets designated at fair value through profit or loss	**9 608**	7 345
Loans and advances to group companies	**3 465**	5 971
Financial assets available-for-sale	**58 476**	48 699
Items in course of collection	**787**	792
	254 185	239 881

Credit exposures relating to off-statement of financial position items

For financial guarantees, the maximum exposure to credit risk is the maximum amount the Group would have to pay if the guarantee was called upon. For loan commitments and other credit-related commitments that are irrevocable over the life of the respective facilities, the maximum exposure to credit risk is the full amount of the committed facilities.

	2017 Shs'million	2016 Shs'million
Capital commitments (Note 47.1) – Forwards, swaps and spots	**44 527**	12 554
Capital commitments (Note 47.1) – Undrawn overdraft facilities	**7 390**	9 982
Acceptance letters of credit (Note 47.2)	**7 652**	5 130
Guarantee and performance bonds (Note 47.2)	**16 430**	14 166
	75 999	41 832

Concentration of credit risk exists when a number of counterparties are located in a geographical region, however all credit risk for Barclays Bank of Kenya is concentrated in Rest of Africa (Kenya).

Write-off policy

After an advance has been identified as impaired and is subject to an impairment allowance, the stage may be reached whereby it is concluded that there is no realistic prospect of further recovery. Write off will occur when, and to the extent that, the whole or part of a debt is considered irrecoverable. The timing and extent of write offs may involve some element of subjective judgement. Nevertheless, a write off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that some or the entire advance is beyond realistic prospect of recovery.

42. Risk management (continued)

42.2 Credit risk (continued)

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value to the carrying value of the original secured asset. Assets that are determined better to be sold are immediately transferred to inventory at their fair value at the repossession date in line with the Group's policy.

Such assets are only written off once all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off are written back and hence decrease the amount of the reported loan impairment charge in the profit or loss.

42.3 Market risk

Market risk is the risk that the Group's earnings, capital or business objectives will be adversely impacted by changes in the level or volatility of market rates or prices such as interest rates, foreign exchange rates, equity prices, commodity prices and credit spreads and comprises:

Traded market risk

The risk of the Group being impacted by changes in the level or volatility of positions in its trading books, primarily in the Investment Bank.

Non-traded market risk

The risk of the Group being unable to hedge the interest rate risk in the banking book, primarily in retail, business banking and corporate portfolios.

Traded market risk arises primarily as a result of client facilitation in wholesale markets. This involves market making, risk management solutions and execution of syndications. Mismatches between client transactions and hedges result in market risk. Trading risk is measured for the trading book, as defined for regulatory purposes and certain banking books. Interest rate risk in the banking book is subjected to the same rigorous measurement and control standards as in the trading book, but the associated sensitivities are reported separately as "interest rate risk in the banking book".

Non-traded market risk: The risk of the Group being exposed to interest rate risk arising from loans, deposits and similar instruments held for longer term strategic purposes rather than for the purpose of profiting from changes in interest rates. Non-trading portfolios also consist of foreign exchange and equity risks arising from the Group's held-to-maturity and available-for-sale financial assets.

Market risk measurement techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Group Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

Furthermore it includes the protection and enhancement of the statement of financial position and statement of comprehensive income and facilitating business growth within a controlled and transparent risk management framework.

(a) Value at risk

The Group applies a 'value at risk' (VAR) methodology to its FX trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The Board sets limits on the value of risk that may be accepted for the Group, which are monitored on a daily basis by Group Treasury.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Group might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Group's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Group's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by Group Treasury. Average daily VAR for the Group was Shs 1.8 million (2016: Shs 1.9 million).

42. Risk management (continued)

(b) Stress tests

The Group applies a 'Stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board of Directors. The stress testing is tailored to the business and typically uses scenario analysis.

42.4 Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

42. Risk management (continued)

42.4 Interest rate risk

The table below summarises the exposure to interest rate risks. Included in the table are the Group's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Group does not bear any interest rate risk on off balance sheet items. All figures are million of Shillings.

At 31 December 2017	Up to 1 month	1-3 months	3-12 months	Over 1 year	Non – interest bearing	Total
Cash and balances with Central Bank of Kenya	-	-	-	-	16 354	16 354
Financial assets at fair value through profit or loss	-	-	9 608	-	-	9 608
Financial assets available-for-sale	4 663	1 729	19 212	32 872	-	58 476
Deposits and balances due from banking institutions	1 818	-	-	-	-	1 818
Due from group companies	3 465	-	-	-	-	3 465
Loans and advances to customers	22 461	5 790	13 689	126 457	-	168 397
Derivative financial liabilities	395	-	-	-	-	395
Other assets and prepaid expenses	-	-	-	-	8 001	8 001
Property and equipment	-	-	-	-	2 741	2 741
Intangible assets	-	-	-	-	1 159	1 159
Current income tax	-	-	-	-	415	415
Deferred income tax	-	-	-	-	697	697
Prepaid operating lease rentals	-	-	-	-	46	46
Total assets	32 802	7 519	42 509	159 329	29 413	271 572
Deposits and balances due to banking institutions	3 059	-	-	-	-	3 059
Items in the course of collection due to other banks	1 913	-	-	-	-	1 913
Due to group companies	23 658	-	-	-	-	23 658
Customer deposits	153 244	17 619	14 689	425	-	185 977
Retirement benefit liabilities	-	-	-	-	4	4
Borrowings	-	5 172	-	-	-	5 172
Other liabilities and accrued expenses	-	-	-	-	7 237	7 237
Derivative financial liabilities	454	-	-	-	-	454
Shareholders' equity					44 098	44 098
Total liabilities and equity	182 328	22 791	14 689	425	51 339	271 572
Interest sensitivity gap	(149 526)	(15 272)	27 820	158 904	(21 926)	-

42. Risk management (continued)

42.4 Interest rate risk

At 31 December 2016	Up to 1 month	1-3 months	3-12 months	Over 1 year	Non – interest bearing	Total
Cash and balances with Central Bank of Kenya	-	-	-	-	13 378	13 378
Financial assets at fair value through profit or loss	-	-	7 345	-	-	7 345
Financial assets available-for-sale	-	6 797	7 820	34 082	-	48 699
Deposits and balances due from banking institutions	219	-	-	-	-	219
Due from group companies	5 971	-	-	-	-	5 971
Loans and advances to customers	22 679	4 844	19 474	121 513	-	168 510
Other assets and prepaid expenses	-	-	-	-	10 160	10 160
Property and equipment	-	-	-	-	3 081	3 081
Intangible assets	-	-	-	-	1 592	1 592
Current income tax	-	-	-	-	24	24
Deferred income tax	-	-	-	-	619	619
Retirement benefit asset	-	-	-	-	65	65
Prepaid operating lease rentals	-	-	-	-	55	55
Total assets	**28 869**	**11 641**	**34 639**	**155 595**	**28 974**	**259 718**
Deposits and balances due to banking institutions	3 264	-	-	-	-	3 264
Items in the course of collection due to other banks	1 813	-	-	-	-	1 813
Due to group companies	19 736	-	-	-	-	19 736
Customer deposits	143 616	21 698	12 327	539	-	178 180
Borrowings	-	5 159	-	-	-	5 159
Other liabilities and accrued expenses	-	-	-	-	9 109	9 109
Derivative financial liabilities	69	-	-	-	-	69
Shareholders' equity					42 388	42 388
Total liabilities and equity	**168 498**	**26 857**	**12 327**	**539**	**51 497**	**259 718**
Interest sensitivity gap	**(139 629)**	**(15 216)**	**22 312**	**155 056**	**(22 523)**	**-**

42. Risk management (continued)

42.4 Interest rate risk

The sensitivity analyses below have been determined based on the exposure to interest rates for both derivative and non-derivative instruments at the end of the reporting period. For floating rate liabilities, the analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

Interest rate sensitivity analysis

	1% Increase in interest rate 2017 Shs'million	**1%** Decrease in interest rates 2017 Shs'million	1% Increase in interest rate 2016 Shs'million	1% Decrease in interest rates 2016 Shs'million
Changes in interest				
Increase/(decrease) in interest received	**2 418**	**(2 418)**	2 308	(2 308)
(Decrease)/increase in interest paid	**(1 966)**	**1 966**	(1 884)	1 884
Increase/(decrease) in profit before income tax	**452**	**(452)**	424	(424)
(Decrease)/increase in income tax	**(136)**	**136**	(127)	127
Increase/(decrease) in profit before tax	**316**	**(316)**	297	(297)

As at 31 December 2017 if interest rates were to increase / decrease by 1%, with all other variables remaining constant, the after tax profit would have been Shs 316 million (2016: Shs 297 million) higher / lower with other components of equity remaining the same.

42.5 Foreign currency risk

The Group takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table below summarises the Group’s exposure to foreign exchange risk at 31 December 2017. Included in the table are the Group’s financial instruments at carrying amounts, categorised by currency (all amounts expressed in million of Kenyan Shillings):

The carrying amounts of the company’s foreign currency denominated monetary assets and monetary liabilities at the end of the year are as follows:

	Assets Shs'million	Liabilities Shs'million
2017		
USD	**41 450**	**(40 259)**
GBP	**1 984**	**(1 984)**
Euro	**7 305**	**(7 293)**
Other	**1 500**	**(1 449)**
	52 239	**(50 985)**
2016		
USD	38 718	(36 290)
GBP	1 504	(1 851)
Euro	5 374	(4 283)
Other	1 933	(2 050)
	47 529	(44 474)

42. Risk management (continued)

Foreign currency sensitivity analysis

The following table details the Group's sensitivity to a 10% increase and decrease in the Kenyan Shilling against the relevant foreign currencies. 10% is the sensitivity rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end of a 10% change in foreign currency rates. The sensitivity analysis includes external loans as well as loans to foreign operations within the Group where the denomination of the loan is in a currency other than the currency of the lender or the borrower. A positive number below indicates an increase in profit and other equity where the Shilling strengthens 10% against the relevant currency. For a 10% weakening of the Shilling against the relevant currency there would be a comparable impact on the profit and other equity and the balance below would be negative.

	2017 Profit or loss Shs'million	2016 Profit or loss Shs'million
Assets		
USD	**4 145**	3 872
GBP	**198**	150
Euro	**731**	537
Other	**150**	193
Liabilities		
USD	**(4 026)**	(3 629)
GBP	**(198)**	(185)
Euro	**(729)**	(428)
Other	**(145)**	(205)
	126	305
Income tax effect at 30%	**(38)**	(91)
After profit tax effect	**88**	214

At 31 December 2017 if the Shilling had weakened / strengthened by 10% against the major trading currencies listed above, with all other variables remaining constant, the after tax profit would have been Shs 88 million (2016: Shs 214 million

42. Risk management (continued)

42.6 Liquidity risk

Confidence in an organisation, and hence liquidity, can be affected by a range of institution specific and market-wide events including, amongst others, market rumours, credit events, payment system disruptions, systemic shocks, and even natural disasters

The definition of liquidity risk is the risk that the Group is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows. Such outflows would deplete available cash resources for client lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs. This risk is inherent in all banking operations and can be affected by a range of Bank-specific and market-wide events which can result in: – an inability to support normal business activity; and – a failure to meet liquidity regulatory requirements.

During periods of market dislocation, the Group's ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Group. In illiquid markets, the Group may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Group's ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Group in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

-To maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;

– To maintain market confidence in the Group's name;

– To set limits to control liquidity risk within and across lines of business;

– To accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;

– To set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;

– To project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and

– To maintain a contingency funding plan ("CFP") that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

Liquidity risk management process

The Group's liquidity management process, as carried out within the Group and monitored by a separate team in Group Treasury, includes:

– Liquidity stress testing; – Liquidity planning (funding plans, contingency funding plans, recovery and resolution planning); – Reporting and behavioural balance sheet analysis; – Funds transfer pricing; and – Defined management actions to mitigate risk.

42. Risk management (continued)

42.6 Liquidity risk (continued)

Stress and scenario testing:

Under the Liquidity Risk Framework, the Group has established the Liquidity Risk Appetite ("LRA"), which is the level of liquidity risk the Group chooses to take in pursuit of its business objectives and in meeting its regulatory obligations.

It is measured with reference to anticipated stressed net contractual and contingent outflows for a variety of stress scenarios and is used to size the liquidity pool. Stress testing is undertaken to assess and plan for the impact of various scenarios which may put the Group's liquidity at risk. Stress tests consider both institution-specific and market-wide scenarios separately and on a combined basis. Treasury develops and monitors stress tests on the Group's projected cash flows.

These stress scenarios include the Group's specific scenarios such as unexpected operational problems and external sources such as country crises, payment system disruption and macroeconomic shocks. Stress testing also allows the Group to identify appropriate responses to crises, setting liquidity limits, sources of stress funding and liquidity buffers as well as formulating a funding strategy designed to minimise liquidity risk. The results of the stress tests are therefore used to develop the CFP (Contingency Funding Plan) and are taken into account when setting limits for the management of liquidity risk and the business planning process.

The Group maintains a range of early warning indicators ("EWIs"). These assist in informing management on deciding whether the CFP should be invoked. Each operation must adopt and conform to the Company CFP and establish local processes and procedures for managing local liquidity stresses that are consistent with the Group's level plan. The CFPs set out the specific requirements to be undertaken locally in a crisis situation. This could include monetising the liquidity pool, slowing the extension of credit, increasing the tenor of funding and securitising or selling assets.

The Group CFP is regularly tested and updated so as to ensure that it is operationally robust. Diversification Sources of liquidity are regularly reviewed by a separate team within Treasury to maintain a wide diversification by provider, product and term. In addition, to avoid reliance on a particular group of customers or market sectors the distribution of sources and the maturity profile of deposits are also carefully managed. Important factors in assuring liquidity are strength of relationships and the maintenance of depositors' confidence. Such confidence is based on the Group's reputation and relationship with those clients, the strength of earnings and the Group's financial position.

Assets held for managing liquidity risk

The Group maintains a portfolio of highly marketable assets, which includes a diverse portfolio of cash and high quality liquid securities to support payment obligations and contingent funding in a stressed market environment. The Group's assets that may be held for managing liquidity risk may comprise cash deposits with the Central Bank/monetary authority and/or holdings of high quality eligible liquid assets, such as, for example, government bonds or other securities that would be readily acceptable in repurchase agreements.

42. Risk Management (continued)

42.6 Liquidity risk (continued)

Funds transfer pricing

Liquidity costs, benefits and risk should be clearly and transparently attributed to business lines and understood by business line management. The Group Treasury and ALCO is responsible for implementing a "funds transfer pricing" mechanism as a means of communicating and disseminating the cost of liquidity risk.

Group deploys liquidity risk funds transfer pricing processes as a means of controlling the behavioural profile of the Group's balance sheet. Funds transfer pricing incentivizes business units to manage assets and liabilities in accordance with the Group liquidity risk appetite.

Structural liquidity

An important source of structural liquidity is provided by core deposits; mainly current accounts and savings accounts. Although current accounts are repayable on demand and savings accounts on short notice, the Group's broad base of customers numerically and by depositor type helps to protect against unexpected fluctuations. Such accounts form a stable funding base for the Group's operations and liquidity needs.

Sources of liquidity risk

Group has material liquidity risk exposure arising from the following sources:

Wholesale secured and unsecured funding risk

Wholesale funding providers are a key source of liquidity funding for the Group operations. A disruption to wholesale markets could impact the Group's ability to effectively fund certain business activities.

Retail funding risk

Most retail loans and advances are funded by customer deposits. A material loss of retail deposit funding could arise through a lack of confidence in the Group name or credit worthiness; and could impact the Group's ability to effectively fund retail banking operations.

Contingent liquidity risks

The Group could experience material cash outflows arising from contingent events such as rating downgrade triggers, off balance sheet transactions, drawdowns of unused credit facilities and the early termination of derivative transactions.

Concentration risk

Concentrations in the sources of funding utilised by the Group can give rise to liquidity risk if access to any of these sources is disrupted.

Other funding source represent risk to the Group when these sources are subject to material counterparties, markets, currencies, tenors or instrument types.

The table below represents the undiscounted cash flows payable by the Group under non – derivative financial liabilities by remaining contractual liabilities at the balance sheet date.

42. Risk management (continued)

42.6 Liquidity risk (continued)

	Undiscounted maturity					Discounted maturity
	On demand Shs'million	Within 1 year Shs'million	1 – 5 years Shs'million	More than 5 years Shs'million	Total Shs'million	Total Shs'million
2017						
Non- Derivative Financial Assets						
Cash and balances with Central Bank of Kenya	16 354	-	-	-	16 354	16 354
Financial assets at fair value through profit or loss	-	10 664	-	-	10 664	9 608
Financial assets available-for-sale	-	28 418	47 210		75 628	58 476
Deposits and balances due from banking institutions	1 818	-	-	-	1 818	1 818
Due from group companies	3 465	-	-	-	3 465	3 465
Loans and advances to customers	17 241	28 400	142 390	59 696	247 727	168 397
Non- Derivative Financial Assets	38 878	67 482	189 600	59 696	355 656	258 118
Non-Derivative Financial Liabilities						
Amounts owing to related parties	23 658	-	-	-	23 658	23 658
Customer deposits	153 244	35 859	610	-	189 713	185 977
Deposits and balances due to banking institutions	3 059	-	-	-	3 059	3 059
Other liabilities and accrued expenses	8 769	487	348	11 685	21 289	14 780
Non-Derivative Financial Liabilities	188 730	36 346	958	11 685	237 719	227 474

42. Risk management (continued)

42.6 Liquidity risk (continued)

	Undiscounted maturity					Discounted maturity
	On demand	Within 1 year	1 – 5 years	More than 5 years	Total	Total
	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million
2016						
Non- Derivative Financial Assets						
Cash and balances with Central Bank of Kenya	13 378	-	-	-	13 378	13 378
Financial assets at fair value through profit or loss	-	8 152	-	-	8 152	7 345
Financial assets available-for-sale	-	16 224	48 947		65 171	48 699
Deposits and balances due from banking institutions	219	-	-	-	219	219
Due from group companies	5 971	-	-	-	5 971	5 971
Loans and advances to customers	13 465	37 219	139 433	66 127	256 244	168 510
Non- Derivative Financial Assets	**33 033**	**61 595**	**188 380**	**66 127**	**349 135**	**244 122**
Non-Derivative Financial Liabilities						
Amounts owing to related parties	19 736	-	-	-	19 736	19 736
Customer deposits	106 660	78 429	1 232	-	186 321	178 180
Deposits and balances due to banking institutions	3 264	-	-	-	3 264	3 264
Other liabilities and accrued expenses	6 530	4 425	-	13 886	24 841	15 646
	136 190	82 854	1 232	13 886	234 162	216 826
Non-Derivative Financial Liabilities					**714**	**504**
Total liabilities					**234 876**	**217 330**

42. Risk management (continued)

42.6 Liquidity risk (continued)

The Group's expected cash flows on some financial assets and financial liabilities vary significantly from the contractual cash flows. The principal differences are as follows:

- demand deposits from customers are expected to remain stable or increase;
- unrecognised loan commitments are not all expected to be drawn down immediately.

As part of the management of liquidity risk arising from financial liabilities, the Group holds liquid assets comprising cash and cash equivalents, and other financial securities, which can be readily sold to meet liquidity requirements.

	On demand Shs'million	Within 1 year Shs'million	1 – 5 years Shs'million	Total Shs'million
2017				
Cash and balances with Central Bank of Kenya	**16 354**	**-**	**-**	**16 354**
Financial assets available-for-sale	**-**	**30 759**	**27 717**	**58 476**
Assets held for managing liquidity	**16 354**	**30 759**	**27 717**	**74 830**
2016				
Cash and balances with Central Bank of Kenya	13 378	-	-	13 378
Financial assets available-for-sale	-	14 617	34 082	48 699
Assets held for managing liquidity	13 378	14 617	34 082	62 077

Derivative liabilities

The table below analyses the Group's derivative financial instruments that are settled on a gross basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. Contractual maturities are assessed to be essential for an understanding of the timing of the cash flows on all derivatives. The amounts disclosed in the table are the contractual undiscounted cash flows.

31 December 2017	Notional amount	On demand	Within 1 year	More than 5 years
Derivative liabilities held for trading	**(272)**	**-**	**-**	**-**
Outflow	**-**	**(272)**	**-**	**-**
	(272)	**(272)**	**-**	**-**
31 December 2015				
Derivative liabilities held for trading	(61)	-	-	-
Outflow	-	(61)	-	-
	(61)	(61)	-	-

42. Risk management (continued)

42.7 Capital risk management

Capital risk is the risk that the Group is unable to maintain adequate levels of capital which could lead to an inability to:

(i) support business activity;

(ii) a failure to meet regulatory requirements; and

(iii) changes to credit ratings, which could also result in increased costs or reduced capacity to raise funding.

Our objectives are achieved through well embedded capital management practices:

Primary Objectives and Core Practices are:

- Provide a viable and sustainable business offering by maintaining adequate capital to cover the Group's current and forecast business needs and associated risks
- Monitor internal targets for capital demand and ratios
- Meet minimum regulatory requirements
- Ensure the Group maintains adequate capital to withstand the impact of the risks that may arise under the stressed conditions
- Perform internal and regulatory stress tests
- Maintain capital buffers over regulatory minimum
- Develop contingency plans for severe (stress management actions) Support the Group's growth and strategic options
- Maintain a capital plan on a short-term and medium term basis aligned with strategic objectives

We adopt a forward-looking, risk based approach to Capital Risk Management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Barclays operates.

Capital planning

Capital forecasts are managed through both Short Term (Year 1 monthly) and Medium Term (3 year) financial planning cycles. The capital plan is developed with the objective of maintaining capital that is adequate in quantity and quality to support our risk profile and business needs. Local management ensures compliance with an entity's minimum regulatory capital requirements by reporting to Asset and Liability Committee (ALCO).

Regulatory Capital

The Group maintains a ratio of total regulatory capital to its risk-weighted above a minimum level prescribed by the Central Bank of Kenya. The Group's regulatory capital is managed by its Treasury and comprises two tiers:

(i) Tier 1 capital:

-share capital

-Retained earnings, excluding unrealised gains arising on the fair valuation of Available- for- sale investments

42. Risk management (continued)

42.7 Capital risk management (continued)

(ii) Tier 2 capital:

- Statutory reserve
- Medium term note
- Subordinated loan capital

Capital adequacy ratios

	Regulatory minimum	As at 31 Dec 2017	As at 31 Dec 2016
Tier 1	10.5%	**15.9%**	15.7%
Total capital	14.5%	**18.0%**	17.9%
	Shs'million	**Shs'million**	Shs'million
Tier 1 capital	1 000	**38 768**	37 617
Ordinary share capital		**2 716**	2 716
Retained earnings		**36 052**	34 901
Tier 2 capital		**5 172**	5 128
Subordinated debt		**5 172**	5 128
Qualifying portion of regulatory reserve		**-**	-
Total regulatory capital	**1 000**	**43 940**	42 745
Total risk weighted assets		**243 728**	239 299
Total shareholders' equity / capital resources		**43 559**	42 095
Core capital / total deposit liabilities	**8.0%**	**20.8%**	21.1%

	Regulatory minimum	As at 31 Dec 2017	As at 31 Dec 2016
Liquidity ratio	20.0%	**33.4%**	28.3%

43. Fair value hierarchy of assets and liabilities held at fair value

43.1 Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Levels 1 to 3 based on the degree to which the fair value is observable.

Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfer between levels of fair value hierarchy is recognised by the Group at the end of the reporting period during which the change occurred.

Process of determination and use of estimates, assumptions and judgements

Loans and advances

The fair value of loans and advances to Group and customers is determined by discounting contractual cash flows. Discount factors are determined using the relevant forward base rates (as at valuation date) plus the originally priced spread. Where a significant change in credit risk has occurred, an updated spread is used to reflect valuation date pricing. Behavioural cash flow profiles, instead of contractual cash flow profiles, are used to determine expected cash flows where contractual cash flow profiles would provide an inaccurate fair value.

Deposits, debt securities in issue and borrowed funds

Deposits, debt securities in issue and borrowed funds are valued using discounted cash flow models, applying rates currently offered for issuances with similar characteristics. Where these instruments include embedded derivatives, the embedded derivative component is valued using the methodology for derivatives.

The fair value adjustments on amortised cost financial liabilities held in a fair value hedging relationship are taken through profit and loss in the statement of comprehensive income.

The fair value of amortised cost deposits repayable on demand is considered to be equal to their carrying value. For other financial liabilities at amortised cost the disclosed fair value approximates the carrying value because the instruments are short-term in nature or have interest rates that reprice frequently.

43. Fair value hierarchy of assets and liabilities held at fair value (continued)

43.1 Fair value hierarchy (continued)

2017 Recurring fair value measurements	Level 1 Shs'million	Level 2 Shs'million	Level 3 Shs'million	Total Shs'million
Financial Assets				
Fair value through profit or loss - Held for trading				
Government Securities	-	9 608	-	9 608
Derivative financial assets	-	395	-	395
Financial Liabilities				
Fair value through profit or loss - Held for trading				
Derivative financial liabilities	-	(454)	-	(454)
Retirement benefit liability	-	(4)	-	(4)
	-	9 545	-	9 545
Available- for- sale				
Government Securities	-	58 476	-	58 476
	-	58 476	-	58 476

2016 Recurring fair value measurements	Level 1 Shs'million	Level 2 Shs'million	Level 3 Shs'million	Total Shs'million
Financial Assets				
Fair value through profit or loss - Held for trading				
Government Securities	-	7 345	-	7 345
Derivative financial assets	-	26	-	26
Retirement benefit asset	-	65	-	65
Financial Liabilities				
Fair value through profit or loss - Held for trading				
Derivative financial liabilities	-	(69)	-	(69)
	-	7 367	-	7 367
Available- for- sale				
Government Securities	-	48 699	-	48 699
	-	48 699	-	48 699

43 Fair value hierarchy (continued)

43.2 Assets and liabilities not held at fair value

The following table summarises the carrying amounts and fair value of those assets and liabilities not held at fair value.

The carrying amount of assets and liabilities held at amortised cost is considered to approximate the fair value of the assets and liabilities.

2017	Carrying value	Fair value	Level 1	Level 2	Level 3
	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million
Assets at amortised cost					
Cash and cash equivalents	16 354	16 354	16 354	-	-
Deposits and balances due from banking institutions	1 818	1 818	-	-	1 818
Due from group companies	3 465	3 465	-	-	3 465
Loans and advances to customers	168 397	168 397	-	-	168 397
	190 034	190 034	16 354	-	173 680
Liabilities at amortised cost					
Deposits and balances due to banking institutions	3 059	3 059	-	-	3 059
Due to group companies	23 658	23 658	-	-	23 658
Customer deposits	185 977	185 977	-	-	185 977
Borrowings	5 172	5 172			5 172
	217 866	217 866	-	-	217 866

43.2 Fair value hierarchy (continued)

43.2 Assets and liabilities not held at fair value (continued)

2016	Carrying value Shs'million	Fair value Shs'million	Level 1 Shs'million	Level 2 Shs'million	Level 3 Shs'million
Assets at amortised cost					
Cash and cash equivalents	13 378	13 378	13 378	-	-
Deposits and balances due from banking institutions	219	219	-	-	219
Due from group companies	5 971	5 971	-	-	5 971
Loans and advances to customers	168 510	168 510	-	-	168 510
	188 078	188 078	13 378	-	174 700
Liabilities at amortised cost					
Deposits and balances due to banking institutions	3 264	3 264	-	-	3 264
Due to group companies	19 736	19 736	-	-	19 736
Customer deposits	178 180	178 180	-	-	178 180
Borrowings	5 159	5 159			5 159
	206 339	206 339	-	-	206 339

43.3 Valuation techniques for the level 2 fair value measurement of assets and liabilities held at fair value

The table below sets out information about the valuation techniques applied at the end of the reporting period in measuring assets and liabilities whose fair value is categorised as Level 2 in the fair value hierarchy. A description of the nature of the techniques used to calculate valuations based on observable inputs and valuations is set out in the table below:

Category of asset/liability	Valuation technique applied	Significant observable inputs
Government debt instruments	Discounted cashflow valuation technique	Quoted yields and 13bps bid offer adjustment that management has estimated as the reasonable basis for applying the adjustment
Foreign exchange derivatives	Discounted cashflow valuation technique	Spot price, interest rate and/or volatility

43.4 Valuation techniques for the levels1, 2 or 3 fair value measurement of assets and liabilities held at amortised cost

For assets or liabilities held at amortised cost and disclosed in levels1, 2 or 3 of the fair value hierarchy, the discounted cash flow valuation technique is used. Interest rates and money market curves are considered unobservable inputs for items which mature after five years. However, if the items mature in less than five years, these inputs are considered observable.

44. Operating Segments

44.1. Statement of financial position

The Group has two main business segments:

- Consumer banking – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and
- Corporate banking – the business model centres on delivering specialist investment banking, financing, risk management and advisory solutions across asset classes to corporates, financial institutions and government clients.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis. There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the statement of profit or loss. Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses. The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

2017

Assets	CIB Shs'million	RBB Shs'million	Total Shs'million
Loans and advances to customers	**63 217**	**105 180**	**168 397**
Other assets	**44 322**	**58 853**	**103 175**
	107 539	**164 033**	**271 572**
Liabilities			
Customer accounts	**31 533**	**154 444**	**185 977**
Trade and other payables	**33 957**	**7 540**	**41 497**
	65 490	**161 984**	**227 474**

2016

	CIB Shs'million	RBB Shs'million	Total Shs'million
Assets			
Loans and advances to customers	65 092	103 418	168 510
Other assets	64 415	26 793	91 208
	129 507	130 211	259 718
Liabilities			
Customer accounts	27 385	150 795	178 180
Trade and other payables	28 689	10 461	39 150
	56 074	161 256	217 330

44. Operating Segments (continued)

44.1. Consolidated statement of comprehensive income

2017

	CIB Shs'million	RBB Shs'million	Total Shs'million
Interest income - External	10 142	32 245	42 387
Interest expense - External	(4 980)	(15 606)	(20 586)
Net interest income	5 162	16 639	21 801
Fee and commission income - External	853	5 250	6 103
Fee and commission expense - External	(84)	(747)	(831)
Net fee and commission income	769	4 503	5 272
Net trading income - External	1 829	1 035	2 864
Other income - Internal	333	(12)	321
Total income	8 093	22 165	30 258
Credit impairment charge and other provisions	(259)	(2 856)	(3 115)
Net operating income	7 834	19 309	27 143
Administrative expenses	(2 977)	(12 576)	(15 553)
	-	(1 231)	(1 231)
Operating expenses	(2 977)	(13 807)	(16 782)
Profit before tax	4 857	5 502	10 361
Taxation	(1 610)	(1 823)	(3 435)
Profit for the year	3 247	3 679	6 926

2016

	CIB Shs'million	RBB Shs'million	Total Shs'million
Interest income - External	8 963	34 304	43 267
Interest expense - External	(4 694)	(16 239)	(20 933)
Net interest income	4 269	18 065	22 334
Fee and commission income - External	711	5 719	6 430
Fee and commission expense - External	(79)	(581)	(660)
Net fee and commission income	632	5 138	5 770
Net trading income - External	1 580	1 040	2 620
Other income - External	951	8	959
Total income	7 432	24 251	31 683
Credit impairment charge and other provisions	(93)	(3 834)	(3 927)
Net operating income	7 339	20 417	27 756
Administrative expenses	(2 527)	(13 185)	(15 712)
	-	(1 192)	(1 192)
Operating expenses	(2 527)	(14 377)	(16 904)
Profit before tax	4 812	6 040	10 852
Taxation	(1 531)	(1 922)	(3 453)
Profit for the year	3 281	4 118	7 399

45. Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset and the net amount reported in the statement of financial position (SOFP) where the Group has a legally enforceable right to offset the recognised amounts, and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The Group has also entered into arrangements that do not meet the criteria for offsetting but still allow for the related amounts to be set off in certain circumstances, such as bankruptcy or the termination of a contract.

The following table presents the recognised financial instruments that are offset, or subject to enforceable master netting arrangements and other similar agreements but not offset, as at 31 December 2017 and 31 December 2016. The column 'net amount' shows the impact on the Group's statement of financial position if all set-off rights were exercised. There were no gross amounts set off in the statement of financial position at 31 December 2017 (2016: nil).

2017	Effects of offsetting in the SOFP	Related amounts not offset		
	Amounts presented in the SOFP Shs'million	Amounts subject to master netting agreement Shs'million	Financial instrument collateral Shs'million	Net amount Shs'million
Financial assets				
Cash and balances with Central Bank of Kenya	16 354	-	-	16 354
Financial assets at fair value through profit or loss	9 608	-	-	9 608
Derivative financial assets	395	-	-	395
Financial assets available-for-sale	58 476	-	-	58 476
Deposits and balances due from banking institutions	1 818	-	-	1 818
Due from group companies	3 465	(3 465)	-	-
Loans and advances to customers	168 397	-	(69 219)	99 178
Items in the course of collection from banks	787	(787)	-	-
	259 300	(4 252)	(69 219)	185 829
Liabilities				
Derivative financial liabilities	454	-	-	454
Deposits and balances due to banking institutions	3 059	-	-	3 059
Due to group companies	23 658	(3 465)	-	20 193
Customer deposits	185 977	-	(69 219)	116 758
Borrowings	5 172	-	-	5 172
Items in the course of collection to banks	1 913	(787)	-	1 126
	220 233	(4 252)	(69 219)	146 762

45. Offsetting financial assets and financial liabilities (continued)

2016	Effects of offsetting in the SOFP	Related amounts not offset		
	Amounts presented in the SOFP Shs'million	Amounts subject to master netting agreement Shs'million	Financial instrument collateral Shs'million	Net amount Shs'million
Financial assets				
Cash and balances with Central Bank of Kenya	13 378	-	-	13 378
Financial assets at fair value through profit or loss	7 345	-	-	7 345
Financial assets available-for-sale	48 699	-	-	48 699
Deposits and balances due from banking institutions	219	-	-	219
Due from group companies	5 971	(5 971)	-	-
Derivative financial assets	26	-	-	26
Loans and advances to customers	168 510	-	(55 073)	113 437
Items in the course of collection from banks	792	(792)	-	-
	244 940	(6 763)	(55 073)	183 104
Financial Liabilities				
Derivative financial liabilities	69	-	-	69
Deposits and balances due to banking institutions	3 264	-	-	3 264
Due to group companies	19 736	(5 971)	-	13 765
Customer deposits	178 180	-	(55 073)	123 107
Borrowings	5 159	-	-	5 159
Items in the course of collection to banks	1 813	(792)	-	1 021
	208 221	(6 763)	(55 073)	146 385

Master netting arrangements

Under the terms of these arrangements, only where certain credit events occur (such as default), the net position owing/receivable to a single counterparty in the same currency will be taken as owing and all the relevant arrangements terminated. As the Group does not presently have a legally enforceable right of set-off, these amounts have not been offset in the statement of financial position, but have been presented separately in the table above.

46. Related Parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

Barclays Bank Kenya is a subsidiary of Barclays Africa Group Limited, which is listed on the Johannesburg Stock Exchange.

The ultimate parent of the Group is Barclays Africa Group Limited. There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

Statement of comprehensive income

2017	Interest received Shs'million	Interest paid Shs'million	Recharges Shs'million
Barclays Africa Group Limited	5	547	632
Other Group companies	1	10	(24)
	6	**557**	**608**

2016	Interest received Shs'million	Interest paid Shs'million	Recharges Shs'million
Barclays Bank PLC	-	6	-
Barclays Africa Group Limited	37	374	864
Other Group companies	3	5	(49)
	40	385	815

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market.

The weighted average effective interest rate at 31 December 2017 on amounts due from group companies was 0.1% (2016:0.6%) and on amounts due to group companies was 1.8% (2016: 2.2%).

Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin.

The value of the services provided has been debited to the profit or loss and is included in total expenditure of the Group.

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the “Funds”) are sponsored by Barclays Bank of Kenya Limited. The Funds’ foreign investments are managed by Barclays Private Banking and Trust Limited, which is a related entity to the Funds by virtue of shareholding.

46. Related Parties (continued)

The transactions were at similar terms and conditions to those offered to other customers.

Statement of financial position

Group

2017	Due from Shs'million	Due to Shs'million
Barclays Africa Group Limited	2 082	(21 947)
Other Group companies	1 383	(1 711)
	3 465	(23 658)
2016		
Barclays Bank PLC	797	(1 937)
Barclays Africa Group Limited	5 144	(17 770)
Other Group companies	30	(29)
	5 971	(19 736)

Bank

2017	Due from Shs'million	Due to Shs'million
Barclays Africa Group Limited	2 082	(21 947)
Other Group companies	1 383	(1 711)
	3 465	(23 658)
2016		
Barclays Bank PLC	797	(1 937)
Barclays Africa Group Limited	5 144	(17 770)
Other Group companies	(373)	(29)
	5 568	(19 736)

At 31 December 2017 advances to directors or companies controlled by directors or their families amounted to Shs 44 million (2016: Shs 47 million). All loans to Directors, (a) were made in the ordinary course of business, (b) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons and (c) did not involve more than a normal risk of collectability or present other unfavourable features. No allowances for impairment were recognised in respect of loans to Directors. (2016: Nil).

During the year, the directors maintained various deposit accounts with the Group which included current, savings and fixed deposit accounts. At 31 December 2017 balances relating to directors deposits amounted to Shs 115 million (2016: Shs 162 million).

46. Related Parties (continued)

Short term employee benefits

	2017 Shs'million	2016 Shs'million
Senior management	**350**	306
Executive directors	**136**	126
	486	432

	2017 Shs'million	2016 Shs'million
The compensation paid to non-executive directors was in respect of:		
Services rendered as directors of the Group	**24**	23
	24	23

47. Commitments and Contingencies

47.1 Commitments

	Group and Bank	
	2017 Shs'million	2016 Shs'million
Forwards, swaps and spots	**44 527**	12 554
Undrawn overdraft facilities	**7 390**	9 982
	51 917	22 536

47.2 Contingent liabilities

	2017 Shs'million	2016 Shs'million
Acceptances and letters of credit	**7 652**	5 130
Guarantee and performance bonds	**16 430**	14 166
Undrawn overdraft facilities	**7 390**	9 982
	31 472	29 278

Pledged assets in amounted to Shs 1250 million (2016: Shs 1250 million). The class of asset pledged in both years was a bond issue. The purpose of the pledge was to create an ILF with the Central Bank of Kenya.

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the Bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The Group will only be required to meet these obligations in the event of the customers' default. At year end, the Bank has obtained undertakings from Barclays PLC in respect of bonds, guarantees and indemnities facility and letters of credit of Shs 7,879 million (2016: Shs 6,898 million).

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The Bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

47.3 Operating lease contingent liabilities

	2017 Shs'million	2016 Shs'million
Less than one year	814	853
Between one and five years	1 753	1 849
Total non-cancellable operating lease rentals	**2 567**	2 702

The Group leases a number of branch and office premises under operating lease rentals. Lease payments are escalated per individual contracts and are taken into consideration in the above analysis.

47.4 Contingent tax liabilities

The Bank has unresolved tax disputes with the Kenya Revenue Authority currently pending at the Court of Appeal. Based on professional advice and the previous High Court rulings, the directors are of the opinion that no significant loss will arise from these matters.

47.5 Dividends per share

At the Annual General Meeting to be held on 25 May 2018, a final dividend in respect of the year ended 31 December 2017 of Shs 0.80 (2016: Shs 0.80) amounting to Shs 4,345 million (2016: Shs 4,345 million) will be proposed for approval. An interim dividend of Shs 0.20 (2016: Shs 0.20) was paid during the year amounting to Shs 1,086 million (2016: Shs 1,086 million). This will bring the total dividend for the year to Shs 1.00 (2016: Shs 1.00) per share amounting to Shs 5,432 million (2016: Shs 5,432 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10% for non-residents.

48. New Accounting Pronouncements

Adoption of new and revised Standards

During the current year, the company has adopted all of the new and revised standards and interpretations issued by the IASB and the IFRIC that are relevant to its operations and effective for annual reporting periods beginning on 1 January 2017. The adoption of these new and revised standards and interpretations has not resulted in material changes to the company's accounting policies.

The company adopted the following standards, interpretations and amended standards during the year:

IAS 7	*Statement of Cash Flows* - Amendments as result of the Disclosure Initiative. Additional disclosures to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes.
IAS 12	*Income Taxes* - Amendments regarding the recognition of deferred tax assets for unrealised losses.
Annual improvements (2014- 2016 cycle)	
Non-urgent but necessary clarifications and amendments to the following standards of IFRS:	
IFRS 12	Disclosure of Interests in Other Entities

New and revised International Financial Reporting Standards issued not yet effective
At the date of authorisation of these financial statements, the following standards and interpretations were in issue but not yet effective:

	Standard	Annual periods beginning on or after
IFRS 4	*Insurance contracts* - Applying IFRS 9 Financial instruments (amendments) allow an entity that issues insurance contracts the opportunity to utilize two options - where IFRS 9 is applied prior to the forthcoming insurance contracts standard. These are (a) the overlay approach - which permits an insurer to reclassify certain income/expenditure, arising from designated financial instruments, from profit or loss to OCI, and (b) the deferral approach - temporary exemption from IFRS 9 for insurers whose predominant activity is issuing insurance contracts.	1 January 2018

48. New Accounting Pronouncements (continued)

Adoption of new and revised Standards (continued)

	Standard	Annual periods beginning on or after
IFRS 9	**IFRS 9 - Financial instruments** IFRS 9 *Financial Instruments* replaces IAS 39 *Financial Instruments: Recognition and Measurement* with effect from 1 January 2018. IFRS 9 includes requirements for classification and measurement of financial assets and liabilities, impairment of financial assets and hedge accounting. The impairment requirements will lead to significant changes in the accounting for financial instruments. The Group will not restate comparatives on initial application of IFRS 9 on 1 January 2018 but will provide detailed transitional disclosures in accordance with the amended requirements of IFRS 7 *Financial Instruments: Disclosures*. Any change in carrying amounts from the initial application of IFRS 9 will be recognised in equity. Barclays Bank of Kenya Limited has a jointly accountable risk and finance implementation and governance programme with representation from all impacted departments. The programme is responsible for the robustness of models, data accuracy, regulatory capital and other process and system impacts as a result of IFRS 9. The parallel run of IFRS 9 and IAS 39 impairment models for Barclays Bank of Kenya Limited commenced in February 2017, which included model, process and output validation, testing, calibration and analysis. The revised impairment requirements are expected to have a significant impact on the impairment provisioning of Company. Based on analysis performed, the effects of the new classification and measurement requirements under IFRS 9 will not have a significant impact. *Impairment* IFRS 9 introduces a revised impairment model which requires entities to recognise expected credit losses based on unbiased forward-looking information. This replaces the existing IAS 39 incurred loss model which only recognises impairment if there is objective evidence that a loss was already incurred and measures the loss based on the most probable outcome. The IFRS 9 impairment model will be applicable to all financial assets at amortised cost, lease receivables, debt financial assets at fair value through other comprehensive income, loan commitments and financial guarantee contracts. This presents a change from the scope of the IAS 39 impairment model which excludes loan commitments and financial guarantee contracts (these were covered by IAS 37: Provisions, Contingent Liabilities and Contingent Assets). The measurement of expected loss will involve increased complexity and judgement including estimation of probabilities of default, loss given default, a range of unbiased future economic scenarios, estimation of expected lives, estimation of exposures at default and assessing increases in credit risk. Exposures would be divided into 3 stages as follows: • Stage 1: Exposures for which a significant increase in credit risk has not occurred since origination. For these exposures a 12 month expected credit loss will be recognized. • Stage 2: Exposures for which a significant increase in credit risk has occurred since origination. The Company will assess whether a significant increase in credit risk has occurred based on qualitative and quantitative drivers; as well as exposures that are more than 30 days past due contractual payment date. Lifetime expected credit losses will be recognized for these assets. • Stage 3: Exposures which meet the definition of default. The Company has aligned its definition of default with Regulatory Capital CRR Article 178, which considers exposures that are more than 90 days past due, forbearance, as well as indicators that an exposure is unlikely to pay. Lifetime expected credit losses will be recognized for these assets.	1 January 2018

48. New Accounting Pronouncements (continued)

Adoption of new and revised Standards (continued)

<table>
<tr><th></th><th>Standard</th><th>Annual periods beginning on or after</th></tr>
<tr><td>IFRS 9</td><td>
Per IFRS 9 principles, the gross carrying amount of an exposure is the contractual amount owing from the counterparty; whereas the amortised cost reflects the expected cash flows discounted using the original effective interest rate. Hence the expected credit loss provision, which is the difference between the gross carrying amount and amortised cost, would reflect the expected cash shortfalls discounted by the original effective interest rate.
Consequently, the expected credit loss provision per IFRS 9 includes contractual interest in respect of stage 3 assets; where previously such interest was excluded from the gross carrying amount presented.
The revised impairment model is expected to have a material financial impact on the existing impairment provisions previously recognised in terms of the requirements of IAS 39, as well as increase volatility in the recognition of impairment losses going forward. It is estimated that the increase on IAS 39 impairment stock (including contractual interest not recognized per the principles above) will be in the region of 30% on a pre-tax basis.
The reasons for the change in impairment provisions are as follows:

The removal of the emergence period that was necessitated by the incurred loss model of IAS 39. All stage 1 assets will carry a 12 month expected credit loss provision. This differs from IAS 39 where unidentified impairments were typically measured with an emergence period of between three to twelve months.
The provisioning for lifetime expected credit losses on stage 2 assets; where some of these assets would not have attracted a lifetime expected credit loss measurement per IAS 39.
The inclusion of forecasted macroeconomic scenarios into the expectation of credit losses;
The inclusion of expected credit losses on items that typically would not have been impaired under IAS 39, such as loan commitments.

IFRS 9 has been considered in capital planning.
Classification and measurement
IFRS 9 will require financial assets to be classified on the basis of two criteria:
1) The business model within which financial assets are managed, and
2) Their contractual cash flow characteristics (whether the cash flows represent solely payments of principal and interest).
Financial assets will be measured at amortised cost if they are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows, and their contractual cash flows represent solely payments of principal and interest.
Financial assets will be measured at fair value through other comprehensive income if they are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, and their contractual cash flows represent solely payments of principal and interest.
</td><td>1 January 2018</td></tr>
</table>

48. New Accounting Pronouncements (continued)

Adoption of new and revised Standards (continued)

	Standard	Annual periods beginning on or after
IFRS 9	Other financial assets are required to be measured at fair value through profit and loss if they are held for the purposes of trading, if their contractual cash flows do not meet the 'solely payments of principal and interest' criterion, or if they are managed on a fair value basis and the Company maximises cash flows through sale. IFRS 9 allows an entity to irrevocably designate a financial asset as at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency (that is, an accounting mismatch). An entity is permitted to make an irrevocable election for non traded equity investments to be measured at fair value through other comprehensive income, in which case dividends are recognised in profit or loss, but gains or losses are not reclassified to profit or loss upon derecognition, and impairment is not recognised in profit or loss. The accounting for financial liabilities is largely unchanged, except for financial liabilities designated at fair value through profit and loss. Gains and losses on such financial liabilities arising from changes in the Company's own credit risk are presented in other comprehensive income rather than in profit and loss. An assessment of potential changes to financial assets has been conducted, including an assessment of business models across various portfolios, and a review of contractual cash flow features for complex financial assets. An explanation of these reclassifications is provided: • Certain debt securities are held by the Company in a separate portfolio to meet everyday liquidity needs. These were classified as available for sale under IAS 39.The Company seeks to minimise the cost of managing those liquidity needs and therefore Treasury actively manages the return on the portfolio. That return consists of collecting contractual cash flows as well as gains and losses from the sale of financial assets. This investment strategy may result in sales activity. The Company considers that under IFRS 9 these securities are held within a business model in which the objective is achieved by both collecting contractual cash flows and selling financial assets. These instruments have therefore been classified as measured at FVOCI under IFRS 9. In October 2017, the IASB issued an amendment to IFRS 9 Prepayment Features with Negative Compensation. Under the current IFRS 9 requirements, the SPPI condition is not met if the lender has to make a settlement payment in the event of termination by the borrower (also referred to as early repayment gain). The amendment clarifies how a company would classify and measure a debt instrument if the borrower was permitted to prepay the instrument at an amount less than the unpaid principal and interest owed. Such a prepayment amount is often described as including 'negative compensation'. Under the amendments, the sign of the prepayment amount is not relevant. The calculation of this compensation payment must be the same for both the case of an early repayment penalty and the case of an early repayment gain. This amendment is effective on 1 January 2019 and is not expected to have a significant impact on the Company	1 January 2018

48. New Accounting Pronouncements (continued)

Adoption of new and revised Standards (continued)

	Standard	Annual periods beginning on or after
	Financial assets: Financial assets will be measured at either fair value through profit or loss or amortised cost, except for debt instruments meeting specific criteria, which are required to be measured at fair value through other comprehensive income, or equity investments not held for trading, which may be measured at fair value through other comprehensive income;	
	Financial liabilities: The accounting for financial liabilities is largely unchanged, except for non-derivative financial liabilities designated at fair value through profit or loss. Gains and losses on such financial liabilities arising from own credit risk will be presented in other comprehensive income rather than in profit or loss;	
	Impairment: Credit losses expected at the reporting date (rather than only losses incurred in the year) on loans and advances, debt securities, loan commitments and financial guarantee contracts not held at fair value through profit or loss will be reflected in impairment allowances.	
IFRS 15	*Revenue from Contracts with Customers* - A new accounting standard that provides a single, principle based, five-step model to be applied to all contracts with customers. New disclosures about revenue are also introduced. The adoption of IFRS 15 is not expected to have a significant impact on the company.	1 January 2018
IAS 40	*Investment Properties* - Amendments regarding when an entity should transfer property into, or out of, investment property.	1 January 2018
IFRIC22	*Foreign Currency Transactions and Advance Consideration* - Amendments clarifying the accounting for transactions that include the receipt or payment of advance consideration in a foreign currency.	1 January 2018
IFRS 16	*Leases* - A new accounting standard that eliminates the classification of leases as either operating leases or finance leases for lessees and, instead, introduces a single accounting model, which recognises all leases on the statement of financial position.	1 January 2019
IFRIC23	*Uncertainty Over Income Tax Treatments* - Interpretation clarifying the accounting for uncertainties in income taxes.	1 January 2019
IFRS 17	*Insurance Contracts* - a new insurance accounting standard which establishes the principles for recognition, measurement, presentation and disclosure of insurance contracts.	1 January 2021

Apart from the instances detailed above the Group is in the process of assessing the potential impact that the adoption of these standards and interpretations may have on its future financial performance or disclosures in the annual financial statements.

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The ten largest shareholders in the Company (ordinary share only) and the respective number of shares held as at 31 December 2017 are as follows:	%
BARCLAYS AFRICA GROUP LIMITED	68.50%
STANDARD CHARTERED NOMINEES NON-RESD. A/C KE8723	1.39%
STANDARD CHARTERED NOMINEES RESD A/C KE11401	0.86%
KENYA COMMERCIAL BANK NOMINEES LIMITED A/C 915B	0.77%
STANDARD CHARTERED NOMINEES RESD A/C KE11450	0.70%
KENYA COMMERCIAL BANK NOMINEES LIMITED A/C 915A	0.63%
STANDARD CHARTERED NOMINEES A/C 9230	0.44%
STANDARD CHARTERED NOMINEES NON-RESD. A/C 9913	0.44%
GOODWILL (NAIROBI) LIMITED A/C 94	0.40%
THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED	0.37%
OTHER	25.50%
	100.00

Shareholders as at 31 December 2017 were as follows:

Shares Range	Number of Shareholders	No. of Shares Held	% Holding
1-500	12,098	3,323,031	0.06%
501-5 000	22,837	49,172,795	0.91%
5 001-10 000	7,006	51,248,104	0.94%
10 001-100 000	18,161	527,804,217	9.72%
100 001-1 000 000	1,020	282,135,407	5.19%
>1 000 000	163	4,517,852,446	83.18%
	61,285	5,431,536,000	100.00%

Notice of the annual general meeting

Notice is hereby given that the Thirty-Ninth Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held at the Barclays Sports Club, Ruaraka, Nairobi on Friday, May 25, 2018 at 10:00 a.m. to transact the following business:-

A. Ordinary Business

1. To confirm the Minutes of the Thirty-Eighth Annual General Meeting held on April 28, 2017.
2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31st December 2017 together with the Directors' and Auditors' reports thereon.
3. To declare a dividend.
4. To elect Directors:
   a. In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Directors are due for retirement by rotation and being eligible, offer themselves for re-election:
      i. Ashok Shah
      ii. Norah Odwesso
   b. In accordance with Article 101 of the Company's Articles of Association, the following Directors are due for retirement this being the first Annual General Meeting to be held since their appointment as Director and being eligible, offer themselves for re-election:
      i. Japheth Okoth Olende
      ii. Louis Onyango Otieno
   c. In accordance with the provisions of Section 769 of the Companies Act, 2015, the following Directors, being members of the Board Audit & Risk Committee be elected to continue to serve as members of the said Committee:
      i. Winnie Ouko (Chair)
      ii. Ashok Shah
      iii. Norah Odwesso
      iv. Laila Macharia
      v. Louis Onyango Otieno
5. To receive, consider and if thought fit approve the Directors Remuneration Report and to authorise the Board to fix the remuneration of the Directors.
6. To approve the appointment of KPMG Kenya as Auditors and to authorise the Board to fix the remuneration of the Auditors.

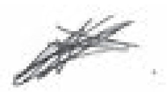
B. Special Business

7. To consider and, if thought fit, approve the following Special Resolutions in respect of a change of the Company's name: -

   Subject to: -

   a. the necessary regulatory approval in Kenya; and
   b. approvals for the implementation of the change in brand identity by all material Barclays Africa Group companies, as determined by the Board, change the name of the Company from "Barclays Bank of Kenya Limited" to "Absa Bank Kenya PLC" with effect from the date set out in the Certificate of Change of Name to be issued in that regard by the Registrar of Companies.
8. To transact any other business of the Company of which due notice has been received.

By order of the Board



Paul K. Ndungi

Company Secretary

April 30, 2018

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday May 23, 2018 or emailed to proxy@candrgroup.co.ke in pdf format. The duly completed form must be supported by a copy of the ID/ valid Passport of the member.

Note 2: Physical registration of members and proxies at the Annual General Meeting will commence at 8.00 a.m. on May 25, 2018. Members and proxies should carry their national ID cards and a copy of a relevant share certificate, dividend warrant or a Central Depository and Settlement Corporation (CDSC) account statement for your share account for ease of the registration process. Members can also pre-register themselves (or their proxies) at the online portal http://sharehub.candrgroup.co.ke between May 7, 2018 and May 23, 2018 after a verification process. To pre-register a proxy the member will be required to upload a signed proxy nomination form and a copy of the proxy's national ID card onto the said online portal. For online registration support please contact telephone number +254 020 2230518 +254 20 2230493, +254 20 2230488 +254 791 086964 + 254 726 971 599 +254 737 095124 between 8.00am and 5.00pm, Monday to Friday.

Note 3: In accordance with Article 133 of the Company's Articles of Association a full copy of the Integrated Report may be viewed on the Company's website www.barclays.co.ke with effect from Thursday, May 3, 2018. A printed copy may be requested from the Company's Share Registrar, Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi with effect from Thursday, May 3, 2018 between 9.00am to 3.00pm from Monday to Thursday and Friday 8.30am to 12.30pm.

Notes

Proxy form

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*I/We____

______________________________________of____

____being *a member/members of Barclays Bank of Kenya Limited, hereby appoint:

____

____

of (address) ____

____

____

____

or failing *him/her____

____

of (address) ____

____

____

____

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the thirty-ninth Annual General Meeting of the Company to be held on Friday, May 25, 2018 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this______________________________ day of _________________________2018.

Signature(s)____

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

*Delete whichever is not applicable.

NOTE 1. A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf. A proxy need not be a member of the Company.

NOTE 2. In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

NOTE 3. To be valid, this proxy form must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services Limited, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services Limited, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday, May 23, 2018. The duly completed form should be supported by a copy of the National ID of the member. Duly signed proxy forms and ID copies may also be emailed to proxy@candrgroup.co.ke in PDF format.

Fomu ya uwakilishi

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P.O.Box 8484-00100, Nairobi

*Mimi/Sisi____

Wa____

Kama *mwanachama/wanachama wa benki ya Barclays Bank of Kenya Limited, natmteua/tunamteua:-

____

____

wa (anwani) ____

____

au akikosa yeye ____

____

wa (anuani) ____

____

____

____

na akikosa yeye Mwenyekiti wa mukutano kama mwakilishi *wangu/wetu * anipigie/atupigie kura kwa niaba *yangu/yetu katika mkutano mkuu wa thelathini na tisa wa kampuni hii ambao utafanyika Ijumaa tarehe 25 Mei, 2018 na katika ahirisho lolote litakalotokea baadaye.

Kama ushahidi *ninatia/tunatia saini *yangu/yetu

siku hii ya ____________________________ya mwezi wa ____________________________2018

Sahihi____

Labda kuwe na maagizo, mwakilishi atakuwa huru kupiga kura apendavyo

*Futa yasiyofaa

MAELEZO YA 1. Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano ana haki ya kumteua mwakilishi wake. Sio lazima mwakilishi awe mwanachama wa kampuni.

MAELEZO YA 2. Iwapo mwanachama ni shirika fomu hii ya uwakilishi lazima ipigwe muhuri au iwe na saini ya afisa au mwanasheria wa shirika aliyeruhusiwa kwa maandishi.

MAELEZO YA 3. Ili ikubalike, fomu hii lazima ijazwe kikamilifu na mwanachama na lazima iwasilishwe kwa msajili wa kampuni katika Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi au itumwe kwa njia ya posta kwa Custody and Registrars Services, S.L.P.8484-00100 Nairobi, ili imfikie msajili kabla ya au ifikiapo saa tano asubuhi siku ya Jumatano tarehe 23 Mei, 2018

Notes

Company information

Registered/Head Office

The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi

Company Secretary
Paul Ndungi
The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi
Tel: +254 20 4254000

Share Registrar
Custody and Registrars Services Limited
Bruce House, 6th Floor
Standard Street
P. O Box 8484-00100
Nairobi
Tel: +254 20 2230518

Auditor
KPMG Kenya
ABC Towers, 8th Floor
P.O. Box 40612
Waiyaki Way
Tel: +254 20 280 6000
Fax: +254 20 221 56 95

Advocates

Iseme Kamau and Maema Advocates
IKM Place, Tower A, 5th Floor
5th Ngong Avenue
Off Bishops Road
P.O. Box 11866-00400
Nairobi
Tel: +254-20- 2711021

Kaplan and Stratton
Advocates
Williamson House, 9th Floor
4th Ngong Avenue
P.O. Box 40111–00100
Nairobi
Tel: +254 20 2841000

Mohammed Muigai Advocates
MM Chambers
K-Rep Centre, 4th Floor
Wood Avenue
Off Lenana Road
P.O. Box 61323-00200
Nairobi

Miller and Company Advocates
Bruce House, 13th Floor
Standard Street
P.O. Box 45707-00100
Nairobi
Tel: +254 20 2248461

When you grow, we glow

FiRe
1st Runners Up - Bank category

CIO 100
Financial Services Sector Award 2017

FiRe
1st Runners Up - Integrated Reporting category

Think Business
Innovative Listing of the Year

CIO 100
Information Technology Gold Mark

MSK
The Best Sports Marketing Campaign

FiRe
Winners - Governance category

The Asian Banker
Achievement in Credit Risk Management

FiRe
1st Runners Up - IFRS category

2017 has been a great year for Barclays Bank, but we couldn't have achieved any of these accolades without the hard work and support of our staff, our partners and, most importantly, our customers. We dedicate these awards to you.

You grow. We grow. Prosper.

BARCLAYS

Barclays Bank Kenya Ltd. is regulated by the Central Bank of Kenya